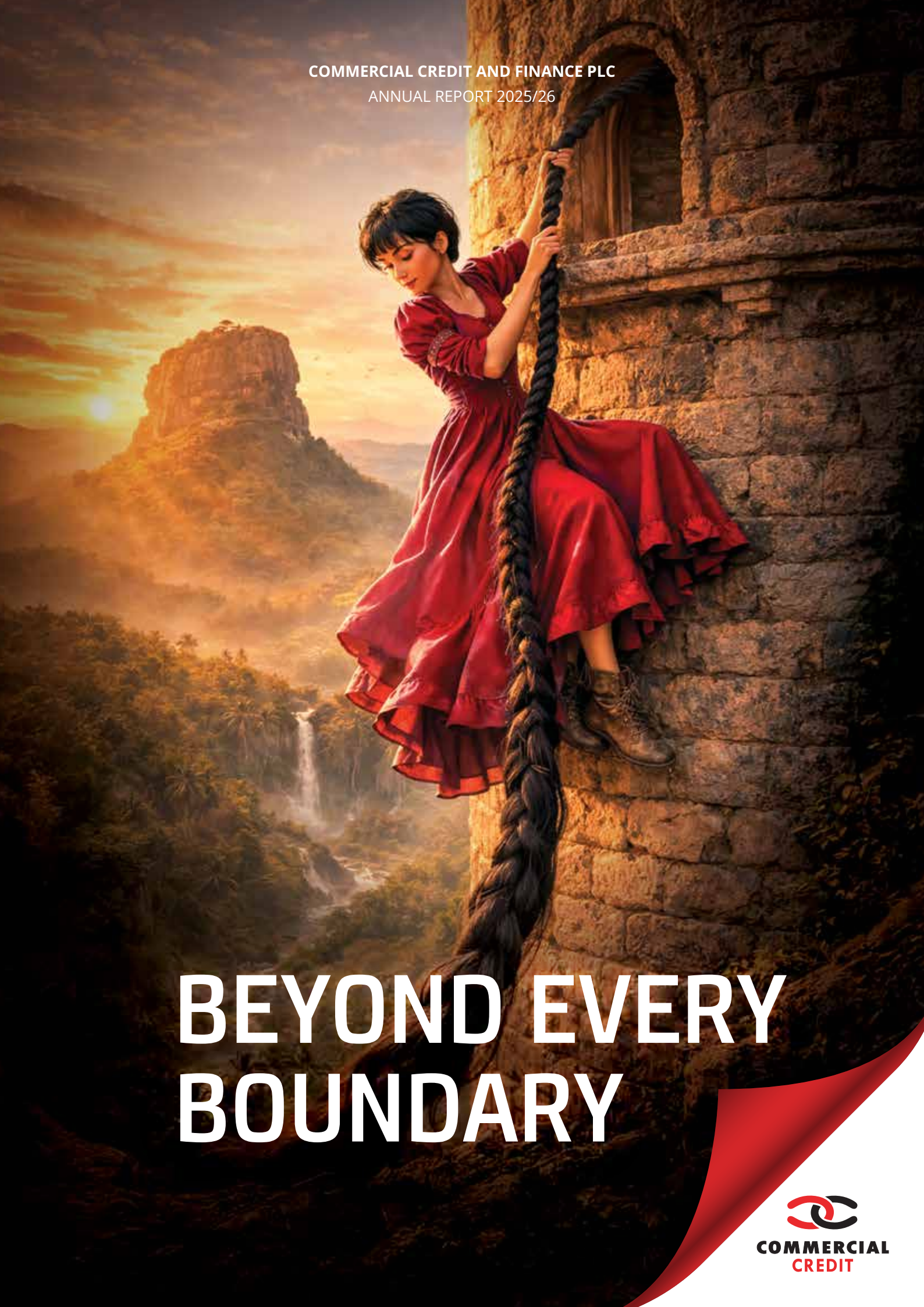
COMMERCIAL CREDIT AND FINANCE PLC

ANNUAL REPORT 2025/26



BEYOND EVERY BOUNDARY

COMMERCIAL CREDIT

Beyond Every Boundary

Every generation inherits its stories. Stories that taught us a princess had to wait for a prince to save her. That a tower could only be escaped when someone else arrived. That the ending belonged to fate, not to the woman at the heart of it.

For centuries, these stories shaped more than childhoods. They shaped narratives. But the women of today are no longer waiting for the next chapter to be written for them. Across Sri Lanka, they are rewriting the narrative. They are building enterprises instead of waiting for opportunity. They are creating livelihoods instead of waiting for change. They are leading businesses, strengthening communities and transforming ambition into achievement with resilience.

Because empowerment begins the moment a woman realises, she alone holds the pen to ink her own narrative. At Commercial Credit,we also believe that boundaries are not only broken by those who cross them, they are broken by those who help a whole society see them differently. That is why moving beyond every boundary also means reaching every person in this country with a simple truth: that a woman's freedom to lead, to choose and to build is not a favour to be granted, but a right already hers. It means challenging traditional biases not with confrontation, but with knowledge sharing the stories, the successes and the everyday courage of these women so that old assumptions quietly give way to a new understanding. Because paradigms do not shift through declaration alone. They shift when a nation is informed, one story, one mind, one changed perspective at a time.

The stories that inspired generations will always have their place. But the stories inspiring the next generation look very different. They are written by women who refuse to wait. Women who choose to lead instead of follow. Women who turn barriers into beginnings. Women who prove that the most extraordinary endings are at the ones they create for themselves.

Because the greatest stories were never about happily ever after.

They were always about the courage to write your own.

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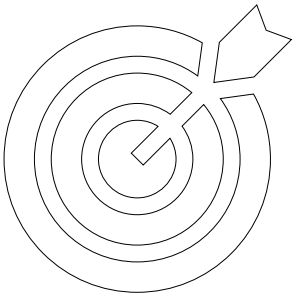
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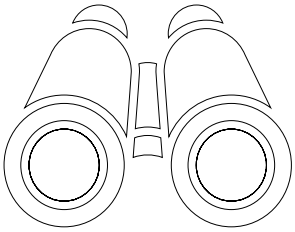


PURPOSE, VISION AND MISSION



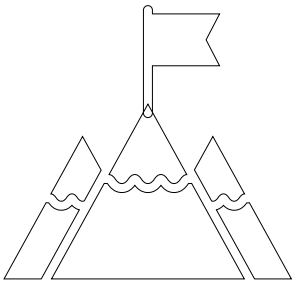
PURPOSE

To build leaders who uplift the lives of people by simple acts of love.



VISION

To be the most liberated Company admired for its people, partnership and performance.



MISSION

To be a dynamic Finance Company which develops and nurtures leaders at every level of the organization to serve society with passion.

www.cclk.lk

SHARED VALUES



LOVING AND CARING

Love is defined by CCFP as the unspoken sacrifices made or the extra miles travelled to uplift others' lives. Those who seek to love are pleased and joyful. Everyone is energized by love, and the advantages of unconditional love and respect are invaluable. One of the most fundamental needs for human existence is genuine appreciation, and making someone feel good, which releases positive energy reserves.



INTEGRITY AND TRUST

We believe that becoming trustworthy is the key to having effective relationships. It determines how relationships begin and grow. A trustworthy individual has the gift of lifting others and making them do good deeds. Integrity means that our lives are integrated around principles and that our security comes from within, not from outside. Being a person of integrity is of utmost importance to all members at CCFP. Therefore, we place great emphasis on creating a culture of integrity where an individual does the right thing even when no one is watching.



LEARNING AND DEVELOPMENT

At CCFP, learning and development is defined as the processes of renewing and enhancing the Physical, Spiritual, Mental and Emotional/ Social quadrants of our lives in order to support personal and interpersonal development. The most successful investment anybody can make is focusing on their own learning and development, which is a constant process that leads to effective and long-lasting results. CCFP encourages a culture that places a high value on learning and development and works hard to encourage its staff to continuously renew themselves in the above four quadrants.



THINK WIN-WIN

Win-Win is one paradigm of human interaction and it arises from a character of integrity, maturity and the abundance mentality. Effective and long-term human interactions in life are cooperative and are based on mutual respect and mutual benefit. A culture of Think Win-Win is also demonstrated by agreements that effectively clarify desired results and expectations. The processes and supporting systems of CCFP are constantly being adjusted to promote this win-win mentality. Our main goal is to constantly establish win-win situations, where everyone involved is satisfied with the outcome and no one feels undervalued. It is an attitude that has been readily embraced by our team members and one that has created countless satisfied customers.



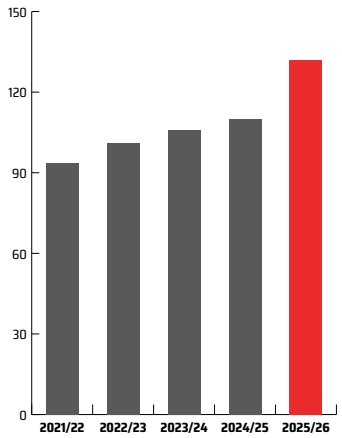
SYNERGY AND TEAMWORK

CCFP believes that synergy creates third alternatives by valuing the mental, emotional, and psychological differences among individuals. Acknowledging that diversity, not similarity, is where power rests, CCFP team members always try to combine individual strengths with a shared commitment to perform towards common goals aligning with the Company's purpose.

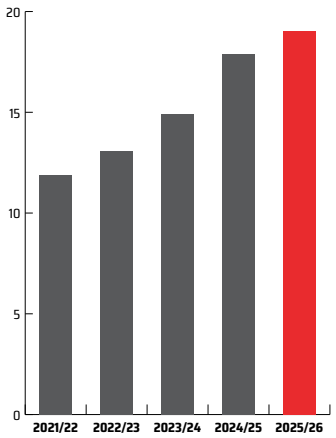
FINANCIAL AND NON-FINANCIAL HIGHLIGHTS

	Company		Group	
	2025/26	2024/25	2025/26	2024/25
	Rs.'000'	Rs.'000'	Rs.'000'	Rs.'000'
Financial Performance				
Gross Income	**31,257,724**	31,703,252	**31,390,318**	31,703,469
Net Interest Income	**19,023,186**	17,861,430	**19,034,580**	17,884,191
Profit Before Taxation	**14,981,947**	9,618,724	**15,115,808**	9,621,653
Profit After Taxation	**9,705,493**	6,219,424	**9,752,816**	6,147,086
Financial Position				
Leases, Hire Purchases, Loans and Advances (Net)	**99,016,059**	69,884,542	**98,970,925**	69,884,542
Total Assets	**131,987,957**	110,009,833	**132,067,126**	110,176,292
Total Deposit Base	**55,353,117**	55,708,840	**55,202,695**	55,681,779
Borrowings	**31,009,050**	16,615,938	**31,009,050**	17,911,783
Shareholders' Funds	**36,114,585**	28,389,582	**36,274,415**	28,502,158
Liquid Assets	**15,842,336**	25,211,243	**15,932,836**	25,560,678
Key Indicators per Ordinary Share				
Earnings per Share(Rs.)	**30.51**	19.55		
Net Assets per Share (Rs.)	**113.56**	89.25		
Year end Market Price per Share	**110.00**	56.40		
Key Performance Indicators				
Return on Average Assets (%)	**8.02%**	5.76%		
Equity / Assets (%)	**27.36%**	25.81%		
Gross Non Performing Accommodations (%)	**4.71%**	26.07%		
Net Non Performing Accommodations (%)	**2.46%**	13.39%		
Return on Average Shareholders' Funds (%)	**30.09%**	24.20%		
Statutory Ratios				
Capital Funds to Deposits (%)	**63.68%**	43.76%		
Core Capital (Tier 1 Capital)	**32,723,796**	24,380,306		
Core Capital (Tier 11 Capital)	**33,971,375**	24,476,757		
Core Capital Ratio (%)	**27.02%**	25.63%		
Total Risk Weighted Capital Ratio (%)	**28.05%**	25.74%		
Memorandum information				
Number of Employees	**3,355**	3,095		
Number of Branches	**133**	133		
External Credit Rating (Lanka Rating Agency)	**BBB+(Stable)**	BBB(Stable)		

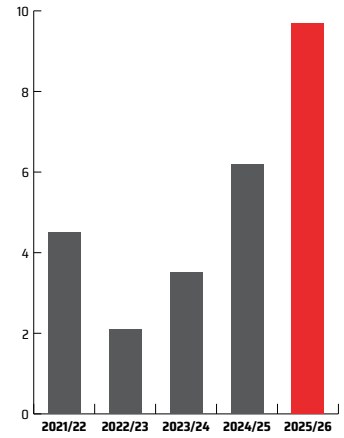
Total Assets LKR Bn



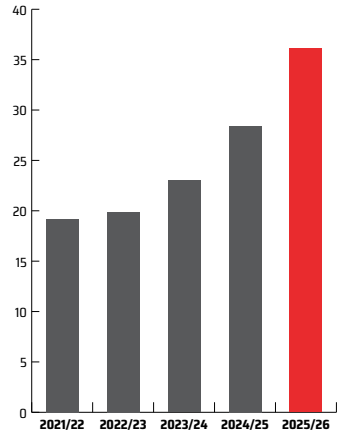
Net Interest Income LKR Bn



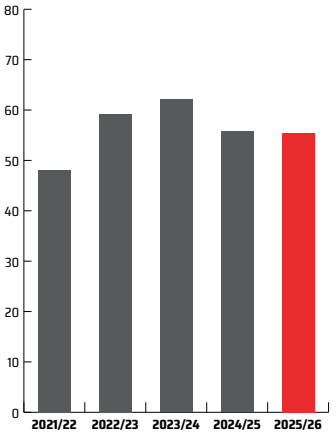
Profit after Tax LKR Bn



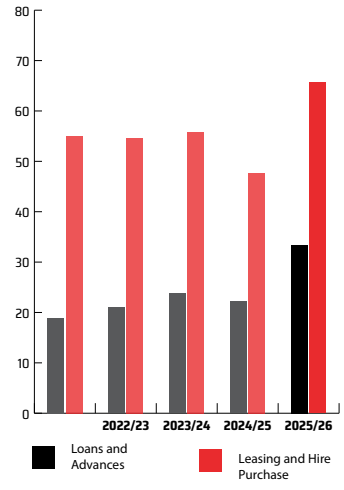
Total Equity LKR Bn



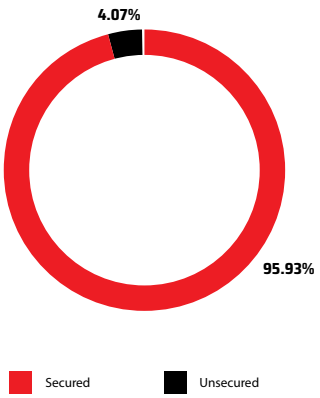
Total Deposits LKR Bn



Net Lending Portfolio LKR Bn



Secured and Unsecured Portfolio Composition 2025/26




Cinderella

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Watch now:

ABOUT THE COMPANY

Commercial Credit and Finance PLC began its journey on October 4, 1982, incorporating in Kandy as a Private Limited Liability Company under the Companies Act No. 17 of 1982. As we grew, we registered as a Public Limited Company on December 16, 1989. Following our re-registration under the Companies Act No. 07 of 2007, we took a significant step forward by listing our shares on the Dirisavi Board of the Colombo Stock Exchange on June 1, 2011, becoming Commercial Credit PLC. Shortly after, to fully align with the Finance Business Act No. 42 of 2011, we embraced our present name, Commercial Credit and Finance PLC, on May 17, 2012.

In our early days, our primary focus was on agricultural lending. During this time, we naturally built a strong, process-driven foundation that served us well and provided a highly reliable base for our operations. However, a truly defining chapter in our story began in October 2009, when a shift in majority shareholding introduced a new management team. This leadership thoughtfully brought in the value centric culture that defines who we are today. They guided our philosophy beyond just conventional business metrics, focusing deeply on meaningful societal development and shared, long-term success.

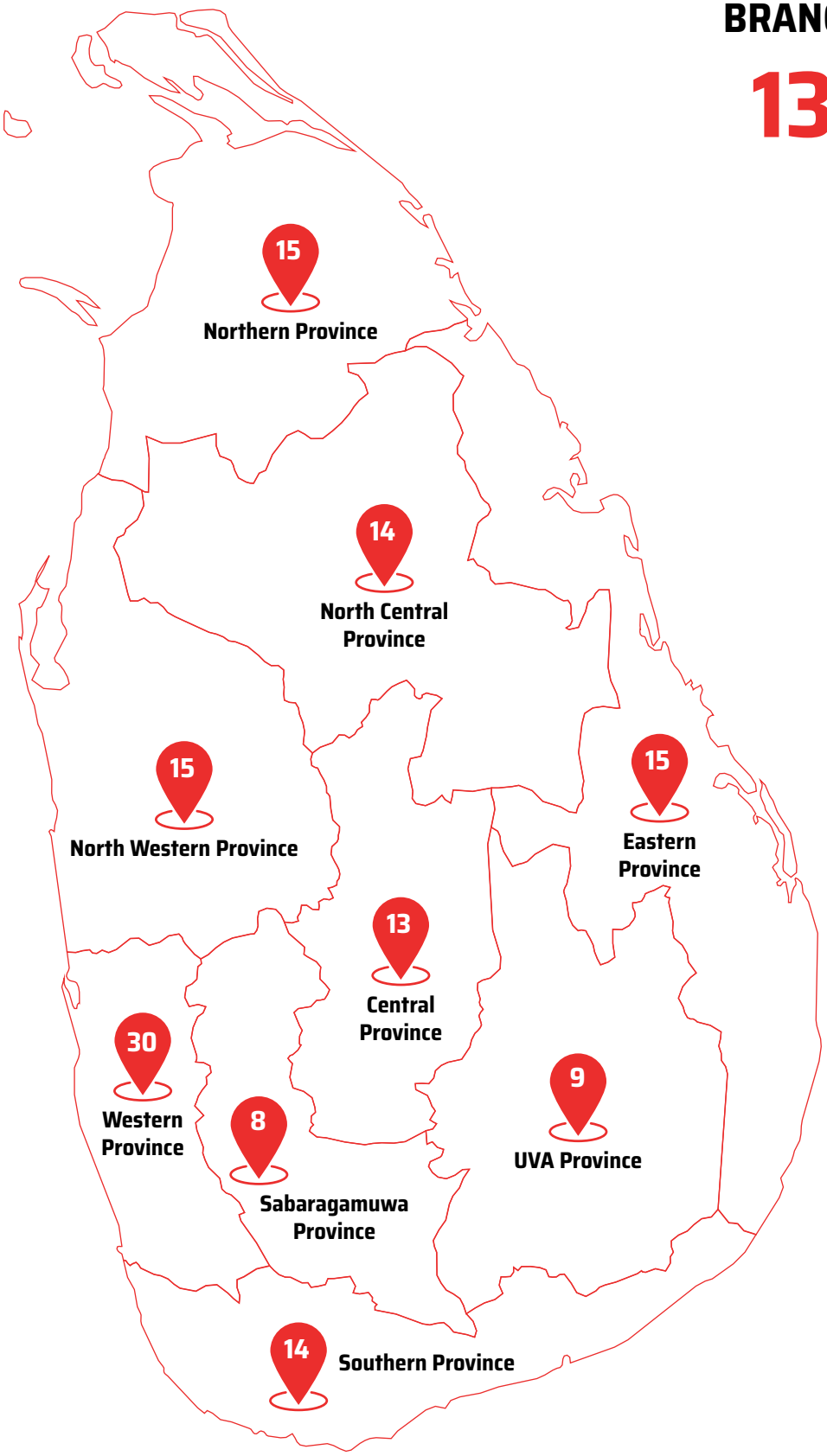
Through all these milestones and changing times, we have continuously evolved. We remain dedicated to adapting to the needs of the market, always hoping to create genuine, lasting value for everyone connected to our journey.



BRANCH NETWORK

TOTAL BRANCHES

133



AWARDS




2025



OUR LEADERS

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Watch now:

CHAIRPERSON'S STATEMENT



"RESILIENCE IN RECOVERY, ANCHORED IN CORE VALUES AND SUSTAINABLE GROWTH"

G.B.Egodage
Chairman

On behalf of the Board of Directors, it is my privilege to warmly welcome you to the 43rd Annual General Meeting of Commercial Credit and Finance PLC, and to present our Annual Report for the fiscal year ended 31st March 2026. As the Report has been in the hands of the shareholders for the stipulated period and with your consent, I consider it acknowledged.

In 2025, as Sri Lanka's economy demonstrated steady signs of recovery following a deeply challenging period, our Company mirrored this national progress through our own resilience and growth. By remaining proactive and aligning our strategic initiatives with long-term priorities, we successfully navigated a year of significant transition. Our steadfast, value-driven approach enabled us to support and retain our loyal customers while forging stronger relationships with all stakeholders, empowering us to fully capitalize on positive economic shifts.

We are highly encouraged by the progress made during this pivotal year of recovery. Grounded in our purpose-driven philosophy and core values, we remain intensely focused on long-term sustainability. We are confident that we are well-positioned to adapt and thrive as the broader economic landscape continues to evolve.

Furthermore, on behalf of the Board, I wish to assure you that the Directors, Management, and employees of Commercial Credit and Finance PLC have consistently executed the Company's operations with the utmost integrity and diligence, in strict adherence to our values, ethics, and Code of Business Conduct.

ECONOMIC PERFORMANCE

In the financial year 2025, the Sri Lankan economy demonstrated continued resilience and sustained recovery, marking its second consecutive year of real GDP growth following the severe economic crisis of 2022–2023. The economy grew by 5.0% in real terms in 2025, underpinned by improved macroeconomic conditions, continued structural reforms, and strong policy discipline. Nominal GDP rose to Rs. 32,751 billion (approximately USD 108.8 billion), while per capita GDP reached USD 5,003, up from USD 4,546 in 2024.

The Gross Domestic Product (GDP) expanded by 5.0% in 2025, matching the 5.0% growth achieved in 2024, and marking a sharp turnaround from the contractions of 7.3% in 2022 and 2.0% in 2023. Growth was broad-based, led by Industry (7.8%), Services (3.3%), and Agriculture (1.4%). Fiscal performance strengthened significantly, with government revenue rising to 16.6% of GDP, the overall budget deficit narrowing to just 2.3% of GDP, and the primary balance recording a surplus of 5.4% of GDP the third consecutive year of primary surplus.

Headline inflation (CCPI, 2021=100) y-o-y accelerated to 2.1% by end-2025 from -1.7% at end-2024, while the annual average CCPI-based headline inflation for 2025 decelerated to -0.5% from 1.2% in 2024. Inflation remained in deflationary territory for eleven consecutive months before returning to positive territory in August 2025. The Central Bank maintained an accommodative monetary policy stance, reducing the Overnight Policy Rate (OPR) to 7.75% by end-2025, supporting credit expansion and economic activity.

Sri Lanka made significant progress in completing its external debt restructuring, with approximately 95% of the process concluded by year-end. Bilateral restructuring agreements were finalised with Japan, India, France, Hungary, the United Kingdom, and Australia during 2025, and the ISB exchange was completed in December 2024. Gross Official Reserves improved to USD 6.8 billion by end-2025 from USD 6.1 billion at end-2024. These developments are expected to sustain positive momentum, while ongoing vigilance is required given global uncertainties stemming from conflict in the Middle East and climate-related risks.

OPERATING ENVIRONMENT

In the financial year 2025, Sri Lanka's Finance Companies (FCs) sector recorded significant growth, particularly driven by rapid credit expansion, while maintaining capital and liquidity buffers well above regulatory minimum requirements. The sector comprised 32 FCs (excluding ETI Finance Limited, in court-supervised winding up) and accounted for 6.8% of total financial sector assets, with 1,998 branches 66.7% (1,333 branches) located outside the Western Province.

The total asset base of the FCs sector expanded by 44.0% y-o-y to Rs. 2,776.7 billion at end-2025, from 13.7% y-o-y growth at end-2024. The loans and advances portfolio grew by 56.0% y-o-y, accounting for 80.2% of total sector assets. Finance leases and vehicle loans dominated at 64.1% of total loans and advances, followed by loans secured by gold at 20.9%. The Gross Stage 3 Loans Ratio declined substantially to 6.1% at end-2025 from 11.5% at end-2024. The Net Stage 3 Loans Ratio also declined to 3.2% from 6.5%, while the impairment coverage ratio improved to 47.8% from 43.4%.

Profitability of the FCs sector improved notably, with Profit After Tax (PAT) rising by 49.9% from Rs. 59.0 billion in 2024 to Rs. 88.5 billion in 2025, driven by significant increases in NII and reversal of impairment. ROA improved to 6.7% (from 6.0%) and ROE increased to 17.5% (from 13.3%). The efficiency ratio declined to 46.3% from 51.1%. The capital base reached Rs. 442.4 billion (growth of 23.4%), while the Tier 1 CAR and Total CAR stood at 17.3% and 18.7%, respectively — both above regulatory minimums. Deposits (Rs. 1,265.2 billion, 45.6% of liabilities) remained the primary funding source, while borrowings expanded sharply by 178.1% y-o-y to Rs. 849.3 billion. Liquidity surplus stood at Rs. 74.3 billion against the required minimum.

BUSINESS PERFORMANCE

Sri Lanka's economic recovery gained steady momentum in 2025, outpacing many other debt-distressed nations. As structural reforms began yielding positive results, investor confidence was revitalized by signs of policy continuity, and significant progress on external debt restructuring bolstered national economic stability.

Amidst this evolving landscape, our Company demonstrated exceptional resilience and adaptability. Driven by a focus on sustainable growth, we delivered a Profit After Tax of Rs. 9.7 billion. This was supported by a balanced and diversified income model, comprising Net Interest Income of Rs. 19.0 billion, Fee and Commission Income of Rs. 2.4 billion, and Other Operating Income of Rs. 1.2 billion. Our profitability metrics remain healthy, with a Return on Assets (ROA) of 8.02% and a Return on Equity (ROE) of 30.1%. Furthermore, a 14.2% reduction in interest expenses helped drive our Net Interest Margin up to 18.7%.

Our balance sheet remains solid. Total assets expanded to Rs. 131.99 billion. While our net loan book adjusted to Rs. 99 billion reflecting a strategic, deliberate emphasis on collections our secured loan portfolio strengthened to 95.93% of total loans, reaffirming our asset quality. This is further evidenced by our improved Gross Non-Performing Loan (NPL) ratio of 4.71% and a Net NPL ratio of 2.46%. This shift underscores our proactive approach to provisioning, enhanced balance sheet integrity, and improved resilience against future uncertainties.

Capital adequacy remains a core strength. We comfortably maintained an additional 17% Tier 1 Core Capital buffer over and above the minimum regulatory requirement of 10% . Similarly, our Tier 2 Total Capital stands securely at 28.0%, exceeding the 14.0% well-capitalised requirement. Given this strong capital generation capability, internally generated funds are sufficient to meet our capital requirements. Reinforcing these sound fundamentals and our enduring commitment to shareholder value, the Board has paid an interim dividend of Rs. 3 per share and proposed final dividend of Rs. 7 per share for FY 2025/26.

Looking ahead, the Company remains resolute in its commitment to enhancing credit quality, fortifying its capital position, and creating sustainable, long-term value for all stakeholders.

NAVIGATING THROUGH THE CHALLENGES

Throughout the 2025/26 financial year, the Company maintained the highest standards of ethics and corporate governance, remaining resolutely focused on generating sustainable value for all stakeholders. As the nation transitioned toward economic recovery, the Board proactively enhanced its oversight mechanisms to fortify internal controls, ensuring that key risks were astutely identified and mitigated amidst a dynamic socio-economic landscape.

Over the course of the year, all Board and Executive Sub-Committees convened regularly, providing the management team with vital strategic direction, monitoring emerging macroeconomic trends, and recommending prudent courses of action. The robust, active engagement of our predominantly non-executive Board proved instrumental in maintaining seamless business continuity. Their guidance empowered the Company to navigate lingering complexities while confidently capitalizing on fresh opportunities within a revitalized market.

DEFINING THE FUTURE

Set against the backdrop of a successful financial year for our Company, Sri Lanka's broader economic recovery has been supported by the decisive policy measures enacted by the Government and the Central Bank. The implementation of the IMF-EFF programme and pivotal advancements in external debt restructuring have stood as landmark achievements in this journey. Crucially, the major structural reforms necessary to reinstate national stability were strategically frontloaded and effectively completed during the initial phases of the macroeconomic adjustment programme.

While significant strides have been made and macroeconomic equilibrium has been largely restored, the trajectory ahead continues to demand focus and disciplined execution. For Commercial Credit and Finance PLC, we are entering a dynamic new phase one that presents promising avenues for growth alongside moderate, navigable challenges. By remaining proactive and strategically anchored, we are well-equipped to master this evolving landscape. As we do so, we will continue to contribute meaningfully to the nation's long-term prosperity while further cementing a formidable foundation for our Company's future.

CHAIRPERSON'S STATEMENT

APPRECIATIONS

The Board of Directors and I extend our deepest appreciation to our valued customers for their enduring trust and loyalty. Your confidence in our products and services remains the very cornerstone of our continued progress and resilience.

I also wish to express my gratitude to my fellow members of the Board. Your support, astute counsel, and collaborative spirit throughout a year of dynamic transition have been invaluable in steering the Company forward.

A special note of appreciation is owed to our Chief Executive Officer and fellow Board Member, Mr. Roshan Egodage. His inspiring leadership, dedication, and strategic foresight have been instrumental in guiding the Company through this pivotal period of economic recovery and renewal.

We are equally grateful to our senior management team and our deeply passionate, committed workforce. Your relentless hard work, disciplined execution, and perseverance have not only driven this year's outstanding achievements but have also firmly laid the groundwork for our continued success.

Furthermore, we extend our sincere thanks to the Central Bank of Sri Lanka for their continuous regulatory guidance and support. Finally, we deeply appreciate the enduring trust placed in us by all our stakeholders. We look forward to your continued partnership as we embark on our next chapter with renewed confidence and purpose.



G.B.Egodage
Chairman

31st July 2026
Colombo

CEO'S REVIEW

"UPLIFTING LIVES, EMPOWERING WOMEN AND FOSTERING PRINCIPLED LEADERSHIP"

R.S.Egodage
Chief Executive Officer/Executive Director



As we conclude the 2025/26 financial year, it is my pleasure to present an overview of Commercial Credit and Finance PLC's performance for the period ended 31 March 2026.

This report captures our key achievements and milestones. For a deeper understanding of our financial results and the strategic drivers behind them, I invite you to explore the Management Discussion & Analysis and the subsequent sections of this Annual Report. These reviews offer valuable insights into our operational progress and the defining developments of the past year.

UPLIFTING LIVES

As we reflect on the 2025/26 financial year, we are reminded that true resilience is born in times of deep adversity. Sri Lanka's transition from a period of survival to one of renewal, evidenced by a GDP growth surpassing 5%, is a testament to our collective endurance. However, while macroeconomic stability is vital, it does not instantly erase the day-to-day burdens of elevated living costs. Behind every national economic indicator is a human story, and it is at this intersection of progress and reality that our Purpose must serve as our truest compass.

Yet, in the finance industry, a stark reality persists: the underrepresentation of women, especially in leadership and field-based roles. At Commercial Credit, our focus has been to change this paradigm, not just within our walls but across our industry and nation. Macroeconomic stability is vital, but behind every indicator lies human potential waiting to be unlocked, particularly for the women who drive our shared future. We recognized a fundamental truth: while we could not control the external economic winds, we could absolutely control how we set our sails. We have focused our energy on our Circle of Influence, shifting the narrative of women's empowerment from a boardroom topic to a lived reality. We've grown our women leaders and women field officers by 29%, with deliberate programs identifying hidden potential and bringing out the best in every individual. This proved that when you remove systemic barriers, excellence flourishes naturally.

Our own Commercial Credit Academy stands as a sanctuary for our commercial credit family members' ongoing renewal. It is a place where our team,especially our rising women members,can "sharpen the saw" and cultivate the character required to navigate inaccurate cultural barriers surrounding them. They all enjoy the privilege of being able to be with their family members in the comfort of the Academy while they renew themselves through learning and development in frequently given residential training programs. We are not just building a finance company; we are creating a ripple effect of empowerment that extends to the families and neighbourhood of our employees as well.

The meaningful progress we achieved is not merely a reflection of strategic execution; it is the natural fruit of identifying the latent potential within our people. Our efforts in culture development are rooted in the Character Ethic,the belief that bringing out the best in people requires an environment of absolute integrity. We try our hardest to unleash the full potential of every staff member by throwing away judgments, outdated labels, and forced authority. We try to see people as they are unique contributors with unrealized gifts creating space for unforced growth. Through celebrating their ideas and collective decision-making, we empower individuals to step forward naturally, leading from their strengths rather than titles. This judgment-free environment fosters authentic innovation, turning everyday team members into confident leaders who uplift one another while pushing themselves towards their better versions.

We do not just hire for roles; we seek to build leaders who uplift the lives of people through simple acts of love. By institutionalizing our Five Shared Values and our commitment to the Principles we continuously learn with the 7 Habits of Highly Effective people philosophy, we have moved beyond professional development toward a deep, "Inside-Out" transformation.

CEO'S REVIEW

This transformation has led to a radical shift in how we lead. Today, the duties traditionally held by the CEO are increasingly shared and interchanged among our top team.

This is not a delegation of tasks, but a celebration of interdependence through distributed leadership. We are building an organization where leadership is not a formal title, but a collective responsibility fueled by a sincere intent to serve. I believe, when we invest in upliftment, we don't just grow a company; we redefine an industry. Together, we're building leaders who elevate Sri Lanka, one empowered life at a time.

Ultimately, our legacy will not be defined by the magnitude of our financial milestones, but by the leaders we have built and the lives we have uplifted. By committing to an Abundance Mentality, we ensure that as our roots of character grow deeper, the branches of our collective capability reach wider, serving our nation with women empowerment and principled leadership.

PERFORMANCE

Sri Lanka's economic recovery continued to gain momentum in 2025, supported by structural reforms and steady progress in external debt restructuring, which together contributed to improved macroeconomic stability and renewed investor confidence. In this evolving environment, the Company demonstrated resilience and focus, recording a Profit After Tax of Rs. 9.7 billion for the financial year ended March 31, 2026 an increase from the previous year. This was supported by a balanced and diversified income model, comprising Net Interest Income of Rs. 19.0 billion, Fee and Commission Income of Rs. 2.4 billion, and Other Operating Income of Rs. 1.2 billion.

Our profitability metrics remain healthy, with a Return on Assets (ROA) of 8.02% and a Return on Equity (ROE) of 30.1 %. Furthermore, a strategic 14.2% reduction in interest expenses helped drive our Net Interest Margin up to 18.7%.

Total assets expanded to Rs. 131.99 billion. While our net loan book adjusted to Rs. 99 billion reflecting a strategic, deliberate emphasis on collections our secured loan portfolio strengthened to 95.93% of total loans, reaffirming our asset quality. This is further evidenced by our improved Gross Non-Performing Loan (NPL) ratio of 4.71% and a Net NPL ratio of 2.46%. This shift underscores our proactive approach to provisioning, enhanced balance sheet integrity, and improved resilience against future uncertainties.

On the funding front, public deposits remained the cornerstone of our funding base, accounting for 64.1% and totaling Rs. 55.3 billion demonstrating continued customer trust and funding resilience. As we look to the future, we remain firmly committed to strengthening asset quality, optimizing our funding mix, and creating sustainable long-term value for all stakeholders.

FUTURE FOCUS

As we look to the horizon, our strategic focus is linked to a thoughtful cultural and operational shift through the empowerment of women within our Company and the wider Non-Bank Financial Institution (NBFI) sector. Historically, specific facets of this industry, such as field operations, collections, and grassroots financing, were perceived as male-dominated territories. We are actively dismantling these outdated paradigms. From front-line operations to executive leadership, we are championing women across the A to Z of our business.

A proud testament to this commitment is our STF management-training program, where the 30% of our current trainees are female. We are thrilled to share that 40% of these talented women have already achieved meaningful role enhancements, stepping confidently into broader responsibilities. We nurture this growth through a deeply held organizational philosophy: true leadership does not require standing in the spotlight. Just as a vital player can inspire, strategize, and lead a team from the bench, we empower our people to lead powerfully from wherever they sit, supporting their peers, embodying our shared values, and elevating the entire organization.

As reflected in our recent media campaigns, we are not just adapting to change; we are redefining the industry standard. We firmly believe that creating inclusive opportunities for female professionals to lead, grow, and thrive is the ultimate catalyst for broader societal prosperity.

In tandem with our social commitments, environmental sustainability is a driving force of our future strategy. Recognizing the urgent global need for climate-conscious financial solutions, we are heavily focusing on expanding our Electric Vehicle (EV) leasing portfolio.
By actively facilitating the transition to green mobility, we are empowering our customers to make environmentally responsible choices while directly contributing to a cleaner, more sustainable Sri Lanka.

Ultimately, every technological advancement, sustainability initiative, and cultural shift we undertake points back to our purpose: To build leaders who uplift the lives of people by simple acts of love. By remaining transparent, empathetic, and firmly rooted in our shared values, we look forward to fostering partnerships that ensure a prosperous, win-win future for everyone involved.

APPRECIATION

As I reflect on the progress Commercial Credit has made over the past year, I am deeply humbled by our strengthened position within the Non-Bank Financial Institutions (NBFI) sector. These achievements are not merely line items on a balance sheet; they are the natural outcome of our commitment to a principle-centered culture and our daily focus on our core purpose: to build leaders who uplift others.

My deepest appreciation goes to every member of our Commercial Credit family from our field officers to our central operations. Their dedication to our shared values and their proactive embrace of the Principle Centered living have been the true engine of our growth. I have been moved by the synergy I see daily, where our staff members lead not by title, but by moral authority. Whether it is a lady field officer breaking barriers in her environment or a designated leader interchanging roles to support the team, they are the living embodiment of our

Purpose. They haven't just worked harder; they have worked with more heart, making consistent deposits into the emotional bank accounts of our customers and each other.

Looking back on our journey and the milestones we have reached, it is clear that our success rests entirely upon the foundational trust of our valued customers and shareholders. I extend my deepest gratitude to each of you for placing your confidence in us. It is your enduring belief in our shared vision that transforms our aspirations into reality, continuously inspiring us to drive sustainable and inclusive progress across the nation.

Finally, I extend my heartfelt gratitude to the members of our Board of Directors, led by our Chairman, Mr. Bandula Egodage. Their support and guidance, particularly as we navigated a complex macroeconomic landscape, have been invaluable. The profound experience, wisdom, and visionary leadership of the Chairman and the entire Board continue to be the compass guiding our Company toward a prosperous and sustainable future.



R.S. Egodage
Chief Executive Officer / Executive Director

31st July 2026
Colombo

BOARD OF DIRECTORS



G.B.EGODAGE

CHAIRMAN / NON-EXECUTIVE DIRECTOR

Mr. Bandula Egodage is a seasoned professional with over 41 years of experience in the local and international business markets. He possesses a diverse range of experience in both the private and government sectors in Sri Lanka, having served in senior management and board levels in various organizations. Mr. Egodage has excelled in his career, demonstrating proficiency in public affairs, regulatory affairs, sales, corporate communications, and crisis management functions.

Mr. Egodage was appointed as a Director of Commercial Credit Finance PLC in October 2021 and has been serving as the Chairman since November 2022. He is also a member of the Board Human Resource and Remuneration Committee, the Board Audit Committee, the Board Integrated Risk Management Committee, the Board Related Party Transactions Review Committee, and the Board Nomination and Governance Committee.

Mr. Egodage serves as the Chairman and Non-Executive Director of the Asia Pacific Institute of Information Technology (APIIT) Lanka (Pvt) Ltd and as a Non-Executive Director at Suwasevana Hospitals. He is also an executive member of the SAARC Chamber of Commerce and Industry and a member of the Sri Lanka-Maldives Business Council, the Export Development Board's Advisory Committee on Education, the Swiss Business Circle, and the Sri Lanka Institute of Directors (SLID).

Mr. Egodage previously served as the Vice President of Nestlé Lanka Ltd and the Chairman of Export Development Board of Sri Lanka, the Industrial Association of Sri Lanka, the National Packaging Center, and Development Holdings (Pvt) Ltd. Additionally, he was a Director at Trade Finance PLC, the National Gem and Jewellery Authority of Sri Lanka, and the Sri Lanka Coconut Cultivation Board.



R.S.EGODAGE

CHIEF EXECUTIVE OFFICER / EXECUTIVE DIRECTOR

Mr. Egodage assumed his position on the Board of Commercial Credit in March 2011 subsequent to the company's acquisition by BG Investments Private Limited. Since then, as Chief Executive Officer, he has spearheaded the company towards remarkable success, steering it with visionary leadership and driving substantial growth.

Prior to taking over the stewardship of Commercial Credit, Mr. Egodage held several senior management positions in the finance industry while also serving on the Boards of several group of companies simultaneously.

Mr. Egodage previously held the positions of General Manager - Finance, Planning and Administration at Kotagala Plantations PLC and General Manager – Projects and Planning at Agalawatte Plantations PLC.

Having earned a BSc. Eng. degree from the University of Peradeniya and initially embarking on a career in engineering, he then set his sights on a career in business management, earning an MBA from the University of Colombo. Mr. Egodage is a fellow member of the Chartered Institute of Management Accountants, UK (FCMA), and an associate member of the Chartered Institute of Marketing, UK (ACIM) and an associate member of the Institute of Certified Management Accountants, Sri Lanka (ASCMA).

He currently serves as the Non- Executive Director of BG Capital (Pvt) Ltd, BG Investments (Pvt) Ltd, Colombo International Nautical & Engineering College (CINEC), K- Seeds Investments (Pvt) Ltd and Dankotuwa Pocelain PLC.



L.L.S. WICKREMASINGHE

SENIOR DIRECTOR/INDEPENDENT NON-EXECUTIVE DIRECTOR

Mr. Lasantha Wickremasinghe, is a fellow member and a past president of the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and a fellow member of the Association of Accounting Technicians of Sri Lanka (AAT).

He was appointed to the Board of Commercial Credit and Finance PLC on 26th June 2019 and designated as Senior Director on 17th November 2022. Currently, he serves as the Chairman of the Board Audit Committee, the Board Integrated Risk Management Committee and the Board Nomination and Governance Committee of Commercial Credit and Finance PLC. Additionally, he is a member of the Board Related Party Transaction Review Committee.

Mr. Wickremasinghe is a Partner at B. R. De Silva & Co. Chartered Accountants, a member firm of Nexia International. He also holds several positions, including Independent Director at Colombo Fort Investments PLC, Maskeliya Plantations PLC, Harischandra Mills PLC, and member of the Board of Management of the Api Wenuwen Api Fund.



G.R.EGODAGE

EXECUTIVE DIRECTOR

Ms. Egodage joined Commercial Credit as an Executive Director in December 2009, following its acquisition by BG Investments Private Limited. She currently serves as a Non-Executive Director of BG Investments Private Limited and BG Capital Private Limited.

Ms. Egodage began her career as an Assistant Lecturer in the Department of Chemistry at the University of Peradeniya. She then served for four years as a Process Chemist at Ansell Lanka. From 1996 to 2005, she served as Assistant Director of Quality Control and Quality Assurance at the Coconut Development Authority.

Ms. Egodage brings her experience and dedication to her role as an Executive Director of Commercial Credit, playing an integral part in the company's success. She holds a BSc (Hons) in Chemistry from the University of Peradeniya and a Postgraduate Diploma in Business Administration from the Open University of Sri Lanka.

BOARD OF DIRECTORS



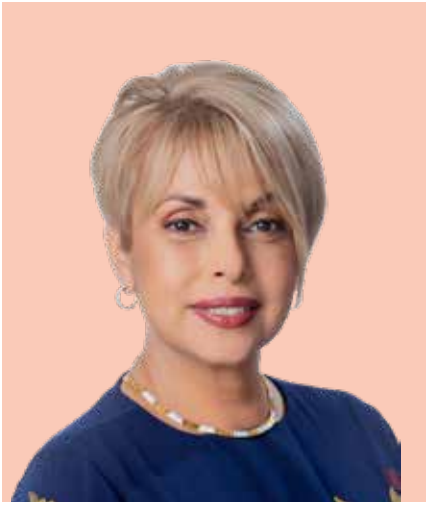
R. CASIE CHITTY

CHIEF OPERATING OFFICER/EXECUTIVE DIRECTOR

Mr. Rajiv Casie Chitty is a fellow of the Association of Chartered Certified Accountants (ACCA), UK, an Associate Member of the Chartered Institute of Management Accountants (ACMA), UK, and a Chartered Financial Analyst (CFA), USA. He completed his MSc in Computer Science at Staffordshire University, UK, and earned his Masters in Economics from the University of Colombo. He has received the Janashakthi Gold Award at the 2006 CIMA Pinnacle Awards. Furthermore, Mr. Casie Chitty is the former President of the ACCA Sri Lanka panel, a former council / committee member of CIMA, Sri Lanka and CFA Sri Lanka.

Mr. Casie Chitty has over 34 years' experience in the private sector, including more than 18 years at the senior management level, with exposure to a variety of industries including manufacturing, distribution, plantations and finance. He is currently employed as the Chief Operating Officer / Executive Director of Commercial Credit and Finance PLC for the past ten years.

He also serves as a Non-Executive Director of several companies, including ACL Cables PLC, Tangerine Beach Hotel PLC, Royal Palm Beach Hotel PLC, Ceyline Holdings (Pvt) Ltd, Lakdhanavi Limited, TVS Lanka (Pvt) Ltd, CMA Ships Lanka Ltd, BG Marine Investments (Pvt) Ltd, Mercantile Marine Management (Pvt) Ltd, Mercantile Seamans Training Institute (Pvt) Ltd and Ceyline Investments (Pvt) Ltd.



G.A.M EDWARDS

INDEPENDENT NON- EXECUTIVE DIRECTOR

Ms. Gillian Edwards is a career banker with over 37 years of experience in the Sri Lankan Banking Sector. She has accumulated over 11 years of experience at the senior corporate management level at DFCC Bank PLC and Seylan Bank PLC. Her experience encompasses transformative years in Retail Banking. Under her Leadership, Personal Financial Services / Retail Banking were established at DFCC Vardhana Bank PLC and she progressed to head the Consumer Banking at DFCC Bank PLC.

With her previous roles as Senior Vice President of Consumer Banking at DFCC Bank PLC and Assistant General Manager of Personal Banking at Seylan Bank PLC, Ms. Edwards has gained extensive experience across all areas of retail banking, including small and medium enterprises (SMEs) and micro, small, and medium enterprises (MSMEs).

Ms. Edwards holds a Masters in Business Administration from University of Southern Queensland, Australia, a Post Graduate Executive Diploma in Bank Management from the Institute of Bankers of Sri Lanka, and is an Associate Member of the Certified Management Accountants, Australia. She was honoured for her achievements in the Banking Sector at the "Top 50 Professional and Career Women Awards Sri Lanka and Maldives, 2020".

She was appointed to the Board of Commercial Credit and Finance PLC as Independent Non-Executive director in July 2021. She currently serves as the Chairperson of the Board Related Party Transactions Review Committee and the Board Human Resource and Remuneration Committee of Commercial Credit and Finance PLC. Additionally, she is a member of the Board Audit Committee, Board Integrated Risk Management Committee, and Board Nomination and Governance Committee.

Mrs Edwards also serves on the boards of People's Bank, Seylan Developments PLC and Mahaweli Coconut Plantations PLC in the capacity of an Independent Non-Executive Director and is a Trustee/Treasurer of The Federation of Environmental Organizations.



DR. J.KURUPPU

INDEPENDENT NON-EXECUTIVE DIRECTOR

Dr (Ms) Kuruppu was appointed to the Board of Commercial Credit and Finance PLC in August 2023 as an Independent Non-Executive Director.

Her extensive experience in the finance sector includes serving as the first Chairperson of the Regional Development Bank, which she established in 2010 by merging six provincial level banks with over 250 branches. She is also a former Director of Commercial Bank of Ceylon PLC, Director of Sarvodaya Development Finance PLC for 7 years, and a Director of CBC Finance for 9 years.

Dr Kuruppu began her career as an entrepreneur, and was instrumental in bringing Nielsen to Sri Lanka by inviting them to invest in her market research company, SMART and was the first Managing Director, of Nielsen Lanka, transforming it into the largest market research company at that time. Subsequently, she served as the Group Director Strategic Planning and Business Development at the Cargills Group and an Independent Non-Executive Director of Colombo Dockyard Ltd.

After an illustrious career in the private sector covering over 12 industries, Dr Kuruppu served the public sector for seven years in an advisory capacity. Her tenure in public service is marked by many milestones. She was the first Chairperson of the Regional Development Bank and the first female Chairperson of the Sri Lanka Tea Board. As the Director – Strategic Planning at the Presidential Secretariat she also served as an adviser to the Cabinet Sub-Committee for Food Security and Cost of Living Management. In 2008, she set up her own charitable foundation under the brand Mother Sri Lanka, dedicated to promoting Responsible Citizenship and Livelihood Development.

In addition to receiving more than seven awards locally and internationally for her performance, Dr. Kuruppu has the rare honour of being appointed to the Steering Committee of AgriFin, a joint project of the Bill and Melinda Gates Foundation and the World Bank focused on agriculture financing. Dr. Kuruppu holds a PhD from the University of Colombo, an M.A. in Statistics, and a B.Sc. in Mathematics from the University of Missouri, USA. Currently, Dr. Kuruppu serves as the Chairperson of the Mother Lanka Foundation. She runs her own business ventures and works as a freelance business strategy and development consultant while also serving on various corporate boards.



C.S JESUDIAN

INDEPENDENT NON EXECUTIVE DIRECTOR

Ms. Christine Shiromi Jesudian brings over 21 years of experience in the banking and finance industry, having held various leadership roles in corporate management. With more than 11 years of senior management experience at National Savings Bank, she has contributed to key committees, including the Asset and Liability Management Committee, Product Development Committee, and Strategic Planning Committee. Ms. Jesudian's expertise extends to Portfolio Management, Debt Instrument Structuring, and Corporate Finance, particularly from her time as Head of Operations at Bartleet Asset Management (Pvt) Ltd. Additionally, she has served as a visiting lecturer for the MBA program at the University of Colombo, the Centre for Banking Studies, CBSL, and the Colombo Stock Exchange (CSE). She currently serves as a visiting lecturer at the University of Kelaniya and a faculty member of the Institute of Bankers of Sri Lanka. Ms. Jesudian holds a Master of Business Administration from the University of Colombo and a B.Sc. (Hons) in Business Administration from the University of Sri Jayewardenepura. In June 2025, she was appointed as an Independent Non-Executive Director to the Board of Commercial Credit and Finance PLC.

BOARD OF DIRECTORS



KARNJOTE SINGH

NON INDEPENDENT - NON EXECUTIVE DIRECTOR

Mr. Karnjote Singh S/O Mr. Jarmal Singh, brings over eleven years of experience in business analysis, financial and operational restructuring, and due diligence, having held multiple leadership roles in corporate management. He has advised corporate boards, financially distressed companies, and financial institutions on restructuring, turnaround strategies, and enforcement matters. Mr. Singh currently serves as a Director in the Global Restructuring practice at Kroll, based in the Singapore office, and is the Co-Head of the India Desk for Kroll in Singapore. His career progression includes the roles of Director, Restructuring at Kroll (2024), Vice President, Special Credit Unit at HSBC (2021), Head of Restructuring Services, Qatar at Deloitte (2020), Senior Manager at Borrelli Walsh (2015), and Senior Associate, Audit & Assurance at Ernst & Young LLP (EY) (2011). He holds a Bachelor of Accountancy from the Nanyang Business School, Singapore. He is an Associate Member of the Institute of Singapore Chartered Accountants (ISCA) and a Licensed Insolvency Practitioner in Singapore.

EXECUTIVE MANAGEMENT TEAM



Roshan Egodage



Geya Egodage



Anuradha Ranaweera



Rajiv Casie Chitty



K.L.A. Senevirathne



Indika Thennakoon



Shalika Herath



Ayesh Pitigala



Havindu Balasooriya



Janaka Deshpriya



Sisira Attanayake



Thilan Prematthilaka



Shammi Jayathilake



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Watch now:

ECONOMIC REVIEW



SRI LANKAN ECONOMY

Sri Lanka's external sector demonstrated continued resilience in 2025, marking its third consecutive year of a current account surplus. While the country achieved historically high merchandise exports, the overall trade deficit widened as import expenditures grew at a faster pace. This rise in imports was largely driven by the full relaxation of motor vehicle restrictions early in the year. Despite the widening trade gap, the overall external position strengthened, reflecting a stabilizing macroeconomic environment.

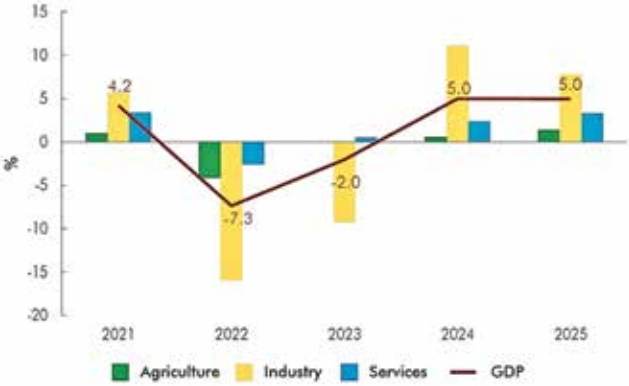
Workers' remittances recorded a historic high, rising by 22.8% y-o-y to USD 8.1 billion in 2025 (from USD 6.6 billion in 2024). Tourist arrivals increased by 15.1% y-o-y to 2.36 million in 2025 (from 2.05 million in 2024), surpassing the 2018 peak, while tourism earnings amounted to USD 3.2 billion. Gross Official Reserves (GOR) improved to USD 6.8 billion at end-2025 from USD 6.1 billion at end-2024 (3.8 months of imports). The Sri Lanka rupee depreciated by 5.6% against the USD, reaching Rs. 309.99 per USD at end-2025 (from Rs. 292.58). Total external debt-to-GDP (market value) declined to 50.4% from 55.4% at end-2024.

ECONOMIC GROWTH

In 2025, Sri Lanka's economy recorded robust growth of 5.0% in real terms, the second consecutive year of expansion after contractions of 7.3% in 2022 and 2.0% in 2023. Growth was broad-based across all sectors: Industry (7.8%), Services (3.3%), and Agriculture (1.4%). Industry, accounting for 27.4% of GDP, was the main growth driver, underpinned by strong performances in manufacturing (6.2%) and construction (9.2%). Services, the largest sector at 58.5% of GDP, grew by 3.3%, led by financial and insurance activities (11.2%) and information & communication (8.6%).

Domestic demand expanded by 10.2% at current prices, driven by a 5.9% increase in consumption expenditure and a 22.4% increase in investment expenditure. Private sector credit by Licensed Commercial Banks (LCBs) expanded at a record-high 25.2% y-o-y, compared to 10.7% in 2024. The ASPI grew by 41.9% to 22,624.3 at end-2025. Nominal GDP rose to Rs. 32,751 billion (USD 108.8 billion) and GDP per capita increased to Rs. 1,505,371 (USD 5,003) in 2025.

GDP GROWTH RATE



Source - Central Bank of Sri Lanka, Annual Economic Review 2025

INFLATION

Headline inflation (CCPI, 2021=100) followed an unusual trajectory in 2025, spending eleven months in deflationary territory before returning to positive levels in August 2025. Deflationary conditions deepened in early 2025, mainly driven by the electricity tariff revision in January 2025 and base effects from VAT increases in early 2024. Y-o-y CCPI headline inflation accelerated to 2.1% by end-2025 from -1.7% at end-

2024, while the annual average CCPI inflation for 2025 decelerated to -0.5% from 1.2% in 2024. Core inflation stood at 2.7% at end-2025. Quarterly CCPI y-o-y: Q1-2025: -3.6%, Q2-2025: -1.1%, Q3-2025: +0.8%, Q4-2025: +2.1%.

The NCPI (2021=100) y-o-y headline inflation accelerated to 2.9% by end-2025 from -2.0% at end-2024, and the annual average NCPI-based headline inflation was 0.2% in 2025 compared to 1.6% in 2024. Deflationary conditions began to ease from March 2025 as food inflation rose (vegetables and fish) and electricity tariffs were adjusted upward in June 2025. A temporary uptick in food prices occurred in December 2025 following Cyclone Ditwah. The Central Bank maintained its accommodative stance, reducing the OPR to 7.75% by end-2025.

INFLATION



Source - Central Bank of Sri Lanka,Annual Economic Review 2025

EXTERNAL SECTOR DEVELOPMENTS

Sri Lanka's external sector strengthened further in 2025, with the current account recording a surplus for the third consecutive year. The current account surplus increased to USD 1.7 billion (1.6% of GDP) in 2025 from USD 1.2 billion in 2024. The trade deficit widened to USD 7.9 billion in 2025 from USD 6.1 billion in 2024, as import expenditure (USD 21.5 billion, +14.0% y-o-y) outpaced export earnings (USD 13.6 billion, +6.3% y-o-y). Total merchandise exports reached a historically high USD 13.6 billion in 2025. Vehicle imports surged to USD 2.0 billion following the full relaxation of motor vehicle import restrictions in February 2025.

Workers' remittances recorded a historic high, rising by 22.8% y-o-y to USD 8.1 billion in 2025 (from USD 6.6 billion in 2024). Tourist arrivals increased by 15.1% y-o-y to 2.36 million in 2025 (from 2.05 million in 2024), surpassing the 2018 peak, while tourism earnings amounted to USD 3.2 billion. Gross Official Reserves (GOR) improved to USD 6.8 billion at end-2025 from USD 6.1 billion at end-2024 (3.8 months of imports). The Sri Lanka rupee depreciated by 5.6% against the USD, reaching Rs. 309.99 per USD at end-2025 (from Rs. 292.58). Total external debt-to-GDP (market value) declined to 50.4% from 55.4% at end-2024.

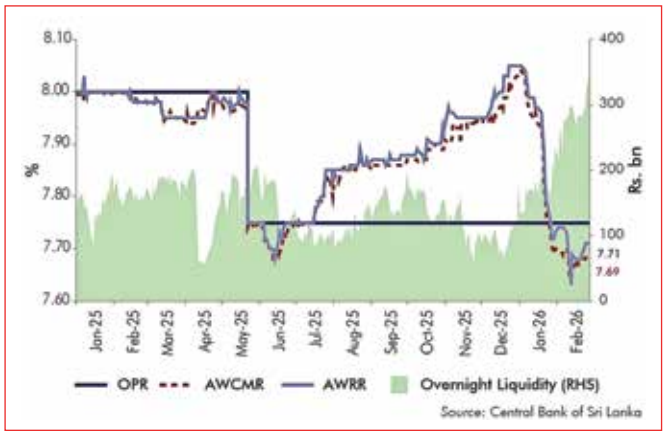
DOMESTIC MONEY MARKET LIQUIDITY AND SHORT TERM INTEREST RATES

Liquidity conditions in Sri Lanka's domestic money market remained at surplus levels during 2025, driven primarily by the Central Bank's substantial foreign exchange purchases. The Central Bank maintained an accommodative monetary policy stance, reducing the OPR (introduced in November 2024) by 25 basis points from 8.00% to 7.75% by end-2025. The SDFR and SLFR were adjusted to 7.25% and 8.25%, respectively. Private sector credit extended by LCBs expanded at a record-high 25.2% y-o-y, compared to 10.7% in 2024.

Market interest rates continued their downward trend in 2025. The Average Weighted Lending Rate (AWLR) declined to 11.48% at end-2025 from 11.93% at end-2024; the Average Weighted Deposit Rate (AWDR) declined to 6.78% from 7.53%; the AWNLR moderated to 10.69% from 10.77%; the AWPR reached 8.87% from 8.92%; and the 364-day T-bill yield declined to 8.45% from 8.96%. Broad money supply (M2b) grew by 11.5% y-o-y at end-2025 (compared to 8.6% at end-2024), primarily driven by growth in credit to the private sector by LCBs and improvement in Net Foreign Assets of the banking system.

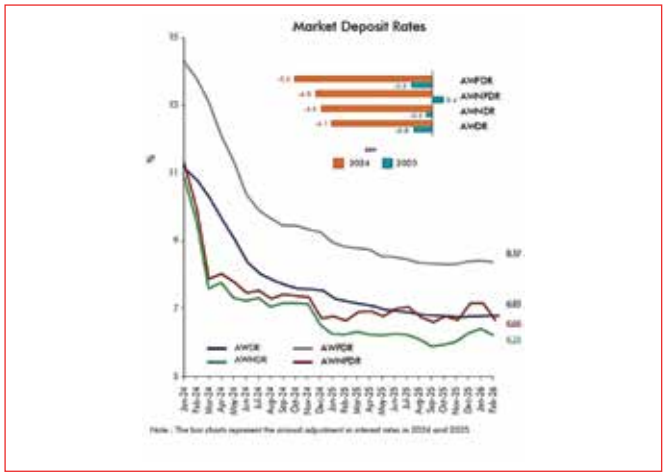
ECONOMIC REVIEW

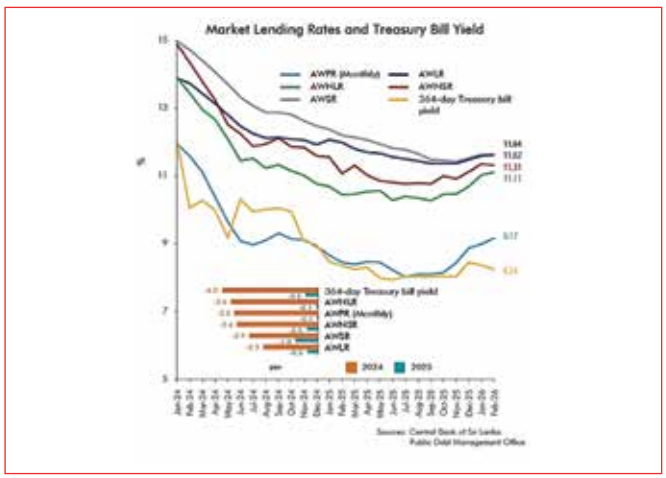
KEY POLICY INTEREST RATES



Source - Central Bank of Sri Lanka, Annual Economic Review 2025

MOVEMENT OF DEPOSITS, LENDING AND TREASURY BILL RATES





Source - Central Bank of Sri Lanka,Annual Economic Review 2023

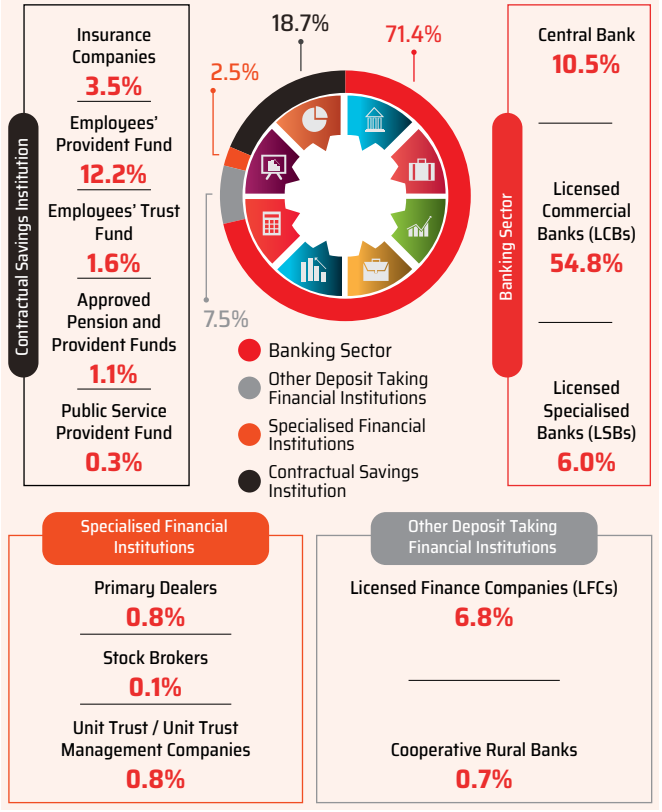
FINANCIAL SECTOR

In 2025, Sri Lanka's financial sector recorded expansion in overall financial intermediation. Total financial system assets grew to Rs. 40,927.4 billion from Rs. 35,850.9 billion at end-2024. The banking sector dominated at 71.4% of total assets (Rs. 29,220.6 billion), FCs at 6.8% (Rs. 2,776.7 billion), and Contractual Savings Institutions at 18.7% (Rs. 7,635.5 billion). The banking sector (excluding CBSL) accounted for 60.8% of total financial sector assets.

Banking sector total assets (excl. CBSL) reached Rs. 24,922.1 billion (+12.5% y-o-y). Loans and receivables grew by 21.4% y-o-y, and deposits remained the main funding source at 80.0% of liabilities. The Stage 3 loans ratio declined from 12.3% at end-2024 to 9.7% at end-2025. PAT of the banking sector increased to Rs. 368.8 billion (+13.7% y-o-y). Total CAR and Tier 1 CAR stood at 17.9% and 14.6%, respectively. Rupee LCR and NSFR stood at 283.3% and 154.1% — both well above the 100% regulatory minimum.

The FCs sector recorded a 44.0% increase in total assets (Rs. 2,776.7 billion) and PAT of Rs. 88.5 billion (+49.9% y-o-y). The insurance sector expanded, with GWP growing 23.5% (long-term) and 13.1% (general), and total insurance assets reaching Rs. 1,432.2 billion (+17.1% y-o-y). The ASPI increased by 41.9% to 22,624.3, with market capitalisation rising to Rs. 8,068.6 billion. Financial sector resilience was underpinned by regulatory reforms, improved macroeconomic stability, and enhanced investor and depositor confidence. Risks remain, particularly from the potential lagged impact of Cyclone Ditwah and global uncertainties stemming from the Middle East war.

Composition of the Total Assets in the Financial System



Source: Central Bank of Sri Lanka, Annual Economic Review 2024

LICENSED FINANCE COMPANIES & SPECIALIZED

LEASING COMPANIES (LFC AND SLC) SECTOR

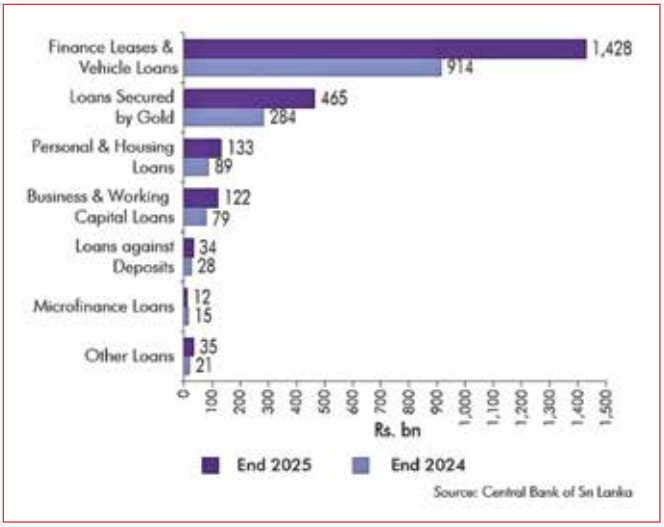
In 2025, the Finance Companies (FCs) and Specialised Leasing Companies (SLCs) sector in Sri Lanka demonstrated exceptional growth across credit expansion, asset quality, and profitability, reinforcing their position as important contributors to the country's non-bank financial system. By end-2025, the FCs sector accounted for 6.8% of total financial sector assets (compared to 5.4% at end-2024), reflecting its growing share within the broader financial system. The sector comprised 32 Finance Companies (excluding ETI Finance Limited, under court-supervised winding up) with 1,998 branches — of which 66.7% (1,333 branches) were located outside the Western Province, underscoring the sector's wide regional reach. The Specialised Leasing Companies (SLCs) sector remained very small, with total assets of Rs. 1.1 billion at end-2025.

Credit growth in the FCs sector rebounded strongly in 2025, with private sector credit extended by Finance Companies expanding by Rs. 788.9 billion during the year, registering a notable year-on-year (y-o-y) growth of 49.3% at end-2025, up from 22.6% at end-2024. This strong turnaround was largely driven by increased financing for vehicle-related purchases following the full relaxation of motor vehicle import restrictions in early 2025, as well as the significant growth in gold-backed loans. Finance leases and vehicle loans continued to dominate the loans and advances portfolio of the sector, accounting for 64.1% of total loans and advances (Rs. 1,428 billion), recording a y-o-y growth of 56.3% at end-2025. The total asset base of the FCs sector grew by 44.0% y-o-y at end-2025 to Rs. 2,776.7 billion, compared to 13.7% growth at end-2024, driven primarily by the significant expansion of the loans and advances portfolio, which accounted for 80.2% of total sector assets.

Asset quality improved markedly, with the gross Stage 3 loans ratio declining to 6.1% at end-2025 from 11.5% at end-2024, driven by the significant credit expansion together with a reduction in Stage 3 loans. Profitability of the sector also improved notably, with Profit After Tax (PAT) rising by 49.9% to Rs. 88.5 billion in 2025 from Rs. 59.0 billion in 2024, supported by a significant increase in Net Interest Income (NII) and reversal of impairment provisions. The Return on Assets (ROA) improved to 6.7% (from 6.0% in 2024) and Return on Equity (ROE) increased to 17.5% (from 13.3%). Capital and liquidity buffers of the sector remained well above the regulatory minimum requirements throughout 2025, with the Total Capital Adequacy Ratio (CAR) at 18.7% and Tier 1 CAR at 17.3%, and a liquidity surplus of Rs. 74.3 billion recorded at end-2025.

ASSETS

By end-2025, total assets of the FCs sector expanded to Rs. 2,776.7 billion (+44.0% y-o-y, from 13.7% in 2024). Loans and advances (net) grew by 56.0% y-o-y to Rs. 2,227.9 billion (80.2% of total assets). Finance leases and vehicle loans: Rs. 1,428 billion (64.1% of loans); gold-backed loans: Rs. 465 billion (20.9%). Finance leases/vehicle loans grew +56.3% and gold-backed loans grew +64.1% y-o-y. Investment portfolio grew +6.5% y-o-y.



Source - Central Bank of Sri Lanka,Annual Economic Review 2025

LIABILITIES AND CAPITAL

Public deposits (Rs. 1,265.2 billion, 45.6% of liabilities) remained primary funding, growing +19.8% y-o-y. Borrowings expanded sharply by 178.1% y-o-y to Rs. 849.3 billion (30.6% of liabilities), driven by term loans and securitisation loans (81.0% of borrowings). Capital base reached Rs. 442.4 billion (+23.4%). Tier 1 CAR: 17.3%; Total CAR: 18.7% (from 20.5% and 21.3% at end-2024) — above regulatory minimums.

CREDIT QUALITY

Gross Stage 3 Loans Ratio declined to 6.1% at end-2025 from 11.5% at end-2024. Net Stage 3 Loans Ratio declined to 3.2% from 6.5%. Impairment coverage ratio for Stage 3 loans improved to 47.8% from 43.4%.

PROFITABILITY

PAT grew by 49.9% to Rs. 88.5 billion in 2025 from Rs. 59.0 billion in 2024. ROA: 6.7% (from 6.0% in 2024). ROE: 17.5% (from 13.3% in 2024). Efficiency ratio: 46.3% (from 51.1% in 2024). Improvement driven by significant increase in NII and reversal of impairment provisions.

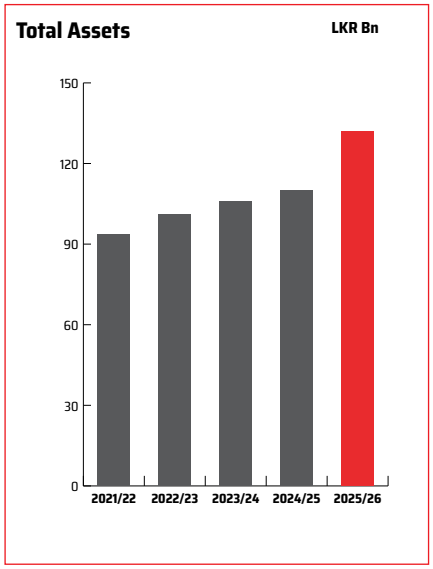
COMPANY FINANCIAL REVIEW

COMPANY FINANCIAL REVIEW

For the financial year ended March 31, 2026, the company successfully navigated a challenge to deliver strong profitability and strengthen its long-term financial stability. The year was characterized by a series of strategic decisions aimed at enhancing asset quality, optimizing the funding mix, and improving operational efficiency. These actions culminated in a Profit After Tax (PAT) to Rs. 9.7 billion.

ASSET GROWTH AND COMPOSITION

The Company's total asset base demonstrated steady and deliberate growth, reflecting a strategic realignment focused on fortifying liquidity, optimizing investments, and prioritizing long-term portfolio health over short-term expansion. By the close of the financial year on 31st March 2026, total assets had expanded by 20% year-on-year, scaling from Rs. 110.0 billion to a robust Rs. 131.99 billion.



This measured growth trajectory was a highly conscious, risk-adjusted choice. While the wider NBFI sector experienced an aggressive 44.0% year-on-year expansion, a sharp acceleration from the 13.7% growth recorded at the end of 2024.

Within this disciplined framework, our core lending operations captured significant, high-quality market momentum. Driven by strong customer demand and our targeted focus on secured lending, the Loans and Advances portfolio recorded an impressive 50.7 % growth, while our Leasing and Hire Purchase segment expanded by a solid 37.5%. This composition ensures that our asset base is not only growing, but is fundamentally secure, liquid, and positioned for sustainable returns.

LENDING PORTFOLIO

The Company's net loan book expanded by 42%, reaching Rs. 99.0 billion from Rs. 69.9 billion in the previous year.

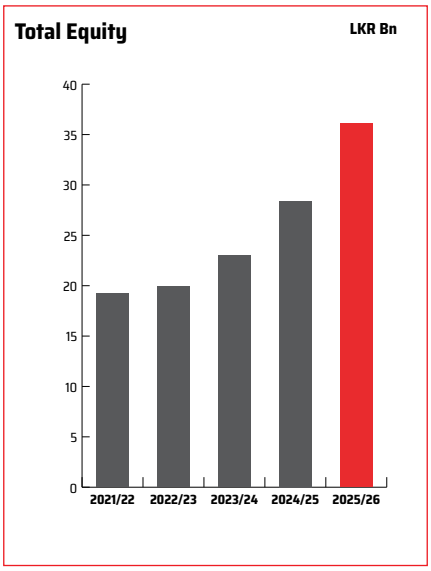
Within this portfolio, the Loans and Advances segment recorded a significant growth of 50.7%, now constituting 33.7% of the net loan book. Concurrently, the Leasing and Hire Purchase segment grew by 37.5%, maintaining the majority share at 66.3%. A key driver of this overall portfolio expansion was a remarkable 72.9% surge in the Gold Loan segment.

In line with our prudent risk management strategy, the secured loan portfolio experienced an 18.7% growth, fuelled primarily by the Leasing, Hire Purchase, and Gold Loan segments. Consequently, an impressive 95.93% of the Company's total loan portfolio is now fully secured, ensuring robust asset quality and strong balance sheet resilience.

ASSET QUALITY

The Company implemented decisive measures to manage asset quality and address previously elevated Non-Performing Accommodation (NPA) ratios, effectively positioning the business for sustainable future growth. Driven by intensified collection efforts and strategic write-offs, our asset quality metrics demonstrated remarkable improvement. The Gross NPA ratio dropped significantly to 4.71%, compared to 26.1% in the previous year, while the Net NPA ratio improved to a healthy 2.46%, down from 13.4%.

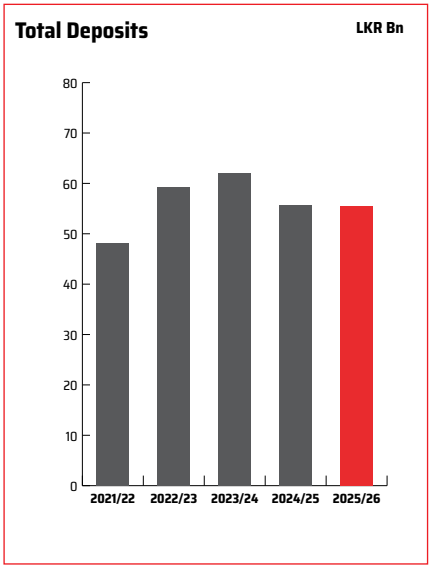
Our improved asset quality metrics notably outpaced the broader recovery witnessed within the Non-Bank Financial Institutions (NBFI) sector. While the sector's gross Stage 3 loans ratio improved to 6.1% at the end of 2025 (down from 11.5% in 2024), and the sector's net Stage 3 loans ratio declined to 3.2% (down from 6.5%), the Company's Gross NPA of 4.71% and Net NPA of 2.46% sit comfortably below these industry averages.

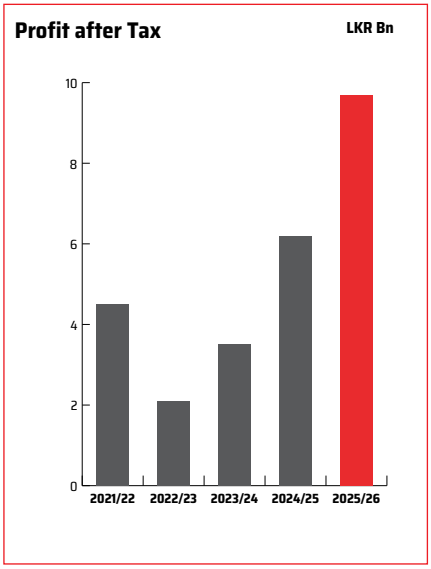


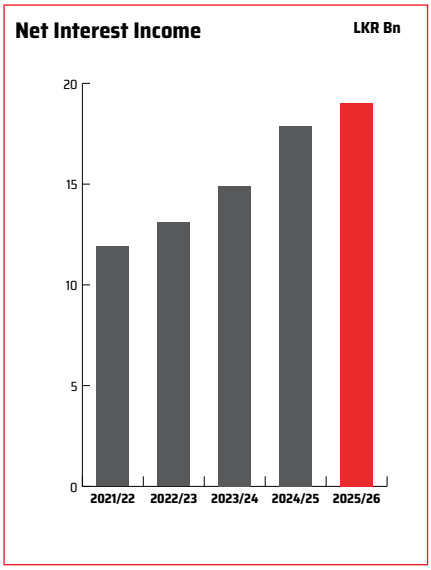
FUNDING AND DEPOSITS

Public deposits remain the primary source of funding, constituting 64.1% of the overall funding base and the liability structure was strategically managed in response to the changes on the asset side of the balance sheet. The deposit base stood at Rs. 55.4 billion, a 0.6% contraction from the previous year, broadly unchanged from the previous year.

Public deposits continued to dominate as the main source of funding for the NBFIs sector accounting for 45.6%, followed by borrowings at 30.6%. Total deposits of the sector grew by 19.8% y-o-y at the end of 2025 compared to a 13.0% y-o-y growth at the end 2024. Meanwhile, borrowings of the sector increased significantly during 2025, recording a notable growth of 178.1% y-o-y at the end of 2025. Borrowings of the sector were mainly driven by term loans and securitisation loans, which accounted for 81.0% of the total borrowings as of the end of 2025.







NET INTEREST MARGIN

Proactive interest rate management served as the foundational driver of the Company's robust profitability this year. Net Interest Income (NII) achieved a solid 6.5% growth, rising to Rs. 19.0 billion from Rs. 17.9 billion in the prior year.

Notably, while the overall interest yield moderated to 26.6% (down from 26.53% in the previous year) in line with broader macroeconomic adjustments, the strategic optimization of our cost of funds allowed the Company to effectively widen its spreads. As a result of this disciplined liability management, our Net Interest Margin (NIM) increased to 18.7% forming a strong and resilient base for our bottom-line success.

PROFITABILITY AND CAPITAL

The Company reported exceptional growth in overall profitability, significantly outperforming the previous year and firmly validating the success of our strategic realignment. Profit After Tax (PAT) surged to an outstanding Rs. 9.7 billion, marking a remarkable 56.1% increase from the Rs. 6.2 billion recorded in the preceding financial year.

This performance was heavily underpinned by our Net Interest Income (NII), alongside highly resilient supplementary revenue streams. Net Fee and Commission Income strengthened to Rs. 2.4 billion, while Other Operating Income reached Rs. 1.2 billion. Together, these figures highlight the strength, diversity, and high quality of our core earnings.

Key performance indicators naturally reflected this positive trajectory. Return on Assets (ROA) increased notably to 8.0% from 5.76%, and Return on Equity (ROE) experienced a significant uplift to 30.1% from 24.20% in the prior year, demonstrating exceptional value creation for our shareholders.

Furthermore, the Company maintained a formidable capital foundation to support its future ambitions. Our Core Capital and Total Risk-Weighted Capital ratios improved to 27.02% and 28.05%, respectively.

The NBFI sector recorded a notable 49.9% growth in aggregate Profit After Tax (PAT), escalating from Rs. 59.0 billion in 2024 to Rs. 88.5 billion in 2025. This collective macroeconomic improvement was largely fueled by significant gains in Net Interest Income (NII) across the industry, coupled with the reversal of impairment provisions.

EMPOWERING OUR PURPOSE



At CCFP, we believe that staying committed to our core purpose and shared values is fundamental to building a sustainable organization.

Drawing inspiration from Stephen R. Covey's The 7 Habits of Highly Effective People, we strive to integrate a principle-centered approach into our products, services, and everyday operations. By being proactive and focusing our energy on areas where we can make a meaningful impact, we ensure that our daily actions remain aligned with our purpose and principles.

Beginning with the end in mind enables us to establish clear objectives for our teams and ensure that our initiatives contribute to both business growth and meaningful social impact. By collaborating, valuing diverse perspectives, and seeking mutually beneficial outcomes, we aim to create lasting value for our employees, customers, and the wider community.

Through continuous learning and a strong focus on personal development, we foster an environment in which everyone feels empowered to reach their full potential.

Guided by our principle-centered culture, this shared commitment across all departments supports our growth as a responsible and sustainable organization. It empowers our team members to act proactively, collaborate effectively, and remain adaptable as we navigate new challenges and opportunities together.

MARKETING AND BRANDING

OVERVIEW

At Commercial Credit, our communications across both traditional channels and digital platforms serve as a direct reflection of our deeply rooted, purpose-driven culture. Rather than merely driving commercial transactions, our marketing and branding strategies are intentionally designed to champion the importance of principle-centered living. By strategically leveraging digital marketing, we amplify this message, ensuring our shared values resonate with a broader audience and inspire deeply meaningful engagement.

This authentic approach enables us to make a tangible impact on society, illustrating how everyday actions can genuinely uplift lives and strengthen the fabric of our communities. Furthermore, our corporate messaging operates in seamless tandem with our active community initiatives. This alignment ensures that we are continuously nurturing empathy and social responsibility, both within our organizational walls and in the wider world.

Recognizing the profound influence of corporate messaging, we are meticulously deliberate in our external communications. We view marketing not as a tool for manipulation, but as a platform to inspire positive, lasting change among our staff, customers, and the public. Our commitment is to deliver authentic, transparent communications that reflect our core purpose, ensuring that every interaction honours our dedication to all stakeholders and stays impeccably true to our Shared Values.

DELIVERING TECHNOLOGY-BACKED PRODUCTS AND SERVICES

OVERVIEW

As we work toward a more sustainable business model, we recognize how essential a strong, reliable infrastructure is for everyone connected to our Company. To support this, our Information & Communication Technology (ICT) Department is focused on thoughtfully integrating modern IT solutions across our operations. Our primary goal is simply to provide our teams with the practical tools and responsive support they need to carry out their daily work smoothly and effectively.

We are also focused on building a strong foundation to support our digital progress. This means investing in flexible technologies that can adapt naturally, as the needs of our business and our customers evolve. By thoughtfully bringing new digital tools into our daily work, we hope to make our internal processes smoother, create a better experience for the people we serve, and support the steady, long-term growth of the company.

At the same time, we deeply understand how vital cybersecurity is in today's digital world. We have put a thoughtful Cyber Security Strategy in place to protect our digital assets, customer information, and the overall integrity of our organization. This involves regular risk assessments, ongoing employee training, and the use of practical, up-to-date security measures. By keeping security a top priority, we aim to minimize risks and honour the trust our stakeholders place in us.

As part of our ongoing digital journey, our new mobile banking app is now live. Designed as a digital wallet, it offers a full range of everyday digital banking features to make managing finances easier, faster, and more accessible for our customers.

Through all these combined efforts—from launching user-friendly applications to safeguarding our networks we remain dedicated to offering practical, technology-driven services that truly support our customers' daily lives, while ensuring the systems they rely on are safe, secure, and resilient.

EMPLOYEES

We recognize that our true strength comes from a culture deeply rooted in clear principles and shared values. By thoughtfully investing in our team and naturally nurturing this environment over time, our culture has become the foundation of everything we do.

At Commercial Credit, our people are the heart of every achievement. From the moment someone joins us, throughout every step of their career journey, our goal is to empower them to enrich their own lives. We focus on simple, everyday practices: genuine encouragement, open communication, and steady support. We hope to create a space where everyone feels inspired to grow, reach their full potential, and actively help others do the same.

We are deeply committed to building a workplace grounded in mutual trust, respect, and collaboration. It is important to us that different perspectives are truly valued and that everyone feels they can contribute meaningfully. This is especially true of our efforts to create a safe, welcoming environment for all, with a very specific focus on supporting and elevating the women in our workforce through fair opportunities and mindful policies.

By building a culture where every person feels deeply respected, valued, and empowered, we hope to ensure our team members not only thrive personally, but also become 'transition people' who inspire meaningful change—both within our organization and out in the wider community.

The genuine dedication, professionalism, and enthusiasm of our people have always been the true drivers of our continued success. With the careful support of Management, our Human Resources and Learning & Development teams play a vital role in nurturing this environment. Together, they help guide and shape leaders who make a real difference. We remain deeply committed to supporting these teams, constantly looking for thoughtful ways to improve our everyday practices and ensuring our workplace stays truly collaborative and supportive for everyone.

EMPOWERING OUR PURPOSE

By continuing to care for our unique culture and investing in the personal growth of our people, we believe Commercial Credit is in a strong position to stay true to who we are, while continuing to make a positive, lasting impact no matter how the business world around us changes.

MAINTAINING COMPLIANCE

We have thoughtfully put in place clear guidelines that cover employee rights, responsibilities, and everyday conduct. We want these policies to give our team clarity and confidence, helping them navigate both routine days and unexpected situations with true integrity. While we fully comply with the Shop and Office Employees Act No. 15 of 1954 and other related regulations, our goal is always to go beyond simple compliance. We hope to build a principled environment where people feel genuinely supported to grow and contribute ethically.

Moving beyond basic legal requirements, we have developed a practical framework for ethical conduct to ensure our everyday actions align with good governance. We also maintain clear, supportive internal processes that cover key areas of the employee experience—from recruitment, onboarding, and daily leave management, to performance, staff benefits, and eventual retirement planning. By guiding this entire journey, we want to ensure that every step is built on personal accountability, mutual respect, and continuous development.

To further protect and nurture this kind of workplace, we have introduced clear policies addressing anti-sexual harassment, whistleblowing, and ethical conduct. Rather than just being rules on paper, these initiatives are meant to foster a genuine environment of respect and inclusivity. We want every team member to feel safe, empowered to act with integrity, and proud to contribute positively to our shared culture.

MAINTAINING EFFECTIVE INFRASTRUCTURE FOR PEOPLE

We care deeply about the everyday well-being of our team and have taken meaningful steps to support their health and quality of life. Our people have push and courage to a fitness center to help them prioritize physical wellness, and we provide comprehensive medical and life insurance coverage to ensure they and their families are cared for. We hope these everyday benefits show our genuine commitment to our team, empowering every person to continuously renew themselves across the Physical, Spiritual, Mental, and Emotional quadrants, becoming better versions of themselves each day.

We actively nurture a principle-centered workplace where an open-door culture is simply how we do things. Every team member, regardless of their role, is always welcome to speak directly with our Chief Executive Officer, Executive Director, and other management team members. This genuine accessibility has become a natural part of who we are, a reality reflected in the consistently high satisfaction scores from our biannual employee surveys. By consciously stepping away from conventional hierarchical titles, we have built a flat organizational structure rooted in shared values, mutual respect, humility, and true collaboration.

Since opening its doors in February 2023, the Commercial Credit Academy has been a purposeful step in supporting the holistic growth of our people. More than just a learning center, we see the Academy as a safe space for personal transformation, helping individuals pursue excellence across all four dimensions of life: Physical (PQ), Spiritual (SQ), Mental (IQ), and Emotional (EQ). Through thoughtfully designed programs, we aim to help our team build strong character anchored in enduring principles, while equipping them with the practical skills needed to thrive in their roles. We encourage everyone to take ownership of their own growth, believing that principled living is the true foundation of lasting success at work and at home.

To nurture our future leaders internally, we introduced our in-house management trainee initiative, the STF Program, in 2018. Through a thoughtful, collaborative selection process, management and supervisors look for individuals who are actively working to develop both their character and competence, and who naturally uplift those around them. Once selected, these STF candidates go through an immersive training journey, preparing them for future leadership roles. We want to ensure that as our emerging leaders grow, they remain deeply aligned with our shared values and are well-equipped to guide the company forward.

We also recognize the vital importance of elevating female leadership, both within our organization and across Sri Lanka. We are committed to empowering the women on our team through focused learning opportunities, thoughtfully designed to help them rise above limiting cultural norms and realize their full inherent potential. We are very encouraged by our progress so far; over the past year, the proportion of female staff has grown from 24% (in 2024/2025) to 29% (in 2025/2026). To gently support this journey, we have introduced a confidant network that offers mentorship, continuous learning, and a safe space for honest dialogue. Rooted in respect and shared growth, this platform helps us build a culture where every individual feels truly supported, valued, and confident to contribute.

MANAGING AND ASSESSING EMPLOYEE SATISFACTION

We place genuine importance on nurturing a fulfilled and engaged team, deeply appreciating the positive difference it makes. When people find true meaning and satisfaction in their daily work, they naturally bring more energy and care to what they do, creating a wonderful momentum for the entire company. To help foster this kind of environment, our Human Resources Department takes thoughtful, everyday steps to ensure our workplace feels both supportive and enriching. We simply want every person to feel they are in a place where they can grow naturally, perform well, and truly be at their best.

Conducting regular employee satisfaction surveys is a meaningful part of how we listen to our team. It gives us a chance to practice true empathic listening and gain a genuine understanding of how our people experience their daily work. These surveys help us gently identify areas that need more care and attention, while also showing us what truly inspires our team members. The honest feedback we receive serves as a guiding light, helping us shape meaningful opportunities for personal growth and thoughtful future

initiatives. By keeping genuine connection at the heart of what we do, we naturally nurture our culture, support everyday well-being, and build a strong foundation for lasting, shared success.

We employ two key surveys, the On-Board Satisfaction Survey and the Employee Satisfaction Survey, to gain meaningful insight into employee experiences at different stages of their journey. The On-Board Satisfaction Survey, conducted at the completion of the fifth month, focuses on new hires during their probationary period. It thoughtfully explores areas such as working conditions, relationships with colleagues and supervisors, alignment with company culture, and the overall learning environment, helping us understand how well we are supporting early growth and integration.

For team members who have been with us for over six months, we share the Employee Satisfaction Survey twice a year, in June and December. Through 15 thoughtfully designed questions, we warmly invite our people to share their honest reflections on their everyday workplace experiences. The insights they provide give us a true understanding of our team's shared needs and perspectives, helping us respond with care and purpose as we continuously work to make our environment better and more supportive for everyone.

Alongside our surveys, our 360-Degree Appraisal system offers a thoughtful way to support personal development, warmly inviting feedback from leaders, peers, and team members alike. This shared process helps build mutual respect and healthy accountability, giving everyone a meaningful voice. By gently bringing these different perspectives into our everyday conversations and feedback practices, we reaffirm our deep commitment to truly listening, responding with empathy, and nurturing a workplace where continuous growth and shared success belong to us all.

To help our team fully focus on their learning while still nurturing their family bonds, we gladly welcome staff to bring their families along to the Academy during training sessions at special reduced rates. Team members are also welcome to reserve the beautiful facility for their own personal family events at a very Nominal cost, which we hope gently supports a healthy, happy balance between work and home life.

We also deeply understand the unique, everyday challenges faced by mothers, especially those with young children. To offer our genuine support, we warmly invite mothers to bring their little ones and a caregiver with them to the Academy, often completely free of charge or at a highly reduced rate. Through these simple, heartfelt steps, we hope to remove everyday barriers to personal growth and truly care for the whole person, supporting our team members just as much in their personal lives as we do in their professional ones.

LEARNING AND DEVELOPMENT

At CCFP, we believe that genuine employee growth stems from a clear Principle-Centered purpose and a solid foundation of shared values. This growth truly comes to life through a culture of continuous learning and development, impacting our team both professionally and personally. Over the past year, we have conducted various training programs and workshops covering staff members across all our locations, all designed to strengthen our principles-driven culture. A core inspiration for these initiatives remains the timeless philosophy of The 7 Habits of Highly Effective People. By emphasizing the development of a principle-based character, this framework helps our people take initiative, connect their daily actions with the company's purpose, prioritize key tasks, collaborate well, and engage in ongoing renewal. This focus on holistic development equips individuals to excel in their roles while leading lives full of greater meaning, balance, and contribution.

The regular practice of principle-based habits is key to deeply embedding our Company's shared values on a personal level. To guide this journey of growth and internalization, our Mentors, alongside Location Heads, host monthly Value Hours at every branch. These focused sessions offer a safe, structured environment where employees can have open conversations about the everyday challenges they face while practising our 05 Shared values. Through these reflective exercises, team members are encouraged to step back, recalibrate, and connect their daily actions with what matters most, building self-awareness, mutual understanding, and a deeper sense of purpose. By encouraging this habit of consistent reflection and principle-centered dialogue, we not only strengthen our culture but also support our people in developing the character needed to become truly effective individuals.

In parallel with our efforts to cultivate a principle-centered culture, we are committed to developing our employees' character and competencies through a wide array of training programs. These sessions are delivered in both virtual and in-person methods, By tapping into the knowledge and experience of our own employees being trainers for most of these training programs, combined with external specialists who bring insights into character development and industry best practices, we create a well-rounded approach to our employees' personal and professional growth.

A key feature of our training offerings is the distinctive five-day Induction Program, which provides new CCFP team members with an introduction to what CCFP is and what we value the most, giving them the most knowledge of how a new employee could live according to our principle-centered culture. The first four days are dedicated to in-person physical training at our own CCFP Academy, where new members learn about our 05 shared values, Introduction and concepts of the 7 Habits philosophy, Key behavioral Guidelines in major roles of life, and participate in scenario-based discussions. They also get the opportunity to hear the importance of becoming a Principle-centered Leader, which CCFP drives through the company's purpose, directly from our CEO, ED, and DCEO, through their speeches. The final day is a virtual session that reinforces these foundational lessons while also familiarizing them with our products and services. This cultural engagement represents 60% of the program, emphasizing the importance of aligning personal growth with shared values and principles, preparing new employees to be truly effective in their day-to-day roles.

EMPOWERING OUR PURPOSE

SHARED VALUES

THE LAUNCH OF OUR SHARED VALUES

CCFP's Shared Values were formally launched at the Value Day event on March 4, 2012, held at the BMICH, with the active involvement of our entire workforce. This milestone marked the start of a meaningful journey toward building a principle-centered culture. The event included the introduction of the Value Policy, the Company's trilingual Theme Song, the Value Oath, and Value Badges—all carefully designed to represent our ongoing commitment to a value-driven organization. Since that day, we have taken proactive steps to weave these values into our everyday operations. We maintain consistent practices, such as singing the Theme Song daily across all CCFP branches, purposefully wearing our Value Badges, and taking part in regular training programs to develop our character and skills.

These Shared Values act as both reminders and reinforcements of who we are and who we aim to be, as individuals and as a team. By fostering a sense of identity, belonging, and personal accountability, these efforts reflect our belief that long-term success is built on character and a shared purpose. They promote ongoing growth, encourage employees to lead with integrity, and help shape a workplace where everyone is inspired to become their best selves. Ultimately, our Shared Values have grown to be much more than just symbols. They serve as the compass that keeps us united and moving forward with clear direction and conviction.

INSTILLING OUR SHARED VALUES

To deeply root our Shared Values within the CCFP team, particularly as new members join, we have launched a series of purpose-driven initiatives throughout the year. While some programs build upon our existing cultural foundations, others are newly introduced to enhance our capacity for values-based development. A notable initiative is the Mentor Network: a collective of nominated employees from all Locations, who proactively serve as cultural stewards, modeling our purpose and guiding others with the continuous knowledge they get from Mentor Culture Development programs on principle-centered leadership.

At the heart of this effort are monthly Value Hour discussions, conducted at every location and department. These sessions provide a consistent and trusted space for employees to pause, reflect, and engage in meaningful dialogue around our values. They not only encourage their fellow CCFP Members for collective ownership of living with shared values but also promote synergy, foster mutual learning, and contribute to the ongoing renewal of everyone. Through these efforts, we try to cultivate a synergistic environment where everyone is inspired to lead with a developed character and collaborate toward meaningful, lasting success.

Another key initiative is the 360-Degree Value Appraisal System, introduced in 2012 and closely aligned with our Shared Values and Purpose of developing leaders who uplift people's lives through simple acts of love. This system plays a vital role in shaping a principle-centered culture by recognizing employees who consistently try to develop their character and live aligned with the company's shared values. Conducted quarterly evaluations through our HRIS platform, the 360-Degree Appraisal invites holistic feedback from peers, subordinates, and superiors, fostering a culture of mutual respect, self-awareness, and continuous personal growth. As a value-driven organization, we consider this process essential, not only to celebrate excellence but also to reinforce the need for continuous improvement to become better people who can make a lasting and meaningful impact on everyone we interact with.

THEME SONG AND VALUE BADGES

Each morning at 8:25 a.m., the Company's trilingual Theme Song is played across all offices and featured at major events, serving as a daily reminder of the company's purpose and shared values, which bring out self-reflection and encourage every employee to do better every day. Further, employees are encouraged to wear the heart-shaped Value Badge, beginning with the bronze level, as an initial symbol of commitment towards principle-centred living. As individuals consistently align their behaviours with the

Company's shared values, they may progress through silver, gold, and ultimately platinum badges. This visible progression not only celebrates personal growth but also fosters a sense of purpose, belonging, and shared achievement throughout the organization.

Commercial Credit Theme Song:

VALUE DAY

Every three to four years, the Company hosts a special event called Value Day—a meaningful celebration that honours employees who consistently live out our five Shared Values. More than just a recognition event, Value Day serves as a platform to uplift those who lead by example, demonstrating principle-centred behaviour and inspiring others to do the same.

The selection process reflects a spirit of collaboration and mutual respect, with peers nominating colleagues for Value Badge upgrades based on consistent character and contribution. These nominations, together with results from the 360 Degree Value Appraisal, are carefully considered to recognize individuals who exemplify excellence. Deserving individuals are then advanced through the Value Badge levels from bronze to silver, gold, and ultimately platinum, affirming their commitment to personal growth and service to others, which drives all of us forward.

Value Day is more than just an event-it's a unique opportunity for departments and employees to come together, blending their talents, ideas, and energy into a wonderful end result created through synergy. Everyone united with great enthusiasm, inspiring creativity at every step of this event makes it a memorable event we all accomplish together.

VALUE POLICY

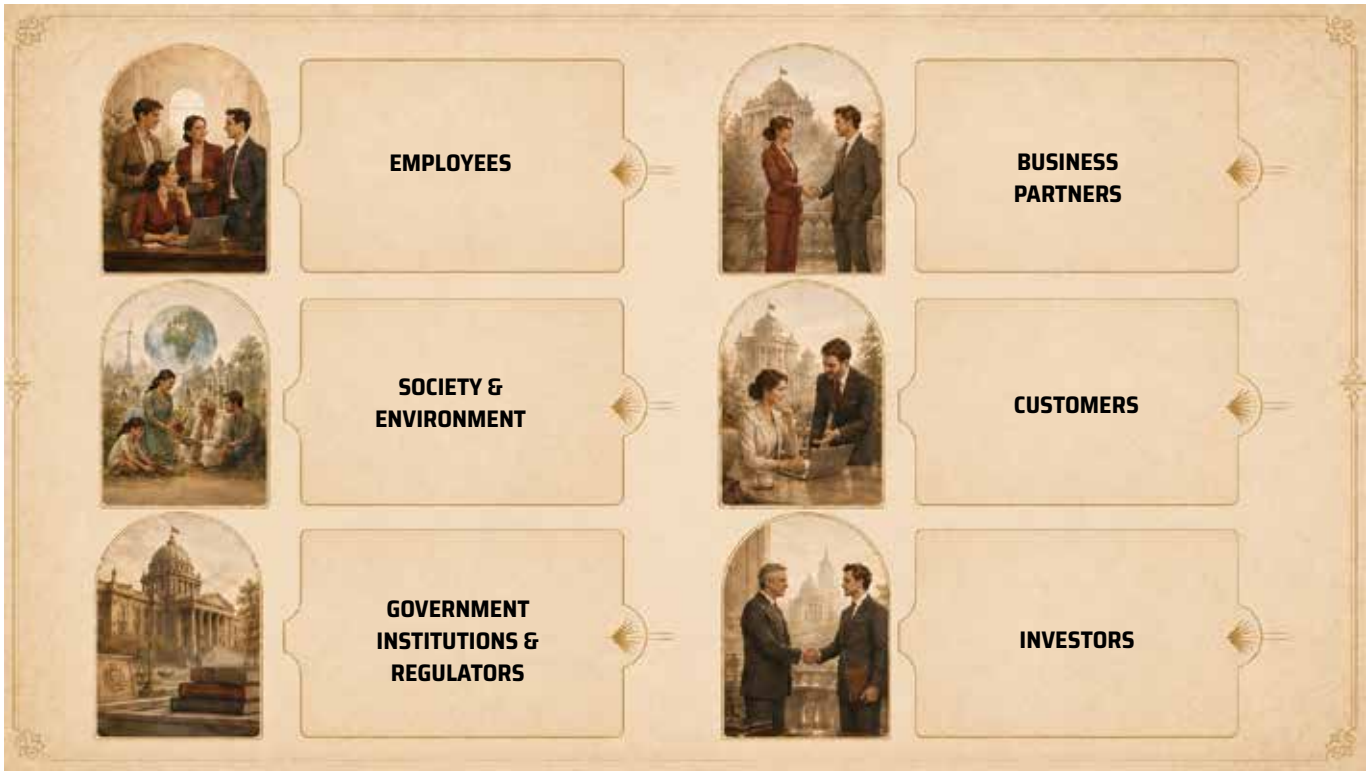
The commitment of Commercial Credit to its Purpose and Shared Values is embodied in the Value Policy, which serves as a comprehensive guide for promoting a principled, purpose-driven culture across the organization. This policy outlines clear guidelines, procedures, and a framework to ensure that employees consistently align their actions and decisions with the company's shared values. It applies to all employees and extends to every activity carried out in any form, strengthening a harmonious and ethical standard of conduct. For the policy to be effective, all team members are continuously made aware of its contents and are required to adhere to them diligently. By doing so, CCFP tries to cultivate an environment rooted in principles, ensuring that our shared values are not only upheld but also lived throughout every aspect of our operations.

VALUE REGISTER

The Value Register is a living record that captures exceptional behaviors and actions reflecting our Shared Values, both in the workplace and beyond. When an employee witnesses a meaningful act by a colleague, it is noted in the Value Register, creating space for recognition and authentic appreciation across the organization. This practice not only reinforces a culture of mutual respect and encouragement but also inspires others to act with purpose and integrity. With the option to commend peers anonymously, the Value Register functions as a collaborative platform for positive reinforcement. Over time, each employee develops a unique Value profile based on the acknowledgements received, showcasing their ongoing commitment to our values and their role in fostering a high-trust, values-driven culture.

STAKEHOLDER ENGAGEMENT

Commercial Credit and Finance PLC believes that genuine sustainability requires engaging closely with stakeholders in building mutually beneficial relationships. As a value-driven organisation, the Company has formed valuable relationships with its stakeholders and maintains a routine of checks and balances to ensure these relationships are sustained. Much of our interactions take place in conducting our daily operations, while structured activities are also conducted to bring stakeholders closer. This association helps us gain vital feedback on our products and services in a bid to exceed the expectations of our stakeholders.

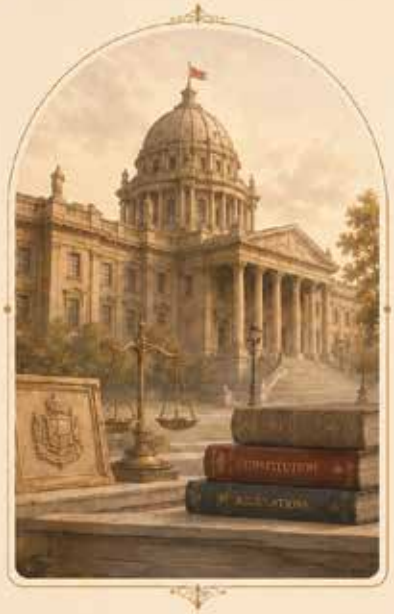


BUSINESS PARTNER



STAKEHOLDER ASPIRATIONS	ENGAGEMENT MECHANISM	FREQUENCY
Contractual performance	Supplier relationship management	As required
Future business opportunities	On-site visits and meetings	As required
Maintaining healthy relationships		
Timely settlement of dues		
Ease of working		
Growth potential		
Collaboration for new technologies		

GOVERNMENT INSTITUTIONS & REGULATORS



STAKEHOLDER ASPIRATIONS	ENGAGEMENT MECHANISM	FREQUENCY
Compliance with directives and codes	On-site surveillance	As required
Micro-finance and SME development	Directives and circulars	As required
Maintaining healthy relationships	Meetings and consultations	As required
	Press releases	As required
	Periodic returns	As required
	Submissions to policymakers	As required

CUSTOMERS



STAKEHOLDER ASPIRATIONS	ENGAGEMENT MECHANISM	FREQUENCY
Customer security and privacy	Customer visits and meetings	As required
Service quality	Branch network and call center	Continuous
Financial inclusion	Media advertisements	As required
Affordability of services and convenience	Corporate website	Continuous
Grievance handling mechanism	Customer workshops	As required
Financial education and literacy	Sponsorships for social events	As required
Financial support for revival of business		

STAKEHOLDER ENGAGEMENT

SOCIETY & ENVIRONMENT



STAKEHOLDER ASPIRATIONS	ENGAGEMENT MECHANISM	FREQUENCY
Responsible financing	Media advertising campaigns	As required
Commitment to community	Press releases, conferences and media briefings	As required
Financial inclusion and awareness	Informal briefings and communications	As required
Ethics and business conduct	Public events and gatherings	As required
Environmental performance	Corporate website	Continuous
Employment opportunities	Sponsorships for social events	As required

EMPLOYEES



STAKEHOLDER ASPIRATIONS	ENGAGEMENT MECHANISM	FREQUENCY
Performance and reward management	Social events: value day, family day etc	Continuous
Training and development	360 degree staff appraisal	Quarterly
Career advancement opportunities	Training programmes	As required
Work-life balance	Open door policy	Continuous
Retirement benefit plans	Intranet	Continuous
Value driven corporate culture	Special staff events	Continuous
Diversity and inclusion	Employee satisfaction survey	Bi-annually
Perception of a prosperous future in the Company	Code of conduct and whistle blower policy	Continuous

INVESTORS



STAKEHOLDER ASPIRATIONS	ENGAGEMENT MECHANISM	FREQUENCY
Financial performance	Annual Reports and Annual General Meetings (AGMs)	Annually
Governance	Extraordinary General Meetings	As required
Transparency and disclosure	Interim financial statements	Quarterly
Business expansion plans	Press conferences and releases	As required
Risk management	Announcements to CSE	As required
Sustainable growth	Corporate website	Continuous
	Investor feedback forms	Annually

RISK MANAGEMENT

In response to the challenging conditions during the year, the BIRMC adopted a more proactive and resilient approach to risk management.

OVERVIEW

Risk Management underpins the day to-day management of the Company's operations and supports the achievement of the Company's long term strategic objectives.

Staying firmly anchored to its core risk principles, the Company has adopted a precautionary approach to ensure Risk Management, regulatory requirements as well as best practices and industry trends that emerge both in the local market and the global environment.

In this context, the Company seeks to manage its risk profile carefully in line with the Board approved Risk Appetite Statement that sets out the limits for managing its most significant risks. The Risk Appetite limits play a vital role in the Company's risk strategy together with the Company's Integrated Risk Management Framework (IRMF), serve as the foundation for ensuring that all material risks are identified, well understood, accurately measured and proactively managed in order to safeguard the Company's financial strength and reputation as well as retain the public trust in the Company.

The ability to manage multiple risk factors arising across multiple locations, product categories, asset classes, customer segments and functional departments is one of the key factors that determines the degree of success and sustainability of a financial institution. Since risk management is a responsibility of each and every employee of the Company and they need to clearly understand the risks the Company is exposed to, Commercial Credit has enhanced its risk management capabilities and insights to facilitate more robust and better risk based decision making processes to ensure that the Company continues to create value to its stakeholders.

The Company also recognises the growing relevance of sustainability-related and climate-related risks and opportunities to its long-term risk profile. During the year,



further steps were taken to strengthen the identification, assessment and monitoring of such matters within the broader risk management architecture, thereby supporting enhanced resilience, informed strategic decision-making and consistency with the Company's SLFRS S1 and SLFRS S2 disclosures.

RISK GOVERNANCE STRUCTURE

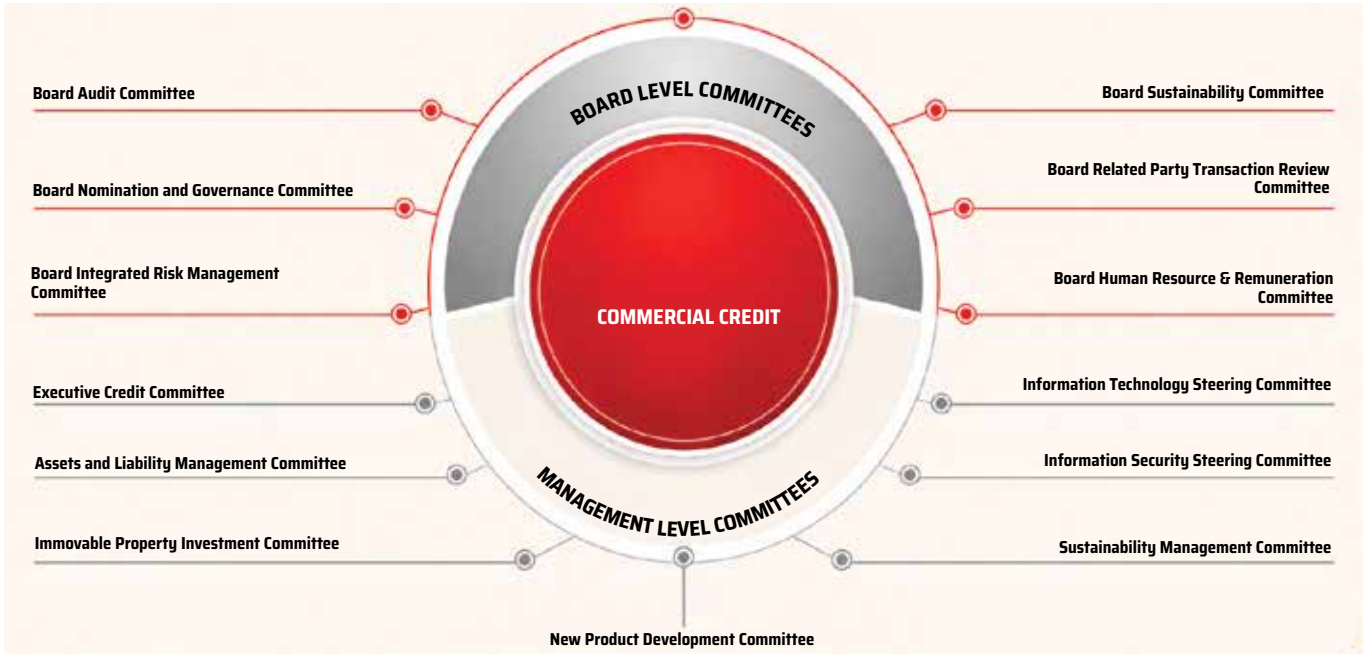
The overall responsibility for risk governance lies with the Company's Board of Directors. The Board sets the Company's risk strategy and risk appetite boundaries for all key risk categories. As the ultimate authority responsible for risk management, the Board determines guidelines for the management and control of the Company's key risks and for ensuring appropriate risk policies and limits for all important risk areas. Based on the business model and the strategic objectives of the Company, the Board has approved risk policies for various risk areas. These risk policies are subject to review and approval by the Board annually.

The Corporate Management takes proactive measures to execute and monitor the risk mitigants for each activity. The management also inculcates the principles of responsible risk management among employees at all levels. The Company has invested in establishing strong risk management architecture, which includes an independent Risk Management Department, Board-approved risk appetite and risk tolerance levels along with well- defined procedures to support effective management of risk.

In addition, sustainability-related and climate-related matters are supported through the Company's sustainability governance arrangements, including oversight at Board and management level. These governance structures complement the overall risk management framework and support the identification, assessment and monitoring of material sustainability-related risks and opportunities.

Functional Structure of the Integrated Risk Management Framework





Meanwhile, the day to day management of risks is cascaded down to the operational level via the three-lines-of defense mechanism that reflects the Company's belief that "managing risk is everyone's responsibility".

First Line of Defense

BUSINESS LINES

Ownership for the day to day management of risk. Ensure that risks accepted are within the Company's risk appetite and risk management policies.

Department Heads / Branch Managers

Second Line of Defense

RISK MANAGEMENT AND CONTROLS

Direction for Risk Management and Compliance, facilitating high level of risk awareness throughout the organization. Independent monitoring of the effective implementation of Risk Management Framework.

Risk Management Department / Compliance Department

Third Line of Defense

ASSURANCE

Providing independent and objective assurance on the Risk Management processes and practices in place.

Internal Audit / External Audit

RISK MANAGEMENT

THREE LINES OF DEFENSE

The Company applies the three-lines-of-defense model in managing risk across the organisation.

FIRST LINE OF DEFENSE

Business units, operational teams, department heads and branch managers are responsible for the day-to-day identification, assessment and management of risks arising from their activities. They are required to operate within approved policies, delegated authorities and risk appetite limits.

SECOND LINE OF DEFENSE

The Risk Management Department and Compliance Department provide independent oversight, monitoring and challenge. These functions support the design and implementation of the risk framework, monitor adherence to risk appetite and regulatory requirements, and facilitate a strong risk-aware culture across the Company.

THIRD LINE OF DEFENSE

Internal Audit provides independent assurance on the adequacy and effectiveness of governance, risk management and internal control processes. External Audit and other independent assurance mechanisms also support the evaluation of key control environments where relevant.

This structure reinforces the principle that risk management is a shared responsibility across the organisation.

The activities of Commercial Credit's Risk Management system take place at three broad levels as follows:

STRATEGIC LEVEL

At the strategic level, Risk Management functions are performed by the Board of Directors and the Board Integrated Risk Management Committee (BIRMC).Tasks include defining risks, ascertaining risk appetite, formulating strategies and policies for managing risks and establishing adequate systems and controls to ensure that overall risk remains within the risk appetite.

MANAGEMENT LEVEL

At the management level, Risk Management within business areas or across business lines ensures that strategies, policies and directives approved at the strategic level are operationalized. Development and implementation of underlying procedures, processes and controls are ensured at the management level. Assuring the compliance with laid down policies, procedures and controls, and reviewing the outcome of operations, and measuring and analyzing risk related information are also performed at this level.

OPERATIONAL LEVEL

At the operational level, Risk Management activities are performed by individuals who take risks on the Company's behalf, which includes front, middle and back office personnel. They are required to comply with the approved policies, procedures and controls. Operational level personnel give valuable inputs to continuously improve risk related activities undertaken in day-to-day operations.

The risk sub-committees comprise of selected representatives from Operational Management, Middle Management and Operational Staff from respective disciplines. These sub-committees meet regularly and are responsible for identifying and analyzing risks. The identified risks are taken up for discussion at risk sub-committee meetings where issues are discussed in detail. The minutes of the sub-committee meetings are submitted for approval of the BIRMC and the ALCO meeting minutes are circulated to the board through BIRMC. The decisions and directives of the BIRMC are communicated to the Operational Management through sub-committees for operationalization of such decisions and directives. The BIRMC meets on a regular basis to review and discuss various reports related to Risk Management presented to the Committee by the Management and the findings of the risk sub-committees.

RISK MANAGEMENT PROCESS



TYPE OF RISKS

In pursuing the Company's desired strategic objectives, Commercial Credit is exposed to several risks which have been categorized as follows.

CREDIT RISK

Credit risk is the risk of financial loss if a customer or counter party fails to honour its financial or contractual obligations to the company. The Company's credit risk arises mainly from various accommodations granted and could be identified as the most significant risk faced by the Company.

The credit risk management objective is to minimize credit risk while ensuring optimal risk rewards pay off for the financial institution and maximize the return and maintain the quality of the portfolio by minimizing the non-performing loans and probable losses.

A comprehensive Risk Management process has been developed and is continuously reviewed by the Board Integrated Risk Management Committee (BIRMC) together with the Operational Management.



The Company has established risk subcommittees in the areas of credit and Information Technology in addition to the Assets and Liabilities Committee (ALCO). The effectiveness of these sub-committees are assessed by the BIRMC annually.

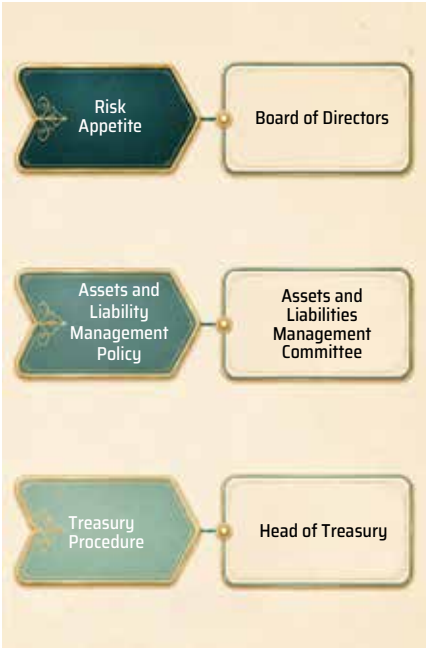
Risks related to areas under each sub- committee have been identified and Risk Registers have been developed and maintained. Each identified risk has been categorized based on the probability of occurrence and expected impact. The impact has been categorized as critical, high, medium and low. The probability has been categorized as certain, likely, possible and remote. Control activities are developed for The Credit Risk Management Framework deals with the credit risk management of the Company and the credit policy and credit procedures are used as the tools for implementing the credit risk management framework. The Credit Policy and credit procedures play a central role in managing daily business activities. The policy is reviewed at least once a year and approved by the Board of Directors, ensuring consistency with the Company's business strategy. The Executive Credit committee meetings drive policy decisions and implementation plans. Credit is required to be granted according to the approved policies and procedures of the Company. Special attention is given to Credit Risk Management in terms of analyzing customer credit worthiness through comprehensive customer investigations before and after credit facilities are provided. Repayment of accommodations granted is closely monitored by those responsible for granting various facilities as well as those directly responsible for recovery activities. Indicators have been developed to measure risks associated with credit which are reviewed on a continuous basis for the entire organization as well as for each product and operational location.

The credit facility origination process comprises of initial screening and credit appraisal. The evaluation focuses on the borrower's ability to meet his/her obligations in a timely manner. Efforts are made to ensure that consistent standards are maintained in credit approval. Collateral and guarantees form an important part of the credit risk mitigation process.

To safeguard the Company against possible losses, problems that may arise in granting credit facilities need to be identified early. The Credit Risk sub-committee measures and tracks the status of the credit portfolio. Credit reports need to be prepared monthly without failing to review high level credit portfolio concentration and assess performance of the facilities granted.

Default loans are managed by the Recovery and Credit Division of the company. This unit is responsible for all aspects of an overdue facility, restructuring of the credit facility, scrutiny of legal documents and liaising with the customer until all recovery matters are finalized. Regular meetings are held in order to ensure the smooth functioning of the recoveries function.

Credit Quality Parameters such as Credit quality related ratios, Product-wise NPA, Provision covers, and as a percentage of the total portfolio are monitored. Lending Parameters such as Single borrower exposure (individual), Group borrower exposure, Sector-wise concentration, Product-wise concentration, collateral wise concentration, geographical concentration, and related party exposure limits were monitored.



RISK MANAGEMENT

MARKET RISK

Market risk is the risk arising from fluctuations in market variables such as interest rates, exchange rates, vehicle prices and gold prices. The market risk is addressed through Liquidity risk management and interest rate risk management. This is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in the market variables. As the Company's operations involve granting accommodations, accepting deposits and obtaining funding facilities, the movements in interest rates constitute the most important market risk for the Company.

The company's market risk management is operationalized through ALM Policy, Treasury procedures and Board-approved Risk appetite limits.

INTEREST RATE RISK

Interest rate risk exists in an interest-bearing asset, such as lending and borrowings, due to the possibility of a change in the interest rates. Interest rate risk is an integral part of finance business, and may even be a source of profit.

INTEREST RATE RISK MANAGEMENT APPROACH

The Company encounters interest rate risk in several ways, including repricing risk, and yield curve risk. Interest rate risk parameters such as WACC, Incremental Cost of Funds, and maturity profiles of assets and liabilities are monitored. Further, the Company maintains an adequate Net Interest Margin (NIM) so that increases in interest expenses can be absorbed. Although the mismatch in assets and liabilities in terms of maturity is widely prevalent in the industry, in view of the composition of the portfolio of the Company, this mismatch has been mitigated to a significant extent. Gold prices are monitored continuously and LTV rates for pawning and gold loan advances are revised on a regular basis taking the tenure of each product into account.

LIQUIDITY RISK

Liquidity risk is the risk of being able to meet liquidity obligations at increased cost or, ultimately, being unable to meet obligations as they fall due. In the case of the Company, this relates mainly to the ability to meet repayment of deposits obtained from the public as they fall due and the settlement of installments on bank and other borrowings.

LIQUIDITY RISK MANAGEMENT APPROACH

Special attention is given on the liquidity of the Company as it provides critical defense against this and several other risks such as reputation, compliance and financial risks. The company maintains a conservative outlook towards managing Liquidity Risk, which is governed by the Board approved ALM Policy, investment Policy and appropriate Risk Appetite Limits. The Company works towards ensuring adequate resources are maintained at all times to meet obligations and prevent potential liquidity shocks. From the governance perspective, the responsibility for managing the company's Liquidity risk lies with ALCO while clearly defined responsibilities ensure its management at operational level.

The treasury department is responsible for maintaining the Liquid Asset Ratio above the Central Bank stipulated levels, while the ALCO is responsible for monitoring the liquid asset ratio. The assets and liability mismatch of the company is monitored on a monthly basis at the ALCO and reported to the BIRMC if there is any deviation from the Board approved risk appetite limits.

The Company's projected liquidity requirements are assessed on a continuous basis to ensure that they can be met as and when such requirements arise. The Company also strives to ensure that the liquidity ratios required to be maintained by the applicable Central Bank regulations are complied with the requirements of Finance Companies (Liquid Assets) Direction No. 04 of 2013.

OPERATIONAL RISK

Operational risk is the risk of losses or failed internal processes, people and systems, or from external events such as natural disasters, social or political events. It is inherent in all financial products and processes and the company's objective is to control it in a cost-effective manner. Operational risk includes legal risk but excludes strategic and reputational risk.

OPERATIONAL RISK MANAGEMENT APPROACH

The Company manages operational risk through policies, risk assessment, risk mitigation including insurance coverage, managing technology risk, a comprehensive Business Continuity Plan (BCP) and Disaster Recovery Plan (DRP), creating a culture of risk awareness across the Company, stress testing and monitoring and reporting. The degree of compliance of staff with such operational policies, processes and controls is regularly reviewed.

Awareness building and comprehensive training sessions are undertaken to educate staff on the significance of the compliance with operational policies, processes and controls. In this context, the Value driven culture which is rigorously promoted across all levels of Commercial Credit in ensuring that employees are self-disciplined, plays a key role. Internal Frauds as an operational risk parameter is monitored.

REPUTATIONAL RISK

Reputational risk is the risk of adverse impact on earnings, assets and liabilities or brand value arising from negative stakeholder perception of the Company's business practices, activities and financial position. The Company recognizes that reputational risk is driven by a wide range of other business risks relating to the "conduct" of the company that must be actively managed. In addition, the increase of social media has widened the stakeholder base and expanded the sources of reputational risk.

Further, with the emergence of the Company as a major player among NBFIs, it is critical that due attention is given to safeguard the high reputation the Company has earned among all stakeholders. In today's highly interconnected environment with the capability to communicate rapidly, an excellent reputation carefully built over a long period could be at risk instantly.

REPUTATIONAL RISK MANAGEMENT APPROACH

Accordingly, reputational risk is broadly managed through the systems and controls adopted for all other risk types such as credit, market, operational risk, etc., which are underpinned by communication policy and ethical framework that prohibit unethical behavior and promote employees to live a principle-based life. Further, promotion of the value driven culture within the organization and customer confidence building initiatives employed, enhance the reputation of the Company. The Company pays close attention to ensure that there is no reputation-reality gap for any stakeholder group of Commercial Credit.

INFORMATION TECHNOLOGY (IT) RISK

IT risk is the business risk associated with use, ownership, operation, involvement, influence and adoption of IT within an organization. It is a major component of operational risk comprising IT-related events such as system interruptions/ failures, errors, frauds through system manipulations, cyberattacks, obsolescence in applications, falling behind competitors concerning the technology, etc., that could potentially affect the whole business.

Given the uncertainty with regard to frequency and magnitude, managing IT risk poses challenges. Hence, the Company has accorded top priority to addressing IT risk, giving more focus to cyber security strategies and continually investing on improving the cyber security capabilities. With the growing needs of the business, the focus on managing IT risks is intensified in recent years with an ever- increasing emphasis on strengthening IT governance to align with CBSL directives as well as globally accepted best practices.

INFORMATION TECHNOLOGY RISK MANAGEMENT APPROACH

The Company has strengthened the governance of information security and Information Security risk management, by establishing ISSC (Information Security committee) and an Information security unit which is headed by the Chief Information Security Officer (CISO) and an IT Risk Committee which reports to the BIRMC and is responsible for managing risks relating to information security. The IS function is supported by the out-sourced Security Operation Center which monitors systems on a 24x7 basis. The Information Security Risk Management Program focuses on Identifying risks and addressing all levels of IT risk, conducting vulnerability assessments for all critical systems, ensuring strict compliance with all regulations and best practices and raising awareness among employees and customers.

A comprehensive Disaster Recovery Plan is in place in preparation of contingent risk incidents. As a result of our continuous efforts in managing ICT risk, minimal system disruptions, with no significant impact on operations, were experienced. Information Security/ Information Technology Governance Framework provide the framework to the Company.

STRATEGIC RISK

Strategic risk is related to strategic decisions and may manifest in the Company not being able to keep up with the evolving market dynamics, resulting in loss of market share and failure to achieve strategic goals. Corporate planning and budgeting process and critical evaluation of their alignment with the Company's vision, mission and the risk appetite facilitate management of strategic risk.

STRATEGIC RISK MANAGEMENT APPROACH

The primary means of managing strategic risk is through a Board-approved Strategic Plan prepared annually to outline the future direction of the Company through a set of long-term goals, objectives and priorities along with the actions needed to achieve them in line with the Company's purpose on a three year rolling basis. It is the key document used by the leadership to prioritize the allocation of resources, to strengthen the Company's competitive position.

COMPLIANCE AND REGULATORY RISK

Compliance and regulatory risk refers to the potential risk to the Company resulting from noncompliance with applicable laws, rules and regulations and codes of conduct and could result in regulatory fines, financial losses, and disruptions to business activities and reputational damage.

COMPLIANCE AND REGULATORY RISK MANAGEMENT APPROACH

A compliance function reporting directly to the Board Integrated Risk Management Committee is in place to assess the Company's compliance with external and internal regulations on an ongoing basis. The Company's culture and the shared values too play a key role in managing this risk.

ENVIRONMENT, SOCIAL AND GOVERNANCE (ESG) RISK

ESG risk continue to evolve as key considerations within the financial services sector, influencing long-term value creation and institutional resilience. The Company recognizes that ESG-related factors—including climate change, social responsibility, and governance standards—can materially impact its risk profile, financial performance, and stakeholder trust.

ESG RISK MANAGEMENT APPROACH

Accordingly, ESG risk considerations are integrated into the Company's enterprise risk management framework to ensure proactive identification, assessment, and mitigation of emerging risks while supporting sustainable business practices.

RISK APPETITE

Risk Appetite is defined as the quantum of risk the Company is willing to assume in different areas of business in achieving its strategic objectives and ensuring the stringent maintenance of the desired risk profile. The Risk Appetite framework and Risk Tolerance limits have been defined by the Board in consultation with the Senior Management of the Commercial Credit in line with the Commercial Credit's overall business strategy, providing clear direction to the business units for ongoing operations and risk management. The Risk Appetite framework and Risk Tolerance limits are reviewed and adjusted by the Board when required, based on developments in the operating environment.

In the event the risk appetite threshold has been breached, risk management and business controls are implemented to bring the exposure level back within the accepted range. Risk appetite, therefore, translates into operational measures such as limits or qualitative checkpoints for the dimensions of capital, earnings volatility and concentration risk etc. In order to effectively implement Risk appetite, Commercial Credit has defined quantitative indicators (e.g., capital adequacy level and risk limits) or qualitatively embedded same in the policies and procedures.

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

BASIS OF PREPARATION

REPORTING ENTITY, ORGANIZATION BOUNDARY AND VALUE CHAIN

Commercial Credit & Finance PLC is incorporated as a Private Limited Company under the Companies Act No. 17 of 1982 on 4 October 1982 and converted to a Public Company on 16 December 1989 and re-registered under the Companies Act No.07 of 2007 on 8 April 2008. A Registered Finance Company under the Finance Companies Act No. 78 of 1988 and re-registered under the Finance Companies Act No. 42 of 2011. A Registered Finance Leasing establishment under the Finance Leasing Act No. 56 of 2000 (as amended). The Company's registered Office located at No. 106, Yatinuwara Veediya, Kandy.

Organization Boundary

This report covers the operations of Commercial Credit & Finance PLC and its subsidiary in Sri Lanka. To ensure consistency and transparency across all reporting dimensions, both the financial statements and the non-financial disclosures including Governance, Strategy, Risk Management, and Metrics & Targets are prepared at the Group level. The Group's reporting boundary is presented alongside. We expect that changes and improvements will be made each year as the regulations further mature and market practices evolve.

The Company operates as the parent entity of the Group, which includes its subsidiary, Commercial Credit Insurance Brokers (Pvt) Limited. Together, these entities are collectively referred to as "the Group."

The financial statements consolidate the results of the Company and its subsidiary, providing a comprehensive view of the Group's financial performance for the year ended 31 March 2026 and its financial position as at that date.

The SLFRS Sustainability-related Financial Disclosure Report was prepared on behalf of the Board of Directors and authorized for issue by the Board on 25th June 2026.

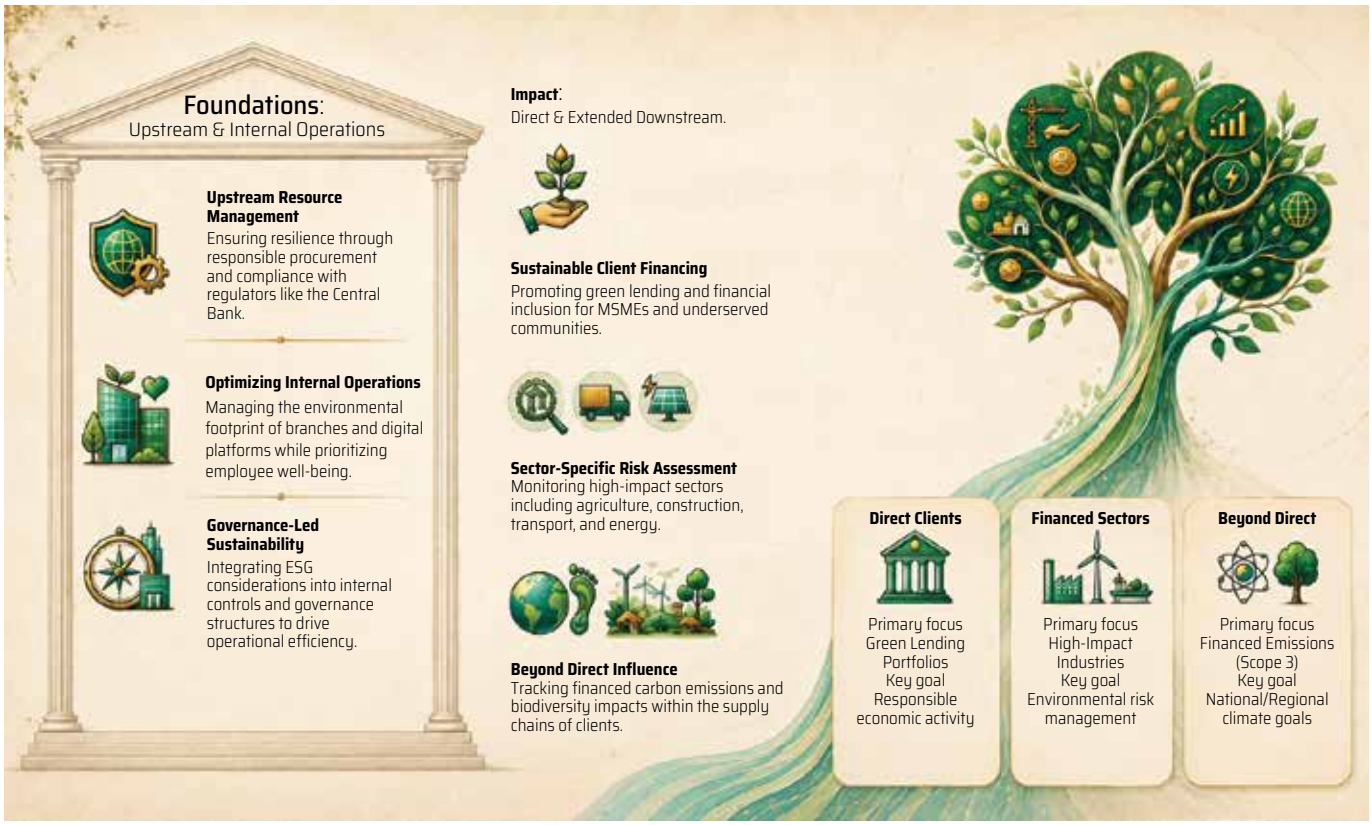
Reporting Boundary for Non Financial Information

Commercial Credit and Finance PLC
100%

Commercial Credit Insurance Brokers (PVT) Limited

VALUE CHAIN

Mapping the Financial Value Chain:A Strategic Sustainability Framework



The Company's value chain reflects the full spectrum of activities, relationships, and stakeholders connected to the creation, delivery, and use of the financial products and services to which it contributes. It represents the broader system through which value is generated, sustained, and shared, extending from providers of capital, goods, and services to customers, communities, and other stakeholders influenced by the Company's activities.

Accordingly, the value chain includes all relevant parties that support, enable, regulate, deliver, or are impacted by the Company's business model. These may include investors, business partners, service providers, regulators, customers, and wider communities. Viewing the business through a value chain perspective enables the Company to better understand dependencies, assess areas of influence, and identify how climate-related and sustainability-related matters may arise across interconnected business relationships.

In line with the SLFRS Sustainability Disclosure Standards, the Group identifies, assesses, and reports Climate-Related Risks and Opportunities (CRROs) across its entire value chain, rather than focusing solely on its own direct operations. This encompasses impacts arising from activities the Group contributes to, as well as those directly linked to its products, services, and broader business relationships. This holistic approach ensures a comprehensive understanding of how climate-related matters affect the Group's entire operating model and wider ecosystem.

To facilitate this process within this Sustainability Statement, the Group's value chain is categorized into four main components. These four components serve as the foundation for systematically identifying, evaluating, and disclosing the climate-related matters that are most relevant to the Group and its stakeholders.

(a) Upstream Value Chain

The upstream value chain comprises the indirect impacts associated with the providers of goods, services, and capital inputs that support the Company's operations. These relationships are essential to the continuity of the business and influence the Company's ability to operate in a responsible, resilient, and sustainable manner.

The Company's key upstream stakeholders include:

1. Investors and providers of capital
2. Business partners
3. IT and digital service providers
4. Facility management and logistics partners
5. Professional service providers, including consultants, external auditors, and training institutions

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

6. Regulators, including the Central Bank of Sri Lanka (CBSL), the Securities and Exchange Commission of Sri Lanka (SEC), and other relevant government authorities

The Company engages with these stakeholders with increasing emphasis on responsible business conduct, sustainable procurement practices, regulatory compliance, and adherence to applicable environmental and social standards. Through these engagements, the Company seeks to strengthen transparency, accountability, and long-term resilience across its upstream value chain.

(b) Own Operations

Own operations refer to the direct impacts arising from the Company's internal activities, business processes, and use of resources. These include the Company's branch network, head office operations, digital platforms, technology infrastructure, and the subsidiary consolidated during the reporting period.

The Company's own operations remain central to its sustainability performance, as they shape its direct environmental footprint, social responsibility commitments, and governance practices. Key areas within own operations include the following:

1. The Company operates as a financial services provider offering a broad range of products and services to retail, SME, and corporate customers. For individual customers, these include fixed and savings deposits, personal loans, leasing facilities, housing loans, and other credit solutions designed to meet diverse financial needs.

2. For SME and corporate customers, the Company offers credit facilities, hire purchase, financial leasing, and bill discounting solutions that support working capital requirements, daily operations, and business expansion.

3. The Company also provides digital and online customer service platforms, including mobile-based and web-based solutions, to support seamless transactions, improved accessibility, and digital onboarding in line with changing customer expectations.

4. IT infrastructure, digital platforms, and operational systems that support service delivery, security, and business continuity.

5. Energy consumption, paper usage, water consumption, and waste generation across branch and office operations.

6. Employee well-being, workplace inclusiveness, and the maintenance of a safe, supportive, and productive working environment.

7. Governance structures, internal controls, and compliance with applicable laws, regulations, and internal policies.

Through the effective management of its own operations, the Company aims to improve operational efficiency, reduce direct environmental impacts, strengthen governance, and enhance the overall quality of service delivery.

(c) Downstream Value Chain — Direct Clients

The downstream value chain relating to direct clients refers to the indirect impacts arising through the Company's financing relationships with its customers, including retail, SME, and corporate segments. As a financial institution, Commercial Credit & Finance PLC recognizes that its lending, leasing, investment, and advisory activities can influence the environmental and social performance of the clients and sectors it supports.

In this context, the Company considers several important downstream areas in relation to its direct clients, including:

1. Sustainable finance and green lending portfolios, including the financing of energy-efficient assets and environmentally responsible business activities

2. The assessment and management of exposure to sectors with relatively higher environmental and social impacts, such as construction, agriculture, transport, and energy

3. Financial inclusion initiatives that support MSMEs and underserved communities across the island

By integrating sustainability considerations into client-related financing decisions, the Company aims to support responsible economic activity, improve resilience within its customer base, and contribute to broader social and environmental progress.

(d) Downstream Value Chain

BEYOND DIRECT CLIENTS

The downstream value chain beyond direct clients encompasses the broader societal and environmental impacts that may arise indirectly through the Company's role as a financier. This perspective recognizes that the Company's influence extends beyond its immediate customer relationships and includes the wider economic, social, and ecological effects associated with financed activities.

In this regard, the Company considers areas such as:

1. Sustainability practices within the supply chains of financed industries

2. Carbon emissions associated with financed activities, including financed emissions within the broader Scope 3 context

3. Community and biodiversity impacts that may be linked to financed projects and business operations

A significant share of the Company's sustainability-related impacts arises indirectly through its financing activities and its role in supporting the national and regional economy. Accordingly, the Company relies on sector-specific information, customer disclosures, and stakeholder engagement to identify, assess, and monitor material sustainability-related risks and opportunities across the value chain.

Through continued stakeholder engagement, responsible financing practices, and the integration of ESG considerations into risk management and decision-making processes, the Company seeks to create sustainable long-term value for customers, shareholders, employees, and the wider community.

BASIS OF MATERIALITY

The Company discloses Climate-Related Risks and Opportunities (CRROs) that could reasonably be expected to materially affect its cash flows, access to finance, or cost of capital over the short, medium, or long term.

In determining the matters to be disclosed, the Group focuses on financial materiality, in accordance with the requirements of SLFRS S1. This approach enables the Group to identify and evaluate the financial implications of climate-related matters that could reasonably be expected to influence its ability to preserve or create value over time. A materiality assessment was carried out during the financial year under review, incorporating both quantitative and qualitative considerations, alongside stakeholder input, to identify the Climate-Related Risks and Opportunities (CRROs) that are considered financially material for disclosure.

Financial Materiality

In assessing the financial materiality of CRROs, the Company adopts a balanced approach that takes into account both quantitative and qualitative considerations. This enables the Company to evaluate not only measurable financial effects, but also broader issues that may influence business resilience, reputation, compliance, and long-term value creation.

Quantitative Criteria

Having considered the Company's historical financial performance, the significance of each entity within the Group, and the potential effect of CRROs on the Company's overall prospects, the following quantitative thresholds have been established to determine whether a CRRO is financially material.

A CRRO is considered financially material where it results in an impact on the Company's prospects, either individually or in aggregate, by meeting one or more of the following thresholds:

Impact on Company's Prospects	Indicator	Threshold
Impact on Financial Performance	Operating Profit Before VAT on Financial Services & Income Tax	±5% of the Group's average Operating Profit Before Vat on Financial Services & Income Tax over the past 3 years (FY 2022/23–2024/25)

These thresholds have been determined using the group financial Statements., supported by a review of historical financial data over the last five years, together with management judgement and an assessment of the nature and potential impact of the identified CRROs. The thresholds will be reviewed on an annual basis and revised where necessary to reflect changes in business conditions, reporting maturity, or underlying assumptions.

QUALITATIVE CRITERIA

In addition to quantitative thresholds, the Company also considers certain qualitative factors when determining whether a CRRO should be disclosed. Matters that may not currently meet a numerical threshold may nevertheless be considered material where they are relevant to decision-making or may have significant implications for the Company and its stakeholders.

Accordingly, qualitative matters may be considered material where they relate to:

- The strategic relevance of the issue to the Company's business model and long-term direction
- Reputational risks arising from failure to meet evolving ESG expectations, which may affect market confidence, stakeholder trust, or brand value
- Non-compliance with applicable laws, regulations, policy frameworks, or supervisory expectations
- Stakeholder concerns arising from climate-related implications associated with the Company's operations, products, services, or financing relationships

CRROs that do not meet the applicable quantitative thresholds or qualitative criteria are treated as non-material for the reporting period. However, such matters are retained within internal assessments and continue to be monitored for changes in magnitude, likelihood, or stakeholder relevance.

Any CRRO for which omission or misstatement could reasonably be expected to influence the decisions of investors or other primary users of general purpose financial reporting is considered material for disclosure.

FUNCTIONAL CURRENCY

Sri Lankan Rupees

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

SOURCES OF GUIDANCE



- SLFRS S1 – General Requirements for Disclosure of Sustainability related Financial Information
- SLFRS S2 – Climate-related Financial Disclosure Standard
- Sustainability Accounting Standards for Consumer Finance (Version 2023-12) issued by the Sustainability Accounting Standards Board (SASB) of the IFRS Foundation
- Synthesis Report (SYR) of the IPCC (Intergovernmental Panel on Climate Change) Sixth Assessment Report (AR6)
- Sri Lanka National Disaster Management Plan 2023-2030
- Risk Index for Sri Lanka – Published by National Disaster Centre
- Climate Risk Country Profile Sri Lanka – Published by World Bank Group and ADB
- World Energy Outlook 2024 – Published by International Energy Agency
- Sri Lanka Nationally Determined Contributions 3.0 (2026-2035)
- Sustainable Finance Roadmap 2.0 issued by the Central Bank of Sri Lanka

REPORTING PERIOD

01st April 2025 to 31st March 2026

TIME HORIZON

Time horizon	Definition
Short term (S)	Within 1 Year 01 Apr 2026 - 31 Mar 2027
Medium term (M)	2 to 3 Years 01 Apr 2027 - 31 Mar 2029
Long term (L)	More than 3 Years After 31 Mar 2029

The time horizon was determined based on the company's planning cycle. Since the company operates on a three-year planning cycle, a period beyond three years is considered as long-term.

CONNECTED INFORMATION

These sustainability-related financial disclosures should be read together with the other relevant sections of the Annual Report in order to provide a connected and integrated understanding of the Group's overall performance, position, strategy, and outlook.

Where relevant, this report is linked to information presented in the Governance, Risk Management, Corporate Management Discussion and Analysis, Financial Statements, and other sustainability-related sections of the Annual Report. These cross-references are intended to help users of the report understand how climate-related risks and opportunities may affect the Group's strategy, business model, financial planning, risk management processes, and financial performance over the short, medium, and long term.

In preparing these disclosures, the Group has considered the connectivity between sustainability-related information and the financial statements, including areas where climate-related risks and

opportunities may influence assumptions, judgements, estimates, and management responses. This approach supports a more holistic understanding of how sustainability-related matters are governed, managed, and monitored across the Group.

As the Group's sustainability reporting practices continue to mature, further enhancements will be made to strengthen connectivity across disclosures and improve alignment between sustainability-related financial information and the broader Annual Report.

TRANSITIONAL RELIEF

The Company has adopted the transitional reliefs available under SLFRS S1 and SLFRS S2, as issued by CA Sri Lanka, in preparing the sustainability-related financial disclosures for the current year.

SLFRS S1 – Disclosure limited to climate-related risks and opportunities (CRROs):

During the first annual reporting period of applying this Standard, an entity is permitted to disclose information only on climate-related risks and opportunities, in line with SLFRS S2. Accordingly, the requirements of SLFRS S1 have been applied only to the extent that they relate to such disclosures.

SLFRS S2.C3 – Comparative information:

In the first annual reporting period of applying this Standard, the entity is not required to present comparative information for its climate-related risks and opportunities. In the second annual reporting period, comparative information is not required for other sustainability-related risks and opportunities, except for climate-related risks and opportunities.

SLFRS S2.29(a)(i)(3) – Scope 3 greenhouse gas emissions:

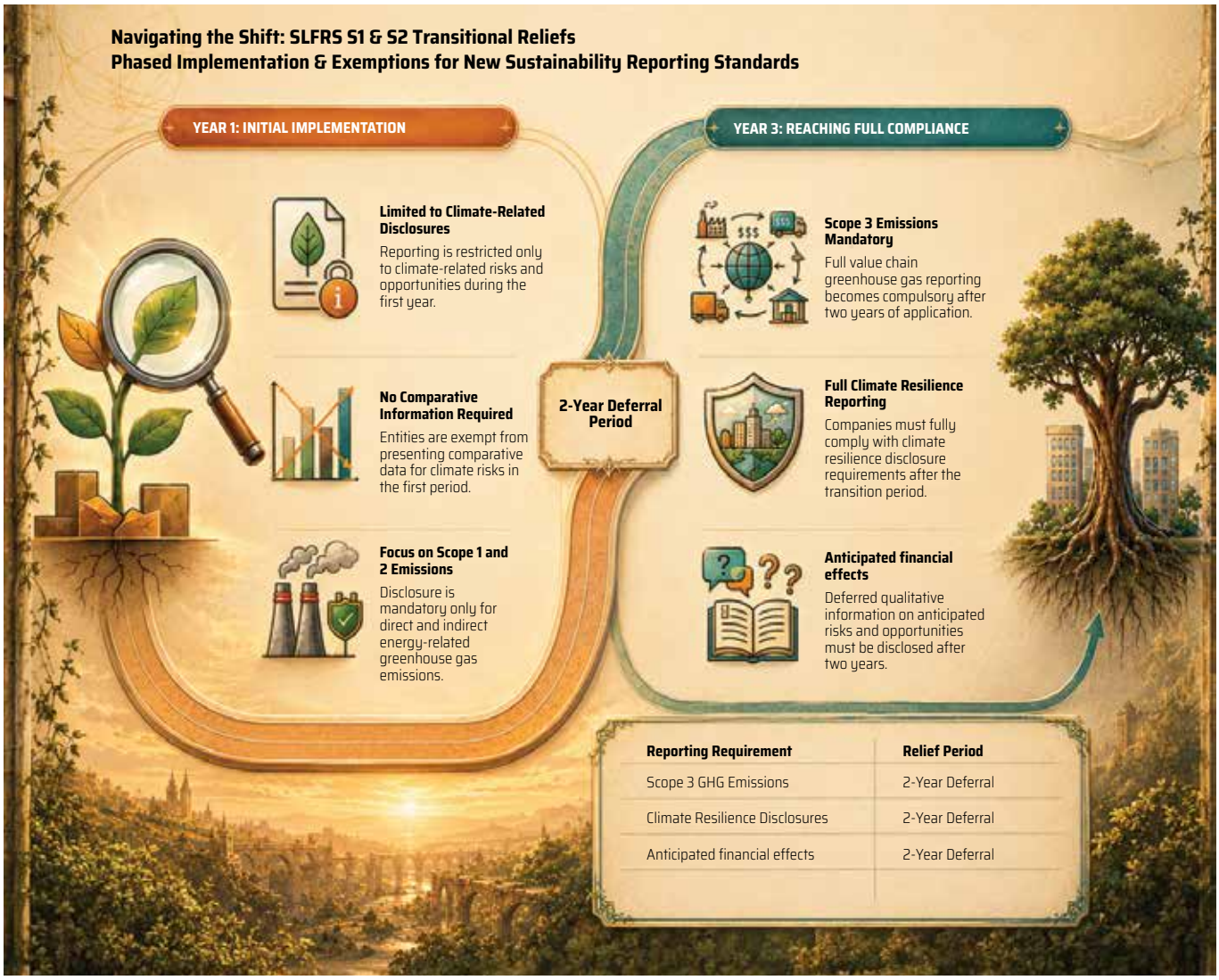
At the initial stage of application, entities are required to disclose only Scope 1 and Scope 2 greenhouse gas emissions. Disclosure of Scope 3 emissions becomes mandatory two years after the date of initial application.

SLFRS S2.15(b) – Qualitative information on anticipated risks and opportunities:

Entities are allowed to defer the disclosure of qualitative information relating to anticipated risks and opportunities for a period of two years from the mandatory effective date of the Standard.

SLFRS S2.22 – Climate resilience disclosures:

A two-year transition period is available from the mandatory application date to fully comply with the disclosure requirements relating to climate resilience.



SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

SIGNIFICANT JUDGEMENTS, UNCERTAINTIES AND PROPORTIONALITY

The preparation of sustainability-related financial disclosures requires the exercise of judgement, particularly in identifying, assessing, and determining the materiality of climate-related risks and opportunities relevant to the Group.

In preparing this report, management has applied significant judgement in, among other matters, defining the reporting boundary, assessing the value chain, identifying material climate-related risks and opportunities, selecting appropriate time horizons, and determining the relevance of qualitative and quantitative information for disclosure purposes. Judgement has also been applied in determining the extent to which available internal and external data can be used in assessing climate-related impacts on the Group's strategy, operations, and financial prospects.

As this is an early phase of reporting under the SLFRS Sustainability Disclosure Standards, a degree of uncertainty remains in relation to data availability, methodological development, assumptions used in risk assessment, and the evolving nature of market practice, regulatory expectations, and stakeholder requirements. These uncertainties may affect the precision, comparability, and completeness of certain disclosures, particularly those relating to value chain impacts, financed emissions, forward-looking assessments, and climate resilience.

In applying the principle of proportionality, the Group has considered its current level of available skills, capabilities, systems, and data when preparing these disclosures. Accordingly, the Group has used reasonable and supportable information available at the reporting date without undue cost or effort, while continuing to strengthen internal processes, data quality, and reporting capabilities over time.

The Group will continue to refine its methodologies, assumptions, and disclosures in future reporting periods as data maturity improves, internal capacity is enhanced, and regulatory and reporting practices continue to evolve.

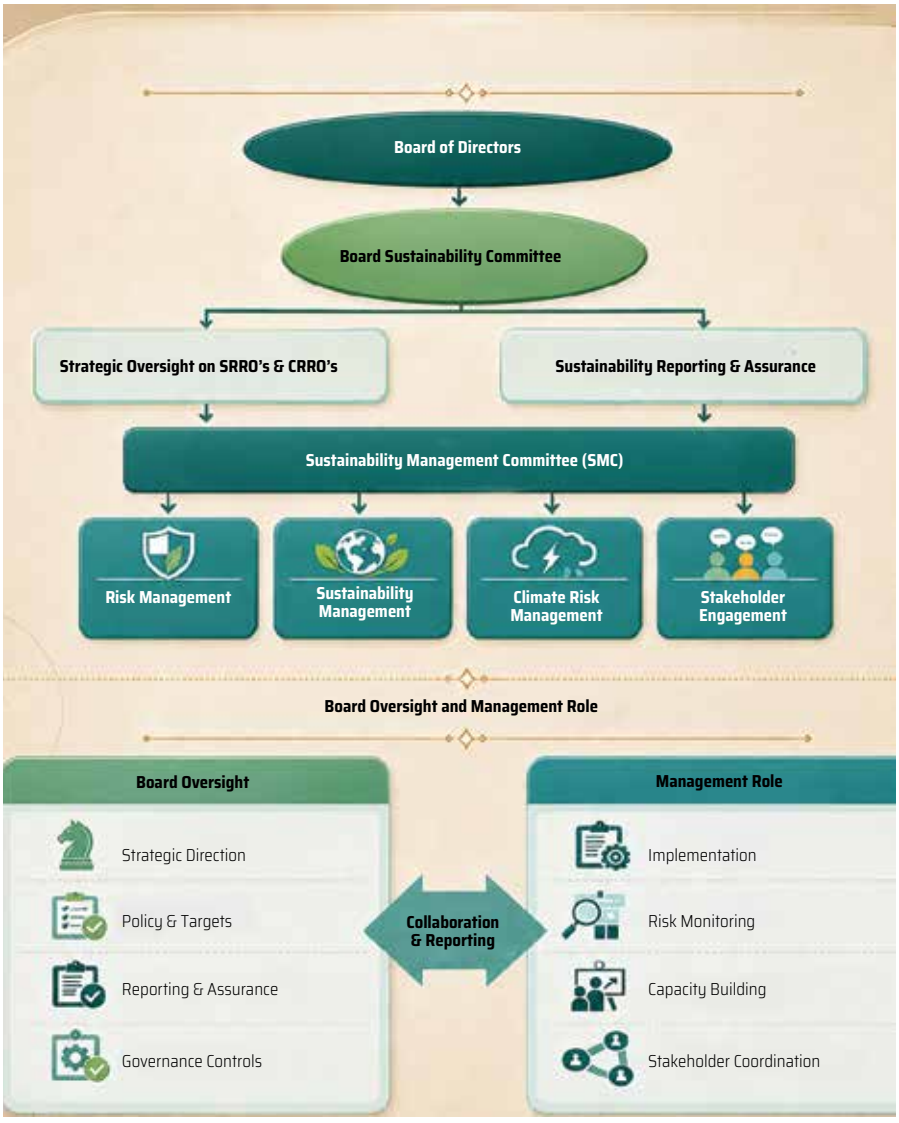
STATEMENT OF COMPLIANCE

This report represents a complete set of sustainability-related financial disclosures for Commercial Credit & Finance PLC and its subsidiaries (collectively, the Group') for the year ended 31 March 2026. The Group's sustainability-related disclosures have been prepared in accordance with SLFRS Sustainability Disclosure Standards as issued by the Institute of Chartered Accountants of Sri Lanka.

GOVERNANCE

This section sets out the governance processes, controls and oversight structures established by Commercial Credit & Finance PLC to identify, assess, monitor and oversee sustainability-related risks and opportunities, including climate-related risks and opportunities (CRROs), as part of its broader Sustainability-Related Risks and Opportunities (SRROs) framework. The Company's governance approach is designed to support integration of sustainability-related matters into strategy, risk management, performance monitoring and external reporting, in line with SLFRS S1 and S2.

SUSTAINABILITY GOVERNANCE STRUCTURE AT A GLANCE



BOARD OVERSIGHT ROLE

The Board of Directors has overall responsibility for the oversight of sustainability-related risks and opportunities, including climate-related matters, and for ensuring that such matters are appropriately embedded within the Company's strategy, governance arrangements, risk management framework and disclosure processes. Board oversight is exercised primarily through the Board Sustainability Committee, which has been established as a Board-level committee to provide strategic oversight and direction in identifying, evaluating and managing SRROs across the Company's business model, operations and strategic planning horizon. The Committee also assists the Board in fulfilling its oversight responsibilities under the SLFRS Sustainability Disclosure Standards.

The Board Sustainability Committee was reviewed and recommended by the Board Nomination and Governance Committee on 29 September 2025 and approved by the Board of Directors on 30 September 2025. The Board-appointed members are

Mr. Rajiv Casie Chitty – Chairperson

Mr. G. B. Egodage – Member

Mr. R. S. Egodage – Member

Ms. G. R. Egodage – Member

RESPONSIBILITY

The Board, through the Board Sustainability Committee, is responsible for overseeing the Company's sustainability and ESG direction, ensuring that appropriate strategies and governance mechanisms are in place to identify, manage and respond to SRROs, including CRROs. This includes oversight of sustainability-related strategies, related policies and strategic programmes, sustainability targets, performance monitoring, reporting integrity, assurance processes, internal controls, stakeholder engagement and management-level implementation.

The Committee's mandate extends beyond reporting and compliance and reflects the Company's broader value-driven approach to integrating sustainability into products, services and operations in a manner that enhances livelihoods, promotes financial inclusion, strengthens environmental stewardship and supports ethical and responsible business practices. In this context, the Committee supports the Board in considering how sustainability-related matters may affect the Company's long-term resilience and sustainable value creation.

SKILLS AND COMPETENCIES

The Terms of Reference require that Committee members collectively possess the knowledge, skills, experience and commitment relevant to sustainability, ESG governance, risk management, environmental-related studies or related fields. This supports the Board's ability to exercise informed oversight over sustainability-related and climate-related matters. The TOR also permits the Committee to invite corporate-level management, senior executives and external experts, where necessary, to provide technical or strategic input on sustainability-related matters.

During the reporting period, five training sessions were conducted for the Board Sustainability Committee to strengthen its understanding of sustainability-related risks, opportunities, and emerging developments.

This governance design enables the Board to supplement its own collective experience with management input and specialist expertise where required, thereby strengthening the quality of oversight and decision-making in relation to SRROs and CRROs. During the reporting period, five training sessions were conducted for the Board Sustainability Committee to strengthen its understanding of sustainability-related risks, opportunities, and emerging developments.

INFORM

The Board is informed through the reporting processes of the Board Sustainability Committee, which is specifically responsible for ensuring that the Board receives sufficiently detailed insights on SRROs to support strategic, transactional and risk-related decision-making. The Committee reports quarterly to the Board on its deliberations, decisions and recommendations. The quarterly meeting requirement further supports a structured flow of information to the Board on sustainability-related matters.

The Committee also receives support from the Chief Risk Officer, who is responsible for coordinating and preparing the required reports, while the Company Secretary acts as Secretary to the Committee or an alternative suitable person may be appointed by the Chairperson. This helps ensure that sustainability-related information is formally tabled, recorded and escalated through appropriate governance channels.

ADDRESS

The Board addresses sustainability-related risks and opportunities through the Committee's oversight of the Company's sustainability and ESG strategy, related policies, strategic programmes and internal governance mechanisms. The Committee is responsible for overseeing the development, implementation and continuous improvement of the Company's sustainability and ESG strategy and for ensuring that sustainability considerations are embedded into the Company's strategy, risk management framework and decision-making processes.

In relation to CRROs, this means the Board's governance role extends to ensuring that climate-related and other sustainability-related risks and opportunities are identified and addressed through the Company's strategic planning, operational practices, risk oversight, internal capacity-building and management structures. The Board Sustainability Committee also oversees stakeholder engagement on sustainability and ESG matters and promotes transparency, accountability and continuous improvement in sustainability performance and communication.

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

MONITOR

The Board monitors sustainability-related matters through the Board Sustainability Committee's oversight of targets, performance, controls, reporting and management implementation. The Committee is specifically tasked with overseeing the establishment of quantifiable sustainability and ESG targets, monitoring progress toward achieving them, monitoring environmental, social and governance performance, reviewing the effectiveness of internal governance structures, controls, systems and processes established to manage SRROs, and overseeing the operations, performance and reporting of the Sustainability Management Committee.

The Committee also oversees the preparation, accuracy and integrity of sustainability disclosures, including compliance with SLFRS S1 and S2, the CBSL Sustainable Finance Framework, and internationally accepted sustainability reporting standards, and reviews the scope, methodology, approach and key outcomes of external assurance or verification processes related to non-financial and sustainability disclosures. These responsibilities support the Board's ability to monitor the adequacy of sustainability-related governance and disclosure processes on an ongoing basis.

Meeting cadence	Secretary	Coordinator	Board-appointed members
At least quarterly; additional meetings may be convened as required	Company Secretary or suitable alternate appointed by the Chairperson	Chief Risk Officer coordinates and prepares reports	Mr. Rajiv Casie Chitty (Chairperson), Mr. G. B. Egodage, Mr. R. S. Egodage and Ms. G. R. Egodage

REPORTING AND ESCALATION CYCLE



MANAGEMENT ROLE

Management supports the Board and the Board Sustainability Committee in the implementation of the Company's sustainability agenda and in the day-to-day identification, assessment, coordination, monitoring and reporting of sustainability-related risks and opportunities, including CRROs. This role is principally exercised through the Sustainability Management Committee (SMC), which functions as the main management-level forum for overseeing, coordinating and driving the development, implementation and monitoring of ESG practices and sustainability risk management frameworks across the Company.

The SMC supports the Board Sustainability Committee in fulfilling its oversight responsibilities and helps embed sustainability and ESG considerations into the Company's business model, credit processes, operational practices and risk management frameworks. It also coordinates company-wide implementation of sustainability-related policies, targets, frameworks and reporting requirements.

DELEGATION

The Board has delegated focused sustainability oversight to the Board Sustainability Committee, while management-level coordination and implementation are carried out through the Sustainability Management Committee. This structure supports a clear governance flow from Board oversight to management execution.

At Board level, the Committee meets at least quarterly, with additional meetings convened at the discretion of the Chairperson. At management level, the SMC is responsible for supporting implementation, coordination across departments, monitoring progress, and escalating relevant matters to the Board Sustainability Committee. This delegation framework supports accountability, regular reporting and connectivity between governance and operational execution.

POLICIES AND PROCEDURES

The governance framework is supported by policies, procedures and internal mechanisms intended to embed sustainability and ESG considerations within the Company's culture, governance systems, business model and operational practices. The Board Sustainability Committee is responsible for overseeing the development and continuous improvement of the Company's sustainability and ESG strategy, related policies and strategic programmes, and for ensuring that effective mechanisms are in place to identify, assess, monitor and escalate SRROs in a timely manner.

The Committee also supports the enhancement of appropriate skills, competencies and organizational capacity for sustainability oversight and guides the development of internal capacity-building and training programmes on sustainability, ESG and climate-related risk across the organization. Through these arrangements, management processes and governance controls are progressively strengthened to support more effective sustainability-related financial disclosures and decision-useful reporting.

STRATEGY

CRRO 1	Extreme Weather Events	
CRROs impact on Prospects	Description	Extreme weather conditions disrupt borrowers' operations and income-generating capacity, particularly in climate-sensitive sectors such as agriculture, SMEs, and property-related activities, and damage collateral and insured assets, resulting in weakened collateral coverage and reduced recoverability.
	Physical Risk or Transition Risk	Physical Risk
	Time Horizon	M, L
	Define time horizon	Refer Page 56
Business Model and Value Chain	Current Effects on Business Model and Value Chain	No material impact to current business model and value chain.
	Anticipated Effects on Business Model and Value Chain	Extreme weather events such as severe floods, prolonged droughts, and landslides pose a significant physical climate risk that directly amplifies the Group's credit risk profile. These severe weather patterns can severely disrupt the income-generating capacity of our borrowers by causing agricultural losses, business interruptions, and supply chain breakdowns. This financial strain diminishes their ability to meet debt obligations, leading to an increased risk of default. Furthermore, these extreme events threaten the physical integrity of the assets pledged as security, such as properties and vehicles. The potential damage or complete destruction of these assets degrades collateral values, significantly reducing the Group's recovery prospects in the event of a default and ultimately necessitating higher impairment provisions.
	Where is it Concentrated?	**Credit Risk –** Extreme weather events elevate credit risk by impairing borrowers' repayment capacity, causing damage to collateral, and diminishing the value of pledged assets. **Operational Risk –** Disruptions to branch operations, supply chains, service delivery, or distribution channels, as well as the costs associated with adapting, relocating, or restoring business units and operational processes.

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

CRRO 1	Extreme Weather Events	
Strategy and Decision Making	Plans to respond to in Strategy, Risk Management, Transition Plans and Climate-related Targets	Incorporate extreme weather events into the credit risk assessment of lending facilities.
		Collateral and asset protection involves ensuring that financed or pledged assets remain adequately insured, monitored, and resilient against climate-related damage such as floods, landslides, and storms. This includes regularly reassessing the value and climate exposure of vehicles, equipment, and property collateral, while strengthening insurance requirements and provisioning for high-risk assets.
		Digital transformation helps the Company to maintain operations and customer service during extreme weather events by reducing dependence on physical branches and manual processes. Expanding digital channels such as mobile banking, online loan applications, e-KYC, and digital collections enables uninterrupted service delivery during floods, transport disruptions, or power outages. Cloud-based systems, remote working capabilities, and secure data backups also improve operational resilience and recovery speed following climate-related disruptions. Physical risk adaptation measures focus on protecting branches, infrastructure, employees, and critical systems from the impacts of extreme weather events such as floods, cyclones and landslides. This includes strengthening branch infrastructure through flood barriers, backup power systems, secure data storage, and selecting locations that are less vulnerable to climate-related hazards. The branches can also improve resilience by using disaster recovery sites, climate risk mapping, and regular maintenance of critical facilities to minimize operational disruptions during emergencies.
	How the Company is Resourcing and Plan to Resource Activities	The Management of the Company, Product Heads, Credit Committee, Operational Heads, Location Heads, Information Technology Department, Marketing Department, Recovery Department, Credit Department, and Finance Department shall be responsible for the implementation and execution of the above plans and initiatives.
		The capital and operational expenditure required for the implementation of the above plans will be provided through the Company's annual budget allocation process.
	Progress (qualitative and quantitative)	A comprehensive IT disaster recovery drill was conducted to ensure the readiness and resilience of the ERP system. Conducted training for lending staff on the evaluation of lending facilities, incorporating the potential impact of extreme weather events into the loan appraisal process.
Financial Effects	Current year financial effects to PL, BS and CF	We have not identified material financial effects to the current financial year.
	Significant risk of material adjustments to carrying value of assets and liabilities in the next financial year	We have not identified Significant risk of material adjustments to carrying value of assets and liabilities in the next financial year.
	Anticipated financial effect over short, medium and long term to PL, BS and CF	Refer Page 57-Transitional Relief
Climate resilience	Resilience Assessment	Refer Page 57-Transitional Relief
	How and When Climate Scenario Analysis was performed. Disclosure of (i) Inputs; (ii) Key Assumptions, and (iii) Reporting period in which scenario analysis was carried out	Refer Page 57-Transitional Relief

CRRO 1	Extreme Weather Events	
Judgements and Uncertainties	Judgements Uncertainties	The Company has identified that geographic areas with a high concentration of lending portfolios and greater exposure to natural disasters present elevated credit risk. The Company also recognizes the inherent uncertainty surrounding the frequency, severity, and potential impact of such events on borrowers, which may adversely affect their repayment capacity and the overall quality of the loan portfolio.

CRRO 2	Market shifts towards Low-carbon Technologies	
CRROs impact on Prospects	Description	The transition to low-carbon technologies may lead to a decline in the market value of certain collateral—particularly fossil fuel-powered four-wheelers, motorcycles, and three-wheelers—thereby increasing the company's credit risk exposure. Simultaneously, green financing solutions, including solar, electric vehicles (EV's), and energy-efficiency projects, are reshaping traditional leasing and lending models. Delayed adoption of these technologies could result in a loss of market share for CCFP.
	Physical Risk or Transition Risk	Transition Risk.
	Time Horizon	L
	Define time horizon	Refer Page 57.
Business Model and Value Chain	Current Effects on Business Model and Value Chain	No material impact to current business model and value chain.
	Anticipated Effects on Business Model and Value Chain	The transition towards low-carbon technologies may impact the Company's business model and value chain through changing customer preferences, evolving regulatory requirements, and reduced demand for carbon-intensive assets and industries. Sectors reliant on fossil fuels, inefficient technologies, or high emissions may face declining profitability and increased credit risk, potentially affecting the quality of the Company's lending and leasing portfolio. In response, the Company will seek to diversify its portfolio by supporting environmentally sustainable products, energy-efficient technologies, and green financing opportunities while strengthening its assessment of transition-related risks.
	Where is it Concentrated?	**Strategic Risk –** Risk of losing the company's competitiveness and the potential failure of its traditional business model.
		Credit Risk – Increase in credit risk arising from the decline in market value of fossil fuel-powered vehicles.

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

CRRO 2	Market shifts towards Low-carbon Technologies	
Strategy and Decision Making	Plans to respond to in Strategy, Risk Management, Transition Plans and Climate-related Targets	Gradually transitioning the loan portfolio toward assets backed by low-carbon technologies. This involves increasing the proportion of financing provided for environmentally sustainable and energy-efficient assets, while progressively reducing exposure to high-carbon or environmentally harmful activities. For the company this transition can support national efforts to improve energy security, reduce greenhouse gas emissions, and promote sustainable economic development.
	How the Company is Resourcing and Plan to Resource Activities	The Management, Credit Committee, Operation Heads, Location Heads, Credit Officers, Finance Team, Marketing Team are responsible for executing the above stated plans. Strategies to attract low-cost funding from environmentally conscious investors and depositors. Strategies to attract low-cost funding from environmentally conscious investors and depositors involve aligning the institution's funding products and investment opportunities with environmental, social, and governance (ESG) principles, while offering competitive benefits that appeal to investors and depositors who prioritize sustainability. Strategic partnerships with key stakeholders such as solar companies and EV dealers.
	Progress (qualitative and quantitative)	Currently company has started granting facilities for electric vehicles such as cars, three wheelers and motor bikes.
Financial Effects	Current year financial effects to PL, BS and CF	We have not identified material financial effects to the current financial year.
	Significant risk of material adjustments to carrying value of assets and liabilities in the next financial year	We have not identified Significant risk of material adjustments to carrying value of assets and liabilities in the next financial year.
	Anticipated financial effect over short, medium and long term to PL, BS and CF	Refer Page 57-Transitional Relief
Climate resilience	Resilience Assessment	Refer Page 57-Transitional Relief
	How and When Climate Scenario Analysis was performed. Disclosure of (i) Inputs; (ii) Key Assumptions, and (iii) Reporting period in which scenario analysis was carried out	Refer Page 57-Transitional Relief
Judgements and Uncertainties	Judgements Uncertainties	Significant uncertainties remain regarding the timing, scale, and extent of the market transition towards low-carbon technologies. Changes in customer demand, technological innovation, government policies, and the availability of sustainable financing may influence the value and performance of assets and businesses financed by the Company.

CRRO 3	Sustainable Financing	
CRROs impact on Prospects	Description	The company is well-positioned to capitalize on sustainable funding and lending opportunities by attracting ESG-focused investors and accessing international green financing from institutions like the ADB (Asian Development Bank), IFC (International Finance Corporation), and GCF (Green Climate Fund) to optimize its cost of funds. By leveraging instruments such as Green Bonds, Green Deposits, and Sustainability-Linked Loans, the company can enhance its funding profile while raising capital that strictly aligns with its environmental, social, and governance objectives. On the lending side, Sri Lanka's national focus on energy security and decarbonization is driving strong market demand for green and renewable energy financing. This opens significant avenues to support electric vehicles, rooftop solar solutions for households and SMEs, and long-term project finance, allowing the company to build a robust portfolio of green loans and leases with predictable cash flows.
	Climate-related Opportunity	Not applicable.
	Time Horizon	L
	Define time horizon	Refer Page 57.
Business Model and Value Chain	Current Effects on Business Model and Value Chain	No material impact to current business model and value chain.
	Anticipated Effects on Business Model and Value Chain	The expansion of sustainable funding and lending opportunities is expected to positively influence the Company's business model, financial performance, and long-term value creation. Key anticipated impacts include. Diversification of Revenue Streams Growth in green financing, renewable energy lending, sustainable SME financing, and ESG-linked products will create new revenue sources and improve portfolio diversification. Enhanced Access to Funding Alignment with sustainability practices may improve access to concessional funding, green credit lines, and partnerships with institutions such as the International Finance Corporation and the Green Climate Fund, potentially reducing funding costs and strengthening liquidity.
		Improved Competitive Positioning Expanding sustainable finance offerings can enhance the Company's market reputation and differentiate the Company from competitors, particularly among environmentally and socially conscious customers and investors.Strengthening Customer Relationships Supporting customers in transitioning toward sustainable business practices may improve customer retention, attract new market segments, and deepen long-term relationships. Enhanced Portfolio Resilience Financing environmentally sustainable and climate-resilient sectors may reduce long-term credit risk exposure associated with carbon-intensive industries and evolving regulatory requirements. Alignment with Regulatory and Stakeholder Expectations. Long-Term Enterprise Value Creation.
	Where is it Concentrated?	Environment Social & Governance Risk – Continuing with traditional, unsustainable business models may expose the Company to environmental, social, and governance (ESG) risks.
		Liquidity Risk – Customers operating in high-emission sectors may face liquidity challenges due to the growing availability of sustainable financing. This could result in elevated credit and liquidity risks for the Company.

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

CRRO 3	Sustainable Financing	
Strategy and Decision Making	Plans to respond to in Strategy, Risk Management, Transition Plans and Climate-related Targets	Introduction of loans schemes for electrical vehicles, three wheelers and motorcycles. Introduction of green deposits and bonds to attract funds from environment conscious customers.
	How the Company is Resourcing and Plan to Resource Activities	The Board of Directors, the Senior Management, Credit Committee, Operation Heads, Location Heads, Credit & Deposit Staffs, FD Administration team, Finance team and the Treasury team are responsible for the executing the above plans. Funds raised from the green deposits and bonds mentioned above will be used to lend to the customers who obtain loans under the above loan schemes.
	Progress (qualitative and quantitative)	Electric motorcycles accounted for 30% of the monthly financing facilities granted for unregistered motorcycles, demonstrating the Company's commitment to supporting the transition to low-carbon transportation and promoting environmentally sustainable mobility solutions.
Financial Effects	Current year financial effects to PL, BS and CF	We have not identified material financial effects to the current financial year.
	Significant risk of material adjustments to carrying value of assets and liabilities in the next financial year	No material opportunity-related upside potential or downside risk has been identified.
	Anticipated financial effect over short, medium and long term to PL, BS and CF	Refer Page 57-Transitional Relief
Climate resilience	Resilience Assessment	Refer Page 57-Transitional Relief
	How and When Climate Scenario Analysis was performed. Disclosure of (i) Inputs; (ii) Key Assumptions, and (iii) Reporting period in which scenario analysis was carried out	Refer Page 57-Transitional Relief
Judgements and Uncertainties	Judgements Uncertainties	Management has identified sustainable financing as a material climate-related opportunity because it may improve access to capital and reduce financing costs. Significant judgment was applied in determining the relevance of sustainability-linked financing to the Group's strategy and in selecting performance targets associated with financing arrangements. Key sources of estimation uncertainty include the achievement of future emissions-reduction targets, future market demand for sustainable finance products, and the extent of borrowing-cost benefits that may be realized under varying market conditions.

4. RISK MANAGEMENT

This section outlines the processes for the identification, assessment, prioritization, and monitoring of CRROs, as well as their integration into the overall risk management framework.

POLICIES RELATING TO CLIMATE-RELATED RISKS

Climate-related risk as defined in the company's sustainability policy, refers to the potential environmental or climate factors which cause adverse financial or non-financial impacts on the Company, either directly or through their influence on traditional risk types. As a financial institution, the Company is exposed to both direct and indirect impacts arising from climate change, including physical risks stemming from extreme weather events and transition risks associated with the shift towards a low-carbon economy. At the same time, climate change presents opportunities to support sustainable economic activities through green financing, innovation, and the development of climate-resilient financial products.

In line with evolving regulatory expectations and global sustainability reporting frameworks, the Company has established a structured approach to identify, assess, and manage CRROs across its operations and lending portfolio. This includes integrating climate considerations into credit risk assessments, portfolio monitoring, and strategic decision-making processes.

The Company recognizes that effective management of CRROs enhances long-term resilience, safeguards asset quality, and supports sustainable value creation for stakeholders. Accordingly, CRROs are embedded within the overall risk management framework, with appropriate governance, oversight, and monitoring mechanisms to ensure alignment with the Company's risk appetite and sustainability objectives.

The risk management process has several steps.

- Risk identification
- Risk assessment
- Risk prioritization
- Risk monitoring & Reporting
- In assessing climate-related risks and opportunities (CRROs), the Company adopts a structured and data-driven approach that integrates both internal expertise and external information sources. As part of the adoption of SLFRS, a dedicated working group was established and convened multiple times during the year. A series of discussions was conducted to identify CRROs and to assess the Company's current exposures and potential future vulnerabilities across its operations. Sources of key inputs for are given below.

During the initial assessment, the Company identified a broad range of climate-related risks and opportunities (CRROs). In accordance with the principle of materiality, only three CRROs have been deemed material and are therefore disclosed in this report.

1.Extreme Weather Events (Physical Risk)

2.Market shifts towards Low-carbon Technologies (Transition Risk)

3.Sustainable Financing (Opportunity)

IDENTIFICATION, ASSESSMENT, PRIORITISATION AND MONITORING OF IDENTIFIED CRROS

Identification

The Company undertook internal research to identify applicable CRROs, leveraging internal expertise and the references set out below.

- National Disaster Management Plan 2023-2030
- Risk Index for Sri Lanka – Published by National Disaster Center
- Climate Risk Country Profile – Published by World Bank Group and ADB 2020
- Sri Lanka NDC 3.0 (2026-2035)
- Register of Motor Vehicles (RMV) Statistics
- Financial Performance of Finance Companies Sector – Quarterly Financial Information by CBSL
- Climate Risk Country Profile – Published by World Bank Group and ADB 2020
- National Climate Strategy 2030
- CBSL Sustainable Finance Roadmap 2.0
- CBSL Green Finance Taxonomy
- National Adaptation Plan 2016 -2025

The Company conducted a series of structured brainstorming sessions with the participation of Executive Management and representatives from key functions, including Risk Management, Compliance, Finance, Marketing, Administration, Management Information, Internal Audit, Human Resources, and the Secretariat, to determine the time horizons and materiality of the identified CRROs.

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

The Company does not use climate-related scenario analysis to identify climate-related risks and opportunities.

The Company has taken the transition relief and is in the process of conducting climate related scenario analysis to assess the resilience of climate-related strategies and business model.

Assessment

Assessment of the materiality of CRROs

The Company assesses the materiality of the identified risk and opportunities using their likelihood of occurring and the severity of the potential impact.

Assessing Likelihood of the Climate-related Risks and Opportunities

A series of brainstorming sessions were held with the participation of representatives from Risk Management, Compliance, Finance, Management Information, and Operations to evaluate the and identify likelihood of climate-related risks and feasibility and potential of sustainable financing and determined the likelihood of occurrence outlined below.

Description	Probability of occurrence
Very Likely	81% - 100%
Likely	61% - 80%
Possible	41% - 60%
Unlikely	21% - 40%
Very Unlikely	0% - 20%

1. Severity of the impact of CRROs is assessed as given in the table below.

Severity of the impact	Compared to the average Profit Before Vat on financial services over past three years (2022/23 to 2024/25)
Severe	>10%
Significant	7.50% - 10%
Moderate	5% - 7.49%
Minor	2.5% - 4.99%
Negligible	<2.5%

The Company used judgmental outcomes, qualitative analysis, historical data and historical trends to conduct materiality assessment. The Company use the below potential historical data sources.

- Loss event data with regards to natural disasters
- Destruction/damage to assets kept as collateral.
- Report on insurance claims due to natural disasters obtained from the company's insurance department.
- Market price analysis of vehicles
- RMV data on new vehicle registration

PRIORITISATION

The Company uses a risk heat map that considers both the likelihood of occurrence and the severity of impact when prioritizing climate-related risks and opportunities (CRROs) relative to other identified matters.

The Company prioritizes climate-related risks by embedding them into its overall sustainability and risk management framework, treating them as cross- cutting factors that influence credit, operational, and reputational risk compared to traditional risks, climate risks are elevated through regulatory alignment, and board-level oversight , reflecting their long-term systemic impact.

The Company places priority on sustainable finance over other climate-related opportunities, considering its strategic significance, financial impact, and alignment with national climate objectives. Sustainable finance is focused on meeting customer demand for low-carbon solutions, thereby supporting the transition to a lower-emission lending portfolio while strengthening portfolio resilience.

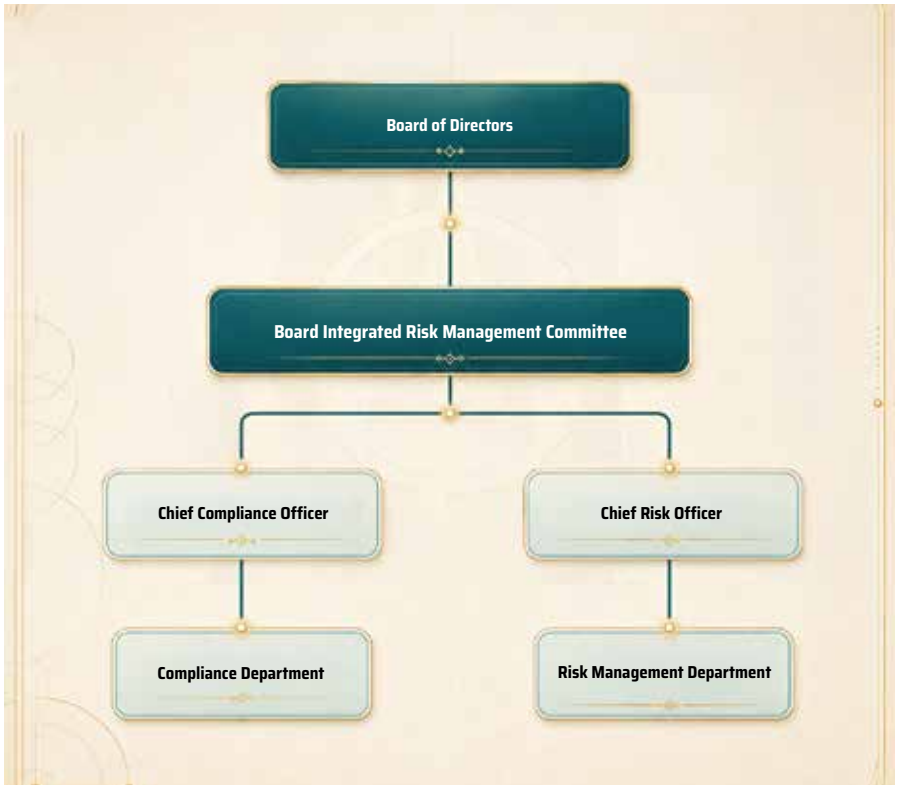
ESG risks are mapped alongside:

- Credit risk
- Market risk
- Liquidity risk
- Operational risk

MONITORING

ESG risk is integrated into the company's overall risk management framework, credit policy, and relevant product procedures, which have been updated to incorporate ESG considerations into the credit appraisal process. The Risk Management Department is responsible for collecting and reporting operational loss event data arising from extreme weather events to BIRMC.

The Company monitors sustainable finance in accordance with its sustainability policy, which provides a structured framework for oversight. Relevant information is continuously monitored by the Sustainability Management Committee and the Credit Committee.



Risk management process

During the financial year, the Company's Board Sustainability Committee and Sustainability Management Committee were actively engaged. The Board Sustainability Committee oversees ESG-related matters, while the Sustainability Management Committee works with management to identify CRROs. The Committee is specifically tasked with overseeing the establishment of quantifiable sustainability and ESG targets, monitoring progress toward achieving them, monitoring environmental, social and governance performance, reviewing the effectiveness of internal governance structures, controls, systems and processes established to manage SRROs, and overseeing the operations, performance and reporting of the Sustainability Management Committee. The credit evaluation process has been streamlined by integrating ESG risk considerations into the assessment. The BIRMC is tasked with overseeing ESG related risk.

The sustainability policy was implemented to strengthen the Company's overall sustainability framework. It has been developed in alignment with the identified CRROs. The Company intends to gradually shift its lending portfolio toward low-carbon–backed vehicles.

Integration to Overall ERM

The extent to which, and how, the processes for identifying, assessing, prioritising and monitoring climate-related risks are integrated into and informed the company's overall risk management process.

Currently, the management of the Company has identified branches located in areas highly vulnerable to natural disasters, and appropriate measures have been implemented to minimize the impact on physical and human assets at those locations.

The credit evaluation process has also been strengthened by incorporating climate-related risk considerations into the assessment framework. In addition, the risk governance structure has been enhanced through Board oversight via the Board Sustainability Committee, with responsibilities further cascaded to management through the Sustainability Management Committee.

Sustainable finance has been embedded within the Company's three-year strategic plan, underscoring its significance as a key strategic priority for the organization. The Company conducted a preliminary assessment, drawing on referenced materials, to evaluate risks associated with the transition to a low-carbon economy. The assessment highlights the potential for improved profitability from green lending, underpinned by lower cost of capital and comparatively lower ESG risk exposure. This position is further strengthened by ongoing energy supply constraints linked to geopolitical developments, as well as anticipated long-term limitations in fossil fuel availability.

METRICS AND TARGETS

The metrics and targets include cross industry metrics, industry-based metrics and climate related targets set by the Company.

Cross Industry Metrics

1 Greenhouse Gas Emissions (GHG)

The Company measures and discloses its greenhouse gas (GHG) emissions in accordance with the GHG Protocol Corporate Standard and SLFRS S2 requirements. It applies the financial control approach for GHG accounting, consistent with the consolidation principles used in its financial statements. This approach reflects the economic substance of the Company's relationships by accounting for all GHG emissions from operations over which the Company has financial control

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

Greenhouse gas (GHG) emissions are measured across Scope 1, Scope 2, and Scope 3 categories. In line with the transitional relief provisions under the SLFRS Sustainability-Related Financial Disclosure Standards, Scope 3 emissions have not been included in this disclosure.

Methodology used for the measurement and disclosure of GHG Emissions

The Group measures and discloses its GHG emissions using the GHG Protocol, in accordance with the SLFRS S2 requirement.

GHG reporting framework & compliance standards

Category	Standard/Approach	Description
GHG Measurement Standards	Greenhouse Gas (GHG) Protocol: A Corporate Accounting and Reporting Standard (2004)	Widely adopted international standard for corporate GHG accounting.
Accounting Approach	Financial Control Approach	Emissions are consolidated based on the Company's financial control over operations.
GHG Disclosures	SLFRS S2 – Climate-related Disclosures	Applied to align with SLFRS S2- Climate-related Disclosures. Transitional Relief applied for Scope 3 emissions. Refer Page 57.

SUMMARY OF GHG EMISSIONS

Scope	2025/2026 (mtCO2e)
Scope 1	3,971.19
Scope 2	1,772.09
Scope 3 (Note: Refer Transitional Relief)	-
Total	**5,743.28**

GHG Scope 1 and Scope 2 Emissions

Description	Greenhouse gas emissions (metric tonnes CO2e) 2025/26		
	Scope 1	Scope 2	Total
Consolidated accounting group	3,971.19	1,772.09	5,743.28
Other investee (investment in associate, joint ventures)(Note 01)	-	-	-
Total (Financial control approach)	**3,971.19**	**1,772.09**	**5,743.28**

Note 01: Scope 1 and Scope 2 emissions of the associate have not been included, as they were assessed to be immaterial to the Group's overall emissions profile.

Scope	Emission Sub-category	Activity	Data Source	Emission Factor Source	Source of GWP Values
Scope 1	Stationary combustion	Fuel Combustion for standby generator LNG	Fuel Record LPG Purchase Record	IPCC AR 6	IPCC AR 6
Scope 1	Mobile combustion	Company owned vehicles	Fuel Usage by Vehicles	IPCC AR 6	IPCC AR 6
Scope 1	Fugitive Emissions	Fugitive emissions from air conditioners and refrigerators Fugitive emissions from fire extinguishers	Refilling records	IPCC AR 6	IPCC AR 6
Scope 2	Electricity Consumption	Purchased electricity from grid	Monthly Electricity Bills	Grid Emission Factors in countries where the Company and its subsidiaries operate*	

2 Climate-related Physical Risks

The Company has not assessed the amount and percentage of assets or business activities vulnerable to climate-related risks as at 31 March 2026.

3 Climate-related Transition Risks

The Company has not assessed the amount and percentage of assets or business activities vulnerable to climate-related risks as at 31 March 2026.

4 Climate-related Opportunities

The Company has not yet quantified the amount and percentage of assets or business activities aligned with climate related opportunities, as of 31 March 2026.

5 Capital Expenditure

There is no specific capital expenditure incurred or planned for the future as of 31 March 2026.

6 Internal Carbon Pricing

The Company has not adopted internal carbon pricing within its operation However, the Company recognizes the growing importance of carbon pricing as a strategic tool to manage climate-related risks and align with global sustainability practices While this framework is not currently in place, Company is actively monitoring regulatory developments and market trends and may consider adopting an internal carbon pricing approach in future reporting periods, as required by evolving standards and stakeholder expectations.

7 Remuneration

The Company has not linked remuneration of key management persons to climate risk related performance. However, the Company is actively assessing its introduction for future reporting periods.

Industry Specific Metrics

Sustainability Accounting Standards Board (SASB) Index

Consumer Finance - Sustainability Accounting Standard (Version 2023-12)

SLFRS SUSTAINABILITY-RELATED FINANCIAL DISCLOSURES

SUSTAINABILITY DISCLOSURE TOPICS & METRICS

Topic	Metric	Category	Unit of Measure	Code	Disclosure reference and/or response
Customer Privacy	Number of account holders whose information is used for secondary purposes	Quantitative	Number	FN-CF-220a.1	No such information is used for secondary purposes
	Total amount of monetary losses as a result of legal proceedings associated with customer privacy	Quantitative	Presentation currency	FN-CF-220a.2	No such incidents were reported
Data Security	1) Number of data breaches, (2) percentage that are personal data breaches, (3) number of account holders affected	Quantitative	Number, Percentage (%)	FN-CF-230a.1	For reasons driven by operational security, the Company does not publicly disclose details regarding security incidents unless otherwise required by law
	Card-related fraud losses from (1) cardnot-present fraud and (2) card-present and other fraud	Quantitative	Presentation currency	FN-CF-230a.2	No such incidents were reported
	Description of approach to identifying and addressing data security risks	Discussion and Analysis	n/a	FN-CF-230a.2	Internet of things, Cybersecurity and data privacy Page 82
Selling Practices	Percentage of total remuneration for covered employees that is variable and linked to the amount of products and services sold	Quantitative	Percentage (%)	FN-CF-270a.1	No such variable remuneration linked to the amount of products and services sold
	Approval rate for (1) credit and (2) prepaid products for applicants	Quantitative	Percentage (%)	FN-CF-270a.2	(1) 99.34% (2) No such product were available
	1) Average fees from add-on products, (2) average APR of credit products,				

Topic	Metric	Category	Unit of Measure	Code	Disclosure reference and/or response
	(3) average age of credit products, (4) average number of credit accounts, and (5) average annual fees for pre-paid products	Quantitative	Presentation currency, Percentage (%), Months Number	FN-CF-270a.3	(1) No such product were available (2) 28% (3) 1.7 Months (4) 1.1 (5) No such product were available
	(1) Number of customer complaints filed, (2) percentage with monetary or nonmonetary relief	Quantitative	Percentage (%)	FN-CF-270a.4	No such incidents were reported
	Total amount of monetary losses as a result of legal proceedings associated with selling and servicing of products	Quantitative	Presentation currency	FN-CF-270a.5	No such incidents were reported

Activity	Metric	Category	Unit of Measure	Code	Disclosure reference and/or response
Activity Metric	Number of unique consumers with an active (1) credit card account and (2) pre-paid debit card account	Quantitative	Number	FN-CF-000.A	No such product were available
	Number of (1) credit card accounts and (2) pre-paid debit card accounts	Quantitative	Number	FN-CF-000.B	No such product were available

CLIMATE-RELATED TARGETS

The Company has not yet set formal targets due to ongoing baseline data collection and assessments. Once this analysis is complete, it plans to establish clear, measurable targets to guide strategy and improve transparency in future reporting.



CORPORATE GOVERNANCE

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Watch now:

CORPORATE GOVERNANCE



Corporate Governance is the system of rules, practices and processes by which a Company is managed. Good Corporate Governance helps in driving the Company towards performance excellence while complying with external and internal regulations, guidelines and ethical standards. Sound internal controls and procedures play an integral part in maintaining high standards of transparency, disclosure, financial controls and accountability in good Corporate Governance.

The Company is committed to upholding the highest standards of corporate governance and continually seeks ways to enhance our governance practices. We integrate these requirements with our principle-based culture, ensuring our actions consistently reflect our purpose, shared values, and commitments to these principles. As a company dedicated to cultivating leaders who uplift lives through simple acts of love, the Company upholds this purpose with unwavering determination. This purpose guides our actions and inspires us to make a positive impact every day, further encouraging others to live in alignment with the Company's purpose through shared values and principles.

The systems are designed and developed to influence the behavior of everyone assigned with the responsibility of managing the affairs of the Company ensuring that the interests of all stakeholders are effectively served on a consistent basis. The Board of Directors holds ultimate accountability for the Company's operations and has established an effective governance framework to ensure the proper execution of its responsibilities. The Board is supported by several sub-committees that focus on specialized areas and those requiring substantial attention. The Board sub-committee reports are available in this annual report and include comprehensive explanations of their responsibilities and actions.

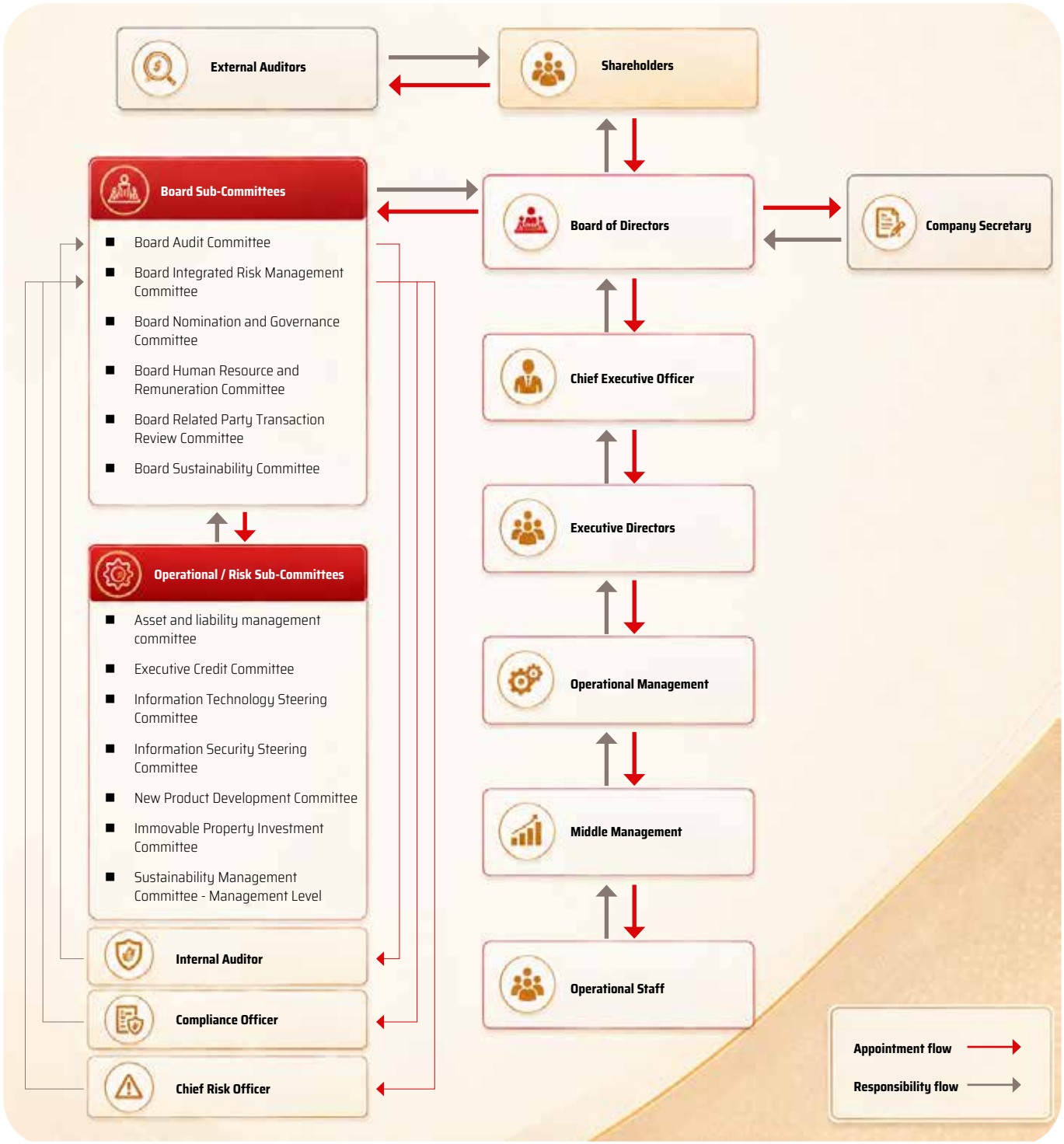
GOVERNANCE FRAMEWORK

The Company's Corporate Governance model has been built and enhanced based on the following requirements and guidelines,

- Companies Act No. 07 of 2007 and
- Finance Business Act No. 42 of 2011 and Directions/Guidelines/Rules/ Determinations/ Notices issued by the Central Bank of Sri Lanka including Finance Business Act Directions No. 5 of 2021, Corporate Governance
- Listing Rules of Colombo Stock Exchange
- Finance Business Act Directions No.06 of 2021 on Assessment of Fitness and Propriety of Key Responsible Persons.
- Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021
- All other applicable regulations

GOVERNANCE STRUCTURE OF THE COMPANY

The governance structure of the Company comprises several governance bodies with well-defined roles and responsibilities, accountability and clear reporting lines



CORPORATE GOVERNANCE

BOARD OF DIRECTORS

The Board of Directors as the highest decision-making authority of the Company jointly provides strategic leadership and direction to the Company while ensuring that strategies are formulated and implemented so that consistent progress is made by the Company towards its Purpose in keeping with our Shared Values.

The Board is led by the Chairman who is a Non - Independent and Non-Executive Director and the Board has appointed one of the Independent directors as a senior director as required by the regulator. The Board of Directors of the Company comprised nine (9) members as at the end of the financial year under review. The Company's Board of Directors consists of professionals in varied fields who collectively possess a wealth of knowledge and experience are thus eminently suitable to provide the leadership and direction required.

The CEO has been given the responsibility of leading the organization as its chief executive by the Board. The Board has also designated additional Key Responsible Persons (KRPs) who direct activities, oversee business operations, and have significant influence over policies. The Board has created a comprehensive succession plan for these critical roles in order to ensure the operational continuity and minimize interruptions.

The Board has instituted an annual self-assessment program for each director to assess their own performance as well as the performance of the Board and its sub-committees. The objective of this is to improve the Board's and its sub-committees' effectiveness. The Chairperson's performance is evaluated by the Senior Director and other directors, while the Chief Executive Officer is evaluated by the non-executive directors. Every year, these assessments are carried out in compliance with the best practices for corporate governance. In order to strengthen its procedures and to improve its practices, the Board examines the outcomes of these self-evaluations.

The Board convenes approximately once a month, or as necessary, to address prevailing issues and undertake requisite actions. During the financial year under review, a total of Seventeen(17) Board meetings were conducted, includingTwo (02) sessions exclusively for Non-Executive Directors in the absence of Executive Directors and One (01) session exclusively for Independent Non - Executive Directors in the absence of Executive Directors and Non-Independent Non-Executive Directors. Through regular meetings and those of the Board Sub-Committees, the Board of Directors evaluates the Company's performance in the best interests of all stakeholders. Close attention is given to financial performance, compliance with regulations, and risk management. The Board reviews and approves financial budgets, plans, and related resource requirements for the forthcoming financial period. Additionally, the Board meets with Executive Management as needed during the performance review of the Company. The Board of Directors ensure that they are aware of the applicable laws, rules, and regulations, and of changes, particularly to CBSL regulations, listing rules, and applicable market provisions.

BOARD SUB-COMMITTEES

The Board has delegated specific responsibilities to six specialised Board Sub-Committees in order to facilitate more focused review and oversight in key areas. These are:

- Board Audit Committee
- Board Integrated Risk Management Committee
- Board Nomination and Governance Committee
- Board Human Resource and Remuneration Committee
- Board Sustainability Committee
- Board Related Party Transaction Review Committee

These Committees comprise members of the Board and have been established in accordance with the Listing Rules of the Colombo Stock Exchange and the applicable Directions issued by the Central Bank of Sri Lanka. The reports of the respective Committees are included elsewhere in this Annual Report.

The Committees are entrusted with the review and consideration of matters falling within their respective mandates and provide well-considered recommendations to the Board. The Terms of Reference of each Committee are approved by the Board and clearly define their scope, responsibilities and authority. The Committees meet regularly, and the proceedings of such meetings are properly recorded by the respective Committee Secretaries and reported to the Board.

The composition of the Board during the year under review, together with attendance at Board and Board Sub-Committee meetings, is set out below.

MEETING MEMBERSHIP

Director / Category	Directorship Status	Board	Audit Committee	Intergraded Risk Management Committee	Related Party Transaction Review Committee	Human Resource and Remuneration Committee	Nomination and Governance Committee	Sustainability Committee	Non Executive Directors Meeting
Mr. G.B. Egodage	Non Executive/ Non-Independent	C	M	M	M	M	M	M	C
Mr. L.L.S. Wickremasinghe	Senior Director/Non Executive/ Independent	M	C	C	M	N/A	C	N/A	M/ C
Mr. R.S. Egodage	Executive	M	N/A	N/A	N/A	N/A	N/A	M	N/A
Ms. G.R. Egodage	Executive	M	N/A	N/A	N/A	N/A	N/A	M	N/A
Mr. P.S.R. Casie Chitty	Executive	M	N/A	N/A	N/A	N/A	N/A	C	N/A
Ms. G.A.M. Edwards	Non Executive/ Independent	M	M	M	C	C	M	N/A	M
Mr. F. Solbani (Resigned w.e.f. 28.11.2025)	Non Executive/ Non-Independent	M	N/A	N/A	N/A	N/A	N/A	N/A	M
Mr. W. D. Barnabas (Retired w.e.f. 03.05.2025)	Non Executive/ Independent	M	N/A	M	N/A	N/A	N/A	N/A	M
Dr(Ms). J.P. Kuruppu	Non Executive/ Independent	M	N/A	M	N/A	M	N/A	N/A	M
Ms. C. S. Jesudian (Appointed w.e.f. 13.06.2025)	Non Executive/ Independent	M	N/A	N/A	N/A	N/A	N/A	N/A	M
Mr. K. Singh (Appointed w.e.f. 14.01.2026)	Non Executive/ Non-Independent	M	N/A	N/A	N/A	N/A	N/A	N/A	M

C - Chairman/Chairperson
M- Member

CORPORATE GOVERNANCE

MEETING ATTENDANCE

Director / Category	Directorship Status	Board	Audit Committee	Intergraded Risk Management Committee	Related Party Transaction Review Committee	Human Resource and Remuneration Committee	Nomination and Governance Committee	Sustainability Committee
		Attended /Eligible	Attended / Eligible	Attended / Eligible	Attended / Eligible	Attended / Eligible	Attended / Eligible	Attended / Eligible
Mr. G.B. Egodage	Non Executive/ Non-Independent	16/16*	22/22**	12/12	08/08	08/08	06/06	02/02
Mr. L.L.S. Wickremasinghe	Non Executive/ Independent / Senior Director	17/17*	22/22**	12/12	08/08	N/A	06/06	N/A
Mr. R.S. Egodage	Executive	14/14	N/A	N/A	N/A	N/A	N/A	02/02
Ms. G.R. Egodage	Executive	14/14	N/A	N/A	N/A	N/A	N/A	02/02
Mr. P.S.R. Casie Chitty	Executive	14/14	N/A	N/A	N/A	N/A	N/A	02/02
Ms. G.A.M. Edwards	Non Executive/ Independent	17/17*	22/22**	12/12	08/08	08/08	06-06	N/A
Mr. F. Solbani (Resigned w.e.f. 28.11.2025)	Non Executive/ Non-Independent	11/11*	N/A	N/A	N/A	N/A	N/A	N/A
Mr. W. D. Barnabas (Retired w.e.f. 03.05.2025)	Non Executive/ Independent	02-02	N/A	02/02	N/A	N/A	N/A	N/A
Dr(Ms). J.P. Kuruppu	Non Executive/ Independent	16/17*	N/A	12/12	N/A	08/08	N/A	N/A
Ms. C. S. Jesudian (Appointed w.e.f. 13.06.2025)	Non Executive/ Independent	14/14*	N/A	N/A	N/A	N/A	N/A	N/A
Mr. K. Singh (Appointed w.e.f. 14.01.2026)	Non Executive/ Non-Independent	03/04*	N/A	N/A	N/A	N/A	N/A	N/A

* Includes two (02) sessions exclusively for Non- Executive Directors in the absence of Executive Directors and one (01) session for Independent - Non executive Directors in the absence of Executive Directors and Non-independent Non-executive Directors.

** Includes two meetings with the External Auditors in the absence of the Executive Directors and Management and one meeting with the Internal Audit team in the absence of the Executive Directors and Management and one meeting with the Finance team in the absence of the executive Directors and Internal Audit team.

ANNUAL PERFORMANCE EVALUATION

The Board in compliance with Finance Business Act Direction on Corporate Governance No.05 of 2021 conducts an annual performance of the sub-committees. Further, the Board adopted an annual self -assessment by each Director on individual performance and as of its Board as a whole. The Chairman of the CCFP Board is evaluated by Non-Executive Directors of the Company. The evaluation is carried out annually to determine the Chairman's effectiveness in discharging his assigned duties and responsibilities as the Board Chair. The performance of the CEO is assessed annually by the Chairman of the Board based on the agreed goals and objectives for a particular financial year, set at the commencement of that particular year.

OPERATIONAL AND RISK SUB-COMMITTEES

To ensure effective implementation of the Board's policies and decisions, regular meetings are conducted among operational management, functional heads, and branch leaders of the Company. These meetings concentrate on achieving operational targets, identifying resource needs, and assessing underlying processes and risks. The Company periodically holds meetings with all Key Responsible Persons (KRPs), providing a platform specifically for Independent KRPs to discuss their concerns and offer input on ongoing business and regulatory requirements.

The Assets and Liabilities Committee (ALCO) and various Risk Sub-Committees, such as those overseeing Information Technology, Information Security, and Credit, have been established to identify and review risk aspects related to the Company's operations while supporting to the board. These Sub-Committees comprise risk management and operational personnel who convene regularly to discuss matters and make decisions. The outcomes of these discussions and decisions are communicated to the Board Integrated Risk Management Committee (BIRMC).

COMPANY SECRETARY

The Company Secretary is responsible for providing secretarial support to the Board and its Sub-Committees. The Company Secretary plays a pivotal role in ensuring compliance with the Companies Act No. 07 of 2007, the applicable regulations of the CBSL and the CSE, and other relevant statutory and regulatory requirements.

The Company Secretary is also responsible for advising the Board on governance matters, ensuring adherence to Board procedures, facilitating the timely flow of information to the Board and shareholders, and maintaining proper records of Board and Committee proceedings. The appointment and removal of the Company Secretary is a matter reserved exclusively for the Board of Directors.

COMPLIANCE AND TRAINING

The Directors are kept informed and appropriately equipped through continuous training, professional development, structured induction programmes and regular updates on regulatory, economic and industry developments.

These training and awareness initiatives cover key areas such as corporate governance, information technology and information security, anti-money laundering and sustainability, including matters relating to SLFRS S1 and SLFRS S2. Such programmes support ethical conduct, sound decision-making and compliance with applicable legal and regulatory requirements.

Through these initiatives, the Company seeks to ensure that Directors and employees remain well informed of relevant regulatory obligations, internal policies and good practices necessary to support effective governance and responsible operations.

COMMUNICATION WITH STAKEHOLDERS

The Company strives at all times to maintain its corporate credibility and instill investor and other stakeholders confidence in the Company by practicing a structured Communication Policy approved by the Board which covers all stakeholders; including depositors, creditors, shareholders, borrowers and potential customers. It spells out the process through which timely, transparent, consistent, and credible information on corporate strategies, operational performance, and financial data is disseminated.

CORPORATE CULTURE

The Company is committed to upholding the highest standards of corporate governance while practicing the industry's best practices and continually seeks ways to enhance our governance practices. We integrate these requirements with our principle-based culture, ensuring our actions consistently reflect our purpose, shared values, and commitments to these principles. As a company dedicated to cultivating leaders who uplift lives through simple acts of love, the Company upholds this purpose with unwavering determination. This purpose guides our actions and inspires us to make a positive impact every day, further encouraging others to live in alignment with the Company's purpose through shared values and principles.

INTERNAL CONTROL

The Board has, over time, established a comprehensive system of internal controls Including internal control over financial reporting and compliance with internal/ external regulations. The Board Audit Committee (BAC) is charged with oversight of this key function. An independent Internal Audit function provides support and assurance in accordance with the annual audit plan which is approved annually by BAC. The BAC monitors progress of the same, reviews the internal audit reports and monitors implementation of recommendations. BAC also conducts an Independent meeting with the Chief Internal Auditor, Finance Team and external auditors annually to discuss any potential areas of concern.

WHISTLE BLOWING POLICY

All employees are able to report any occurrences or suspected wrongdoing that may harm the Company, its employees, customers, or other stakeholders through the company's Board approved Whistle-Blowing Policy. Employees are encouraged to adhere to this policy in order to maintain integrity within the company. The company's Human Resource Information System (HRIS) has a unique feature that enables workers

CORPORATE GOVERNANCE

to anonymously report problems to any staff member, including executive directors. Furthermore, employees have access to an exclusive email channel where they can address concerns with the Board of Directors directly.

Awareness of the whistle-blower policy is emphasized during the induction program for all new employees. Senior Management periodically conducts awareness programs to encourage staff to raise genuine concerns. Moreover, the company has established a dedicated network called the Confidant Network, where each branch has a confidant available to support employees. This network enables employees to confidentially share their concerns or grievances and escalate issues to the relevant authorities as needed.

CONFLICTS OF INTEREST

The Company recognises the importance of identifying, disclosing and appropriately managing actual, potential or perceived conflicts of interest in order to uphold integrity and ensure objective decision-making. Directors and employees are expected to act in the best interests of the Company and to avoid situations in which personal interests may conflict, or appear to conflict, with the interests of the Company. Appropriate policies, procedures and disclosure mechanisms are in place to identify and manage conflicts of interest, and where necessary, the relevant individual is required to abstain from participating in discussions and decisions on the matter concerned.

GROUP GOVERNANCE

The Company's Governance Framework outlines precise tasks and responsibilities for Group Governance, which is responsible for supervising and putting into practice group-wide policies that effectively protect the interests of the Group's stakeholders. The Board and the BIRMC regularly assess the possible risks, which may arise in subsidiary companies and have developed the necessary procedures to identify potential risks and to take timely action to minimize such risks.

CLIMATE-RELATED RISKS AND OPPORTUNITIES (CRRO) DISCLOSURES

The Company is committed to ensuring transparent, consistent and meaningful reporting of climate-related risks and opportunities in accordance with applicable sustainability disclosure requirements. Accordingly, the Company has presented its climate-related disclosures in line with the Sri Lanka Sustainability Disclosure Standards, SLFRS S2 – Climate-related Disclosures.

These disclosures provide stakeholders with an overview of the manner in which the Company identifies, assesses, monitors and manages climate-related risks and opportunities that may influence its operations, strategy and long-term sustainability. They also reflect the Company's approach to responding to emerging developments associated with the transition to a lower-carbon economy.

The Company's broader sustainability and social responsibility initiatives are supported by an internal governance framework that promotes responsible business conduct and sustainable value creation. In this context, the Company remains guided by the United Nations Sustainable Development Goals (SDGs) and seeks to contribute towards inclusive growth through responsible investment, capacity development and constructive stakeholder engagement. This approach is founded on principles of non-discrimination, equal opportunity and positive community impact, while integrating environmental responsibility, social consciousness and ethical governance into the Company's long-term strategic outlook.

INFORMATION TECHNOLOGY AND INFORMATION SECURITY GOVERNANCE

As part of our commitment to safeguarding Commercial Credit and Finance PLC (CCFP) assets and customer data, we continuously assess and enhance our information security posture. This year, we have made substantial progress in reinforcing our Information Security, cybersecurity defenses and adapting to the evolving threat landscape. Our information security posture encompasses our strategic approach to managing, mitigating, and responding to cyber risks, ensuring that our digital infrastructure is resilient and that sensitive information is protected to serve our customers secure facilities all the time when it is needed.

- **Governance and Risk Management :** A strong information security posture starts with robust governance and risk management frameworks. Our organization has implemented a comprehensive Information Security Management System (ISMS) based on international standards, such as ISO 27001, to align our policies, procedures, and practices with global best practices.

- **Cyber Resilience and Incident Response :** Cyber threats are dynamic, and our response to them must be just as adaptive. Our organization has invested in building a resilient cybersecurity framework based on international standards, such as NIST Cyber Security Framework (NIST CSF), enabling us to rapidly detect, respond to, and recover from any cyber incidents. This includes deploying advanced monitoring tools, conducting 24*7 real-time threat detection, and implementing incident response plans that are regularly tested and updated with a Security Operation Center (SOC).

- **Data Privacy and Regulatory Compliance :** Protecting the privacy of customer and employee data is one of our top priorities. We have implemented robust data protection measures that ensure the confidentiality, integrity, and availability of sensitive information. We also ensure compliance with relevant data protection laws and regulations, such as Sri Lanka Central Bank regulations and the Personal Data Protection Act (PDPA) along with CCFP internal Policies and Procedures. Regular audits and assessments are conducted to ensure that our practices remain in compliance with these laws, and we stay ahead of any regulatory changes.

- **IT Business Continuity Management System (BCMS) :** Recognizing that the impact of a cyberattack, natural disaster, or other unforeseen disruption can severely affect operations, we have integrated our information security posture with an IT Business Continuity Management System (BCMS). This ensures that we not only protect our assets from security breaches but also have a well-defined strategy to maintain operations during times of crisis. Our BCMS is based on industry-leading frameworks, such as ISO 22301, and is designed to ensure that critical business functions remain operational, even in the face of a disruption.

- **Third-Party Risk Management :** In an increasingly interconnected world, third-party relationships pose a significant cybersecurity risk. We carefully evaluate and manage the security posture of our third-party vendors and partners to ensure that their practices align with our security standards. This includes conducting security assessments, reviewing contractual obligations, and requiring compliance with our security protocols.

Information security is an ongoing journey, and we remain steadfast in our commitment to continuously strengthening our security posture. We conduct regular security audits and assessments that offer critical insights into potential vulnerabilities and opportunities for enhancement. Our cybersecurity architecture is reviewed periodically to integrate emerging technologies and industry best practices, enabling us to proactively address evolving threats. We maintain 24/7 monitoring of our systems through a combination of internal mechanisms and trusted third-party tools, ensuring real-time threat detection and swift incident response.

Our information security framework underscores our dedication to safeguarding sensitive data, maintaining business continuity, and building lasting trust with our customers, partners, and stakeholders. Through comprehensive risk management, resilient infrastructure, continuous employee training, and a culture of continuous improvement, we are well-equipped to meet the dynamic challenges of the cyber-security landscape. Looking ahead, we will continue to enhance our defenses, uphold regulatory compliance, and empower our teams to sustain a secure and resilient environment for all.

COMPLIANCE WITH LEGAL REQUIREMENTS

All Directors have access to the guidance and support of the Company Secretary, as well as access to the financial information of the Company and external consultants, if necessary and at the Company's expense. Directors strive to uphold compliance with relevant laws and regulations. Additionally, the Company has appointed a Compliance Officer to enhance adherence to regulatory and statutory requirements governing the Company's operations.

HIGHLIGHTS FOR 2025/26

- **Directors' Appointment/ Re-designation / Re-appointments/ Re- election**

- Mr. P S R C Chitty,Executive Director of the Company who was first appointed to the Board on 29th December 2015 was re-elected at the Annual General Meeting held on 30 th September 2025.

- Mr. L L S Wickremasinghe appointed as an Independent Non - Executive Director of the Company with effect from 26th June 2019 was re-elected at the Annual General Meeting held on 30th September 2025 .

- Ms. G A M Edwards appointed as an Independent Non-Executive Director of the Company with effect from 01st July 2021 was re-elected at the Annual General Meeting held on 30th September 2025

- Ms. C S Jesudian was appointed as an Independent Non-Executive Director of the Company with effect from 13th June 2025.

- Mr. K Singh was appointed as a Non - Independent Non - Executive Director of the Company with effect from 14th January 2026.

- **Director Retirement / Resignation**

- Mr. W. D. Barnabas, Independent Non-Executive Director of the Company retired with effect from 03rd May 2025.

- Mr. F. A. P. L. Solbani,Non - Independent Non-Executive Director of the Company resigned with effect from 28th November 2025

- **Appointment of Subcommittee Chairpersons**

- Mr. P.S.R.C Chitty has been appointed as the Chair of the Board Sustainability Committee, effective from 30th December 2025

- **Appointment of New Subcommittee**

- Board has established a new Board Sustainability committee to overlook the company sustainability related matters and address the Board oversight.

- **Appointment of Auditors**

- KPMG, Chartered Accountants were Re Appointed as the external Auditors of the company at the AGM held on 30th September 2025

- Appointment of KPMG, Chartered Accountants for assessment of Corporate Governance and Compliance

- The Company engaged the services of KPMG, Chartered Accountants to seek their assessment of the Company's compliance with the requirements of the Corporate Governance Direction issued by the CBSL.

- Appointment of KPMG Chartered Accountants for Certification on the process adapted by the Directors on the system of Internal Controls over Financial Reporting.

- The Company also engaged the services of KPMG, Chartered Accountants to seek an assurance on the process adopted by the Directors on the system of internal control over financial reporting.

CORPORATE GOVERNANCE

GOVERNANCE ROAD MAP FOR 2026/27

As part of its ongoing commitment to sound governance, the Board has identified several priority areas for the forthcoming year, with emphasis on strengthening oversight, reinforcing accountability and ensuring continued compliance with evolving regulatory, disclosure and operational requirements.

SUSTAINABILITY REPORTING AND GOVERNANCE

The Company will continue to enhance the frameworks, processes and internal controls necessary to support compliance with the Sri Lanka Sustainability Disclosure Standards. Focus will be placed on improving the quality, completeness and consistency of sustainability-related disclosures in the Annual Report and other relevant reporting channels. The Board and Management will also continue to strengthen oversight mechanisms to support the effective implementation of sustainability-related governance and reporting practices across the organisation.

PERSONAL DATA PROTECTION AND INFORMATION GOVERNANCE

The Company will continue to strengthen its readiness and compliance arrangements in relation to the Personal Data Protection Act (PDPA) through the enhancement of data governance, procedural controls and supporting technological safeguards. The Board will continue to oversee initiatives aimed at improving personal data protection, reinforcing information governance practices and strengthening the Company's broader information security framework.

DIGITALISATION AND TECHNOLOGY ENABLEMENT

The Company will continue to advance its digitalisation agenda with the objective of improving operational efficiency, service delivery and internal governance processes. This includes the further enhancement of in-house systems, digital platforms and technology-driven processes to support timely decision-making, stronger control environments and improved customer experience. The Company also intends to explore and introduce appropriate assistive and enabling technologies for both customers and internal users, with a view to enhancing accessibility, convenience, service responsiveness and operational effectiveness across key business functions.

AML/CFT COMPLIANCE AND PREPAREDNESS

The Company will continue to enhance its anti-money laundering and counter-terrorist financing framework to ensure that it remains responsive to regulatory expectations and evolving risk trends. Ongoing attention will be given to strengthening risk-based controls, governance arrangements, record keeping, employee awareness and the effectiveness of compliance monitoring processes across the organisation.

Through these initiatives, the Board aims to further enhance transparency, accountability and operational effectiveness, while reinforcing a strong culture of governance and compliance throughout the Company.

COMPLIANCE WITH FINANCE COMPANIES DIRECTION

Compliance with the Finance Business Act Directions No.05 of 2021 on corporate governance issued by the central bank of Sri Lanka for licensed finance companies.

COMPLIANCE WITH THE FINANCE BUSINESS ACT DIRECTIONS NO.05 OF 2021 ON CORPORATE GOVERNANCE ISSUED BY THE CENTRAL BANK OF SRI LANKA FOR LICENSED FINANCE COMPANIES.

Section	Direction		Status of Compliance
1	**Overall responsibilities of the Board**		
	The Board shall have overall responsibility and accountability for the Finance Company (FC), by setting up the strategic direction, governance framework, establishing corporate culture and ensuring compliance with regulatory requirements. The Board shall carry out the functions listed in Direction 1.2 to 1.7 below in effectively discharging its responsibilities.		The Board of Directors (Board) provides strategic leadership and direction to the Company, ensuring that strategies are crafted and implemented to consistently drive the Company towards its Purpose, Vision, and Mission, in harmony with our Shared Values. Additionally, the Board has instituted a robust governance framework and ensures strict compliance with regulatory requirements.
1.2	**Business Strategy and Governance Framework**		
	a)	Approving and overseeing the implementation of the FC's overall business strategy with measurable goals for next three years and update it annually in view of the developments in the business environment.	Overall business strategy with measurable goals for next three financial years (2026/27,2027/28,2028/29) was approved by the Board of Directors on 31.03 2026.
	b)	Approving and implementing FC's governance framework commensurate with the FC's size, complexity, business strategy and regulatory requirements.	The required policies and procedures for the Governance framework are in place.
	c)	Assessing the effectiveness of its governance framework periodically.	The effectiveness of the governance policies is monitored by the Internal Audit Department, which reports to the Board Audit Committee through their routine audits.
	d)	Appointing the Chairperson and the Chief Executive Officer (CEO) and define the roles and responsibilities.	The Chairman and the CEO are appointed by the Board, and their functions and responsibilities are defined and approved by the Board of Directors.The Chairman and Chief Executive positions are held by two individuals, and the functions of the Chairman and the Chief Executive are clearly documented on a policy document and separated by the Board, thereby preventing unfettered powers for decision making being vested in one individual. There is a clear division of responsibilities between conducting the business of the Board and the day-to-day operations of the Company in order to ensure a balance of power and authority.The Chairman is responsible for leading the Board and ensuring its effectiveness. The Chief Executive Officer (CEO) 's role is primarily to conduct the business operations of the Company with the help of Senior Management.
1.3.	**Corporate Culture and Values**		
	a)	Ensuring that there is a sound corporate culture within the FC, which reinforces ethical, prudent and professional behavior.	The company maintains a shared value-based, sound corporate culture that reinforces ethical, prudent, and professional behavior. The underlying component that has attributed to the company's continuous success through the years is the company's shared values and unique principle-based culture. A Board approved Ethical Framework (Code of Conduct) for employees is in place.
	b)	Playing a lead role in establishing the FC's corporate culture and values, including developing a code of conduct and managing conflicts of interest.	The Board plays a leading role in establishing the corporate culture and values. They have adopted an ethical framework (Code of Conduct) and policy to effectively manage conflicts of interest.
	c)	Promoting sustainable finance through appropriate environmental, social and governance considerations in the FC's business strategies.	The Board approved sustainable finance policy is in place. The strategic plan of the company also includes the integration of sustainable development activities .

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Section	Direction		Status of Compliance
	d)	Approving the policy of communication with all stakeholders, including depositors, shareholders, borrowers and other creditors, in the view of projecting a balanced view of the FC's performance, position and prospects in public and regulators.	The Board is dedicated to maintain effective communication for the best interest of all stakeholders of the company. Further the Board has adopted policy on communication in line with the regulatory requirements.
1.4.	**Risk Appetite, Risk Management and Internal Controls**		
	a)	Establishing and reviewing the Risk Appetite Statement (RAS) in line with FC's business strategy and governance framework.	The Board approved Risk Appetite Statement (RAS) is in place that is in line with the Company's business strategy and governance framework.
	b)	Ensuring the implementation of appropriate systems and controls to identify, mitigate and manage risks prudently.	The Board of Directors, through the Board Integrated Risk Management Committee (BIRMC) has adopted processes to identify, mitigate and manage risk pertaining to credit, market, operational, and other residual risks of the company.
	c)	Adopting and reviewing the adequacy and the effectiveness of the FC's internal control systems and management information systems periodically.	The Board of Directors, through the Board Audit Committee (BAC) has adopted and reviewed the adequacy and the effectiveness of the company's internal control systems and management information systems (MIS).
	d)	Approving and overseeing business continuity and disaster recovery plan for the FC to ensure stability, financial strength, and preserve critical operations and services under unforeseen circumstances.	The Board approved business continuity and disaster recovery plan is in place to ensure stability, financial strength, and preserve critical operations and services under unforeseen circumstances.
1.5.	**Board Commitment and Competency**		
	a)	All members of the Board shall devote sufficient time on dealing with the matters relating to affairs of the FC.	The Board has devoted sufficient time on dealing with the matters relating to affairs of the company by attending monthly Board meetings and other sub-committee meetings. Please refer to the record of the attendance at Board meetings and Board Sub-Committee meetings.
	b)	All members of the Board shall possess necessary qualifications, adequate skills, knowledge, and experience.	All members of the Board possess proven track records, necessary skills, knowledge, and experience. Please refer to the Board of Directors' profiles in this annual report.
	c)	The Board shall regularly review and agree the training and development needs of all the members.	The Board has recognized the need for continuous training and actively participates in professional development to enhance their capabilities in carrying out their duties as Directors. Furthermore, the Board has adopted the policy on "Composition, Independence, and Capacity Building of the Board of Directors."Any training programs relevant to the Board are communicated to the Board by the Company Secretary for the Directors' participation.
	d)	The Board shall adopt a scheme of self-assessment to be undertaken by each director annually on individual performance, of its Board as a whole and that of its committees and maintain records of such assessments.	A procedure is in place for self-assessments to be undertaken annually by each Director, as well as by the Board as a whole and its committees. The summary of assessment were discussed at the Board and the records of these assessments are maintained by the Company Secretary.
	e)	The Board shall resolve to obtain external independent professional advice to the Board to discharge duties to the FC.	The Board approved procedure in seeking independent professional advice is in place.

Section	Direction		Status of Compliance
1.6.	**Oversight of Senior Management**		
	a)	Identifying and designating senior management, who are in a position to significantly influence policy, direct activities and exercise control over business operations and risk management.	The Board of Directors has identified and designated personnel who hold significant influence over policy, direct activities, and exercise control over business activities as Key Responsible Persons (KRPs) in line with the directives of the Central Bank of Sri Lanka (CBSL).
	b)	Defining the areas of authority and key responsibilities for the senior management.	The company has approved areas of key responsibilities and has defined specific areas of key responsibilities for management KRPs.
	c)	Ensuring the senior management possess the necessary qualifications, skills, experience and knowledge to achieve the FC's strategic objectives.	The Board has ensured that management KRPs possess the necessary qualifications, skills, experience, and knowledge to effectively perform their job duties and contribute to the achievement of the company's strategic objectives. Further Management KRPs are recommended by the Board Nomination Committee for Board approval and fit & proper assessment of CBSL.
	d)	Ensuring there is an appropriate oversight of the affairs of the FC by senior management.	The Board has ensured that the management KRPs are providing appropriate oversight of the company's affairs. Additionally, the management KRPs make regular presentations to the Board and its sub-committees to ensure effective performance of the company.
	e)	Ensuring the FC has an appropriate succession plan for senior management.	The Board approved succession plan for management KRPs is in place.
	f)	Meeting regularly with the senior management to review policies, establish lines of communication and monitor progress towards strategic objectives.	The Executive Directors ,Chief Operating Officer ,Chief Financial Officer and Deputy Chief Executive Officer are called to regular Board Meetings to review policies and monitor the progress towards the corporate objectives. The management KRPs attend Board meetings and its subcommittee meetings on invitation to review policies, establish in lines of communication and monitor progress towards strategic objectives.
1.7.	**Adherence to the Existing Legal Framework**		
	a)	Ensuring that the FC does not act in a manner that is detrimental to the interests of and obligations to, depositors, shareholders and other stakeholders.	The Board has adopted a governance framework in line with regulatory requirements to ensure that the company does not engage in any actions that are detrimental to any of its stakeholders.
	b)	Adherence to the regulatory environment and ensuring compliance with relevant laws, regulations, directions and ethical standards.	The company adheres to all applicable regulatory requirements, including directives issued by the Central Bank of Sri Lanka (CBSL) and the Colombo Stock Exchange (CSE). Furthermore, the company has adopted an ethical framework (Code of Conduct) that applies to all employees, ensuring that the company maintains the highest ethical standards. All concerns raised by the CBSL are being addressed.
	c)	Acting with due care and prudence, and with integrity and be aware of potential civil and criminal liabilities that may arise from their failure to discharge the duties diligently.	The Board is fully aware of the potential civil and criminal liabilities that may arise from their failure to diligently discharge their duties. Furthermore, the company has obtained Directors & Officers liability insurance cover to mitigate civil liabilities.
2.	**Governance Framework**		
2.1.	Board shall develop and implement a governance framework in line with these directions and including but not limited to the following.		
	a)	Role and responsibilities of the Board	Policy on responsibility of the Board of Directors is in place.
	b)	Matters assigned for the Board.	Policy on matters reserved for the Board of Directors is in place.
	c)	Delegation of authority.	The Board approved delegation of authority is in place.
	d)	Composition of the Board.	Policy on composition, independence and capacity building of Board of Directors is in place.

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Section	Direction		Status of Compliance
	e)	The Board's independence.	Policy on composition, independence and capacity building of Board of Directors is in place.
	f)	The nomination, election and appointment of directors and appointment of senior management.	Policy on the nomination, election, appointment of Directors and other key responsible persons is in place.
	g)	The management of conflicts of interests.	Policy on conflict of interest is in place.
	h)	Access to information and obtaining independent advice.	Procedure for seeking independent professional advice is in place.
	i)	Capacity building of Board members.	Policy on composition, independence and capacity building of Board of Directors is in place.
	j)	The Board's performance evaluation.	The Board performance evaluation mechanism is in place.
	k)	Role and responsibilities of the Chairperson and the CEO.	Policy on functions and responsibilities of Chairperson and Chief Executive Officer is in place.
	l)	Role of the company secretary.	The policy on the role of the Company Secretary is in place.
	m)	Board sub committees and their role; and	Policy on Board Sub Committee is in place. The company has established five Board Committees, namely the Audit Committee, Integrated Risk Management Committee, Related Party Transactions Review Committee, Remuneration Committee, and Nomination Committee. Further the board has adopted charters for each aforementioned subcommittees.
	n)	Limits on related party transactions.	Policy on related party transaction is in place.
3.	**Composition of the Board**		
3.1.	The Board's composition shall ensure a balance of skills and experience as may be deemed appropriate and desirable for the requirements of the size, complexity and risk profile of the FC.		All members of the Board possess extensive experience, qualifications, sufficient skills, and knowledge in their respective fields. Please refer to the Board of Directors' profiles in this annual report.
3.2.	The number of directors on the Board shall not be less than seven (07) and not more than thirteen (13).		During the year, the Board comprised a minimum of 7 and a maximum of 13 Directors, in accordance with the regulatory requirement. As of March 31, 2026, the Board consists of nine (9) Directors. ■ Mr. G.B. Egodage (NI/NED- appointed as the Chairman w.e.f 17.11.2022) ■ Mr. L.L.S. Wickremasinghe (IND/NED-Senior Director) ■ Mr. R.S. Egodage (ED/CEO) ■ Ms. G.R. Egodage (ED) ■ Mr. P.S.R. Casie Chitty (ED) ■ Ms .G.A.M. Edwards (IND/NED) ■ Mr. F. A. P. L. Solbani (NI/NED) - resigned w.e.f 28-11-2025) ■ Mr. W. D. Barnabas (IND/NED Retired w.e.f 03-05-2025) ■ Dr (Ms). J.P. Kuruppu (IND/NED) ■ Ms. C. S. Jesudian (IND/NED appointed w.e.f 13-06-2025) ■ Mr. K. Singh (NI/NED) - appointed w.e.f 14-01-2026) Please refer to the section on the composition of the Board and meeting attendance in this annual report.

Section	Direction		Status of Compliance
3.3.	The total period of service of a director other than a director who holds the position of CEO/executive director shall not exceed nine years, subject to direction 3.4.		None of the Non-Executive Directors have held office for more than nine (9) years.
3.4.	Non-executive directors, who directly or indirectly holds more than 10% of the voting rights or who appointed to represent a shareholder who directly or indirectly holds more than 10% of the voting rights by producing sufficient evidence are eligible to hold office exceeding 9 years of service with prior approval of Director, Department of Supervision of Non-Bank Financial Institutions subject to provisions contained in direction 4.2 and 4.3. Provided, however number of non- executive directors eligible to exceed 9 years are limited to one-fourth (¼) of the total number of directors of the Board.		None of the Non-Executive directors of the Company have exceeded nine years of service as at 31 March 2026.
3.5.	**Executive Directors**		
	a)	Only an employee of a FC shall be nominated, elected and appointed, as an executive director of the FC, provided that the number of executive directors shall not exceed one-third (1⁄3) of the total number of directors of the Board.	The number of Executive Directors does not exceed one-third (1/3) of the total number of Directors on the Board. Currently, there are (3) three Executive Directors, and all of them are employees of the company.
	b)	A shareholder who directly or indirectly holds more than 10% of the voting rights of the FC, shall not be appointed as an executive director or as senior management. Provided however, existing executive directors with a contract of employment and functional reporting line and existing senior management are allowed to continue as an executive director/senior management until the retirement age of the FC and may reappoint as a non-executive director subject to provisions contained in direction 4.2 and 4.3. Existing executive directors without a contract of employment and functional reporting line need to step down from the position of executive director from the effective date of this direction and may reappoint as a non-executive director subject to provisions contained in direction 4.2 and 4.3.	The company has complied with the requirement as all existing Executive Directors have contracts of employment and functional reporting lines in place.
	c)	In the event of presence of the executive directors, CEO shall be one of the executive directors and may be designated as the managing director of the FC.	The CEO is one of the Executive Directors.
	d)	All Executive directors shall have a functional reporting line in the organization structure of the FC.	All Executive Directors have a clear functional reporting line within the organizational structure of the company.
	e)	The executive directors are required to report to the Board through CEO.	Executive Directors are reporting to the Board through the CEO.
	f)	Executive directors shall refrain from holding executive directorships or senior management positions in any other entity.	The Executive Directors have not held any executive directorships or senior management positions in any other entities.

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Section	Direction		Status of Compliance
3.6.	**Non-Executive Directors**		
	a)	Non-executive directors shall possess credible track records, and have necessary skills, competency and experience to bring independent judgment on the issues of strategy, performance, resources and standards of business conduct.	The Non-Executive Directors of the Company possess extensive experience and skills in their respective fields. Please refer to the Board of Directors' profiles in this annual report.
	b)	A non-executive director cannot be appointed or function as the CEO/executive director of the FC.	None of the Non-Executive Directors are appointed or function as the Executive Directors or CEO of the Company.
3.7.	**Independent Directors**		
	a)	The number of independent directors of the Board shall be at least three (03) or one-third (1/3) of the total number of directors, whichever is higher.	The number of Independent Non-Executive Directors is in compliance with the regulatory requirement that at least 3 or one third (1/3) of the total number of Directors on the Board as there were four Independent Non-Executive Directors as end of the reporting period. Please refer to the section on the composition of the Board and meeting attendance in this annual report.
	b)	Independent directors appointed shall be of highest caliber, with professional qualifications, proven track record and sufficient experience.	All Independent Non-Executive Directors of the Company possess, professional qualifications, a proven track record, and substantial experience in their respective fields. A brief profile of their expertise and experience is given on the annual report board of directors profile. Please refer to the Board of Directors' profiles in this annual report.
	c)	A non-executive director shall not be considered independent if such: i. Director has a direct or indirect shareholding exceeding 5% of the voting rights of the FC or exceeding 10% of the voting rights of any other FC. ii. Director or a relative has or had during the period of one year immediately preceding the appointment as director, material business transaction with the FC, as described in direction 12.1(c) hereof, aggregate value outstanding of which at any particular time exceeds 10% of the stated capital of the FC as shown in its last audited statement of financial position. iii. Director has been employed by the FC or its affiliates or is or has been a director of any of its affiliates during the one year, immediately preceding the appointment as director. iv. Director has been an advisor or consultant or principal consultant/advisor in the case of a firm providing consultancy to the FC or its affiliates during the one year preceding the appointment as director.	All Independent Non-Executive Directors have complied with the independence requirements as specified by the regulatory direction. Further, the company has adopted policy on composition, independence and capacity building of Board of Directors to determine the independence factors of the Non- Executive Directors.

Section	Direction		Status of Compliance
		v. Director has a relative, who is a director or senior management of the FC or has been a director or senior management of the FC during the one year, immediately preceding the appointment as director or holds shares exceeding 10% of the voting rights of the FC or exceeding 20%of the voting rights of another FC. vi. Director represents a shareholder, debtor, creditor or such other similar stakeholder of the FC. vii. Director is an employee or a director or has direct or indirect shareholding of 10% or more of the voting rights in a company, in which any of the other directors of the FC is employed or is a director. viii. Director is an employee or a director or has direct or indirect shareholding of 10% or more of the voting rights in a company, which has a transaction with the FC as defined in direction 12.1(c), or in which any of the other directors of the FC has a transaction as defined in direction 12.1(c), aggregate value outstanding of which at any particular time exceeds 10% of the stated capital as shown in its last audited statement of financial position of the FC.	
	d)	The nomination committee and Board should determine whether there is any circumstance or relationship, which is not listed at direction 3.7, which might impact a director's independence, or the perception of the independence.	No such circumstance transpired during the reporting period.
	e)	An independent director shall immediately disclose to the Board any change in circumstances that may affect the status as an independent director. In such a case, the Board shall review such director's designation as an independent director and notify the Director, Department of Supervision of Non-Bank Financial Institutions in writing of its decision to affirm or change the designation.	No such circumstance transpired during the reporting period. Declarations have been obtained from the Directors regarding the status of their independence / non-independence against the specified criteria, and copies of the same are under the custody of the Company Secretary for review.

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Section	Direction		Status of Compliance
3.8.	**Alternate Directors**		
	a)	Representation through an alternate director is allowed only; i) With prior approval of the Director, Department of Supervision of Non-Bank Financial Institutions under Finance Business Act (Assessment of Fitness and Propriety of Key Responsible Persons) or as amended; and ii) If the current director is unable to perform the duties as a director due to prolonged illness or unable to attend more than three consecutive meetings due to being abroad.	No such circumstance transpired during the reporting period.
	b)	The existing directors of the FC cannot be appointed as an alternate director to another existing director of the FC.	
	c)	A person appointed as an alternate director to one of the directors cannot extend the role as an alternate director to another director in the same Board.	
	d)	An alternate director cannot be appointed to represent an executive director.	
	e)	In the event an alternate director is appointed to represent an independent director, the person so appointed shall also meet the criteria that apply to an independent director.	
3.9.	**Cooling off Periods**		
	a)	There shall be a cooling off period of six months prior to an appointment of any person as a director, CEO of the FC, who was previously employed as a CEO or director, of another FC. Any variation thereto in exceptional circumstances where expertise of such persons requires to reconstitute a Board of a FC which needs restructuring, shall be made with prior approval of the Monetary Board.	No such circumstance transpired during the reporting period.
	b)	A director, who fulfills the criteria to become an independent director, shall only be considered for such appointment after a cooling off period of one year if such director has been previously considered as non-independent under the provisions of this Direction.	
3.10.	**Common Directorships**		
	Director or a senior management of a FC shall not be nominated, elected or appointed as a director of another FC except where such FC is a parent company, subsidiary company or an associate company or has a joint arrangement with the first mentioned FC subject to conditions stipulated in Direction 3.5(f).		No such circumstance transpired during the reporting period.

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3.11.	The Board shall determine the appropriate limits for directorships that can be held by directors. However, a director of a FC shall not hold office as a director or any other equivalent position (shall include alternate directors) in more than 20 companies/societies/bodies, including subsidiaries and associates of the FC.	According to the declarations given by the directors for the year 2025/26. There are no Directors who hold Directorship in more than twenty (20) companies/ societies / bodies / corporate including associate companies and subsidiaries of the company.
4.	**Assessment of Fitness and Propriety Criteria**	
4.1.	No person shall be nominated, elected or appointed as a director of the FC or continue as a director of such FC unless that person is a fit and proper person to hold office as a director of such FC in accordance with the Finance Business Act (Assessment of Fitness and Propriety of Key Responsible Persons) Direction or as amended.	The Board has appointed Directors in accordance with the policy on the nomination, election, and appointment of Directors and other key responsible persons, which aligns with the Finance Business Act (Assessment of Fitness and Propriety of Key Responsible Persons) Direction.
4.2.	A person over the age of 70 years shall not serve as a director of a FC.	There are no Directors who are over seventy (70) years of age during the financial year ended 31st March 2026.
4.3.	Notwithstanding provisions contained in 4.2 above, a director who is already holding office at the effective date of this direction and who attains the age of 70 years on or before 31.03.2025, is permitted to continue in office as a director, exceeding 70 years of age up to maximum of 75 years of age subject to the following,	No such situation has arisen during the financial year 2025/26.
	a) Assessment by the Director/Department of Supervision of Non-Bank Financial Institutions on the fitness and propriety based on the criteria specified in the Finance Business Act (Assessment of Fitness and Propriety of Key Responsible Persons) Direction.	No such situation has arisen during the financial year 2025/26.
	b) Prior approval of the Monetary Board based on the assessment of the Director/Department of Supervision of Non-Bank Financial Institutions in 4.3(a).	
	c) The maximum number of directors exceeding 70 years of age is limited to one-fifth (1/5) of the total number of directors.	
	d) The director concerned shall have completed a minimum period of 3 continuous years in office, as at the date of the first approval.	
5.	**Appointment and resignation of directors and senior management**	
5.1.	The appointments, resignations or removals shall be made in accordance with the provisions of the Finance Business Act (Assessment of Fitness and Propriety of Key Responsible Persons) Direction.	The Company has complied with the provisions outlined in Finance Business Act Direction No. 6 of 2021 concerning the assessment of fitness and propriety of Key Responsible Persons for appointments, resignations, or removals.
6.	**The Chairperson and the CEO**	
6.1.	There shall be a clear division of responsibilities between the chairperson and CEO and responsibilities of each person shall be set out in writing.	The responsibilities of the Chairman and the CEO are clearly separated and documented in the policy on the functions and responsibilities of the Chairperson and Chief Executive Officer.

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6.2.	The chairperson shall be an independent director, subject to 6.3 below.	The Chairman holds the position of a Non-Independent Non-Executive Director, and the company has appointed one of the Independent Directors as a Senior Director with appropriate terms of reference. The performance of the Chairman has been assessed for the financial year 2025/2026.
6.3.	In case where the chairperson is not independent, the Board shall appoint one of the independent directors as a senior director, with suitably documented terms of reference to ensure a greater independent element. Senior director will serve as the intermediary for other directors and shareholders. Non-executive directors including senior director shall assess the chairperson's performance at least annually.	
6.4.	**Responsibilities of the Chairperson** The responsibilities of the chairperson shall at least include the following: a) Provide leadership to the Board. b) Maintain and ensure a balance of power between executive and non-executive directors. c) Secure effective participation of both executive and non-executive directors. d) Ensure the Board works effectively and discharges its responsibilities. e) Ensure all key issues are discussed by the Board in a timely manner. f) Implement decisions/directions of the regulator. g) Prepare the agenda for each Board Meeting and may delegate the function of preparing the agenda and to maintaining minutes in an orderly manner to the company secretary. h) Not engage in activities involving direct supervision of senior management or any other day to day operational activities. i) Ensure appropriate steps are taken to maintain effective communication with shareholders and that the views of shareholders are communicated to the Board. j) Annual assessment on the Performance and the contribution during the past 12 months of the Board and the CEO.	The Board-approved policy on the functions and responsibilities of the Chairperson includes the requirement of the regulations. Furthermore, performance of the Chairperson has been assessed by the Non-executive Board members. Company Secretary prepares the agenda in consultation with the Chairman, as this function has been delegated to the Company Secretary by the Chairman. The Board approved policy is in place for communication with all stakeholders including depositors, creditors, shareholders, and borrowers.

Section	Direction	Status of Compliance
6.5.	**Responsibilities of the CEO**	The Board-approved policy on the functions and responsibilities of the CEO includes the requirement of the regulations. Further, CEO performance has been assessed by the Non – Executive Board members.
	The CEO shall function as the apex executive-in-charge of the day-to-day-management of the FC's operations and business. The responsibilities of the CEO shall at least include: a) Implementing business and risk strategies in order to achieve the FC's strategic objectives. b) Establishing a management structure that promotes accountability and transparency throughout the FC's operations and preserves the effectiveness and independence of control functions. c) Promoting, together with the Board, a sound corporate culture within the FC, which reinforces ethical, prudent and professional behavior. d) Ensuring implementation of proper compliance culture and being accountable for accurate submission of information to the regulator. e) Strengthening the regulatory and supervisory compliance framework. f) Addressing the supervisory concerns and non-compliance with regulatory requirements or internal policies in a timely and appropriate manner. g) CEO must devote the whole of the professional time to the service of the FC and shall not carry on any other business, except as a non-executive director of another company, subject to Direction 3.10.	
7.	**Meetings of the Board**	
7.1.	The Board shall meet at least twelve times a financial year at approximately monthly intervals. Obtaining the Board's consent through the circulation of papers to be avoided as much as possible.	Board Meetings were held regularly, and a total of Seventeen (17) Board meetings (Includes Two 02 sessions exclusively for Non-Executive Directors in the absence of Executive Directors and one (01) session exclusively for Independent Non - Executive Directors in the absence of Executive Directors and Non-Independent Non-Executive Directors.) were conducted during the financial year 2025/26. Furthermore, there were twenty six (26) instances where the Board's consent was obtained through the circulation of resolutions/papers, which were subsequently ratified by the Board at their meetings. Please refer to the section on the composition of the Board and meeting attendance in this annual report.
7.2.	The Board shall ensure that arrangements are in place to enable matters and proposals by all directors of the Board to be represented in the agenda for scheduled Board Meetings.	A Board-approved policy is in place to include matters and proposals in the agenda of the Board meeting.
7.3.	A notice of at least 3 days shall be given for a scheduled Board meeting. For all other Board meetings, a reasonable notice shall be given.	The Board provides a notice period of at least 3 days for regular Board meetings.

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Section	Direction	Status of Compliance
7.4.	A director shall devote sufficient time to prepare and attend Board meetings and actively contribute by providing views and suggestions.	All members of the Board have made significant contributions during the Board meetings, and these deliberations are duly recorded in the minutes of the Board meetings. Please refer to the section on the composition of the Board and meeting attendance in this annual report.
7.5.	A meeting of the Board shall not be duly constituted, although the number of directors required to constitute the quorum at such meeting is present, unless at least one fourth (1/4) of the number of directors that constitute the quorum at such meeting are independent directors.	No such situation has arisen during the financial year 2025/26 and the company has complied with the requirement.
7.6.	The chairperson shall hold meetings with the non-executive directors only, without the executive directors being present, as necessary and at least twice a year.	Two (02) meetings were conducted exclusively with the participation of Non-Executive Directors, without the presence of Executive Directors.
7.7.	A director shall abstain from voting on any Board resolution in relation to a matter in which such director or relative or a concern in which he has substantial interest, is interested, and he shall not be counted in the quorum for the relevant agenda item in the Board meeting.	The Board approved policy on conflicts of interests is in place. Directors' interests (if any) are disclosed to the Board and any Director who has a particular interest in matters set before the Board abstains from participating and voting.
7.8.	A director who has not attended at least two-thirds (2/3) of the meetings in the period of 12 months immediately preceding or has not attended three consecutive meetings held, shall cease to be a director. Provided that participation at the directors' meetings through an alternate director shall be acceptable as attendance, subject to applicable directions for alternate directors.	In 2025/26, no such incidents occurred. Further, the Company Secretary monitors attendance. During the financial year 2025/26, none of the directors has been absent for three consecutive meetings.
7.9.	Scheduled Board Meetings and Ad Hoc Board Meetings. For the scheduled meetings, participation in person is encouraged and for ad hoc meetings where director cannot attend on a short notice, participation through electronic means is acceptable.	The Board meetings have been scheduled using a hybrid method, as detailed in the annual report.
8.	**Company Secretary**	
8.1.	a) The Board shall appoint a company secretary considered to be a senior management whose primary responsibilities shall be to handle the secretarial services to the Board and of shareholder meetings, and to carry out other functions specified in the statutes and other regulations.	The Board has appointed a person as the Company Secretary and designated as KRP whose primary responsibilities are to handle the secretarial services to the Board. The Company Secretary has been appointed in accordance with the provisions outlined in Finance Business Act Direction No. 6 of 2021.
	b) The Board shall appoint its company secretary, subject to transitional provision stated in 19.2 below, a person who possesses such qualifications as may be prescribed for a secretary of a company under section 222 of the Companies Act, No. 07 of 2007, on being appointed the company secretary, such person shall become an employee of FC and shall not become an employee of any other institution.	A transitional period until 01st July 2024 has been granted by the Central Bank of Sri Lanka (CBSL) to ensure compliance. However, the Company proactively recruited and appointed a Company Secretary in 2023 to carry out the functions of the Company in alignment with regulatory expectations.
8.2.	All directors shall have access to advice and services of the company secretary with a view to ensuring the Board procedures laws, directions, rules and regulations are followed.	A Board approved procedure in seeking advice from company secretary by a director is in place.

Section	Direction	Status of Compliance
8.3.	The company secretary shall be responsible for preparing the agenda in the event chairperson has delegated carrying out such function.	Company Secretary is responsible for the preparation of the agenda, in consultation with the Chairman.
8.4.	The company secretary shall maintain minutes of the Board meetings with all submissions to the Board and/or voice recordings/video recordings for a minimum period of 6 years.	The Company Secretary maintains the minutes and all submissions of the Board Meetings, and directors have access to past Board minutes and papers at any time. Minutes of the Board meetings with all submissions to the Board are maintained for a minimum period as applicable in the regulations.
8.5.	The company secretary is responsible for maintaining minutes in an orderly manner and shall follow the proper procedure laid down in the Articles of Association of the FC.	The Board approved policy on the role of company secretary is in place to ensure the regulatory requirements. Minutes of the Board meetings with all submissions to the Board are maintained for a minimum period of 6 years.
8.6.	Minutes of the Board meetings shall be recorded in sufficient detail so that it is possible to ascertain whether the Board acted with due care and prudence in performing its duties. The minutes of a Board meeting shall clearly include the following: (a) a summary of data and information used by the Board in its deliberations; (b) the matters considered by the Board; (c) the fact-finding discussions and the issues of contention or dissent, including contribution of each individual director; (d) the explanations and confirmations of relevant parties, which indicate compliance with the Board's strategies and policies and adherence to relevant laws, regulations, directions; (e) the Board's knowledge and understanding of the risks to which the FC is exposed and an overview of the risk management measures adopted; and (f) the decisions and Board resolutions.	Board minutes contain required details, such as data and information used by the Board in its deliberations, matters considered by the Board, fact-finding discussions, decisions, and Board resolutions, which are used by the Board members in their decision making.
8.7.	The minutes shall be open for inspection at any reasonable time, on reasonable notice by any director.	Directors have access to past Board minutes and documents at any time.
9.	**Delegation of Functions by the Board**	
9.1.	The Board shall approve a Delegation of Authority (DA) and give clear directions to the senior management, as to the matters that shall be approved by the Board before decisions are made by senior management, on behalf of the FC.	The Board approved delegation authority limits is in place to give clear directions to the senior management of the company.
9.2.	In the absence of any of the sub-committees mentioned in Direction 10 below, the Board shall ensure the functions stipulated under such committees shall be carried out by the Board itself.	The Board has appointed Board sub-committees as required by the direction.

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9.3.	The Board may establish appropriate senior management level sub-committees with appropriate DA to assist in Board decisions.	The Board has approved senior management level sub-committees, namely the Assets and Liability Committee, Credit Committee, Information Technology Steering Committee, Information Security Steering Committee,Sustainability Management Committee , Immovable Property Investment Committee and New Product Development Committee which are currently in place. Please refer to the section Governance Structure Of The Company in this annual report.
9.4.	The Board shall not delegate any matters to a board sub-committee, executive directors or senior management, to an extent that such delegation would significantly hinder or reduce the ability of the Board as a whole to discharge its functions.	The Board approved policy on matters reserved for the Board of Directors is in place.
9.5.	The Board shall review the delegation processes in place on a periodic basis to ensure that they remain relevant to the needs of the FC.	The delegation process is periodically reviewed to ensure that it meets the demands of the Company. The Board has approved the delegation of authority for Credit limits and Finance limits.
10	**Board Sub-Committees**	
10.1	**a) Board Sub-Committees**	
	Shall establish a Board Audit Committee (BAC), Board Integrated Risk Management Committee (BIRMC), Board Nomination and Governance Committee (BNGC), Board Human Resource and Remuneration Committee (BHRRC) and Board Related Party Transactions Review Committee (BRPTRC).	The company has established six Board Committees, namely the Board Audit Sub-Committee, Board Integrated Risk Management Committee, Board Related Party Transactions Review Committee, Board Human Resource and Remuneration Committee,Board Sustainability Committee and Board Nomination and Governance Committee. Each sub-committee is governed by its own terms of reference and Company Secretary who maintains minutes and records under the supervision of the Chairperson of the sub-committee. The reports of the Board sub-committees are included in this Annual Report.
	Meetings	
	Meetings shall be held at least once in two months for BAC and BIRMC. Other committees shall meet at least annually.	The Board Audit Committee (BAC) meetings were held Twenty two times (22) and Board Integrated Risk Management Committee (BIRMC) meetings were held Twelve times (12) during the financial year 2025/26. The Board Nomination and Governance Committee (BNGC) meetings have been held Six times (06) , Board Related Party Transactions Review Committee meetings (BRPTRC) have been held Eight times (08) Board Sustainability Committee (BSC) was held Two times (02) and Board Human Resource and Remuneration Committee (BHRRC) was held Eight times (08) during the under review. Please refer to the section on the composition of the Board and meeting attendance in this annual report.
	b) Each Board sub-committee shall have a board approved written terms of reference specifying clearly its authority and duties.	Written terms of reference (charters) clearly specifying the authority and duties are in place for each sub-committee.
	c) The Board shall present a report on the performance of duties and functions of each Board sub-committee, at the annual general meeting of the FC.	Each sub-committee has provided reports in the annual report, disclosing their performance, duties, and functions. Refer to the Reports of each Board Sub-Committee.

Section	Direction		Status of Compliance
	d)	Each sub-committee shall appoint a secretary to arrange its meetings, maintain minutes, voice or video recordings, maintenance of records and carry out such other secretarial functions under the supervision of the chairperson of the committee.	The company secretary appointed as the secretary for all Board sub-committees and minutes contain required details.
	e)	Each Board sub-committee shall consist of at least three Board members and shall only consist of members of the Board, who have the skills, knowledge and experience relevant to the responsibilities of the committee.	The Board sub-committee consists of at least three Board members and consists only of members of the Board who have the skills, knowledge, and experience relevant to the responsibilities of the committee.
	f)	The Board may consider occasional rotation of members and of the chairperson of Board sub-committees, as to avoid undue concentration of power and promote new perspectives.	When necessary, the rotation of Chairs and members of the Board's subcommittees will be taken into consideration.
10.2	**Board Audit Committee (BAC)**		
	a)	The chairperson of BAC shall be an independent director who possesses qualifications and experience in accountancy and/or audit.	The Chairperson of the Committee is an Independent Non-Executive Director, and the profile of the Chairperson is provided in this Annual Report. Mr.L.L.S.Wickremasinghe, Independent Non-Executive Director/Senior Director is the Chairperson of the Committee. Please refer to the Board of Directors' profiles in this annual report.
	b)	The Board members appointed to the BAC shall be non-executive directors and majority shall be independent directors with necessary qualifications and experience relevant to the scope of the BAC.	All members of the Board Audit Committee are Non-Executive Directors and majority members are Independent directors with necessary qualifications and experience relevant to the scope of the BAC. Please refer to the Board of Directors' profiles in this annual report.
	c)	The secretary to the BAC shall preferably be the Chief Internal Auditor (CIA).	The Company Secretary functions as the Secretary of the BAC.
	d) External Audit Function		
		i. The BAC shall make recommendations on matters in connection with the appointment of the external auditor for audit services to be provided in compliance with the relevant statutes, the service period, audit fee and any resignation or dismissal of the auditor.	The Auditor's appointments, service periods, and fees are determined and recommended by the BAC.
		ii. Engagement of an audit partner shall not exceed five years, and that the particular audit partner is not re-engaged for the audit before the expiry of three years from the date of the completion of the previous term. Further, FC shall not use the service of the same external audit firm for not more than ten years consecutively.	KMPG Auditors functions as the External Auditor of the Company. The engagement of the same audit partner has not exceeded five years and has not been re-engaged for the audit before the expiry of three years from the date of the completion of the previous term. The Company adhered to the aforementioned section, which came into effect on 1st July 2024, and appointed a Auditor, KPMG,
		iii. Audit partner of an FC shall not be a substantial shareholder, director, senior management or employee of any FC.	KPMG functions as the External Auditor of the Company and the audit partner has declared that he is not a substantial shareholder, director, senior management or employee of any other finance company.

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	iv. The committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit processes in accordance with applicable standards and best practices.	The Committee monitors the External Auditor's independence objectivity and effectiveness of the audit process taking into account relevant professional and regulatory requirements. The Committee has obtained a representation from the External Auditors that confirmed the External Auditors are independent.
	v. Audit partner shall not be assigned to any non-audit services with the FC during the same financial year in which the audit is being carried out. The BAC shall develop and implement a policy with the approval of the Board on the engagement of an external audit firm to provide non-audit services that are permitted under the relevant regulatory framework. In doing so, the BAC shall ensure that the provision of service by an external audit firm of non-audit services does not impair the external auditor's independence or objectivity.	A Board approved policy on the engagement of the External Auditor to provide non-audit services is in place. The BAC ensures that the External Auditors are able to maintain objectivity and independence and are suitable to perform the required non-audit services.
	vi. The BAC shall, before the audit commences, discuss and finalise with the external auditors the nature and scope of the, including: (i) an assessment of the FC's compliance with Directions issued under the Act and the management's internal controls over financial reporting; (ii) the preparation of financial statements in accordance with relevant accounting principles and reporting obligations; and (iii) the co-ordination between auditors where more than one auditor is involved.	The Committee has prior discussed and finalized the nature and scope of the audit with the External Auditor including the assessment of the company's compliance with Directions issued under the Act and the management's internal controls over financial reporting, the preparation of financial statements in accordance with relevant accounting principles and reporting obligations.
	vii. The BAC shall review the financial information of the FC, in order to monitor the integrity of the financial statements of the FC in its annual report, accounts and periodical reports prepared for disclosure, and the significant financial reporting judgments contained therein. In reviewing the FC's annual report and accounts and periodical reports before submission to the Board, the committee shall focus particularly on: (i) major judgmental areas; (ii) any changes in accounting policies and practices; (iii) significant adjustments arising from the audit; (iv) the going concern assumption; and (v) the compliance with relevant accounting standards and other legal requirements.	The BAC has a process to review financial information of the Company in order to monitor the integrity of the financial statements of the Company, its annual report, accounts and periodical reports prepared for disclosure and the significant financial reporting judgments contained therein.
	viii. The BAC shall discuss issues, problems and reservations arising from the interim and final audits, and any matters the auditor may wish to discuss including those matters that may need to be discussed in the absence of senior management, if necessary.	The Committee has met External Auditors in the absence of senior management to discuss issues, problems and reservations arising from the final audit and any matters the auditor may wish to discuss.
	ix. The BAC shall review the external auditor's management letter and the management's response thereto within 3 months of submission of such, and report to the Board.	The management letter and the management's response are reviewed by the BAC, and oversight is given to any corrective actions required.

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	e)	The BAC shall at least annually conduct a review of the effectiveness of the system of internal controls.	The BAC conducts reviews to ensure the effectiveness of the internal control system. Further, the effectiveness of the Company's internal control mechanism has been certified by the Directors in the annual report under the heading "Directors' Statement on Internal Controls over Financial Reporting."
	f)	The BAC shall ensure that the senior management are taking necessary corrective actions in a timely manner to address internal control weaknesses, non-compliance with policies, laws and regulations, and other problems identified by auditors and supervisory bodies with respect to internal audit function of the FC.	The BAC ensures that senior management takes corrective actions in a timely manner for internal control weaknesses, non-compliance with policies, laws and regulations, and other problems identified by auditors and supervisory bodies regarding the internal audit function of the company.
	g) Internal Audit Function		
	.	i) The committee shall establish an independent internal audit function (either in house or outsourced as stipulated in the Finance Business Act (Outsourcing of Business Operations) Direction or as amended that provides an objective assurance to the committee on the quality and effectiveness of the FC's internal control, risk management, governance systems and processes.	The company has an in-house internal audit function with an appropriate internal audit mandate that covers the scope and functions of the internal audit department as required by the regulations.
	.	ii) The internal audit function shall have a clear mandate, be accountable to the BAC, be independent and shall have sufficient expertise and authority within the FC to carry out their assignments effectively and objectively.	There is a Board-approved internal audit mandate that defines the purpose, authority, and responsibility of the internal auditor. It ensures independence, sufficient resources, and authority for the internal auditor to carry out their functions effectively and objectively. The Board Audit Committee has reviewed and approved the Annual Internal Audit Program. Internal Audit Reports, with the management comments, have been discussed at length, and action is taken to rectify the same.
	.	iii) The BAC shall take the following steps with regard to the internal audit function of the FC:	
		(i) Review the adequacy of the scope, functions and skills and resources of the internal audit department and ensure the internal audit department has the necessary authority to carry out its work.	The BAC has reviewed the scope, functions, and skills and resources of the internal audit department. Furthermore, the committee has ensured that the internal auditors have the necessary authority to carry out their work in accordance with the mandate.
		(ii) Review the internal audit program and results of the internal audit process and, where necessary, ensure appropriate actions are taken on the recommendations of the internal audit.	The Committee reviewed the audit programs, internal audit findings and results of the internal audit process and, where necessary, ensured that appropriate actions are taken on the recommendations of the internal Audit Department.
		(iii)Assess the performance of the head and senior staff members of the internal audit department.	The Committee has carried out of the performance appraisal of the Head of Internal Audit and other senior staff members of the Internal Audit Department.
		(iv) Ensure the internal audit function is independent and activities are performed with impartiality, proficiency and due professional care.	Internal audit function is independent and activities are performed with impartiality, proficiency and due professional care through the implementation of internal audit mandate.
		(v) Ensure internal audit function carry out periodic review of compliance function and regulatory reporting to regulatory bodies.	The BAC reviews the compliance reviews conducted by Internal Audit department.

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		(vi) Examine the major findings of internal investigations and management's responses thereto.	The Committee considers the major findings of the internal audit department and the management's responses to them. They ensure that the recommendations have been implemented.
	h)	The BAC shall review the statutory examination reports of the Central Bank of Sri Lanka (CBSL) and ensure necessary corrective actions are taken in a timely manner and monitor the progress of implementing the time bound action plan quarterly.	The BAC reviews the progress of the implementation of recommendations from the CBSL on-site investigation report on a quarterly basis.
	i) Meetings of the Committee		
		i. The BAC shall meet as specified in 10.1 above, with due notice of issues to be discussed and shall record its conclusions in discharging its duties and responsibilities.	Every BAC meeting is conducted with due notice of the issues to be discussed. Discussions during the meetings are recorded, and minutes are subsequently submitted to the Board for its information. During the financial year 2025/26, the BAC has held Twenty two (22) meetings.
		ii. Other Board members, senior management or any other employee may attend meetings upon the invitation of the committee when discussing matters under their purview.	The BAC invites other Board members, Key Responsible Persons (KRPs), and any other required employees to attend meetings when discussing matters under their purview.
		iii. BAC shall meet at least twice a year with the external auditors without any other directors/senior management/employees being present.	During the financial year 2025/26, the BAC has held two (2) meetings external auditors without the presence of any other directors, senior management, or employees.
10.3.	**Board Integrated Risk Management Committee (BIRMC)**		
	a)	The BIRMC shall be chaired by an independent director. The Board members appointed to BIRMC shall be non-executive directors with knowledge and experience in banking, finance, risk management issues and practices. The CEO and Chief Risk Officer (CRO) may attend the meetings upon invitation. The BIRMC shall work with senior management closely and make decisions on behalf of the Board within the framework of the authority and responsibility assigned to the committee.	The BIRMC is chaired by an Independent director, and the composition of the Committee complies with the requirements stipulated in the direction. The Committee works closely with management KRP's and makes decisions on behalf of the Board within the framework of the authority and responsibility assigned to the Committee. Mr.L.L.S.Wickremasinghe, Independent Non-Executive Director/Senior Director is the Chairperson of the Committee.
	b)	The secretary to the committee may preferably be the CRO.	The company secretary function as the secretary to the committee.
	c)	The committee shall assess the impact of risks, including credit, market, liquidity, operational, strategic, compliance and technology, to the FC at least on once in two months basis through appropriate risk indicators and management information and make recommendations on the risk strategies and the risk appetite to the Board.	The Committee has established a process to assess all risks, including credit, market, liquidity, operational, strategic, compliance, and technology risks to the Company on a monthly basis using appropriate risk indicators and management information. Additionally, the committee assesses the risk appetite statement of the company and reports to the board, highlighting key risks and mitigation strategies of the company.

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	d)	Developing FC's risk appetite through a Risk Appetite Statement (RAS), which articulates the individual and aggregate level and types of risk that a FC will accept, or avoid, in order to achieve its strategic business objectives. The RAS should include quantitative measures expressed relative to earnings, capital, liquidity, etc., and qualitative measures to address reputation and compliance risks as well as money laundering and unethical practices. The RAS should also define the boundaries and business considerations in accordance with which the FC is expected to operate when pursuing business strategy and communicate the risk appetite linking it to daily operational decision making and establishing the means to raise risk issues and strategic concerns throughout the FC.	The BIRMC has developed a Board-approved risk appetite statement (RAS) that includes both quantitative and qualitative measures as required by the regulations. The RAS also defines maximum limits and business considerations in accordance with which the company is expected to operate when pursuing its business strategy.
	e)	The BIRMC shall review the FC's risk policies including RAS, at least annually.	The BIRMC periodically reviews risk policies, including the risk appetite statement (RAS).
	f)	The BIRMC shall review the adequacy and effectiveness of senior management level committees (such as credit, market, liquidity investment, technology and operational) to address specific risks and to manage those risks within quantitative and qualitative risk limits as specified by the committee.	The BIRMC has reviewed the effectiveness of the performance of management level Committees.
	g)	The committee shall assess all aspects of risk management including updated business continuity and disaster recovery plans.	The committee has reviewed the business continuity and disaster recovery plans and assessed all aspects of the company's risk management.
	h)	BIRMC shall annually assess the performance of the compliance officer and the CRO.	The BIRMC assessed the performance of the Compliance Officer and the Chief Risk Officer for the financial year 2025/26.
	i) Compliance Function		
		i. BIRMC shall establish an independent compliance function to assess the FC's compliance with laws, regulations, directions, rules, regulatory guidelines and approved policies on the business operations.	The company has established an independent compliance function which is independent from day-to-day management operations.
		ii. For FCs with asset base of more than Rs. 20 bn, a dedicated compliance officer considered to be senior management with sufficient seniority, who is independent from day-to-day management shall carry out the compliance function and report to the BIRMC directly. The compliance officer shall not have management or financial responsibility related to any operational business lines or income-generating functions, and there shall not be 'dual hatting', i.e. the chief operating officer, chief financial officer, chief internal auditor, chief risk officer or any other senior management shall not serve as the compliance officer.	A dedicated Compliance Officer has been appointed.

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Section	Direction	Status of Compliance
	iii For FCs with an asset base of less than Rs. 20bn, an officer with adequate seniority considered to be senior management shall be appointed as compliance officer avoiding any conflict of interest.	Not applicable.
	iv. The BIRMC shall ensure responsibilities of a compliance officer would broadly encompass the following:	The Board-approved mandate of the Compliance Officer (CO) encompasses the regulatory requirements.
	(i) develop and implement policies and procedures designed to eliminate or minimize the risk of breach of regulatory requirements;	Compliance-related policies and procedures have been developed to minimize the risk of breaching regulatory requirements.
	(ii) ensure compliance policies and procedures are clearly communicated to all levels of the FC to enhance the compliance culture;	A Board-approved Compliance policies are in place and have been communicated to all KRPs. It is also available in the HRIS system (intranet system), accessible by all employees of the Company.
	(iii) ensure reviews are undertaken at appropriate frequencies to assess compliance with regulatory rules and internal compliance standards;	Periodic reviews are conducted to assess the level of compliance with regulatory requirements.
	(iv) understand and apply new legal and regulatory developments relevant to the business of FC;	The Company implements all new legal and regulatory developments that are applicable to its business.
	(v) secure early involvement in the design and structuring of new products and systems, to ensure conformity with the regulatory requirements, internal compliance and ethical standards;	The Board approved new product development policy is in place and sign off is obtained from all required officers including compliance prior to implementation of a new product.
	(vi) highlight serious or persistent compliance issues and where appropriate, work with the management to ensure that they are rectified within an acceptable time; and	Compliance concerns were highlighted to the BIRMC and with the support of the management, they were rectified.
	(vii) maintain regular contact and good working relationship with regulators based upon clear and timely communication and a mutual understanding of the regulators' objectives with highest integrity.	A positive working relationship is upheld with the regulator. There is maintenance of timely reporting and communications.
	j) Risk Management Function	
	i.BIRMC shall establish an independent risk management function responsible for managing risk-taking activities across the FC.	The company has established an independent risk management function.
	ii. For FCs with asset base of more than Rs.20 bn, it is expected to have a separate risk management department and a dedicated CRO considered to be senior management shall carry out the risk management function and report to the BIRMC periodically.	A dedicated Chief Risk Officer (CRO) has been appointed to carry out the risk management function and regular reports are submitted to the BIRMC.

Section	Direction		Status of Compliance
		iii.The CRO has the primary responsibility for implementing the Board approved risk management policies and processes including RAS in order to ensure the FC's risk management function is robust and effective to support its strategic objectives and to fulfill broader responsibilities to various stakeholders.	The Board-approved Risk Management Framework, along with the risk management policy, process, strategy, procedures, and Risk Appetite Statement (RAS), has been developed.
		iv. The BIRMC shall ensure that the CRO is responsible for developing and implementing a Board approved integrated risk management framework that covers:	The Board approved mandate of the CRO is in line with the regulatory requirement.
		(i) various potential risks and frauds;	Various potential risk and frauds and sources of such risk and frauds have been identified and discussed in the BIRMC.
		(ii) possible sources of such risks and frauds;	
		(iii) mechanism of identifying, assessing, monitoring and reporting of such risks which includes quantitative and qualitative analysis covering stress testing ;	The BIRMC has established a mechanism for identifying, assessing, and monitoring risks, and regular reports are forwarded to the committee. These reports are discussed, and measures are taken to control and mitigate the identified risks.
		(iv) effective measures to control and mitigate risks at prudent levels; and	
		(v) relevant officers and committees responsible for such control and mitigation. The framework shall be reviewed and updated at least annually.	The risk management framework reviewed and updated frequently.
		v. The CRO shall also participate in key decision-making processes such as capital and liquidity planning, new product or service development, etc., and make recommendations on risk management.	The CRO participates in key decision-making processes including strategic planning, capital, liquidity planning, new product development etc.
		vi. The CRO shall maintain an updated risk register, which shall be submitted to the BIRMC on a quarterly basis.	Risk register of the company is updated and forwarded to the BIRMC committee on timely manner.
		vii. The BIRMC shall submit a risk assessment report for the upcoming Board meeting seeking the Board's views, concurrence and/or specific directions.	A risk report is submitted by the BIRMC to the upcoming board meeting for the Board review.
10.4.		**Nomination and Governance Committee (BNGC)**	
		The following shall apply in relation to the Nomination Committee:	
	a)	The committee shall be constituted with non-executive directors and preferably the majority may be independent directors. An independent director shall chair the committee. The CEO may be present at meetings by invitation of the committee.	The Board Nomination and Governance Committee (BNGC) is Chaired by an Independent Director, and the composition of the Committee complies with the requirements stipulated in the direction. Mr.L.L.S.Wickremasinghe, Independent Non-Executive Director/Senior Director is the Chairperson of the Committee.
	b)	Secretary to the nomination committee may preferably be the company secretary.	The Secretary to the committee is the Company Secretary.
	c)	The committee shall implement a formal and transparent procedure to select/appoint new directors and senior management. Senior management are to be appointed with the recommendation of CEO, excluding CIA, CRO and compliance officer.	The policy on the nomination, election, and appointment of Directors and other key responsible persons is in place. The appointment of new key responsible persons is subject to the recommendation of the BNGC.

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Section	Direction		Status of Compliance
	d)	The committee shall ensure that directors and senior management are fit and proper persons to perform their functions as per the Finance Business Act (Assessment of Fitness and Propriety of Key Responsible Persons) Direction.	The BNGC has ensured that all the KRPs are fit and proper individuals to perform their functions in accordance with the directives of CBSL. The company has obtained the necessary approval from CBSL for their initial appointments and for the continuing Directors as required by the Direction.
	e)	The selection process shall include reviewing whether the proposed directors (i) possess the knowledge, skills, experience, independence and objectivity to fulfill their responsibilities on the board; (ii) have a record of integrity and good repute; and (iii) have sufficient time to fully carry out their responsibilities.	All KRPs are appointed in accordance with the policy on the nomination, election, and appointment of Directors and other key responsible persons. This policy ensures adherence to the stipulated selection criteria for the appointment of KRPs.
	f)	The committee shall strive to ensure that the Board composition is not dominated by any individual or a small group of individuals in a manner that is detrimental to the interests of the stakeholders and the FC as a whole.	The committee strive to ensure that the composition of the Board is structured in a way that prevents any form of domination by an individual or a small group of individuals.
	g)	The committee shall set the criteria, such as qualifications, experience and key attributes required for eligibility, to be considered for appointment to the post of CEO and senior management.	The committee has set criteria that are required for eligibility to be considered for appointment of management KRPs.
	h)	Upon the appointment of a new director to the Board, the committee shall assign the responsibility to the company secretary to disclose to shareholders: (i) a brief resume of the director; (ii) the nature of the expertise in relevant functional areas; (iii) the names of companies in which the director holds directorships or memberships in Board committees; and (iv) whether such director can be considered as independent.	The committee ensures that the stipulated requirements are in compliance for the appointment of a new Director.
	i)	The committee shall consider and recommend (or not recommend) the re-election of current directors, taking into account the combined knowledge, performance towards strategic demands faced by the FC and contribution made by the director concerned towards the discharge of the Board's overall responsibilities.	The committee ensured compliance of the stipulated requirements for the reelection of a current Director.
	j)	The committee shall consider and recommend from time to time, the requirements of additional/new expertise and the succession arrangements for retiring directors and senior management.	The Board-approved succession plan for Key Responsible Persons (KRPs), recommended by the BNC, is in place.
	k)	A member of the nomination committee shall not participate in decision making relating to own appointment/ reappointment and the Chairperson of the board should not chair the committee when it is dealing with the appointment of the successor.	Members of the BNGC are not involved in the decision-making process for their own appointment or reappointment.
10.5. Human Resource and Remuneration Committee (BHRRC)			
	The following shall apply in relation to the Human Resources and Remuneration Committee:		

Section	Direction		Status of Compliance
	a)	The committee shall be chaired by a non-executive director and the majority of the members shall consist of non-executive directors.	The committee is chaired by an Independent non-executive director, and its composition complies with the required guidelines. Ms. G.A.M. Edwards, Independent Non-Executive Director is the Chairperson of the Committee.
	b)	The secretary to the human resource and remuneration committee may preferably be the company secretary.	The company secretary serves as the secretary of the BHRRC.
	c)	The committee shall determine the remuneration policy (salaries, allowances, and other financial payments) relating to executive directors and senior management of the FC and fees and allowances structure for non-executive directors.	The company has a Board approved Remuneration policy for Executive Directors and Senior Management. The remuneration of Non-Executive Directors is governed by the board-approved Non-Executive Directors Remuneration Policy, which falls under the purview of the BHRRC and is approved by the Board.
	d)	There shall be a formal and transparent procedure in developing the remuneration policy.	The Remuneration Policy ensures that remuneration (salaries, allowances, and other financial payments) to all employees of the Company is based on considerations such as individual performances, adherence to the Company's purpose and values, overall Company performance, and industry best practices. The remuneration policy is recommended by the BHHRC and approved by the Board, and subject to periodic reviews.
	e)	The committee shall recommend the remuneration policy for approval of the Board on paying salaries, allowances and other financial incentives for all employees of the FC. The policy shall be subject to periodic review of the Board, including when material changes are made.	
	f)	The remuneration structure shall be in line with the business strategy, objectives, values, long-term interests and cost structure of the FC. It shall also incorporate measures to prevent conflicts of interest. In particular, incentives embedded within remuneration structures shall not incentive employees to take excessive risk or to act in self-interest.	The committee has ensured that the remuneration structure is aligned with the business strategy, objectives, values, long-term interests, and cost structure of the company.
	g)	The committee shall review the performance of the senior management (excluding chief internal auditor, compliance officer, chief risk officer) against the set targets and goals, which have been approved by the Board at least annually, and determine the basis for revising remuneration, benefits and other payments of performance-based incentives.	The BHRRC has reviewed the emoluments structure of Key Responsible Personnel (excluding the Chief Internal Auditor, Compliance Officer, and Chief Risk Officer), as well as their Performance Evaluation scores and any changes compared to the previous year's data.
	h)	The committee shall ensure that the senior management shall abstain from attending committee meetings, when matters relating to them are being discussed.	The committee ensures that senior management are not in attendance when matters relating to them are being discussed.
11. Internal Controls			
	11.1.	FCs shall adopt well-established internal control systems, which include the organizational structure, segregation of duties, clear management reporting lines and adequate operating procedures in order to mitigate operational risks.	The effectiveness of the Company's internal control mechanism has been certified by the Directors in the annual report under the heading "Directors' Statement on Internal Controls over Financial Reporting.

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Section	Direction		Status of Compliance
	11.2.	A proper internal control system shall: (a) promote effective and efficient operations; (b) provide reliable financial information; (c) safeguard assets; (d) minimize the operating risk of losses from irregularities, fraud and errors; (e) ensure effective risk management systems; and (f) ensure compliance with relevant laws, regulations, directions and internal policies.	The BAC has adopted and reviewed the adequacy and the effectiveness of the company's internal control systems and management information systems (MIS). Internal Audit Department supports the process by carrying out audits to assess the internal controls over financial reporting and management information systems.
	11.3.	All employees shall be given the responsibility for internal controls as part of their accountability for achieving objectives.	All employees are given the responsibility for internal controls through their appointment letters and acceptance of ethical framework (Code of Conduct) of the company.
12. Related Party Transactions			
12.1. Board shall establish a policy and procedures for related party transactions, which covers the following.			
		a) All FCs shall establish a Related Party Transactions Review Committee (RPTRC) and the chairperson shall be an independent director and the members shall consist of non-executive directors.	The company has established an RPTRC, with an Independent Director serving as the Chairperson and two Non-Executive Directors as members. Ms. G.A.M. Edwards, Independent Non-Executive Director is the Chairperson of the Committee.
		b) All related party transactions shall be prior reviewed and recommended by the RPTRC.	The committee approved mechanism is in place to avoid any conflicts of interest that may arise from such transactions.
		c) The business transactions with a related party that are covered in this Direction shall be the following: i. Granting accommodation. ii. Creating liabilities to the FC in the form of deposits, borrowings and any other payable. iii. Providing financial or non-financial services to the FC or obtaining those services from the FC. iv. Creating or maintaining reporting lines and information flows between the FC and any related party which may lead to share proprietary, confidential or information not available in the public domain or otherwise sensitive information that may give benefits to such related party.	Except for specific transactions mentioned in the RPT policy, all other Related party transactions are prior reviewed and recommended by the RPTRC. All related party transactions have been disclosed in the Financial Statements. No accommodation has been granted to Directors and/ or their close relatives during the year. The process will be further strengthened in future in line with the requirement of the Direction.

Section	Direction		Status of Compliance
	12.2.	The committee shall take the necessary steps to avoid any conflicts of interest that may arise from any transaction of the FC with any person, and particularly with the following categories of persons who shall be considered as "related parties" for the purposes of this Direction. In this regard, there shall be a named list of natural persons/institutions identified as related parties, which is subject to periodic review as and when the need arises. a) Directors and senior management. b) Shareholders who directly or indirectly holds more than 10% of the voting rights of the FC. c) Subsidiaries, associates, affiliates, holding company, ultimate parent company and any party (including their subsidiaries, associates and affiliates) that the FC exert control over or vice versa. d) Directors and senior management of legal persons in paragraph (b) or (c). e) Relatives of a natural person described in paragraph (a), (b) or (d). f) Any concern in which any of the FC's directors, senior management or a relative of any of the FC's director or senior management or any of its shareholders who has a shareholding directly or indirectly more than 10% of the voting rights has a substantial interest.	A Board-approved related party transaction policy is in place, which addresses various types of related party transactions in accordance with the relevant directives. The purpose of this policy is to prevent any conflicts of interest that may arise from such transactions involving the identified related parties. In this regard, the company maintains a name list of the identified related parties in the system.
	12.3.	The committee shall ensure that the FC does not engage in business transactions with a related party in a manner that would grant such party "more favorable treatment" than that is accorded to other similar constituents of the FC. For the purpose of this paragraph, "more favorable treatment" shall mean: a) Granting of "total accommodation" to a related party, exceeding a prudent percentage of the FCs regulatory capital, as determined by the committee. b) Charging of a lower rate of interest or paying a rate of interest exceeding the rate paid for a comparable transaction with an unrelated comparable counterparty. c) Providing preferential treatment, such as favorable terms, that extends beyond the terms granted in the normal course of business with unrelated parties. d) Providing or obtaining services to or from a related party without a proper evaluation procedure; or	A monitoring system is in place at the Company where the Company extracts quarterly reports on all related party transactions which are reviewed by the committee to ensure that the Company does not grant related parties more favorable treatment than accorded to other customers.

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Section	Direction	Status of Compliance
	e) Maintaining reporting lines and information flows between the FC and any related party which may lead to share proprietary, confidential or otherwise sensitive information that may give benefits to such related party, except as required for the performance of legitimate duties and functions.	
13. Group Governance		
13.1. Responsibilities of the FC as a Holding Company		
a)	The FC is responsible for exercising adequate oversight over its subsidiaries and associates while complying with the independent legal, regulatory and governance responsibilities that apply to them.	The Board has established a group governance framework to ensure adequate oversight over its group, in compliance with the regulatory requirements. The purpose of this group governance framework is to ensure that Commercial Credit and Finance PLC (CCFP) as a holding company exercises adequate oversight over its subsidiaries and associates, while complying with independent legal, regulatory, and governance responsibilities. Currently, the company has one subsidiary named Commercial Credit Insurance Brokers Private Limited and another company named TVS Lanka Private Ltd & with significant influence under LKAS 24.
b)	The Board of the FC shall: i) Ensure that the group governance framework clearly defines the roles and responsibilities for the oversight and implementation of group-wide policies. ii) Ensure that the differences in the operating environment, including the legal and regulatory requirements for each company, are properly understood and reflected in the group governance framework. iii) Have in place reporting arrangements that promote the understanding and management of material risks and developments that may affect the holding FC and its subsidiaries. (iv) Assess whether the internal control framework of the group adequately addresses risks across the group, including those arising from intra-group transactions; and v) Ensure that there are adequate resources to effectively monitor compliance of the FC and its subsidiaries with all applicable legal and regulatory requirements.	

Section	Direction		Status of Compliance
	c)	The FC, as the apex entity, shall ensure that the group structure does not undermine its ability to exercise effective oversight. The Board shall establish a clearly defined process of approving the creation of new legal entities under its management and identifying and managing all material group-wide risks through adequate and effective policies and controls.	
	d)	The Board and senior management of the FC shall validate that the objectives, strategies, policies and governance framework set at the group level are fully consistent with the regulatory obligations of the FC and ensure that company-specific risks are adequately addressed.	
	e)	The FC shall avoid setting up complicated structures that lack economic substance or business purpose that can considerably increase the complexity of the operations.	
13.2. Responsibilities as a Subsidiary			
		If the FC is a subsidiary of another financial institution subject to prudential regulation, FC shall discharge its own legal and governance responsibilities.	The company is not a subsidiary of another financial institution and the company discharges its own legal and governance responsibilities.
14. Corporate Culture			
	14.1.	A FC shall adopt a Code of Conduct which includes the guidelines on appropriate conduct and addresses issues of confidentiality, conflicts of interest, integrity of reporting, protection and proper use of company assets and fair treatment of customers.	The company has established an Ethical Framework (Code of Conduct) that provides awareness and guidance on the values of Commercial Credit, corporate governance practices, good business ethics, professionalism, and the expected behaviors when fulfilling duties and responsibilities. The Ethical Framework (Code of Conduct) also outlines breaches and their consequences.
	14.2.	The FC shall maintain records of breaches of code of conduct and address such breaches in a manner that upholds high standards of integrity.	The company has adopted Human Resource Operating Procedure and all the breaches are addressed in accordance with the said procedure. Further, the company maintains records of breaches.
	14.3.	A FC shall establish a Whistle blowing policy that sets out avenues for legitimate concerns to be objectively investigated and addressed. Employees shall be able to raise concerns about illegal, unethical or questionable practices in a confidence manner and without the risk of reprisal. The BAC shall review the policy periodically.	The company has adopted a Whistle blowing policy and the BAC has reviewed the policy regularly.
15.Conflicts of Interest			
	15.1.	a) Relationships between the directors shall not exercise undue influence or coercion. A director shall abstain from voting on any Board resolution in relation to a matter in which such director or any of the relatives or a concern in which such director has substantial interest, is interested, and such director shall not be counted in the quorum for the relevant agenda item in the Board meeting.	The Board has adopted Conflict of Interest policy which has ensured the compliance with the stipulated requirements.

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Section	Direction		Status of Compliance
		b) The Board shall have a formal written policy and an objective compliance process for implementing the policy to address potential conflicts of interest with related parties. The policy for managing conflicts of interest shall, i. Identify circumstances which constitute or may give rise to conflicts of interests. ii. Express the responsibility of directors and senior management to avoid, to the extent possible, activities that could create conflicts of interest. iii. Define the process for directors and senior management to keep the Board informed on any change in circumstances that may give rise to a conflict of interest. iv. Implement a rigorous review and approval process for director and senior management to follow before they engage in certain activities that could create conflicts of interest. v. Identify those responsible for maintaining updated records on conflicts of interest with related parties, and vi. Articulate how any non-compliance with the policy to be addressed.	
16.	16.1.	**The Board shall ensure that:** (a) annual audited financial statements and periodical financial statements are prepared and published in accordance with the formats prescribed by the regulatory and supervisory authorities and applicable accounting standards, and that (b) such statements are published in the newspapers in Sinhala, Tamil and English. The Board shall ensure that at least following disclosures are made in the Annual Report of the FC.	Annual audited financial statements and interim financial statements were prepared in accordance with formats prescribed by the supervisory and regulatory authorities and accounting standards and are published in the newspapers in all three languages.

Section	Direction	Status of Compliance
	i. Financial statements	
	In addition to the set of financial statements as per LKAS 1 or applicable standard annual report shall include, ■ A statement to the effect that the annual audited financial statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures. ■ A statement of responsibility of the Board in preparation and presentation of financial statements.	This is being disclosed in the report of the Board of Directors on the Affairs of the Company. Refer report of the Board of Directors on the Affairs of the Company.
	ii. Chairperson, CEO and Board related disclosures	
	■ Name, qualification and a brief profile. ■ Whether executive, non-executive and/or independent director. ■ Details of the director who is serving as the senior director, if any. ■ The nature of expertise in relevant functional areas.	Refer "Profiles of the Board Of Directors" in this annual report.
	■ Relatives and/or any business transaction relationships with other directors of the company.	The Chief Executive Officer (CEO) maintains a professional association with an Executive Director of the company, as both individuals serve on the Board of Directors of CINEC Campus (Pvt) Ltd. Additionally, the Chief Executive Officer is married to an Executive Director of the company and both individuals serve on the Board of Directors of BG Capital (PVT) LTD and BG Investments (PVT) LTD. With the exception of these aforementioned relationships, there are no other business relationships with Directors of the Company.
	■ Names of other companies in which the director/ CEO concerned serves as a director and whether in an executive or non-executive capacity.	Refer "Profiles of the Board of Directors" in this annual report.
	■ Number/percentage of board meetings of the FC attended during the year; ■ Names of board committees in which the director serves as the chairperson or a member.	Refer record of the attendance at Board meetings and Board Sub-Committee meetings.
	iii. Appraisal of board performance	
	■ An overview of how the performance evaluations of the Board and its committees have been conducted.	A procedure is in place for self-assessments to be conducted annually by each Director, as well as for the Board as a whole and its committees. These assessments are undertaken to evaluate the effectiveness and performance of the Board and its committees. The records of these assessments are maintained by the Company Secretary.

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Section	Direction	Status of Compliance
	iv. Remuneration	
	■ A statement on remuneration policy, which includes Board fee structure and breakdown of remuneration of senior management, level and mix of remuneration (financial and non-financial, the procedure for setting remuneration, and the relationships between remuneration, performance and value creation).	The Board approved Remuneration policy is in place for the Executive directors and for Senior Management. The Remuneration Policy ensured that payment of remuneration (salaries, allowances and other financial payments) to all employees of the Company is by considering the individual performances, adherence to the Company's purpose and values, the performance of the Company as a whole and industry best practices. Non-Executive Directors remuneration is governed by the board approved Non-Executive Directors Remuneration Policy and is under the purview of the BHRRC and approved by the Board. Please report of the Board Human resource remuneration Committee.
	■ The aggregate values of remuneration paid by the FC to its directors and senior management.	Refer the Report of the Board of Directors on the Affairs of the Company and notes to the financial statements on related party transactions in this annual report for the director's remuneration details. Remuneration paid to Senior Management (KRP's) (including Executive Directors): Rs.425,729,164/-.
	v. Related party transactions	
	■ The nature of any relationship [including financial, business, family or other material/ relevant relationship(s)], if any, between the Chairperson and the CEO and the relationships among members of the Board.	The Chairman, who serves as a Non-Independent Non-Executive Director, has a related party business relationship with the Company, as he also serves on the Board of Asia Pacific Institute of Information Technology Ltd., a fellow subsidiary of Commercial Credit and Finance PLC under the common parent company, B.G. Investments. Other than this, the Chairman has no financial or other relationships with any other member of the Board. Additionally, the Chief Executive Officer (CEO) of the Company is the spouse of one of the Executive Directors.
	■ Total net accommodation granted in respect of each category of related parties and the net accommodation outstanding in respect of each category of related parties as a percentage of the FC's core capital.	

Category	Net accommodation granted (Rs)	Outstanding (Rs)	% Core capital
Directors and other KRPs	Rs.15,933,203	Rs.10,976,693	0.034%
Subsidiaries, associates, affiliates, holding company, ultimate parent	Rs. 45,000,000	Rs. 45,000,000	0.138%
Relatives of KRPs	Rs. 1,000,000	Rs.1,024,744	0.003%

Section	Direction	Status of Compliance
	■ The aggregate values of the transactions of the FC with its senior management during the financial year, set out by broad categories such as accommodation granted, and deposits or investments made in the FC.	Remuneration paid to Senior Management (KRP's)(including Executive Directors) – Rs. Rs. 425,729,164 Accommodations granted to Senior Management (KRP's) – Rs. 31,829,146 Deposits made by Senior Management (KRP's) (including Executive Directors) : Rs. 32,492,937
	vi. Board appointed committees	
	■ The details of the chairperson and members of the board committees and attendance at such meetings.	Refer to the Board committee reports and attendance at Board meetings and Board Sub-Committee meetings.
	vii. Group Structure	
	■ The group structure of the FC within which it operates. ■ The group governance framework.	The Board has established group governance framework for exercising adequate oversight over its group in accordance with the regulatory requirements. The purpose of this group governance framework is to ensure that Commercial Credit and Finance PLC (CCFP) as a holding company exercises adequate oversight over its subsidiaries and associates, while complying with independent legal, regulatory, and governance responsibilities. Currently, the company has one subsidiary named Commercial Credit Insurance Brokers Private Limited and one company with significant influence named TVS Lanka Private Ltd (share percentage is below 20%)
	viii Director's report	
	A report, which shall contain the following declarations by the Board:	Refer Annual Report of the Board of Directors on the Affairs of the Company.
	■ The FC has not engaged in any activity, which contravenes laws and regulations. ■ The directors have declared all related party transactions with the FC and abstained from voting on matters in which they were materially interested. ■ The FC has made all endeavors to ensure the fair treatment for all stakeholders, in particular the depositors. ■ The business is a going concern with supporting assumptions; and ■ The Board has conducted a review of internal controls covering material risks to the FC and have obtained reasonable assurance of their effectiveness.	

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Section	Direction	Status of Compliance
	ix. Statement on Internal Control	
	■ A report by the Board on the FC's internal control mechanism that confirms that the financial reporting system has been designed to provide a reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes has been done in accordance with relevant accounting principles and regulatory requirements. ■ The external auditor's assurance statement on the effectiveness of the internal control mechanism referred above, in respect of any statement prepared or published. ■ A report setting out details of the compliance with prudential requirements, regulations, laws and internal controls and measures taken to rectify any non-compliances. ■ A statement of the regulatory and supervisory concerns on lapses in the FC's risk management, or non-compliance with the Act, and rules and directions.	Refer Directors Statement on Internal Control Over Financial Reporting.
	x. Corporate governance report	
	■ Shall disclose the manner and extent to which the company has complied with Corporate Governance Direction and the external auditor's assurance statement of the compliance with the Corporate Governance Direction.	The Corporate Governance report is disclosed in this annual report. Refer Corporate Governance report. The Company has obtained an independent assurance statement (factual findings report) from the External Auditors over compliance with Finance Business Act Direction No. 05 of 2021 on Corporate Governance.
	xi. Code of Conduct	
	■ FC's code of business conduct and ethics for directors, senior management and employees. ■ The Chairperson shall certify that the company has no violations of any of the provisions of this code.	The company has established an Ethical Framework (code of conduct) that offers awareness and guidance to the company on the values of Commercial Credit, corporate governance practices, good business ethics, professionalism, and the connected behaviors required to demonstrate when carrying out duties and responsibilities. The framework also defines breaches and their consequences. Furthermore a Board Directors Engagement Charter is in place. Please refer to the Chairperson's message.

Section	Direction	Status of Compliance
	xii. Management report	
	■ Industry structure and developments	Refer Management Discussion & Analysis of the annual report..
	■ Opportunities and threats	Refer Sustainability Report of the annual report.
	■ Risks and concerns	Refer CEO' Review report of the annual report.
	■ Sustainable finance activities carried out by the company	
	■ Prospects for the future	
	xiii. Communication with shareholders	
	■ The policy and methodology for communication with shareholders.	The Board approved policy on communications with the relevant stakeholders is in place.
	■ The contact person for such communication.	The Company Secretary communicates with shareholders through the Annual Report, Quarterly Reports, and notices/announcements issued to the shareholders. Further, shareholder meetings are chaired by the Chairman of the Board of Directors of the company wherever possible. If the Chairman is unable to attend the meeting, a Chairman for the meeting will be appointed as per the Articles of Association.

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COMPLIANCE WITH THE CONTINUING LISTING REQUIREMENTS SECTIONS 7.6 ON CORPORATE GOVERNANCE RULES FOR LISTED COMPANIES ISSUED BY THE COLOMBO STOCK EXCHANGE

Rule No.	Disclosure Requirement	Section/Reference	Status
7.6 (i)	Names of the Directors who held duties during the financial year	Refer Annual Report of the Board of Directors on the Affairs of the Company in the Annual Report.	Complied
7.6 (ii)	Principal activities of the Company and its subsidiaries during the year and any changes therein	Refer Annual Report of the Board of Directors on the Affairs of the Company in the Annual Report.	Complied
7.6 (iii)	The names and the number of shares held by the 20 largest holders of voting and non- voting shares and the percentage of such shares held	Refer Investor Information Report in the Annual Report.	Complied
7.6 (iv)	The public holding percentage	Refer Investor Information Report in the Annual Report.	Complied
7.6 (v)	Directors' and Chief Executive Officer's holding in shares of the Company at the beginning and end of the financial year	Refer Annual Report of the Board of Directors on the Affairs of the Company in the Annual Report.	Complied
7.6 (vi)	Information pertaining to material foreseeable risk factors	Refer Annual Report of the Board of Directors on the Affairs of the Company in the Annual Report.	Complied
7.6 (vii)	Details of material issues pertaining to employees and industrial relations	There were no material issues pertaining to employees and industrial relations.	Complied
7.6 (viii)	Extents, locations, valuations and the number of buildings of the Company's land holdings and investment properties	Refer Note 19 to 20 of the Audited Financial Statements in this Annual Report (Investment Property & Property Plant and Equipment).	Complied
7.6 (ix)	Number of shares representing the stated capital	Refer Annual Report of the Board of Directors on the Affairs of the Company in the Annual Report.	Complied
7.6 (x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	Refer Annual Report Investor Information Report in this Annual Report.	Complied
7.6 (xi)	Ratios and market price information on Equity , debt and any changes in credit rating	Refer Annual Report Investor Information Section in this Annual Report.	Complied
7.6 (xii)	Significant changes in the Company's or its subsidiaries' fixed assets and the market value of land, if the value differs substantially from the book value	Not Applicable.	N/A
7.6 (xiii)	Details of funds raised through an Initial Public issue, Rights Issue and private Placement	Not Applicable.	N/A
7.6 (xiv)	Information in respect of Employee Share Ownership or Stock Option Scheme	Not Applicable.	N/A
7.6 (xv)	Disclosures pertaining to Corporate Governance practices in terms of Rules Section 9 of the Rules	Company complies with the Corporate Governance requirement of the listing rules (Sec. 9) issued by the Colombo Stock Exchange (CSE).	Complied
7.6 (xvi)	Related Party transactions exceeding ten (10) percent of the Equity or five (5) percent of the total assets of the Entity as per Audited Financial Statements, whichever is lower	Not applicable as there were no related party transactions that have exceeded the stipulated limit.	Complied
7.6 (xvii)	Additional disclosures in the event the company has its Foreign Currency denominated Securities listed on the Exchange,	Not applicable.	Complied

COMPLIANCE WITH THE CONTINUING LISTING REQUIREMENTS SECTIONS 9 ON CORPORATE GOVERNANCE RULES FOR LISTED COMPANIES ISSUED BY THE COLOMBO STOCK EXCHANGE

Rule No.	Requirement	Status of Compliance
9.1/	**APPLICABILITY OF CORPORATE GOVERNANCE RULES**	Complied
9.1.1/ 9.1.2	The company has complied with the rules set out in section 9.2 to 9.16 on continuous basis.	
9.2	**POLICIES**	
9.2.1	Listed Entities shall establish and maintain the following policies and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the Entity on its website; a). Policy on the matters relating to the Board of Directors. b). Policy on Board Committees - To mention regarding the TOR. c). Policy on Corporate Governance, Nominations and Re-election. d). Policy on Remuneration. e). Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities. f). Policy on Risk management and Internal controls. g). Policy on Relations with Shareholders and Investors. h). Policy on Environmental, Social and Governance Sustainability. i). Policy on Control and Management of Company Assets and Shareholder Investments. j). Policy on Corporate Disclosures. k)Policy on Whistle-blowing. l) Policy on Anti-Bribery and Corruption.	All 12 Board-approved policies have now been implemented and are available on the company's official website for stakeholder reference.
9.2.2	Any waivers from compliance with the Internal Code of business conduct and ethics or exemptions granted by the Listed Entity shall be fully disclosed in the Annual Report.	No such waivers were granted during the year under review.
9.2.3	Listed Entities shall disclose in its Annual Report: (i) The list of policies that are in place in conformity to Rule 9.2.1 above, with reference to its website. (ii) Details pertaining to any changes to policies adopted by the Listed Entities in compliance with Rule 9.2 above.	All 12 Board-approved policies have now been implemented and are available on the company's official website for stakeholder reference.

CORPORATE GOVERNANCE

Rule No.	Requirement	Status of Compliance
9.2.4	Listed Entities shall make available all such policies to shareholders upon a written request being made for any such Policy.	Upon written request, a copy of the policy will be furnished to the shareholder.
9.3 BOARD COMMITTEES		
9.3.1	Listed Entities shall ensure that the following Board committees are established and maintained at a minimum and are functioning effectively. The said Board committees at minimum shall include; a) Nominations and Governance Committee b) Remuneration Committee c) Audit Committee d) Related Party Transactions Review Committee.	The Company has established the Board Committees in terms of the Listing rules.
9.3.2	Listed Entities shall comply with the composition, responsibilities and disclosures required in respect of the above Board committees as set out in these Rules.	The Company complies with the said requirement.
9.3.3	The Chairperson of the Board of Directors of the Listed Entity shall not be the Chairperson of the Board Committees referred to in Rule 9.3.1 above.	The Company complies with the stated requirement, and the Chairperson of the Board does not serve as Chairperson of any sub-committees.
9.4 ADHERENCE TO PRINCIPLES OF DEMOCRACY IN THE ADOPTION OF MEETING PROCEDURES AND THE CONDUCT OF ALL GENERAL MEETINGS WITH SHAREHOLDERS		
9.4.1	Listed Entities shall maintain records of all resolutions and the following information upon a resolution being considered at any General Meeting of the Entity. The Entity shall provide copies of the same at the request of the Exchange and/or the SEC. a) The number of shares in respect of which proxy appointments have been validly made; b) The number of votes in favor of the resolution; c) The number of votes against the resolution; and d) The number of shares in respect of which the vote was directed to be abstained.	The company secretary maintains records of all resolutions, which are being considered at the Annual General Meeting.
9.4.2	Communication and relations with shareholders and investors a) Listed Entities shall have a policy on effective communication and relations with shareholders and investors and disclose the existence of the same in the Annual Report and the website of the Listed Entity. b) Listed Entities shall disclose the contact person for such communication.	The Company has complied with the requirement and has implemented a Board-approved Communication Policy, which incorporates provisions to ensure effective communication with all stakeholders.

Rule No.	Requirement	Status of Compliance
	c) The policy on relations with shareholders and investors shall include a process to make all Directors aware of major issues and concerns of shareholders, and such process shall be disclosed by the Entity in the Annual Report and the website of the Entity. d) Listed Entities that intend to conduct any shareholder meetings through virtual or hybrid means shall comply with the Guidelines issued by the Exchange in relation to same and published on the website of the Exchange.	
9.5	**POLICY ON MATTERS RELATING TO THE BOARD OF DIRECTORS**	
9.5.1	Listed Entities shall establish and maintain a formal policy governing matters relating to the Board of Directors and such policy shall: a) Recognize the need for a balance of representation between Executive and Non-Executive Directors and cover at minimum board composition, the roles and functions of the Chairperson and Chief Executive Officer or equivalent position (hereinafter commonly referred to as the CEO), Board balance and procedures for the appraisal of Board performance and the appraisal of the CEO. b) Where a Listed Entity decides to combine the role of the Chairperson and CEO, 1) Set out the rational for combining such positions; and, 2) Require the Board Charter of the Listed Entity to contain terms of reference/functions of the Senior Independent Director (SID) and the powers of the SID, which should be equivalent to that of the Chairperson in the instance of a conflict of interest. 3) Set out the measures implemented to safeguard the interests of the SID. c) Require diversity in Board composition for Board effectiveness in terms of a range of experience, skills, competencies, age, gender, industry requirements and importance of objective selection of directors. d) Stipulate the maximum number of Directors with the rationale for the same. e) Specify the frequency of Board meetings, having regard to the requirements under the Listing Rules. f) Provide mechanisms for ensuring that Directors are kept abreast of the Listing Rules and on-going compliance and/or non-compliance by the Listed Entity with obligations arising under such Rules.	The Company has a Board-approved policy on matters related to the Board of Directors, along with several other Board-approved governance policies addressing various aspects of Board-related matters.

CORPORATE GOVERNANCE

Rule No.	Requirement	Status of Compliance
	g) Specify the minimum number of meetings, in numbers and percentage, that a Director must attend, in order to ensure consistent attendance at Board Meetings and to avoid being deemed to vacate such position. h) Provide requirements relating to trading in securities of the Listed Entity and its listed group companies and disclosure of such requirements. i) Specify the maximum number of directorships in Listed Entities that may be held by Directors. j) Recognize the right to participate at meetings of the Board and Board Committees by audio visual means and for such participation to be taken into account when deciding on the quorum.	
9.5.2	Listed Entities shall confirm compliance with the requirements of the policy referred to in Rule 9.5.1 above in the Annual Report and provide explanations for any non-compliance with any of the requirements with reasons for such non-compliance and the proposed remedial action.	Company is in compliance with the requirements stated in the in section 9.5.1
9.6 CHAIRPERSON AND CEO		
9.6.1	The Chairperson of every Listed Entity shall be a Non-Executive Director and the position of the Chairperson and CEO shall not be held by the same individual, unless otherwise a SID is appointed by such Entity in terms of Rule 9.6.3 below.	The Chairperson is a Non-Executive Director, and the roles of Chairman and Chief Executive Officer are held by two separate individuals. The responsibilities of the Chairman and the CEO are clearly defined and documented in the policy outlining the functions and responsibilities of both positions.
9.6.2	A Listed Entity that is unable to comply with Rule 9.6.1 above shall make a Market Announcement within a period of one (1) month from the date of implementation of these Rules or an immediate Market Announcement from the date of non-compliance (if such date falls subsequent to the implementation of these Rules). Such Market Announcement shall include the following: a) The reasons for non-compliance b) The rationale for combining the positions of the Chairperson and CEO	Not applicable

Rule No.	Requirement	Status of Compliance
9.6.3	The Requirement for a SID	
	a). A Listed Entity shall appoint an Independent Director as the SID in the following instances: 1.The Chairperson and CEO are the same person 2.The Chairperson and CEO are Close Family Members or Related Parties Such appointment shall be immediately disclosed with reasons for such appointment, by way of a Market Announcement. b). The Independent Directors shall meet at least once a year or as often as deemed necessary at a meeting chaired by the SID without the presence of the other Directors to discuss matters and concerns relating to the Entity and the operation of the Board. The SID shall provide feedback and recommendations from such meetings to the Chairperson and the other Board Members. c). The SID shall chair a meeting of the Non-Executive Directors without the presence of the Chairperson at least annually, to appraise the Chairperson's performance and on such other occasions as are deemed appropriate. d). The SID shall be entitled to a casting vote at the meetings specified in Rules 9.6.3. (b) and (c) above. e). The SID shall make a signed explanatory disclosure in the Annual Report demonstrating the effectiveness of duties of the SID.	The same individual does not hold the roles of Chairperson and CEO. The Chairperson holds the position of a Non-Independent Non-Executive Director, and the company has appointed one of the Independent Directors as a Senior Director with appropriate terms of reference on 17th November 2022. The Chairman, Non-Independent Non-Executive Director maintains a related party business relationship with the Company by virtue of his position on the Board of Asia Pacific Institute of Information Technology Ltd., a subsidiary of Commercial Credit and Finance PLC, sharing the same parent company, B.G. Investments PVT LTD. Two (02) meetings were conducted exclusively for Non-Executive Directors in the absence of Executive Directors on 31/10/2025 and 30/03/2026. The meeting held on 11/03/2026 was conducted exclusively for Independent Non - Executive Directors in the absence of Executive Directors and Non-Independent Non-Executive Directors. The Senior Independent Director (SID) chaired the meeting held on 11/03/2026. Furthermore, the SID chairs the meeting to evaluate the performance of the Chairperson with the Non-Executive Directors in the absence of the Chairperson.
9.6.4	Until Listed Entities comply with Rule 9.6.1 above, such Entities shall be required to explain the reasons for non-compliance with Rule 9.6.1 in the Annual Report.	The Company has complied as per the listing rules requirement.
9.7 FITNESS OF DIRECTORS AND CEOS		
9.7.1	Ensure Fit and proper assessment of Directors and CEO.	The Company has complied as per the listing rules requirement.
9.7.2	Recommendations by the Board Nominations and Governance Committee as Directors are fit and proper.	There is a procedure in place to get a declaration from individuals whose names are suggested for appointment as Directors from the Board Nomination and Governance Committee (BNGC) attesting to their compliance with the fit and appropriate requirements outlined in section 9.7.3 of the listing rules.
9.7.3	Fit and Proper Assessment Criteria outlined in Section 9.7.3 of the Listing Rules, which include: a) Honesty, integrity, and reputation; b) Competence and capability; and c) Financial soundness.	The Company is in compliance as per the listing rules requirement. All the Directors and CEO have declared that they are complied with the fit and proper criteria set out in the section 9.7.3 of the listing rules.

CORPORATE GOVERNANCE

Rule No.	Requirement	Status of Compliance
9.7.4	Listed Entities shall obtain declarations from their Directors and CEO on an annual basis confirming that each of them have continuously satisfied the Fit and Proper Assessment Criteria set out in these Rules during the financial year concerned and satisfies the said criteria as at the date of such confirmation.	The Company is in compliance with the requirements of the Listing Rules and the Finance Business Act Direction No. 06 of 2021 on the Assessment of Fitness and Propriety of Key Responsible Persons. Declarations are obtained annually from the Directors and the CEO to confirm that they have continuously satisfied the Fit and Proper Assessment Criteria.
9.7.5	Disclosures in the Annual Report of Listed Entities. Listed Entities shall include the following disclosures/reports in the Annual Report; a). A statement that the Directors and CEO of the Listed Entity satisfy the Fit and Proper Assessment Criteria stipulated in the Listing Rules of the Colombo Stock Exchange. b). Any non-compliance/s by a Director and/or the CEO of the Listed Entity with the Fit and Proper Assessment Criteria set out in these Rules during the financial year and the remedial action taken by the Listed Entity to rectify such non-compliance/s.	The Company relies on the annual fit and proper declaration as defined in the Finance Business Act Direction No.06 of 2021 on Assessment of Fitness and Propriety of Key Responsible Persons. Further the Board has appointed Directors in accordance with the policy on the nomination, election, and appointment of Directors and other key responsible persons, which aligns with the Finance Business Act (Assessment of Fitness and Propriety of Key Responsible Persons) Direction. No such instances recorded during the year under review.
9.8 BOARD COMPOSITION		
9.8.1	The Board of Directors of a Listed Entity shall, at a minimum, consist of five (05) Directors.	As at 31st March 2026, the Board consists of nine (9) Directors, in compliance with the applicable statutory requirements. 1. Mr. G.B Egodage (NI/NED- appointed as the Chairman w.e.f 17.11.2022) 2. Mr. L.L.S. Wickramasinghe (IND/NED-Senior Director) 3. Mr. R.S. Egodage - (ED) /CEO 4. Mr. R.C. Chitty (ED) 5. Mr. G.R. Egodage (ED) 6. Ms. G.A.M. Edwards (IND/NED) 7. Mr. F.A.P.L. Solbani (NI/NED) Resigned w.e.f 28.11.2025) 8. Mr. W. D. Barnabas (IND/NED) Retired w.e.f 03.05.2025) 9. Dr. (Ms) J.P Kuruppu (IND/NED) 10. Ms C S Jesudian (IND/NED) appointed w.e.f 13.06..2025) 11. Mr. K. Singh (NI/NED) appointed w.e.f 14. 01.2026)

Rule No.	Requirement	Status of Compliance
9.8.2	Minimum Number of Independent Directors a). The Board of Directors of Listed Entities shall include at least two (2) Independent Directors or such number equivalent to one-third (1/3) of the total number of Directors of the Listed Entity at any given time, whichever is higher. b). Any change occurring to this ratio shall be rectified within ninety (90) days from the date of the change.	As at the end of the reporting period, there were four (4) Independent Non-Executive Directors on the Board.
9.8.3	Criteria for determining independence.	The Company has obtained a declaration from the directors as specified in appendix 9A to ensure their independence.
9.8.4	Criteria for determining independence for the purpose of rule 9.8.3	
9.8.5.	The Board of Directors of Listed Entities shall require: a).Each Independent Director to submit a signed and dated declaration annually of his or her "independence" or "non-independence" against the criteria specified herein and in the format in Appendix 9A, containing at a minimum the content prescribed therein. b). Make an annual determination as to the "independence" or "non-independence" of each Independent Director based on the Directors` declaration and other information available to it and shall set out the names of Directors determined to be 'independent' in the Annual Report. C). If the Board of Directors determines that the independence of an Independent Director has been impaired against any of the criteria set out in Rule 9.8.3, it shall make an immediate Market Announcement thereof.	The Company has obtained a declaration from the directors as specified in appendix 9A to ensure their independence. No such instances occurred during the year under review.
9.9	**ALTERNATE DIRECTORS**	There are no Alternate Directors in the Board during the financial year.
9.10 DISCLOSURES RELATING TO DIRECTORS		
9.10.1	Listed Entities shall disclose its policy on the maximum number of directorships it's Board members shall be permitted to hold in the manner specified in Rule 9.5.1. In the event such number is exceeded by a Director(s), the Entity shall provide an explanation for such non-compliance in the manner specified in Rule 9.5.2 above.	The Company has complied with the requirement and has implemented a Board-approved Policy on the Composition, Independence, and Capacity Building of the Board of Directors.
9.10.2	Listed Entities shall, upon the appointment of a new Director to its Board, make an immediate Market Announcement setting out the following; 1. a brief resume of such Director; 2. his/her capacity of directorship; and, 3. Statement by the Entity indicating whether such appointment has been reviewed by the Nominations and Governance Committee of the Entity.	No such matters occurred during the year under review.

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Rule No.	Requirement	Status of Compliance
9.10.3	Listed Entities shall make an immediate Market Announcement regarding any changes to the composition of the; 1. Board of Directors, and 2. Board Committees referred to in Rule 9.3 above. The announcement shall, at a minimum, contain the details of changes including, appointments, resignations and the capacity of directorship with the effective date thereof.	The Company confirms its compliance with Rule No. 9.10.3 of the Listing Rules, having made four (04) disclosures during the financial year as follows: ■ A disclosure was made regarding the retirement w.e.f. 03.05.2025 of Mr. W D Barnabas, Independent Non - Executive Director. ■ A disclosure was made regarding the resignation w.e.f. 28.11.2025 of Mr. F A P L Solbani Non - Independent Non - Executive Director. ■ A disclosure was made regarding the appointment of Ms.C S Jesudian w.e.f. 13.06.2025 as an Independent Non - Executive Director. ■ A disclosure was made regarding the appointment of Mr. K Singh w.e.f. 14.01.2026 as a Non Independent Non Executive Director.
9.10.4	Details relating to Directors in the Annual Report.	Directors Details are given in the annual report director's profile section on the Annual Report.
9.11	**NOMINATIONS AND GOVERNANCE COMMITTEE**	The BNGC handle nomination and governance-related matters. A Board-approved Charter for the committee is available, defining its scope, roles, responsibilities, and other pertinent details.
9.11.1	Availability of Nomination and Governance committee.	BNGC complied with the requirements set out in rule 9.11 of listing rules. Refer Board Nomination and Governance Committee report on this annual report.
9.11.2	Board appointments through Nomination and Governance Committee.	A Board-approved policy is in place to ensure a formal and transparent process for the appointment of new Directors and their re-election to the Board through the Board Nominations and Governance Committee (BNGC).
9.11.3	Terms of reference of Nominations and Governance Committee.	A Charter for the Board Nomination and Governance Committee is available, defining its scope, roles, responsibilities, and other pertinent details.

Rule No.	Requirement	Status of Compliance
9.11.4	Composition	
	1). The members of the Nomination Committee shall; a). Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. b). Not comprise of Executive Directors of the Listed Entity. 2). An Independent Director shall be appointed as the Chairperson of the Nominations and Governance Committee by the Board of Directors. 3). The Chairperson and the members of the Nominations and Governance Committee shall be identified in the Annual Report of the Listed Entity.	The Committee is comprised of two Independent Non-Executive Directors and one Non-Executive Director. Mr. L.L.S. Wickramasinghe, who serves as the Senior Independent Director of the Board (Independent and Non-Executive Director), chairs the Committee. Refer Board Nomination and Governance Committee report in this annual report.
9.11.5	Functions of the Board Nomination and Governance Committee.	Refer Board Nomination and Governance Committee report in this annual report.
9.11.6	Disclosure in Annual Report.	Refer Board Nomination and Governance Committee report in this annual report.
9.12 REMUNERATION COMMITTEE		
9.12.1	For the purposes of Rule 9.12, the term "remuneration" shall make reference to cash and all non-cash benefits whatsoever received.	The Board Human Resources and Remuneration Committee is in place in compliance with the applicable requirement.
9.12.2	Listed Entities shall have a Remuneration Committee that conforms to the requirements set out in Rule 9.12 of these Rules.	
9.12.3	The Remuneration Committee shall establish and maintain a formal and transparent procedure for developing policy on Executive Directors' remuneration and for fixing the remuneration packages of Individual Directors. No Director shall be involved in fixing his/her own remuneration.	A Board-approved remuneration policy is in place to ensure a formal and transparent process for setting remuneration and to comply with the relevant requirements.
9.12.4	Remuneration for Non-Executive Directors should be based on a policy which adopts the principle of non-discriminatory pay practices among them to ensure that their independence is not impaired.	A separate Board-approved Remuneration Policy for non-executive directors is in place to comply with the relevant requirements.
9.12.5	Remuneration Committee shall have a written term of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings.	A Charter for the Board Human Resource and Remuneration Committee is available, defining its scope, roles, responsibilities, and other pertinent details.

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Rule No.	Requirement	Status of Compliance
9.12.6	Composition 1). The members of the Remuneration Committee shall; a) Comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. b). Not comprise of Executive Directors of the Listed Entity. (2) In a situation where both the parent company and the subsidiary are 'Listed Entities', the Remuneration Committee of the parent company may be permitted to function as the Remuneration Committee of the subsidiary. (3) An Independent Director shall be appointed as the Chairperson of the Remuneration Committee by the Board of Directors.	The Committee comprises two Independent Non-Executive Directors and one Non-Executive Director. The Committee chaired by Ms. G.A.M. Edwards (Independent Non-Executive Directors). The profile of the Chairperson is provided in this Annual Report.
9.12.7	Functions 1). The Remuneration Committee shall recommend the remuneration payable to the Executive Directors and CEO of the Listed Entity and/or equivalent position thereof to the Board of the Listed Entity which will make the final determination upon consideration of such recommendations. 2). The Remuneration Committee may engage any external consultant or expertise that may be considered necessary to ascertain or assess the relevance of the remuneration levels applicable to Directors and CEO.	The Remuneration Policy of the Company, encompassing salaries, allowances, and other financial benefits related to the Executive Directors , CEO and senior management, is determined by the Board Human Resource and Remuneration Committee (BHRRC).
9.12.8	Disclosure in Annual Report a). Names of the Chairperson and members of the Remuneration Committee and the nature of directorships held by such members; b). A statement regarding the remuneration policy; and, c). The aggregate remuneration of the Executive and Non-Executive Directors.	The report of Board Human Resource and Remuneration Committee (BHRRC) is given in the Annual Report.
9.13 AUDIT COMMITTEE		
9.13.1	Where Listed Entities do not maintain separate Committees to perform the Audit and Risk Functions, the Audit Committee of such Listed Entities shall additionally perform the Risk Functions set out in Rule 9.13 of these Rules.	The Company currently operates two separate committees: a Board Audit Committee (BAC) and a Board Integrated Risk Management Committee (BIRMC).
9.13.2	The Audit Committee shall have a written terms of reference clearly defining its scope, authority and duties.	A Board-approved Charter is in place, defining the scope, authority, and duties.

Rule No.	Requirement	Status of Compliance
9.13.3	Composition of the Board Audit Committee.	The Committee is comprised of two Independent Non-Executive Directors and one Non-Executive Director. Mr. L.L.S. Wickramasinghe chairs the Board Audit Committee , who serves as the Senior Independent Director of the Board (Independent and Non-Executive Director). Majority members are Independent directors with necessary qualifications and experience relevant to the scope of the BAC. The profile of the Chairperson is provided in this Annual Report.
9.13.4	Functions 1) The functions of the Audit Committee shall include the following: i) Oversee the Entity's compliance with financial reporting requirements, information requirements under these Rules, the Companies Act and the SEC Act and other relevant financial reporting related regulations and requirements. ii) Review the quarterly results and year-end financial statements of the Entity prior to tabling for the approval of the Board of Directors of the Entity with special reference to: a). Changes in or implementation of major accounting policy changes; b). Significant matters highlighted including financial reporting issues, significant judgments made by management, significant and unusual events or transactions, and how these matters are addressed; c). Compliance with accounting standards and other legal requirements; d). Any related party transaction and conflict of interest situation that may arise within the Listed Entity or group including any transaction, procedure or course of conduct that raises questions of management integrity; e). Any letter of resignation from the external auditors of the Listed Entity; and, f). Whether there is reason (supported by grounds) to believe that the Listed Entity's external auditor is not suitable for re-appointment.	BAC ensures the compliance to laws and regulations through Internal Audit activities conducted by Internal Audit Department. Requirements are already incorporated into the BAC Charter.

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Rule No.	Requirement	Status of Compliance
	iii) To make recommendations to the Board pertaining to appointment, reappointment and removal of external auditors and to approve the remuneration and terms of engagement of the external auditors. iv) Obtain and review assurance received from: a). The CEO and the CFO that the financial records have been properly maintained and the financial statements give a true and fair view of the Entity's operations and finances; and b). The CEO and other key management personnel who are responsible, regarding the adequacy and effectiveness of the Entity's risk management and internal control systems.	The BAC has a process in place to review the financial information of the Company, aiming to monitor the integrity of its financial statements, annual report, quarterly accounts, and other periodical reports prepared for disclosure, along with the significant financial reporting judgments therein. Before making a recommendation for the Board's approval, a thorough discussion is held with an emphasis on critical areas, modifications to accounting procedures, important audit findings in the Financial Statements, and adherence to pertinent laws and standards.
	v) Review the internal controls in place to prevent the leakage of material information to unauthorized persons	Currently this aspect is addressed by the BAC
	vi) Oversee the processes to ensure that the Entity's internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards	Complied with the requirements
	vii) Review and assess the company's risk management process, including the adequacy of the overall control environment and controls in areas of significant risks and updated business continuity plans.	Complied with the requirements through BIRMC
	viii) Review the risk policies adopted by the Entity on an annual basis.	Complied with the requirements through BIRMC
	ix) Take prompt corrective action to mitigate the effects of specific risks in the case such risks are at levels beyond the prudent levels decided by the committee on the basis of the Listed Entity's policies and regulatory requirements.	Complied with the requirements through both BIRMC and BAC
	x) Review the scope and results of the internal and external audit and its effectiveness, and the independence, performance and objectivity of the auditors. xi)To develop and implement policy on the engagement of the external auditor to supply non-audit services, at minimum taking into account relevant ethical guidance regarding the provision of non-audit services by an external audit firm; and to report to the Board identifying any matters in respect of which it considers that action or improvement is needed and making recommendations as to the steps ought to be taken Xii) if a change of auditor is recommended by the Audit Committee in circumstances where the audit opinion of the immediately disclosed financial period or any period where subsequent disclosure of audit opinion is pending and such opinion carries a modification or an emphasis of matter of going concern, then the Audit Committee report shall include the rationale of the Audit Committee for recommending the removal of the auditor. Xiii) Where the Audit Committee is of the view that a matter reported by it to the Board of Directors of a Listed Entity has not been satisfactorily resolved resulting in a breach of these Requirements, the Audit Committee shall promptly report such matter to the Exchange.	The Board Audit Committee and the Board Integrated Risk Management Committee execute their respective tasks as defined in their charters

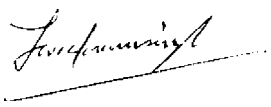
Rule No.	Requirement	Status of Compliance
	(2). Where Listed Entities maintain two (02) separate Committees to carry out the Audit and Risk functions, the terms of reference of such Committees shall, at a minimum, include the respective functions stipulated in Rule 9.13.4 (1) above.	.
9.13.5	Disclosures in Annual Report	
	1). The Audit Committee shall also prepare an Audit Committee Report which shall be included in the Annual Report of the Listed Entity. The Audit Committee Report shall set out the manner in which the Entity has complied with the requirements applicable to the Audit Committee during the period for which the Annual Report relates. 2). The Audit Committee Report shall contain the following disclosures: a) the names of the Chairperson and the members of the Audit Committee, and the nature of directorships held by such members (or persons in the parent company's committee in the case of a group company); b). the status of risk management and internal control of the Listed Entity and as a Group (where applicable). c). A statement that it has received assurance from the CEO and the CFO of the Entity's operations and finances. d) An opinion on the compliance with financial reporting requirements, information requirements under these Rules, the Companies Act and the SEC Act and other relevant financial reporting related regulations and requirements. e). whether the listed entity has a formal Audit Charter f). the manner in which internal audit assurance is achieved and a summary of the work of the internal audit function; g).Details demonstrating the effective discharge of its functions and duties for that financial year of the Listed Entity; h). a statement confirming that written assurance was obtained from the external auditors approved by the SEC, confirming that they are and have been independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements; and i). a statement confirming that the Audit Committee has made a determination of the independence of auditors and the basis of such determination. It shall also contain details on the number of years that the external auditor and the audit partner were engaged. If the external auditor provides non audit services, explanations must be made of How auditor objectivity and independence are safeguarded taking into consideration fees paid for non-audit services provided by the external Auditor and affiliated parties.	The Report of the Board Audit Committee and BIRMC is given in this Annual Report. Further refer the CEO's & CFO's responsibility statement in this Annual Report.

CORPORATE GOVERNANCE

Rule No.	Requirement	Status of Compliance
9.14 RELATED PARTY TRANSACTIONS REVIEW COMMITTEE		
9.14.1	Listed Entities shall have a Related Party Transactions Review Committee that conforms to the requirements set out in Rule 9.14 of these Rules.	The Company has established its own Related Party Transactions Review Committee (BRPTRC) BRPTRC comprises a total of three Non- Executive Directors, out of which majority is an Independent Directors. The Chairperson is an Independent Director. The committee Chaired by Ms. G.A.M. Edwards Independent Non-Executive Directors.
9.14.2	Composition	
9.14.3	Functions	
9.14.4/ 9.14.5	General Requirements and Related Party Transactions Review Committee and Review of Related Party Transactions by the Related Party Transactions Review Committee.	The committee convened 08 times a year as follows. ■ 08.04.2025 ■ 21.04.2025 ■ 07.05.2025 ■ 15.08.2025 ■ 20.08.2025 ■ 11.11.2025 ■ 16.01.2026 ■ 23.01.2026 The BRPTRC members have the knowledge and experience to evaluate every facet of suggested related party transactions. When necessary, the committee should consult a suitably qualified individual to acquire professional and expert opinion. Please refer to the BRPTRC report included of this annual report.
9.14.6	Shareholder Approval	The procedure outlined in section 9.14.6 (1) of the listing rules for obtaining shareholder approval through a special resolution for RPTs is in place. No transactions occurred that needed to be immediately disclosed to the market in accordance with section 9.14.7 of the listing rules.
9.14.7	The Company shall make an immediate Market Announcement to the CSE for Related Party Transactions listed in Section 9.14.7 (a) and (b)	None

Rule No.	Requirement	Status of Compliance
9.14.8	Disclosures in the Annual Report.	There were no non recurrent related party transactions which exceed 10% of the equity or 5% of the total assets of the company whichever is lower which required to be disclosed in the annual report as required by section 9.14.8 of the listing rules. Refer the RPT Note No. 52 of the Financial Statements in this annual report. There were no recurrent related party transactions which exceed aggregate value 10% of gross revenue/income or 5% of the total assets of the company whichever is lower which required to be disclosed in the annual report as required by section 9.14.8 of the listing rules. Refer the BRPTRC on this annual report.
9.14.9	Acquisition and disposal of Assets from / to Related Parties	None
9.14.10	Exempted Related Party Transactions	Complied
9.16 ADDITIONAL DISCLOSURES		
	1). They have declared all material interests in contracts involving in the Entity and whether they have refrained from voting on matters in which they were materially interested; 2). They have conducted a review of the Internal controls covering Financial , operational and compliance controls and risk management and have obtained reasonable assurance of their effectiveness. (3) they made arrangements to make themselves aware of applicable laws, rules and regulations and are aware of changes particularly to Listing Rules and applicable capital market provisions; (4) disclosure of relevant areas of any material non-compliance with law or regulation and any fines, which are material, imposed by any government or regulatory authority in any jurisdiction where the Entity has operations	Directors' interest register and Directors' interest in contracts or proposed contracts is being maintained as required by the Companies Act. Refer annual report of the board of directors on the affairs of the company and Report on directors' statement on internal control. The relevant information has been disclosed in the Annual Report of the Board of Directors on the Affairs of the Company. The matter has also been addressed in the Corporate Governance Report included in this Annual Report. Furthermore, the Board has adopted the policy on "Composition, Independence, and Capacity Building of the Board of Directors. Any training programs relevant to the Board are communicated to the Board by the Company Secretary for the Directors' participation Company had monetary penalty of Rs. 3mn imposed by the FIU. (No Material Impact to the Company)
9.17	**ENFORCEMENT PROCEDURE FOR NON-COMPLIANCE WITH CORPORATE GOVERNANCE REQUIREMENTS.**	None

On behalf of the Board Nomination and Governance Committee



L.L.S. Wickramasinghe
Chairperson - Board Nomination and Governance Committee

31st July 2026
Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Board of Directors hereby submits to the shareholders the annual report concerning the affairs of the company for the year ended on 31st March, 2026. This report provides information in accordance with the provisions of the Companies Act No. 7 of 2007 (the "Companies Act"), as well as other disclosures mandated by the Listing Rules of the Colombo Stock Exchange (the "Listing Rules").

PRINCIPAL ACTIVITIES

The principal activities of Commercial Credit and Finance PLC (the "Company") are accepting deposits, granting of leasing facilities, hire purchase facilities, personal loans, micro finance loans, gold loans and other credit facilities.

CHANGES TO THE NATURE OF BUSINESS

There were no significant changes to the principle activities of the Company during the financial year ended 31st March, 2026.

FINANCIAL STATEMENTS

The financial statements for the year ended 31st March, 2026 are set out in this annual report.

DIRECTOR'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The directors are responsible for preparing and presenting the financial statements, as set out in this annual report. The financial statements have been prepared in conformity with the Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act.

The directors are of the view that the financial statements give a true and fair view of the state of affairs of the Company and of the profit for the year then ended.

SIGNIFICANT ACCOUNTING POLICIES

The material accounting policies adopted in the preparation of the financial statements are given on pages 167 to 181. The Directors consider that, in preparing these financial statements, suitable accounting policies have been used which are applied consistently and supported by reasonable and prudent judgment and that all applicable accounting standards have been followed. The financial statements are prepared on a Going Concern basis.

CORPORATE GOVERNANCE

The Board ensures that the Company's corporate governance framework remains robust and relevant. The corporate governance practices within the Company are set out in pages 76 to 133 of this report

DIRECTORS

The names and the profiles of the directors as who held office during the year are set out on Pages 22 to 26.

RELATED PARTY TRANSACTIONS

The Related Party Transaction Review Committee considers all transactions that require approval, in line with the Company's Related Party Transaction Policy and in compliance with section 9 of the Listing Rules, Sri Lanka Accounting Standard and the Directions issued by the Central Bank of Sri Lanka and are disclosed in Note 53 to the financial statements.

Further, the directors have abstained from voting on matters, if any, in which they were materially interested as related parties.

Bi-annual declarations from the Board of Directors are collected as affirmative statements confirming compliance with the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions, or as negative statements.

SUSTAINABILITY REPORTING

During the year, the Company adopted the SLFRS S1 and SLFRS S2 Sustainability Disclosure Standards, which became mandatory for the Company effective January 01, 2025. The SLFRS sustainability-related financial disclosures have been prepared in accordance with these Disclosure Standards (which are not part of the financial statements) are included in this Annual Report on pages 52 to 73.

INTEREST REGISTER

An interest register is being maintained as required by the Companies Act.

DIRECTORS' SHAREHOLDING

The shares held by the directors at the beginning and at the end of the financial year were as follows. (The Articles of Association of the Company do not stipulate a share qualification for directors):

Name of director	As at 31st March 2025	As at 31st March 2026
Mr G.B. Egodage	Nil	Nil
Mr R.S. Egodage	Nil	Nil
Ms G.R. Egodage	Nil	Nil

Name of director	As at 31st March 2025	As at 31st March 2026
Mr P.S.R. Casie Chitty	429,808	429,808
Mr L.S. Wickremasinghe	Nil	Nil
Ms G.A.M. Edwards	Nil	Nil
Mr. F. Solbani (Resigned w.e.f. 28.11.2025)	Nil	Nil
Mr. W. D. Barnabas (Retired w.e.f. 03.05.2025)	Nil	Nil
Dr (Ms) J.P.Kuruppu	Nil	Nil
Ms. C. S. Jesudian (Appointed w.e.f. 13.06.2025)	Nil	Nil
Mr. K. Singh (Appointed w.e.f. 14.01.2026)	Nil	Nil

There are no Company debentures held by the directors.

PROPERTY, PLANT & EQUIPMENT

The details of the property, plant & equipment of the Company, additions during the year and the depreciation charges for the year are shown in Note No. 20 to the financial statements. The directors consider the market value of the property, plant & equipment as at 31st March, 2026 not to be significantly different to the amounts disclosed.

STATED CAPITAL

The stated capital of the Company remains at LKR 2,150,640,315/- consisting of 318,074,365 Ordinary (Voting) Shares. The shares of the Company are listed on the Colombo Stock Exchange (CSE).

EQUITABLE TREATMENT FOR STAKEHOLDERS

The Directors declare that the Company made endeavors to ensure the fair treatment for all Stake holders including shareholders and depositors.

GOING CONCERN

The Board of Directors is satisfied that the Company can continue its operations in the foreseeable future.

SHAREHOLDERS

The total shareholder base of the Company as at 31st March, 2026 was 7,306. The distribution of the shareholding and a list of the 20 major shareholders are given under Investor Information in page 273 of this report.

STATUTORY PAYMENTS

The directors, to the best of their knowledge and belief are satisfied that all statutory payments had been made up to date.

DONATIONS

During the year the Company has made LKR 14,617,448/- as charitable contributions (2025 LKR 1,616,407/-)

DIRECTOR'S FEES & EMOLUMENTS

Directors' fees and emoluments for the financial year ended 31st March, 2026, was LKR 18,910,000/- (2025 - LKR 16,850,000/-).

COMPLIANCE

We certify that the Company complies with the prudential requirements, regulations, laws and internal controls and are taking measures to rectify any non-compliance. Further, we declare that the Company has not engaged in any activity which contravenes laws and regulations.

AUDITORS

The financial statements for the period under review have been audited by KPMG, Chartered Accountants and the audit report is set out in pages 156 to 159 of this report.

The audit & audit related fees and non-audit fees payable to KPMG for the year under review amounted to LKR 7,865,000/- and LKR 2,573,000/- respectively.

As far as the directors are aware, the auditors do not have any relationship other than that of an auditor with the Company or any of its subsidiaries.

A resolution appointing M/s KPMG- Chartered Accountants as the auditors of the Company for the Financial Year 2026/27 and authorizing the directors to determine their remuneration will be proposed at the annual general meeting.

By Order of the Board.



Shashika Naguruge
Company Secretary



G.B. Egodage
Chairman



R.S. Egodage
Executive Director/ Chief Executive Officer

31st July 2026
Colombo

REPORT OF THE BOARD AUDIT COMMITTEE

The Board audit Committee (BAC) exercises oversight on behalf of the Board in discharging its responsibilities over financial reporting, internal audit, internal controls and external audit. The Board approved Charter for the BAC clearly defines the Terms of Reference of the Committee and regulates the composition, role and responsibilities of the BAC. The BAC Charter is subjected to a review periodically and was last reviewed and approved by the Board on 31/07/2025.

The Committee assessed the Company's compliance with financial reporting and disclosure requirements under the Companies Act No. 7 of 2007, the Finance Business Act No. 42 of 2011, the Listing Rules issued by the Colombo Stock Exchange (CSE), and other applicable financial reporting regulations and frameworks, including Sri Lanka Accounting Standards (SLFRS/LKAS).

COMPOSITION OF THE COMMITTEE

The Committee comprises three Non-Executive Directors, the majority of whom are Independent.

Mr. L. L. S. Wickramasinghe, an Independent Non-Executive Director, has served as Chairperson since 26/02/2025, while the other members are Ms. G. A. M. Edwards, an Independent Non-Executive Director, and Mr. G. B. Egodage, a Non-Executive Director.

The Chairman of the Committee is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka. Brief profiles of the Members are given on pages 22 to 26 of the Annual Report.

THE COMMITTEE IS EMPOWERED BY THE BOARD TO:

- Ensure that financial reporting systems in place are effective and well managed in order to provide accurate, appropriate and timely information to the Board, the Regulatory Authorities, the Management and other stakeholders.
- Review the adequacy and effectiveness of accounting policies, financial controls and other internal controls and the financial reporting process.
- Exercise independent oversight of the Company's external auditors and internal audit function and ensure the independence and effectiveness of both.
- Review the Company's compliance with relevant legal and regulatory requirements and accounting standards in the preparation, reporting and presentation of financial information and monitor the integrity of the Financial Statements and other reports issued by the Company in terms of disclosure requirements.

MEETINGS

The Committee has held twenty two meetings Including two meetings with the External Auditors in the absence of the Executive Directors and Management and One meeting with the internal Audit team in the absence of the Executive Directors and Management and One meeting with the Finance team in the absence of the Executive Directors and Internal Audit team during the year ended 31 March 2026 The proceedings of these meetings are reported to the Board. Details of attendance of the Committee members at these meetings are given in the table on page 80

The Committee met during the year and in the absence of the Management, with the Chief Financial Officer and the senior finance team, to ensure the independence of the financial reporting function, the Head of Internal Audit and Senior Internal Audit staff to ensure their independence and the External Auditor twice during the year in the absence of the Management to ensure that the Auditors had the independence to discuss and express their opinion on any matter and that there was no limitation of scope in relation to the audit.

The Committee invites members of the senior management team on a need's basis to participate in the BAC meetings, including but not limited to the Head of Internal Audit, the Chief Executive Officer, the Deputy Chief Executive Officer, the Chief Operating Officer, the Chief Financial Officer, the Chief Risk Officer and the Compliance Officer. The Company's External auditors and members of the Operational Management team are also invited to participate when deemed necessary.

REPORTING TO THE BOARD

The proceedings of the Committee meetings, including sufficient detail on matters discussed, were regularly reported to the Board to support its overall oversight of financial reporting, internal controls, and the internal and external audit functions.

ACTIVITIES DURING THE YEAR

FINANCIAL REPORTING, RISKS AND INTERNAL CONTROLS

- The Committee supported the Board in its oversight of the preparation of the financial statements by ensuring the statements were prepared in accordance with the Company's accounting records and in compliance with the provisions of Sri Lanka Accounting Standards and the Companies Act No7 of 2007.
- The Committee ensured that the accounting policies and practices are appropriate and adequate internal controls and procedures were in place to provide reasonable assurance that the financial reporting system is effective and provides reliable and timely information.
- The Committee reviewed the impact of adopting new accounting standards, the accounting treatment of significant risks and uncertainties and key estimates and judgments material to the Company's financial reporting and whether disclosures made in the published financial statements were adequate and appropriate.
- The Committee satisfied itself that adequate internal controls and procedures are in place to provide reasonable assurance that the Company's assets are safeguarded.

- During the year the committee placed additional focus on prevailing macro economic challenges and its impact on the financial reporting process. The Committee also reviewed the adequacy of the impairment provision on Loans and advances and related management overlays computed to address the impact of the challenging macro economic environment.

- The committee reviewed the assurance statement from the CEO and CFO that the financial records have been properly maintained and the financial statements provide a true and fair view of the Company's finances.

- The committee obtained and reviewed the assurance received from the CEO and other Key Management Personnel who are responsible for the adequacy and effectiveness of the Company's risk management and internal control systems.

- The Committee met, in the absence of the Management, with the Chief Financial Officer and the senior finance team during the year, to ensure the independence of the financial reporting function.

INTERNAL AUDIT

- Ensured that the Internal Audit function is independent of the activities it audits and that audits are performed with impartiality, objectivity and due professional care.

- Reviewed and approved the internal audit plan for the year and evaluated its adequacy and its frequency of coverage.

- Reviewed the internal audit reports and significant findings with management responses and the status of implementation of BAC recommendation, on a regular basis.

- Evaluated the Internal Audit function covering key areas such as scope, quality of internal audits, independence and resource availability.

EXTERNAL AUDIT

- In accordance with Finance Business Direction No. 05 of 2021, the Company is mandated not to engage the services of the same External Auditor for more than ten consecutive years. Accordingly, KPMG, Chartered Accountants, were re-appointed as the External Auditor for the financial year ended 31 March 2026. This re-appointment was duly approved by the Board of Directors and subsequently ratified by the shareholders at the Annual General Meeting held on 30/09/2025

- The Committee assisted the Board in engaging External Auditors for audit services, in compliance with regulatory provisions and recommended the reappointment of KPMG as external auditor for the year 2026/2027 for shareholder approval.

- The committee evaluated the independence, objectivity and effectiveness of the audit process and obtained a statement confirming the independence in terms of the relevant professional and regulatory requirements.

- The Committee reviewed the non-audit services provided by the auditors, ensuring such assignments do not fall within the restricted services and the provision of such services and would not impair the external auditor's independence and objectivity.

- The committee reviewed the details and related fees for all Audit and Non-audit services obtained from the External Auditor to ensure that non-audit related fees do not exceed the combined fees and expenses payable for audit and audit related services and the ratio of 2:1 was maintained between audit and audit related work and non-audit fees during the year under review.

- KPMG Auditors functions as the External Auditor of the Company. The engagement of the same audit partner has not exceeded five years and has not been reengaged for the audit before the expiry of three years from the date of the completion of the previous term.

- The Committee discussed the audit plan, scope and the methodology proposed to be adopted in conducting the audit with the External Auditor prior to the commencement of the annual audit.

- The Committee discussed all relevant matters arising from the interim and final audits, together with the Management Letter and management responses thereto.

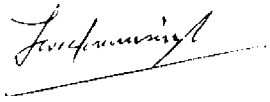
- In accordance with the Finance Business Direction No 5 of 2021, the appointment of KPMG (Chartered Accountants) as the external auditor for the year 2026/27 was recommended to the Board for shareholder approval at the forthcoming Annual General Meeting to be held on 01/09/2026.

SEEK INDEPENDENT PROFESSIONAL ADVICE

The Committee has the authority to seek external professional advice on matters within its purview.

COMMITTEE EFFECTIVENESS

The Committee completed the annual evaluation process with a self-assessment during the year and concluded that the Committee continues to operate effectively.



L.L.S. Wickremasinghe
Chairperson – Board Audit Committee

31st July 2026
Colombo

REPORT OF THE BOARD HUMAN RESOURCE AND REMUNERATION COMMITTEE

The Human Resource and Remuneration Committee of the Board was appointed by the Board of Directors of the Company to provide oversight in the creation and execution of a remuneration framework that is both equitable and transparent. The Board of Directors has entrusted the Committee with the responsibility of formulating Human Resources and Remuneration Policies designed to attract, develop, and retain the talent needed to achieve the Company's objectives.

COMPOSITION OF THE COMMITTEE

The Board Human Resource and Remuneration Committee appointed by the Board of Directors consists of three (3) non-executive directors. The majority of whom are independent.

Ms. G. Edwards
Independent non-executive director, chairperson of the committee.

Mr. G. B. Egodage
Non-independent non-executive director

Dr. (Ms.) J. P. Kuruppu
Independent non-executive director

The members of the Committee possess experience and in-depth knowledge of the business and the financial services industry

Brief profiles of the Members are given on pages 22 to 26 of the Annual Report.

The Committee is independent of the Management and free from any business, personnel or any other relationships that may interfere in making independent judgments.

MEETINGS

The Committee held eight (8) meetings during the year under review. The proceedings of the Committee meetings were regularly reported to the Board of Directors. The Board Human Resource and Remuneration Committee has complied with the Listing rule requirements and the committee has met on the following dates during the financial year ending 31 March 2026 as detailed below.

- **09/04/2025**
- **22/04/2025**
- **25/06/2025**
- **17/07/2025**
- **14/10/2025**
- **06/11/2025**
- **16/02/2026**

SCOPE OF OPERATION

- The Committee operates within the Board approved Charter (TOR) which contains the role and functions of the Committee under relevant regulated statutes.
- Recommending a non-discriminatory, market-oriented remuneration policy for all members of the staff as well.
- Reviewing and recommending rewards, increments, bonuses, and incentive schemes for staff thereby rewarding their performance and loyalty.
- Ensuring that the remuneration structure is aligned with corporate strategy, governance standards, and stakeholder interests
- Review and recommending the remuneration packages of the Director/ Chief Executive Officer and the Senior Management based on individual and organizational performance as well as industry benchmarks
- Reviewing the performance of the Director/Chief Executive Officer against pre-set financial and non-financial targets, which are aligned with the Company's objectives and strategy.
- Reviewing the performance of the Senior Management against pre-set financial and non-financial targets and goals.
- Establishing a non-discriminatory remuneration policy for the board of Directors taking into account their contribution and leadership of the Board Sub-Committees.
- Provides recommendations on other related matters referred to the Committee by the Board of Directors.

REPORTING TO THE BOARD

- The minutes of the Committee meetings are presented to the Board of Directors, ensuring that Board members are informed of the Committee's deliberations. The final determination based on such recommendations if any is required, is made by the Board of Directors.

EVALUATIONS

INDIVIDUAL DIRECTOR EVALUATIONS

The Committee conducted its annual self-evaluation to assess its effectiveness, and a summary of the findings was submitted to the Board for their information. The findings of these evaluations are considered when a director is to be re-appointed and also supports continuous Board development.

A declaration by the Board of Directors affirming compliance with the SEC Code of Best Practice on Corporate Governance, the CSE Listing Rules, applicable provisions of the Finance Business Act Direction No. 05 of 2021 on Corporate Governance and the relevant Directions issued by the Central Bank of Sri Lanka applicable to Licensed Finance Companies is disclosed in the Corporate Governance section of this Annual Report.



G.A.M Edwards
Chairperson
Board Human Resource and Remuneration Committee

31st July 2026

Colombo

REPORT OF THE BOARD NOMINATION AND GOVERNANCE COMMITTEE

The Committee ensures that the Company upholds the highest standards of good governance by maintaining a structured and transparent process for the selection, appointment, and succession planning of Key Responsible Persons. Furthermore, the Committee ensures that the Company's Governance Framework together with its Corporate Governance structure, principles, policies, and practices adopted by the Board of Directors of Commercial Credit and Finance PLC enables compliance with the governance requirements of the Central Bank of Sri Lanka, the Colombo Stock Exchange, and the Securities and Exchange Commission of Sri Lanka.

COMPOSITION OF THE COMMITTEE

The Committee comprises three Non-Executive Directors, the majority of whom are Independent Directors. Mr.L.L.S.Wickremasinghe, Independent Non-Executive Director/Senior Director is the Chairperson of the Committee. Ms. G.A.M Edwards, an Independent Non-Executive Director, was appointed as a member of the Committee and Mr.G.B.Egodage, Non-Executive Director, are the other two members.

BRIEF PROFILES OF THE MEMBERS ARE GIVEN ON PAGES 22 TO 26 OF REPORT.

The Committee is independent of the Management and free from any business, personnel or any other relationships that may interfere in making independent judgments.

The proceedings of the Committee meetings were regularly reported to the Board of Directors. The Board Nomination and Governance Committee (BNGC) has complied with the Listing Rule requirements and convened at least once every quarter, as detailed below, during the financial year ended 31st March 2026. The Committee held eleven [6] meetings during the year under review, and the attendance of the members at these meetings is presented on page [80] of this Report.

- **22/04/2025**
- **23/05/2025**
- **29/09/2025**
- **17/11/2025**
- **30/12/2025**
- **26/03/2026**

RECOMMENDATION OF THE APPOINTMENT OF NON-EXECUTIVE DIRECTORS

During the financial year the committee nominated and recommended members to the board who complied with fit and proper criteria. Mr. F.A.P.L. Solbani, a non-independent, non-executive director, resigned from the Board on November 28, 2025, and Mr. W.D. Barnabas, an independent, non-executive director, retired on May 3, 2025. Following Mr. W.D. Barnabas' retirement, Ms. C.S. Jesudian was appointed as an independent non-executive director on June 13, 2025. Mr. Karnjote Singh S/O Jarmal Singh was appointed as a non-independent, non-executive director on January 14, 2026, to the board of Commercial Credit and Finance PLC.

SCOPE OF OPERATION

- The Committee supports the Board in fulfilling its statutory and fiduciary responsibilities relating to the selection/ appointment of new Directors, re-appointment of current Directors, selection and appointment of the CEO and the Executive Directors and senior management to ensure the highest levels of Corporate Governance in the Company and among members of the Board of Directors.
- Review developments in Corporate Governance and proactively ensure that the Company remains aligned with Best Practices.
- Whilst exercising oversight with respect to the corporate governance by the Board of Directors, the Committee also considers and recommends succession arrangements from time to time for the retiring Directors, the Chief Executive Officer, Executive Directors and senior management taking into account the additional/new expertise required. The Committee regularly reviewed the structure, size, composition including gender representation and competencies (including the skills, knowledge and experience) of the Board members and made recommendations to the Board with regard to any changes.
- The Committee ensures that robust procedures, a code of ethics, and other internal policies and guidelines are established and maintained in compliance with applicable regulatory and legal requirements.
- Reviewed and evaluated the declarations submitted by the Non-Executive Directors concerning their status of independence or non-independence in accordance with the Listing Rules of the Colombo Stock Exchange, as well as assessed their fitness and propriety based on the criteria outlined in the said regulations.
- Ensure that the Board of Directors of the Company comprises individuals of high caliber, possessing relevant professional qualifications, a proven track record, and extensive experience in their respective fields, thereby enabling them to perform their duties effectively.
- The fitness and propriety of the Directors and the new KRP's were considered during the year as and when required to ensure compliance with the CBSL requirements and Corporate Governance Rules of the CSE.
- Make recommendations on any other matters delegated by the Board.

BOARD SUB COMMITTEES

To support the Board in fulfilling its oversight responsibilities, several sub-committees have been established. These sub-committees form an integral part of the Company's Corporate Governance Framework and regularly report to the Board with comprehensive updates on their respective activities. Each sub-committee

comprises a mix of Board members and is attended by relevant Key Responsible Persons, as specified in the committee's Terms of Reference and in accordance with applicable regulatory guidelines.

COMPANY SECRETARY

The Company Secretary holds the primary responsibility for providing secretarial services to the Board of Directors and for managing shareholder meetings, in addition to performing other duties as prescribed by relevant statutes and regulations. The Company Secretary also serves as the liaison with the Registrar of Companies and other regulatory authorities, while offering guidance and advice to Board members as required.

REPORTING TO THE BOARD

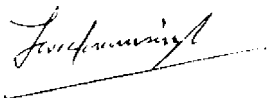
The approved minutes of the Committee meetings are tabled at Board meetings, enabling all Board members to have access to them.

COMMITTEE EFFECTIVENESS

The Committee completed the annual evaluation process with a self-assessment in April 2026 and concluded that the Committee continues to operate effectively. The Corporate Governance requirements stipulated under the Finance Companies Direction No. 05 of 2021 and the Listing Rules of the Colombo Stock Exchange are complied and disclosed in the Corporate Governance section of the Annual report.

ANNUAL PERFORMANCE EVALUATION

The Board in compliance with Finance Business Act Direction No.05 of 2021 conducts an annual performance of the subcommittees.



L.L.S. Wickremasinghe
Chairman - Board Nomination & Governance Committee

31st July 2026
Colombo

BOARD SUSTAINABILITY COMMITTEE REPORT

Recognizing the growing importance of sustainability in creating long-term value and enhancing organizational resilience, the Board of Directors established the Board Sustainability Committee (BSC) during the year under review. The Committee was formed to provide oversight and strategic direction on sustainability-related matters, including environmental, social, governance (ESG), and climate-related risks and opportunities, while ensuring alignment with the Company's corporate strategy and stakeholder expectations.

COMMITTEE RESPONSIBILITIES

The Committee's key responsibilities include:

- Providing oversight on the Company's sustainability strategy, policies, and initiatives.
- Monitoring sustainability-related risks and opportunities that may impact the Company's business model and long-term performance.
- Reviewing climate-related risks and resilience measures adopted by the Company.
- Overseeing sustainability reporting and disclosures, including compliance with applicable regulatory and accounting standards.
- Supporting the Board in embedding sustainability considerations into strategic decision-making and risk management processes.

COMPOSITION OF THE COMMITTEE

The BSC is made up of three Executive Directors and One Non-Executive Director. Members of the Corporate Management supervising broad risk categories are invitees of the meeting.

During the year under review the BSC was made up of the following:

- **Mr. R. C. Chitty**
  Executive Director – Chairman
- **Mr. G. B. Egodage**
  Non-Executive Director
- **Mr. R.S. Egodage**
  Executive Director/Chief Executive Officer
- **Ms. G.R. Egodage**
  Executive Director

MEETINGS AND KEY ACTIVITIES

During the financial year 2025/26, the Committee convened two meetings following its establishment.

The Committee's principal areas of focus during the year included:

REVIEW AND APPROVAL OF CLIMATE-RELATED RISK AND OPPORTUNITIES (CRROS)

The Committee reviewed and approved the Company's Climate-Related Risk and Opportunities (CRROs), which establish a structured approach to identifying, assessing, monitoring, and managing climate-related risks and opportunities. The Committee ensured that these objectives were aligned with the Company's risk management framework and strategic priorities, supporting the company's preparedness for emerging climate-related challenges.

OVERSIGHT OF SUSTAINABILITY REPORTING AND SLFRS S1 & S2 READINESS

The Committee reviewed the Company's preparedness for sustainability-related financial disclosures under Sri Lanka Financial Reporting Standards (SLFRS) S1 – General Requirements for Disclosure of Sustainability-related Financial Information and SLFRS S2 – Climate-related Disclosures.

The Committee monitored management's progress in strengthening governance structures, identifying sustainability-related risks and opportunities, and enhancing data collection processes necessary to support future reporting requirements. Discussions focused on ensuring the Company's disclosure practices evolve in line with emerging regulatory and stakeholder expectations.

LOOKING AHEAD

The Committee remains committed to strengthening sustainability governance across the organization. In the coming years, the Committee will continue to oversee the integration of sustainability considerations into strategic planning, risk management, and business operations while supporting the Company's transition toward enhanced sustainability reporting and climate resilience.

On behalf of the Board Sustainability Committee,



Mr. Rajiv Casie Chitty
Chairman – Board Sustainability Committee

31st July 2026
Colombo

REPORT OF THE RELATED PARTY TRANSACTION REVIEW COMMITTEE

The Board Related Party Transactions Review Committee (the Committee) of the Company was established as a Board Sub Committee on 22nd September 2015. The scope of the Committee is to ensure compliance with the rules set out in the Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka. The Committee operates within the framework of its Terms of Reference (ToR) and the Related Party Transactions Policy, as approved by the Board of Directors. The ToR outlines guidelines for handling Related Party Transactions and their reporting, except for exempted transactions.

COMPOSITION OF THE COMMITTEE

The Committee, appointed by the Board of Directors, comprises three Non-Executive Directors, the majority of whom are independent. Ms. G.A.M. Edwards, an Independent Director, was appointed as a member of the Committee and assumed duties as Chairperson with effect from 26 February 2025. The other members of the Committee are Mr. L. L. S. Wickremasinghe and Mr. G. B. Egodage.

Brief profiles of the Directors serving on the Committee are presented on pages 22 to 26 of this Annual Report.

CHARTER (TERMS OF REFERENCE)

The Committee operates within the framework of its Charter and the Related Party Transactions (RPT) Procedure, as approved by the Board of Directors. The Charter sets out the guidelines and responsibilities for the identification, review, approval, and reporting of Related Party Transactions, excluding transactions that are exempted under applicable regulations and internal policies.

MEETINGS

The Committee held eight (8) meetings during the year under review. The proceedings of the Committee meetings were regularly reported to the Board of Directors. The Board Related Party Transaction Review Committee has complied with the requirements of the Listing Rules and the committee has met on the following dates during the financial year ending 31 March 2026, as detailed below

- **08 April 2025**
- **21 April 2025**
- **07 May 2025**
- **15 August 2025**
- **20 August 2025**
- **11 November 2025**
- **16 January 2026**
- **23 January 2026**

PURPOSE OF THE COMMITTEE

The Committee was established to assist the Board in reviewing all Related Party Transactions carried out by the Company. Its functions are governed by a Charter approved by the Board of Directors.

THE MANDATE OF THE COMMITTEE

The key responsibilities of the Committee include:

- Consider, Review and Evaluate all transactions with related parties (except those expressly exempted by Listing Rule 9.14.10 of the CSE) in order to ensure that transactions with related parties are on normal commercial terms and not better than the best terms afforded to other non-related parties.
- Determining whether Related Party Transactions that are to be entered into by the company, require Board or shareholder approval
- Establishing guidelines for recurrent related party transactions for senior management to follow in its ongoing dealings with the related parties
- Ensuring immediate market disclosures and disclosures in the Annual Report as required by rules regulations are made on a timely manner

SCOPE OF OPERATIONS

The Committee's scope of operations includes the following:

- The Committee will ensure the company has the necessary systems and processes to identify, review and disclose Related Party transactions in strict conformity with Statutory and Regulatory requirements.
- The Committee shall identify and report all recurrent and non-recurrent related party transactions as required in Section 9.14.6 of CSE Rules for shareholder approval as necessary.
- The Committee shall identify related party transactions that require immediate disclosures, in terms of Section 9.14.7 of CSE Rules, and ensure that required disclosures are made by the Company Secretary to CSE.
- Committee undertakes the review of quarterly reports pertaining to related party transactions.
- As part of its oversight responsibilities, the Committee conducts a comparative analysis of related party transactions against established benchmark criteria for non-related party transactions thus ensuring that related parties are not accorded more favorable or preferential treatment compared to other parties. By following this formal review process, the Committee maintains transparency, fairness, and compliance with relevant regulatory standards governing related party transactions.

REPORT OF THE RELATED PARTY TRANSACTION REVIEW COMMITTEE

- The Committee shall review, revise, formulate and recommend to the Board of Directors policies on related party transactions.
- The committee shall ensure that biannual declarations are obtained from the Board of directors and KRP's affirmative statement of the compliance with the Rules pertaining to Related Party Transactions.The Committee shall adopt an acceptable process to ensure that conflicts of interest are avoided in exercising the review function
- The Committee has the right of access as well as the right to call for clarifications and explanations from the Management and Auditors on any related matter.

RELATED PARTY TRANSACTIONS DURING THE PERIOD

Details of Related Party Transactions are disclosed under Note No. 53 to the financial statements in this Annual Report. The committee has reviewed the related party transactions during the financial year and has communicated the comments/ observations to the Board of Directors in the report by RPTRC

REPORTING TO THE BOARD

The approved minutes of Committee meetings are regularly submitted to the Board of Directors to keep them informed and to obtain guidance and strategic direction where necessary.

COMMITTEE EFFECTIVENESS

The Committee conducted a self-assessment in March 2026 and concluded that it operates effectively. A Board declaration confirming compliance with governance requirements is included in the Annual Report. A declaration by the Board of Directors confirming compliance with the SEC Code of Best Practice on Corporate Governance, the CSE Listing Rules, and the relevant directions issued by the Central Bank of Sri Lanka applicable to Licensed Finance Companies is included in the Corporate Governance section of this Annual Report



G.A.M. Edwards
Chairperson-Related Party Transactions Review Committee

31st July 2026
Colombo

REPORT OF THE BOARD INTEGRATED RISK MANAGEMENT COMMITTEE

The Board's Integrated Risk Management Committee (BIRMC) has been established by the Board of Directors in compliance with the corporate governance for licensed non-bank financial institutions in Sri Lanka, issued by the Monitory Board of the Central Bank of Sri Lanka (CBSL), CSE Listing Rules and relevant SEC regulations. The composition and the scope of work of the committee are in line with the same, as set out in the BIRMC charter, and clearly sets out the membership, authority, duties and responsibilities of the committee.

The BIRMC assists the Board of Directors in fulfilling its responsibilities for overseeing the Company's risk management framework and activities, including the review of major risk exposures and the steps taken to monitor and control those exposures pertaining to the numerous risks faced by the Company in its business operations. The Corporate Management is responsible for identifying relevant risks and notifying the BIRMC. Duties of the BIRMC include determining the adequacy and effectiveness of such measures taken, and to ensure that the actual overall risk profile of the Company conforms to the desirable risk appetite of the Company, as approved by the Board.

COMPOSITION OF THE COMMITTEE

The BIRMC is made up of three Independent Non-Executive Directors and One Non-Executive Director. Chief Executive Officer, an Executive Director and Members of the Corporate Management supervising broad risk categories are invitees of the meeting.

During the year under review the BIRMC was made up of the following:

- **Mr. L. L.S. Wickremasinghe**
  Independent Non-Executive Director – Chairman
- **Mr. G. B. Egodage**
  Non-Executive Director
- **Ms. G. Edwards**
  Independent Non-Executive Director
- **Dr. (Mrs.) J. P. Kuruppu**
  Independent Non-Executive Director

Brief Profiles of the Directors are given in the Board of Directors section.

MEETINGS

Twelve (12) Meetings of the BIRMC were held during the period under review and attendance of the Directors at these meetings is given in this Annual Report. All key risks such as credit, operational, market, liquidity, information technology, strategic, etc. are assessed by the BIRMC regularly through a set of defined risk indicators. The Committee works very closely with the Key Responsible Personnel and the Board in fulfilling its statutory, fiduciary, and regulatory responsibilities for risk management. The risk profile of the Company is communicated to the Board of Directors periodically through the Risk Assessment Report submitted to the Board following each BIRMC meeting. A self-assessment of the effectiveness of the BIRMC was made by the members of the committee and the assessment was conveyed to the Board of Directors.

ACTIVITIES IN 2025/2026

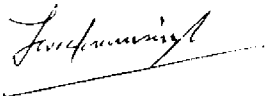
In discharging the above duties and responsibilities vested on the BIRMC, the Committee reviewed significant risks during the year. The activities carried out by the Committee are detailed below

- Main focus area for the year 2025/2026 was on the deteriorated credit quality level of the industry amidst socio-economic challenges that the country is facing. Deliberations on sectors affected and the factors that are within the control of the Company to mitigate the associated risks were given due consideration with a view to arresting the deterioration of credit quality.
- Continuously monitored the company's liquidity position to ensure resilience amid the rapid growth of the lending portfolio and volatile macroeconomic conditions in the country.
- In response to the heightened cyber threat landscape, the BIRMC closely monitored the Company's key information security initiatives, including the implementation of the Data Leakage Prevention (DLP) Policy, while overseeing measures to strengthen cyber resilience through periodic internal and external vulnerability assessments, tímely security patching and upgrades of databases, applications, middleware, and operating systems, and the enhancement of information security controls to safeguard sensitive data and mitigate cyber risks. Reviewed periodic reports from the Management on the metrics used to measure, monitor and manage risks, including acceptable and appropriate levels of risk exposures.
- Improvements were recommended to the Company's risk management framework and related policies and procedures as deemed suitable.
- Reviewed and revised the Terms of Reference of all Management Committees dealing with specific risks or some aspects of risk, such as Asset and Liability Management Committee, Executive Credit Committee, Information Security Steering Committee and Information Technology Steering Committee. Actions initiated by the Senior Management were monitored periodically to verify the effectiveness of the measures taken by these respective Committee.
- Assessed the compliance function to ascertain the Company's compliance with laws, regulations, directions, rules, regulatory guidelines, internal controls and approved policies on all areas of business Operations

REPORT OF THE BOARD INTEGRATED RISK MANAGEMENT COMMITTEE

- Conducted stress testing to evaluate the potential effects of earnings, capital levels and liquidity, ensuring a comprehensive and forward-looking risk assessment.
- Assessed the impact of changes in interest yields, gross loan portfolio, cost of funds, impairment charges and other key parameters by using a range of additional stress tests.
- Assessed contracts that have been granted moratoriums and DDLI, and advised management on identifying and classifying contracts as non-performing loans (NPLs) under potential risk.
- Monitored collections from the lending portfolio, with particular focus on contracts granted a DDLI, and provided management with recommendations for proactive actions to reduce NPL levels.
- The Company's Risk Appetite limits were reviewed based on the strategic plan of the company.
- Involvement in the development of an Early Warning System to management for proactively accessing information regarding potential risks of the Company.
- The Company's Credit Risk Management framework was further strengthened with the recent review and implementation of credit delegation authority levels of the company.
- Evaluated the effectiveness of controls in the company's customer sanctions screening process and provided recommendations to remediate identified deficiencies.

On behalf of the Board Integrated Risk Management Committee,



L.L.S. Wickramasinghe
Chairman – Board Integrated Risk Management Committee

31st July 2026
Colombo

CEO'S & CFO'S RESPONSIBILITY STATEMENT

The Financial Statements of Commercial Credit and Finance PLC ("the Company") and the Consolidated Financial Statements of the Company and its Subsidiaries and the Associate (the Group) as at 31 March 2026 have been prepared and presented in compliance with the following regulatory requirements:

1. Sri Lanka Accounting Standards (SLFRS/LKAS) issued by the Institute of Chartered Accountants of Sri Lanka

2. Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and amendments thereto;

3. Companies Act No. 07 of 2007 and amendments thereto;

4. Finance Business Act No. 42 of 2011 and amendments thereto;

5. Directions, circulars, and guidelines issued to Licensed Finance Companies by the Central Bank of Sri Lanka

6.Listing Rules of the Colombo Stock Exchange

The accounting policies adopted by the Company are in compliance with Sri Lanka Accounting Standards (SLFRS and LKAS) and have been applied consistently.

Material accounting policies, estimates, and judgments involving a high degree of complexity were reviewed and discussed with the Board Audit Committee and the External Auditors. All material matters have been adequately disclosed and explained through the Notes to the Financial Statements.

We confirm, to the best of our knowledge that the Financial Statements presented provide a true and fair view of the financial position of the Company as at 31 March 2026 Reflect the financial performance and cash flows for the year then ended. We further confirm that the Company has adequate resources to continue operations in the foreseeable future. Accordingly, the Financial Statements have been prepared on a going concern basis.

During the year, the Company adopted the SLFRS S1 and SLFRS S2 Sustainability Disclosure Standards, which became mandatory for the Company effective January 01, 2025. The SLFRS sustainability-related financial disclosures have been prepared in accordance with these Disclosure Standards (which are not part of the financial statements) are included in this Annual Report on pages 52 to 73.

As this year is the first annual reporting period in which the Company has applied this Standard, as permitted by the Standard as transition relief, the Company has disclosed information on only climate-related risks and opportunities (in accordance with SLFRS S2) and consequently applied the requirements of the Standard only in so far as they relate to the disclosure of information on climate related risks and opportunities. As part of this adoption, the Company strengthened its governance structures and enhanced its risk management framework to ensure effective oversight and integration of sustainability related risks and opportunities into its decision-making process. In line with best practices.

We accept responsibility for the integrity and the objectivity of the Financial Statements. The estimates and judgments relating to the Financial Statements were made on a reasonable and prudent basis; in order that the Financial Statements reflect a true and fair view; the form and the substance of transactions and that the state of affairs of the Company is reasonably presented. To ensure this, the company has taken proper and sufficient care in implementing internal control systems, for safeguarding assets and for preventing and detecting fraud as well as other irregularities, which is reviewed, evaluated and updated on an ongoing basis. The Internal Auditor of the company has conducted periodic audits to provide reasonable assurance that the established policies and procedures of the company are consistently followed. However, there are inherent limitations that should be recognized in weighing the assurance provided by any system of internal control and accounting.

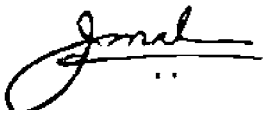
The Financial Statements of the Company were audited by KPMG, Chartered Accountants. The Report issued by them is available on page 156 to 159 of this Report.

The audit and non audit services provided by KPMG are approved by the Board Audit Committee, to ensure that the provision of such services does not contravene with the guide lines issued by the Central Bank of Sri Lanka or impair KPMG's independence.

The Board Audit Committee meets periodically with the internal audit team and the external auditor to review their audit plans and to discuss their reports on internal controls and financial reporting issues. To ensure complete independence, the External Auditors and the Internal Auditors have full and free access to the members of the Board Audit Committee to discuss any matter of substance. The Board Audit Committee Report is available on pages 136 to 137.

We confirm, to the best of our knowledge, that:

- The Company has complied with all applicable laws, regulations, and guidelines
- There are no material instances of non-compliance
- There is no material litigation against the Company other than those disclosed in Note 51.1 of the Financial Statements
- All taxes, duties, levies, and statutory payments have been paid, or where applicable, adequately provided for



Janaka Deshapriya
Chief Financial Officer



Roshan Egodage
Director/Chief Executive Officer

31st July 2026
Colombo

SENIOR INDEPENDENT DIRECTOR'S STATEMENT

As the Senior Independent Director, it is my privilege to present this statement for the annual report. Over the past year, the company has demonstrated resilience and adaptability in a rapidly changing business environment. I am pleased to report on the key activities and accomplishments that have contributed to the company's continued success and adherence to high standards of corporate governance.

CORPORATE GOVERNANCE

The company's commitment to strong corporate governance remains a cornerstone of Commercial Credit and Finance PLC's strategy. The Board of Directors, supported by its various committees, has worked diligently to uphold the principles of transparency, accountability, and integrity. We have undertaken regular reviews of our governance framework to ensure compliance with the requirements of the Central Bank of Sri Lanka (CBSL), the Colombo Stock Exchange (CSE), and the Securities and Exchange Commission of Sri Lanka (SEC). These reviews have been instrumental in maintaining robust oversight and fostering a culture of ethical conduct across the organization.

BOARD EFFECTIVENESS

A key focus this year has been on enhancing the effectiveness of the Board. We have conducted comprehensive evaluations to assess the performance of individual directors and the Board as a whole. These evaluations have provided valuable insights and have led to targeted initiatives aimed at improving our governance practices. We have also prioritized succession planning to ensure the continuity of leadership and the infusion of fresh perspectives.

A total of seventeen Board meetings were convened during the 2025/26 financial year, encompassing two sessions held exclusively amongst Non-Executive Directors and a further session held solely amongst Independent Non-Executive Directors. I presided over one of these three specialized meetings in my capacity as Senior Independent Director. The Chief Executive Officer's performance was subject to evaluation by the Non-Executive Board members. In discussions concerning the Chairperson's performance evaluation, the Chairperson recused himself from the Board meeting, requesting that I, as Senior Independent Director, assume the role of pro-tem Chairperson and conduct the proceedings.

STAKEHOLDER ENGAGEMENT

Engaging with our stakeholders is fundamental to our approach. The Company has continued to strengthen our communication channels with shareholders, employees, customers, and other key stakeholders. This engagement has provided us with a deeper understanding of their expectations and has supported our decision-making processes. We remain committed to fostering, open and constructive dialogue with all our stakeholders.

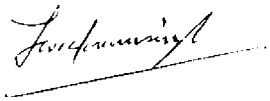
ETHICAL STANDARDS AND COMPLIANCE

Maintaining the highest standards of integrity is paramount. All employees, including the Executive Directors, are bound by the Employee Ethical Framework, which outlines our values and expectations. This framework ensures that our interactions with stakeholders are conducted with the utmost professionalism and fairness. Regular training and awareness programs have been conducted to reinforce these ethical standards and to encourage employees to raise any concerns through our whistle-blowing channels.

LOOKING AHEAD

As we look to the future, the company remains focused on navigating the challenges and opportunities that lie ahead. Commercial Credit's strategic priorities will continue to be underpinned by our commitment to sound corporate governance, effective risk management and sustainable growth. As a senior independent director, I am confident that with the continued dedication of our Board, management team and employees, we will achieve our goals and deliver long-term value to our shareholders.

In closing, I would like to express my gratitude to my fellow directors for their unwavering support and to our stakeholders for their trust and confidence in our company. Together, we will strive to uphold the highest standards of governance and ethical conduct in all our endeavors.



L.L.S. Wickremasinghe
Senior Independent Director

31st July 2026
Colombo

STATEMENT OF DIRECTORS RESPONSIBILITY FOR FINANCIAL REPORTING

This statement elucidates the accountability of the Board of Directors (hereinafter referred to as "the Board") concerning the Financial Statements of Commercial Credit and Finance PLC (hereinafter referred to as "the Company") and its subsidiary, which have been prepared in conformity with the stipulations of the Companies Act No. 07 of 2007 (hereinafter referred to as "the Companies Act").

The responsibility of the external auditor in relation to the financial statements is set out in the report of the auditors given on pages 156 to 159 of the annual report.

In terms of sections 150 (1), 151, 152 and 153(1) and (2) of the Companies Act, the directors are required to prepare financial statements for each financial year, which should give a true and fair view of the state of affairs of the Company and its subsidiary as at the end of each financial year and place them before a general meeting. The financial statements comprise of the Statement of Financial Position as at 31 March 2026, the Statement of Profit or Loss and the Comprehensive Income, Statement of Changes in Equity and the Statement of Cash Flow for the year then ended and notes thereto.

The financial statements of the Company and its subsidiary gives a true and fair view of the:

- Financial position of the Company and its subsidiary as at 31 March 2026 and
- Financial performance of the Company and its subsidiary for the financial year then ended.

In preparing the financial statements, the directors are required to ensure that appropriate accounting policies have been selected and applied consistently, reasonable and prudent judgments and estimates have been made and all applicable accounting standards as relevant have been complied with and material departures, if any, have been disclosed and explained.

The directors after considering the financial position, operating conditions, regulatory and other factors have reasonable expectation that the Company and its subsidiary has adequate resources to continue operations in the foreseeable future and have adopted the going concern basis in preparing these financial statements.

Further, the directors have a responsibility to ensure that the companies within the group maintain sufficient accounting records to disclose with reasonable accuracy, the financial position of the Company and its subsidiary. The financial statements prepared and presented in this report have been prepared based on Sri Lanka Accounting standards (SLFRSs/LKASs) and are consistent with the underlying books of accounts and are in conformity with the requirements of Sri Lanka Accounting Standards, Companies Act, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, directions and guidelines issued under the Finance Business Act No. 42 of 2011, the Listing Rules of the Colombo Stock Exchange and the Code of Best Practices on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)

The Board has also instituted effective and comprehensive systems of internal control for identifying, recording, evaluating and managing the significant risks faced by the Company throughout the year and is under regular review of the Board. The results of such reviews carried out during the year are given on pages 151 to 152 in the Directors Statement on Internal Control over Financial Reporting. The External Auditors Assurance Report on the Directors Statement on Internal Control is given on page 153.

The Board has taken steps to ensure that the Company maintains proper books of accounts and reviews the financial reporting system at their regular meetings and also through the Board Audit Committee. The report of the Board Audit Committee is given on pages 136 to 137

The Board also approves the interim and annual financial statements prior to their release following a review and recommendation by the Board Audit Committee.

The Board accepts responsibility for the integrity and objectivity of the financial statements presented in this annual report.

The Company's external auditors M/s KPMG were provided with every opportunity to carry out reviews and checks on the system of internal control they considered appropriate and necessary for expressing their independent audit opinion on the financial statements. They have examined the financial statements made available to them by the Company together with the financial records, related data and minutes of shareholders' and directors' meetings and expressed their opinion which appears as reported by them on pages 156 to 159

The financial statements of the Company and its subsidiary have been certified by the Chief Financial Officer of the Company, the officer responsible for their preparation as required by section 150 (1) (b) and 152(1) (b) of the Companies Act and have been signed by two directors of the Company as required by section 150 (1) (c) and 152(1) (c) of the Companies Act.

Further as required by section 56(2) of the Companies Act, the Board has assessed the solvency of the Company immediately after the distribution of dividends based on the information available and confirms that the Company satisfies the solvency test as required by section 57 of the Companies Act and have obtained the necessary certificates of solvency from the external auditors.

This report also complies with SLFRS S1 and S2 Sustainability Disclosure Standards, as the Company is among the top 100 listed public companies identified under these standards. Board procedures have been established to ensure that sustainability reporting aligns with SLFRS standards, with detailed oversight provided by the Board Sustainability Committee, whose report is presented on page 142.

STATEMENT OF DIRECTORS RESPONSIBILITY FOR FINANCIAL REPORTING

The directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company and its subsidiary as at the reporting date have been paid or where relevant provided for.

Accordingly, the directors are of the view that they have discharged their responsibilities as set out in this statement by order of the Board.



Shashika Naguruge
Company Secretary

31st July 2026
Colombo

DIRECTORS STATEMENT ON INTERNAL CONTROL

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING RESPONSIBILITY

The Board of Directors ("the Board") of Commercial credit and finance PLC (the Company) presents this report on Internal Control over Financial Reporting, in compliance with Section 16 (1) (ix) of the Finance Business Act Direction No 5 of 2021 on Corporate Governance.

The Board is responsible for ensuring the adequacy and effectiveness of the internal control mechanism of the Company. This mechanism is designed to provide a reasonable assurance to maintain proper accounting records, generate reliable financial information and safeguard assets of the Company. The internal control mechanism can therefore provide only reasonable but not absolute assurance against material misstatement of management and financial information and records or against financial losses or fraud.

The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Company and this process includes enhancing the mechanism of Internal Control over Financial Reporting as and when there are changes to business environment or regulatory guidelines.

Reviews of this process are conducted by the Board on a regular basis. On the basis of such reviews the Board expresses the view that the internal control mechanism over financial reporting in place is adequate to provide reasonable assurance regarding reliability of financial reporting and that the preparation of Financial Statements for external purposes is in accordance with relevant accounting principles and regulatory requirements. Board's policies and procedures pertaining to Internal Control over Financial Reporting have been documented.

The implementation of such policies and procedures is carried out with the assistance of the Management. In order to assess the internal control system over financial reporting, identified officers of the Company collated all procedures and controls that are connected with significant accounts and disclosures of the Financial Statement of the Company. The Internal Audit Department of the Company observes and checks them annually for suitability of design and operating effectiveness.

Given below are the key processes which have been established to review the adequacy and integrity of internal control, with respect of financial reporting:

- Establishment of various sub- committees to assist the Board with a view ensuring the effectiveness of the Company's daily operations and such operations conform to the Company's corporate objectives, strategies and the annual budget as well as policies and business directions approved by the Board.

- Policies and Procedures are developed to capture all functional areas of the Company, which are recommended by the relevant Board Sub-Committees and approved by the Board. These Policies and Procedures are reviewed periodically and approved by the Board.

- The Internal Audit Department of the Company verifies whether policies and procedures of the Company are being complied with, while ascertaining effectiveness of the internal control mechanism, on an ongoing basis during their process audits. The risk-based audit approach is adopted by the Company and the entire audit universe is reviewed periodically in accordance with the annual audit plan approved by the Board Audit Committee. Initiatives have been taken by Internal Audit Department to apply data analytics to review the large volume of transactions in a systematic manner and to enhance the real time monitoring. Independent and objective reports covering significant observations of the Internal Audit Department are also tabled for review by the Board Audit Committee, at their periodic meetings.

- The Board Audit Committee also reviews the internal audit functions, with particular reference to the scope and quality of the audits. Minutes of all the Board Audit Committee meetings are submitted to the Board for review. In addition, periodic summaries submitted by the Internal Audit Department indicating the functions carried out are reviewed by the Board Audit Committee.

- Evaluation of adequacy and effectiveness of Internal Controls over Financial Reporting is carried out by the Board Audit Committee through review of internal control issues identified by the Internal Audit Department, the External Auditors, Regulatory Authorities and the Management. In order to ensure that key management personnel comply with laid down systems and procedures and implement the required internal control systems at their work locations, a procedure has been introduced to obtain an annual certification from the respective officers.

- In order to assess the internal control mechanism, all procedures and controls which are connected with significant accounts and disclosures of the Financial Statements of the Company are continuously reviewed and updated by identified officers of the Company. The Internal Audit Department verifies the suitability of design and operating effectiveness of such procedures and controls, on an ongoing basis.

- The Company further strengthened its internal control processes to ensure that the impact of the economic crisis is accurately captured in the financial reporting by providing adequate impairment provisions for expected credit losses.

- Comments made by external auditors in connection with the internal control system during the financial year 2025/26 were taken into consideration and appropriate steps will be taken to incorporate them where appropriate during the ensuing year.

- The Company has established risk management and reporting processes aligned with the requirements of SLFRS S1 and SLFRS S2 Sustainability Disclosure Standards. As this is the first annual reporting period in which these Standards have been applied, the Company has elected to use the transition relief

DIRECTORS STATEMENT ON INTERNAL CONTROL

permitted under the Standards and has therefore disclosed information limited to climate-related risks and opportunities in accordance with SLFRS S2. Accordingly, the requirements of the Standards have been applied only to the extent that they relate to such climate-related disclosures. The Company is committed to progressively enhancing these processes to achieve full compliance with the Standards by 2027. This includes the systematic measurement and reporting of financed emissions, the evaluation of anticipated financial impacts, and the integration of climate-related scenario analysis into resilience assessments and strategic decision-making.

CONFIRMATION

Based on the above process, the Board confirms that the financial reporting system of the Company has been designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Financial Statements for external purposes and is in accordance with relevant accounting principles and regulatory requirements of the Central Bank of Sri Lanka.

REVIEW OF THE STATEMENTS BY EXTERNAL AUDITORS

The external Auditors, Messrs. KPMG, have reviewed the above Directors' statement on Internal Control over Financial Reporting included in this Annual Report of the Company for the year ended 31st March 2026 and reported to the board that nothing has come to their attention that caused them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the Internal Controls over Financial Reporting of the Company. Their report on the statement of Internal Control over Financial Reporting is given on Page 153 of this Annual Report.

STATEMENT ON PRUDENTIAL REQUIREMENTS, REGULATIONS AND LAWS

There are no material non-compliances to prudential regulatory requirements, laws and internal controls affecting the Company.

There were no lapses which caused supervisory concern on the Company's Risk Management Systems or non-compliance with these directions which led to them being pointed out by the Director of Non Bank Supervision of the Central Bank of Sri Lanka and which have caused the Monetary Board to give directions that they be disclosed to the public.

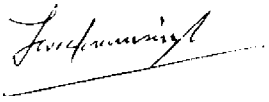
Onsite observations of the Non - Bank supervision Department of CBSL were taken in to consideration and appropriate steps are being taken.



G.B. Egodage
Chairman



R.S. Egodage
Executive Director / Chief Executive Officer



L.L.S. Wickremasinghe
Director / Chairperson of Board Audit Committee

31st July 2026
Colombo

ASSURANCE REPORT ON THE DIRECTOR'S STATEMENT ON INTERNAL CONTROL

KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
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TO THE BOARD OF DIRECTORS OF COMMERCIAL CREDIT AND FINANCE PLC

REPORT ON THE DIRECTORS' STATEMENT ON INTERNAL CONTROL

We were engaged by the Board of Directors of Commercial Credit and Finance PLC ("the Company") to provide assurance on the Director's Statement on Internal Control ("Statement") included in the annual report for the year ended 31st March 2026.

MANAGEMENT'S RESPONSIBILITY

Management is responsible for the preparation and presentation of the Statement in accordance with the "Guidance for Directors of License Finance Company/ Finance Leasing Company on the Directors' Statement on Internal Control" issued in compliance with Finance Business Act Direction No. 05 of 2021 on Corporate Governance by the Institute of Chartered Accountants of Sri Lanka.

OUR INDEPENDENCE AND QUALITY CONTROL

We have complied with the independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behavior.

The firm applies Sri Lanka Standard on Quality Management 1 (SLSQM 1) and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding professional compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

OUR RESPONSIBILITIES

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Company.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements SLSAE 3051, Assurance Report for License Finance Company on Directors' Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This standard requires that we plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purposes of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed and audit or review of the financial information.

SUMMARY OF WORK PERFORMED

Our engagement has been conducted to assess whether the Statement is both supported by the documentation prepared by or for the Directors and appropriately reflects the process the Directors have adopted in reviewing the system of internal control for the License Finance Company/ Finance Leasing Company.

To achieve this objective, appropriate evidence has been obtained by performing the following procedures:

(a) Enquired the Directors to obtain an understanding of the process defined by the Board of Directors for their review of the design and effectiveness of internal control and compared their understanding to the Statement made by the Directors in the annual report.

(b) Reviewed the documentation prepared by the Directors to support their Statement made.

(c) Related the Statement made by the Directors to our knowledge of the Company obtained during the audit of the financial statements.

(d) Reviewed the minutes of the meetings of the Board of Directors and of relevant Board Committees.

(e) Attended meetings of the Audit Committee at which the annual report, including the Statement on Internal Control is considered and approved for submission to the Board of Directors.

(f) Considered whether the Director's Statement on Internal Control covers the year under review and that adequate processes are in place to identify any significant matters arising.

(g) Obtained written representations from Directors on matters material to the Statement on Internal Control where other sufficient appropriate audit evidence cannot reasonably be expected to exist.

SLSAE 3051 does not require us to consider whether the Statement covers all risks and controls, or to form an opinion on the effectiveness of the Company's risk and control procedures. SLSAE 3051 also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgment, having regard to our understanding of the nature of the Company, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

OUR CONCLUSION

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included on pages 151 to 152 of this annual report is inconsistent with our understanding of the process the Board of Directors have adopted in the review of the design and effectiveness of internal control system over the financial reporting of the Company.

Chartered Accountants

31st July 2026
Colombo

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Ms B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N Perera ACA
R G H Raddella ACA
W W.J.C. Perera FCA
G A.U. Karunaratne FCA
R.H. Rajan FCA
A M.R.P. Alahakoon ACA
H U S T Dayananda FCA
Ms S. Joseph FCA
R.M D.B. Rajapakse FCA
M.N M. Shameel FCA
Ms. P.M.K. Sumanasekara FCA

Principals: S.R I Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms F.R. Ziyard FCMA (UK), FCIT, K. Somasundaram ACMA(UK), Ms. D Corea Dharmaratne



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Watch now:

INDEPENDENT AUDITORS' REPORT

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TO THE SHAREHOLDERS OF COMMERCIAL CREDIT AND FINANCE PLC

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Commercial Credit and Finance PLC ("the Company") and the consolidated financial statements of the Company and its subsidiary ("the Group"), which comprise the statement of financial position as at 31st March 2026, and the statements of profit and loss, comprehensive income, changes in equity and cash flows for the year then ended, and notes to the financial statements, including material accounting policies set out on pages 160 to 267.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as of 31st March 2026, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka ("Code of Ethics"), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

1. ALLOWANCE FOR IMPAIRMENT LOSSES ON LOANS AND RECEIVABLES, LEASE RENTAL RECEIVABLES AND STOCK OUT ON HIRE

Risk Description

As disclosed in Notes 10 and 11 to the financial statements, the Group has recorded an impairment provision of Rs. 741 Mn relating to loans and receivables and Rs. 4,123 Mn relating to lease rentals receivables and stock out on hire as at 31st March 2026.

The determination of allowance for impairment losses using the expected credit loss method involves number of complex calculations, such as the calculation of probability of default (PD), loss given default (LGD), stage allocation and exposure at default (EAD) which are reliant on large volume of data and certain key assumptions and judgments including but not limited to macroeconomic scenarios including their weighting and judgment over the appropriateness of the period of input data used.

Additionally, the determination of impairment on individually assessed balances is carried out through the identification of exposures based on set thresholds and estimating the recoverable values considering the related values of assets pledged as securities with an appropriate discount.

Significant management judgement is involved in the selection of those models and the application of assumptions.

Accordingly, impairment allowance on loans and receivables, lease rental receivables and stock out on hire was considered as a key audit matter due to the significance to the financial statements and estimation uncertainty associated with the management assumptions and judgements used in the impairment allowance calculation.

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Principals: S.R I Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms F.R. Ziyard FCMA (UK), FCIT, K. Somasundaram ACMA(UK), Ms. D Corea Dharmaratne

Our audit procedures included;

- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of management's key internal controls related to the measurement of allowance for impairment.
- Evaluating the appropriateness of the accounting policies related to ECL and underlying methodology applied based on the requirements of SLFRS 9 with the involvement of our FRM specialists and with our business understanding.
- Evaluating the completeness of customers/facilities assessed individually based on the criteria set for the same and checked the accuracy of the allowance for impairment for such identified individually significant exposures.
- Assessing the appropriateness of estimated "overlays" by the management for model limitations and independently calculating the stages of loans based on the set criteria for the collectively assessed exposures.
- Assessing the appropriateness of key parameters and assumptions particularly related to the macroeconomic scenarios used in the expected credit loss model.
- Testing the mathematical accuracy of the calculation of allowance for impairment.
- Evaluating the completeness, accuracy and relevance of underlying data used for the calculation of impairment allowance on a sample basis by agreeing to the source documents and IT systems.
- Assessing the adequacy and appropriateness of disclosures made in the financial statements with reference to the requirements of relevant accounting standards.

2. IT SYSTEMS AND CONTROLS OVER FINANCIAL REPORTING

Risk Description

The Group's key financial accounting and reporting processes are highly dependent on the automated controls over its information systems. Automated accounting processes, calculations and controls over IT environment, which include IT governance, controls over programme changes, access to programmes, data and IT operations, are required to be designed and operated effectively to ensure accurate financial reporting.

System calculations related to interest income/expenses, impairment and integrations between business systems and financial reporting systems are key areas that could result in the financial records being materially misstated.

We identified IT systems and controls over financial reporting as a key audit matter because the Group's financial accounting and reporting systems are fundamentally reliant on complex IT systems and control processes which are driven by significant transaction volumes caused by the size of the customer base.

We used our KPMG IT Audit specialists where applicable to perform audit procedures to assess IT systems and controls over financial reporting, which included,

- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of key internal controls over the continued integrity of all major IT systems fundamental to dealing with the financial data, particularly financial reporting.
- Examining the framework of governance over the Group's IT organisation and the controls over programme changes, access to programmes, data and IT operations, including compensating controls where required.
- Evaluating the design, implementation and operating effectiveness of the IT general controls and IT application controls related to significant accounts and system calculations that are relevant to the Group's financial reporting activities.

03. VALUATION OF INVESTMENT PROPERTY

Risk Description

As disclosed in Note 19 to the financial statements, the fair value of Investment Properties of the Group was Rs. 4,610 Mn as at 31st March 2026 and fair value gain derived from investment properties for the year ended 31st March 2026 was Rs. 432 Mn..

Management's assessment of the fair value of Investment Properties is based on valuations performed by a qualified independent property valuers in accordance with recognized industry standards.

We identified valuation of Investment Properties as a key audit matter due to the significance of the value to the financial statements and the determination of the fair values involves significant judgments and estimation, particularly determining the appropriate valuation methodology to be used, and in estimating the key assumptions applied. These key assumptions include but not limited to replacement cost per square feet, estimated rental income and current market price taking into consideration for differences such as location, size and condition of the Properties. A change in the key assumptions will have a significant impact on the fair value of Investment Properties.

Our audit procedures included;

- Assessing the competency, objectivity and capabilities of the independent external valuers engaged by the management.
- Assessing the reasonableness of the valuers' assumptions and methods used in the valuation and comparing the same with evidence of current market values.
- Engaging our own internal resources to assess the reasonability of the valuation technique, per perch and per square feet prices determined by the management specialist.

INDEPENDENT AUDITORS' REPORT

- Assessing the adequacy of disclosures made in relation to the valuation of investment properties including the description and appropriateness of the inherent degree of subjectivity and key assumptions used.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditors' report thereon. The annual report is expected to be made available to us after the date of this auditors' report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 3029.



Chartered Accountants

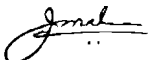
26th June 2026
Colombo, Sri Lanka

STATEMENT OF FINANCIAL POSITION

As At		Company		Group	
		31-Mar-2026	31-Mar-2025	31-Mar-2026	31-Mar-2025
	Notes	LKR	LKR	LKR	LKR
Assets					
Cash and cash equivalents	7	**3,025,646,835**	4,725,518,897	**3,030,811,194**	4,731,852,338
Placements with banks	8	**2,686,823,769**	4,706,923,262	**2,686,823,769**	4,706,923,262
Financial assets measured at fair value through profit or loss	9	**4,666,060,615**	6,740,464,733	**4,668,312,068**	6,740,743,298
Financial assets at amortised cost					
Loans and receivables	10	**33,396,085,584**	22,163,502,371	**33,350,952,434**	22,163,502,371
Lease rentals receivable & stocks out on hire	11	**65,619,972,955**	47,721,039,232	**65,619,972,955**	47,721,039,232
Debt & other instruments	12	**7,250,613,519**	9,038,336,314	**7,335,649,845**	9,381,179,018
Financial assets measured at fair value through other comprehensive income	13	**210,753,456**	137,554,019	**210,753,456**	137,554,019
Other financial assets	14	**142,521,438**	362,437,184	**188,276,434**	193,492,178
Inventories	15	**50,554,443**	52,425,671	**50,554,443**	52,425,671
Other assets	16	**454,715,899**	480,368,195	**455,810,901**	481,317,444
Investment in subsidiary	17	**15,000,000**	15,000,000	**-**	-
Investment in associate	18	**1,371,703,979**	848,060,748	**1,371,703,979**	848,060,748
Investment properties	19	**4,609,500,000**	4,222,900,000	**4,609,500,000**	4,222,900,000
Property, plant and equipment	20	**7,084,964,782**	6,691,074,535	**7,084,964,782**	6,691,074,538
Right of use assets	21	**655,344,598**	590,213,436	**655,344,598**	590,213,436
Intangible assets & goodwill	22	**747,695,256**	761,709,717	**747,695,256**	761,709,717
Deferred tax asset	31	**-**	752,304,668	**-**	752,304,668
Total assets		**131,987,957,128**	110,009,832,982	**132,067,126,114**	110,176,291,938
Liabilities					
Due to banks	23	**29,502,639,363**	15,115,938,248	**29,502,639,363**	15,115,938,248
Due to customers	24	**55,353,116,818**	55,708,839,672	**55,202,695,390**	55,681,779,326
Debt instruments issued	25	**-**	1,295,844,686	**-**	1,295,844,686
Unsecured subordinate term loan	26	**1,506,410,960**	1,500,000,000	**1,506,410,960**	1,500,000,000
Other financial liabilities	27	**2,643,838,108**	1,814,308,535	**2,643,574,826**	1,814,308,535
Other liabilities	28	**2,387,273,208**	2,492,011,349	**2,415,971,105**	2,531,328,408
Post employment benefit obligations	29	**955,041,044**	709,298,357	**955,041,044**	709,298,357
Current tax liabilities	30	**3,398,271,154**	2,984,009,837	**3,439,597,003**	3,025,636,072
Deferred tax liabilities	31	**126,781,148**	-	**126,781,148**	-
Total Liabilities		**95,873,371,803**	81,620,250,684	**95,792,710,839**	81,674,133,632
Shareholders' Funds					
Stated capital	32	**2,150,640,315**	2,150,640,315	**2,150,640,315**	2,150,640,315
Retained earnings	33	**27,885,695,514**	20,674,166,570	**28,034,228,840**	20,777,812,107
Reserves	34	**6,078,249,496**	5,564,775,413	**6,089,546,120**	5,573,705,884
Total Equity		**36,114,585,325**	28,389,582,298	**36,274,415,275**	28,502,158,306
Total Liabilities and Shareholders' Funds		**131,987,957,128**	110,009,832,982	**132,067,126,114**	110,176,291,938
Commitments and Contingent Liabilities	51	302,950,263	509,101,650	302,950,263	509,101,650

Accounting policies and notes from pages 167 to 267 form an integral part of these Financial Statements.

I certify that these Financial Statements are in compliance with the requirements of the companies Act No. 07 of 2007 and Finance Business Act No 42 of 2011.



Janaka Deshapriya
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Approved and signed for and on behalf of the Board of Directors by,





Bandula Egodage
Chairman
25th June 2026
Colombo

Roshan Egodage
Director/Chief Executive Officer

STATEMENT OF PROFIT OR LOSS

Year Ended 31st March		Company		Group	
		2026	2025	2026	2025
	Notes	LKR	LKR	LKR	LKR
Gross income	35	**31,257,723,946**	31,703,252,196	**31,390,317,665**	31,703,469,368
Interest income	35.1	**27,145,304,610**	27,322,132,540	**27,149,309,057**	27,337,855,811
Interest expenses	35.2	**(8,122,118,269)**	(9,460,702,399)	**(8,114,728,912)**	(9,453,664,678)
Net interest income		**19,023,186,341**	17,861,430,141	**19,034,580,145**	17,884,191,133
Net fee and commission income	36	**2,422,159,838**	2,412,200,744	**2,703,142,897**	2,644,680,545
Net Gain/(loss) from trading	37	**15,928,954**	(24,739,655)	**15,928,954**	(24,739,655)
Other operating income	38	**1,170,242,728**	1,178,704,213	**1,017,848,941**	929,703,313
Change in fair value of investment properties	19	**432,178,159**	731,282,158	**432,178,159**	731,282,158
Total operating income		**23,063,696,020**	22,158,877,601	**23,203,679,096**	22,165,117,494
Impairment (charge) /Revesal of financial assets	39	**4,955,131,731**	(1,651,887,619)	**4,955,131,731**	(1,651,887,619)
Net operating income		**28,018,827,751**	20,506,989,982	**28,158,810,827**	20,513,229,875
Operating expenses					
Personnel expenses	40	**(4,421,616,824)**	(3,452,765,108)	**(4,424,039,324)**	(3,454,939,108)
Depreciation & amortization	20,21	**(583,661,754)**	(570,760,178)	**(583,587,074)**	(570,760,178)
Other operating expenses	41	**(5,038,718,210)**	(4,661,949,159)	**(5,042,492,847)**	(4,663,086,529)
Operating profit before tax on financial services		**17,974,830,963**	11,821,515,537	**18,108,691,582**	11,824,444,060
VAT on Financial Services	42	**(3,334,689,003)**	(2,216,999,093)	**(3,334,689,003)**	(2,216,999,093)
Social Security Contribution Levy	42	**(463,151,251)**	(307,916,541)	**(463,151,251)**	(307,916,541)
Operating profit after Value Added Tax on financial services		14,176,990,709	9,296,599,903	14,310,851,328	9,299,528,426
Share of profit of associate		**804,956,790**	322,124,257	**804,956,790**	322,124,257
Profit before taxation		**14,981,947,499**	9,618,724,160	**15,115,808,118**	9,621,652,683
Income taxation	43	**(5,276,454,582)**	(3,399,299,853)	**(5,362,992,137)**	(3,474,566,450)
Profit for the year		**9,705,492,917**	6,219,424,307	**9,752,815,981**	6,147,086,233
Profit attributable to:					
Equity holders of the company		**9,705,492,917**	6,219,424,307	**9,752,815,981**	6,147,086,233
Non - controlling interests		**-**	-	**-**	-
		9,705,492,917	6,219,424,307	**9,752,815,981**	6,147,086,233
Basic Earnings Per Share	44	**30.51**	19.55	**30.66**	19.33
Diluted Earnings Per Share	44	**30.51**	19.55	**30.66**	19.33
Dividend Per Share	45	**6.00**	4.00		

Accounting policies and notes from pages 167 to 267 form an integral part of these Financial Statements.

STATEMENT OF COMPREHENSIVE INCOME

Year Ended 31st March		Company		Group	
		2026	2025	2026	2025
	Note	LKR	LKR	LKR	LKR
Profit for the year		**9,705,492,917**	6,219,424,307	**9,752,815,981**	6,147,086,233
Revaluation gain on land and buildings		-	701,872,025	-	701,872,025
Deferred tax charge relating to revaluation gain on land buildings	31.2	-	(210,561,608)	-	(210,561,608)
		-	491,310,417	-	491,310,417
Actuarial loss on defined benefit plans	29	**(143,271,719)**	(86,591,906)	**(143,271,719)**	(86,591,906)
Deferred tax reversal relating to actuarial loss on defined benefit plans	31	**42,981,516**	25,977,572	**42,981,516**	25,977,572
		(100,290,203)	(60,614,334)	**(100,290,203)**	(60,614,334)
Change in fair value of Financial assets measured at fair value through other comprehensive income		**28,199,437**		**28,199,437**	-
Share of other comprehensive income/(expense) of associate, net of tax		**47,066**	-	**47,066**	-
Other comprehensive income for the year, net of taxes		**(72,043,700)**	430,696,083	**(72,043,700)**	430,696,083
Total comprehensive income for the Year		**9,633,449,217**	6,650,120,390	**9,680,772,281**	6,577,782,316
Total comprehensive income attributable to:					
Equity holders of the company		**9,633,449,217**	6,650,120,390	**9,680,772,281**	6,577,782,316
Non- controlling interests		-	-	-	-
Total comprehensive Income for the year		**9,633,449,217**	6,650,120,390	**9,680,772,281**	6,577,782,316

Accounting policies and notes from pages 167 to 267 form an integral part of these Financial Statements.

Company	Note	Stated Capital	Revaluation Reserve	General Reserve	Statutory Reserve	Regulatory Loss Allowance Reserve*	FVOCI Reserve	Retained Earnings	Total
		LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance as at 1st April 2024		**2,150,640,315**	**358,508,001**	**58,751,125**	**4,355,234,655**	**4,917,916,255**	**(10,000,000)**	**11,180,709,017**	**23,011,759,368**
Net profit for the year	33	-	-	-	-	-	-	6,219,424,307	6,219,424,307
Other comprehensive income, net of tax	33/34	-	491,310,417	-	-	-	-	(60,614,334)	430,696,083
Total comprehensive income		**-**	**491,310,417**	**-**	**-**	**-**	**-**	**6,158,809,973**	**6,650,120,390**
Transferred to statutory reserve	33/34	-	-	-	310,971,215	-	-	(310,971,215)	-
Transferred From regulatory loss allowance reserve	34	-	-	-	-	(4,917,916,255)	-	4,917,916,255	-
Dividend paid	45	-	-	-	-	-	-	(1,272,297,460)	(1,272,297,460)
Balance as at 31 March 2025		**2,150,640,315**	**849,818,418**	**58,751,125**	**4,666,205,870**	**-**	**(10,000,000)**	**20,674,166,570**	**28,389,582,298**
Balance as at 1st April 2025		**2,150,640,315**	**849,818,418**	**58,751,125**	**4,666,205,870**	**-**	**(10,000,000)**	**20,674,166,570**	**28,389,582,298**
Net profit for the year	33	-	-	-	-	-	-	9,705,492,917	9,705,492,917
Other comprehensive income, net of tax	33/34	-	-	-	-	-	28,199,437	(100,243,137)	(72,043,700)
Total comprehensive income		**-**	**-**	**-**	**-**	**-**	**28,199,437**	**9,605,249,780**	**9,633,449,217**
Transferred to Statutory Reserve	33/34	-	-	-	485,274,646	-	-	(485,274,646)	-
Dividend paid	45	-	-	-	-	-		(1,908,446,190)	(1,908,446,190)
Balance as at 31 March 2026		**2,150,640,315**	**849,818,418**	**58,751,125**	**5,151,480,516**	**-**	**18,199,437**	**27,885,695,514**	**36,114,585,325**

Accounting policies and notes from pages 167 to 267 form an integral part of these Financial Statements.

STATEMENT OF CHANGES IN EQUITY

Group	Note	Stated Capital	Revaluation Reserve	General Reserve	Statutory Reserve	Regulatory Loss Allowance Reserve*	FVOCI Reserve	Retained Earnings	Total
		LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance as at 1 April 2024		**2,150,640,315**	**358,508,001**	**58,751,125**	**4,364,165,126**	**4,917,916,255**	**(10,000,000)**	**11,356,692,628**	**23,196,673,450**
Net profit for the year	33	-	-	-	-	-	-	6,147,086,233	6,147,086,233
Other comprehensive income, net of tax	33/34	-	491,310,417	-	-	-	-	(60,614,334)	430,696,083
Dividend paid	45							(1,272,297,460)	(1,272,297,460)
Total comprehensive income		**-**	**491,310,417**	**-**	**-**	**-**	**-**	**4,814,174,439**	**5,305,484,856**
Transferred to Statutory Reserve	33/34	-	-	-	310,971,215	-	-	(310,971,215)	-
Transferred to regulatory loss allowance reserve	34	-	-	-	-	(4,917,916,255)	-	4,917,916,255	-
Balance as at 31 March 2025		**2,150,640,315**	**849,818,418**	**58,751,125**	**4,675,136,341**	**-**	**(10,000,000)**	**20,777,812,107**	**28,502,158,306**
Balance as at 1 April 2025		**2,150,640,315**	**849,818,418**	**58,751,125**	**4,675,136,341**	**-**	**(10,000,000)**	**20,777,812,107**	**28,502,158,306**
Net profit for the year	33	-	-	-	-	-		9,752,815,981	9,752,815,981
Other comprehensive income, net of tax	33/34	-	-	-	-	-	28,199,437	(100,243,137)	(72,043,700)
Dividend paid	45							(1,908,515,312)	(1,908,515,312)
Total comprehensive income		**-**	**-**	**-**	**-**	**-**	**28,199,437**	**7,744,057,532**	**7,772,256,969**
Transferred to Statutory Reserve	33/34	-	-	-	487,640,799	-	-	(487,640,799)	-
Balance as at 31 March 2026		**2,150,640,315**	**849,818,418**	**58,751,125**	**5,162,777,140**	**-**	**18,199,437**	**28,034,228,840**	**36,274,415,275**

Accounting policies and notes from pages 167 to 267 form an integral part of these Financial Statements.

STATEMENT OF CASH FLOWS

Year Ended 31st March		Company		Group	
		2026	2025	2026	2025
	NOTES	LKR	LKR	LKR	LKR
Cash flows from operating activities					
Profit before income tax expense		**14,981,947,499**	9,618,724,160	**15,115,808,118**	9,621,652,683
Adjustments for					
Depreciation and amortisation	20/21	**345,658,428**	363,958,886	**345,658,428**	363,958,886
Amortisation of right of use assets	21	**238,003,323**	206,801,292	**238,003,323**	206,801,292
Profit on disposal of property, plant & equipment		**(7,512,330)**	-	**(7,512,330)**	-
Share of profit of associate	18	**(804,956,790)**	(322,124,257)	**(804,956,790)**	(322,124,257)
Loss on revaluation		**-**	53,570,947	**-**	53,570,947
Impairment (charge) / revesal of loans and advances, lease, hire purchase	39	**(4,984,604,436)**	1,651,887,619	**(4,984,604,436)**	1,651,887,619
Net fair value gain on investment property	19	**(432,178,159)**	(731,282,158)	**(432,178,159)**	(731,282,158)
Disposal gain on investment properties	38	**(6,740,294)**	(3,816,039)	**(6,740,294)**	(3,785,056)
Net fair value gain from financial instruments		**(15,928,954)**	-	**(15,928,954)**	-
Dividends received		**(160,743,303)**	-	**(582,687)**	-
Provision for defined benefit plans	29	**167,113,868**	225,302,330	**167,113,868**	225,302,330
Operating profit before working capital changes		**9,320,058,852**	11,063,022,780	**9,614,080,087**	11,065,982,286
Decrease in inventories		**1,871,228**	16,350,713	**1,871,228**	16,350,713
Decrease/ (increase)in loans and advances		**(10,596,496,843)**	1,633,760,472	**(10,551,363,693)**	1,633,760,472
Decrease/(increase) in lease rentals receivable & stock out on hire		**(13,551,693,551)**	6,418,000,754	**(13,551,693,551)**	6,418,000,754
Increase of right of use assets		**(303,134,485)**	(330,117,317)	**(303,134,485)**	(330,117,317)
(Increase)/decrease in other financial assets		**219,915,746**	(230,452,598)	**5,215,744**	(230,452,594)
Increase in debt & other instruments		**183,897,341**	(210,921,656)	**183,897,341**	(210,921,656)
Decrease/(Increase) in other assets		**26,930,189**	(124,804,744)	**26,784,436**	142,833,163
(Decrease) /increase in amounts due to customers		**(355,722,854)**	(6,412,400,726)	**(479,083,936)**	(6,412,400,726)
Increase in other financial liabilities		**829,529,573**	421,310,169	**829,266,291**	421,310,169
(Decrease)/increase in other liabilities		**155,119,785**	(171,484,546)	**115,842,390**	(207,135,678)
Cash flows generated from/(Used in) Operations		**(14,069,725,019)**	12,072,263,301	**(14,108,318,147)**	12,307,209,586
Interest paid on lease liabilities		**(50,153,081)**	(60,142,627)	**(50,153,081)**	(60,142,627)
Post employment benefit obligation paid	29	**(64,642,900)**	(98,532,825)	**(64,642,900)**	(98,532,825)
Taxes paid		**(3,835,751,967)**	(2,405,502,486)	**(3,922,378,202)**	(2,449,080,047)
Net cash flows generated from/(used in) Operating activities		**(18,020,272,967)**	9,508,085,363	**(18,145,492,330)**	9,699,454,087

STATEMENT OF CASH FLOWS

Year Ended 31st March		Company		Group	
		2026	2025	2026	2025
		LKR	LKR	LKR	LKR
Cash flows from Investing activities					
Financial assets at fair value through other comprehensive income	13.2	**(45,000,000)**	(81,000,000)	**(45,000,000)**	(81,000,000)
Acquisition of investment property	19	**(9,034,341)**	(4,200,000)	**(9,034,341)**	(4,200,000)
Disposal proceeds from investment property		**61,352,794**	183,860,000	**61,352,794**	183,860,000
Acquisition of property, plant and equipment	20	**(774,437,124)**	(435,097,724)	**(774,437,124)**	(434,912,978)
Dividends received		**442,103,928**	-	**281,943,311**	-
Net investment in placements with banks		**347,092,740**	(1,356,572,710)	**347,092,740**	(1,356,572,710)
Acquisition of Intangible assets	22	**(4,921,000)**	-	**(4,921,000)**	-
Net investment in financial assets recognised through profit or loss - measured at fair value		**2,058,475,164**	142,665,018	**2,056,502,276**	142,665,018
Proceeds from sale of property, plant & equipment		**22,000,000**	6,120,900	**22,000,000**	6,120,900
Net cash flows (used in)/generated from Investing activities		**2,097,632,160**	**(1,544,224,515)**	**1,935,498,656**	**(1,544,039,769)**
Cash flows from financing activities					
Proceeds from Unsecured subordinate loan		**-**	1,500,000,000	**-**	1,500,000,000
Debt instruments redemption		**(1,295,844,686)**	-	**(1,295,844,686)**	-
Proceeds from Loans obtained	23	**36,550,000,000**	17,374,541,238	**36,550,000,000**	17,374,541,238
Lease Payments		**(248,450,827)**	(138,407,449)	**(248,450,827)**	(138,407,449)
Repayment of Bank Loans	23	**(22,225,254,905)**	(14,950,286,110)	**(22,225,254,905)**	(14,950,286,109)
Dividend paid	46	**(1,908,446,190)**	(1,272,297,460)	**(1,908,446,190)**	(1,287,297,460)
Net cash flows generated from Financing activities		**10,872,003,392**	**2,513,550,219**	**10,872,003,392**	**2,498,550,220**
Net increase/(decrease) in Cash and Cash equivalents		**(5,050,637,415)**	**10,477,411,067**	**(5,337,990,283)**	**10,653,964,537**
Cash and Cash equivalents at the beginning of the year		**16,774,839,348**	**6,297,428,280**	**17,152,392,901**	**6,498,428,364**
Cash and Cash equivalents at the end of the year		**11,724,201,933**	**16,774,839,348**	**11,814,402,618**	**17,152,392,901**
Cash and Cash Equivalents for the Purpose of Cash Flow Statement					
Cash in Hand and balances with banks	7	**3,025,646,835**	**4,725,518,897**	**3,030,811,194**	**4,731,852,338**
Reverse repurchase agreements (less than three months)	12	**7,223,589,204**	8,827,414,659	**7,308,625,530**	9,170,257,363
Placements with Banks (less than three months)	8	**1,665,366,657**	3,350,350,552	**1,665,366,657**	3,378,727,960
Bank Overdrafts	23	**(190,400,763)**	(128,444,760)	**(190,400,763)**	(128,444,760)
Total Cash and Cash Equivalents For the Purpose of Cash Flow Statement		**11,724,201,933**	**16,774,839,348**	**11,814,402,618**	**17,152,392,901**

Accounting policies and notes from pages 167 to 267 form an integral part of these Financial Statements.

ACCOUNTING POLICIES

1. CORPORATE INFORMATION

1.1. GENERAL

Commercial Credit and Finance PLC ("Company") is a Limited Liability Company incorporated in Sri Lanka on 4th October 1982 under the Companies act no 17 of 1982 and domiciled in Sri Lanka. The Company was re-registered under the Companies Act No.7 of 2007 on 8th April 2008. It is a Licensed Finance Company registered under the Finance Business Act No. 42 of 2011.

The registered office of the Company and the principal place of business is located at No.106, Yatinuwara Veediya, Kandy. The shares of the company have a primary listing in the Colombo Stock Exchange (CSE).

1.2. PRINCIPAL ACTIVITIES AND NATURE OF OPERATIONS

Company

During the year, the principal activities of the Company are acceptance of deposits, granting lease facilities, hire purchase, term loans, personal loans, micro loans, gold loan and other credit facilities, real estate development and related services.

Subsidiary

Commercial Credit Insurance Brokers (Pvt) Ltd (Formerly known as A.M.W Insurance Brokers (Pvt) Ltd)

Commercial Credit Insurance Brokers (Pvt) Ltd is a Limited Liability Company incorporated & domiciled in Sri Lanka. The registered office is situated at No.165, Kynsey Road, Colombo 08.The principle activities of the Company are the business of Insurance Brokering. Commercial Credit Insurance Brokers (Pvt) Ltd is also have same financial reporting period which 1st April to 31st March.

Associate Company

TVS Lanka (Pvt) Ltd

The Company's primary activities involved importing, assembling and distribution of brand new TVS motor bikes, motor bike spare parts, Tractors and Tractors spare part, lubricants, batteries and tyres. The registered office and principal place of business of the company is located at No.38, Old Negombo Road, Wattala. The Company holds 19.5% of the share of TVS Lanka (Pvt) Ltd. as at the reporting Date. The Chief Operating Officer of the Company is a director of TVS Lanka (Pvt) Ltd and it is considered an associate since Commercial Credit and Finance PLC has a significant influence.

1.3. PARENT ENTITY AND ULTIMATE PARENT ENTITY

The Company's immediate parent is BG Investment (Pvt) Ltd. In the opinion of the directors, the Company's ultimate parent entity is BG Capital (Pvt) Ltd, which is incorporated in Sri Lanka while Mr. R.S. Egodage is the Company's ultimate controlling party.

1.4. APPROVAL OF FINANCIAL STATEMENTS BY DIRECTORS

The Financial Statements of Commercial Credit and Finance PLC for the year ended 31st March 2026 was authorized for issue by the board of directors on 25th June 2026.

1.5. RESPONSIBILITY FOR FINANCIAL STATEMENTS

The Board of Directors of the company is responsible for these Financial Statements of the Company as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards.

2. BASIS OF PREPARATION

2.1. STATEMENT OF COMPLIANCE

The Consolidated Financial Statements of the Group and the separate Financial Statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (the "Accounting Standards"), as issued by The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). The Accounting Standards comprise:

- Sri Lanka Financial Reporting Standards ("SLFRS");
- Sri Lanka Accounting Standards ("LKAS");
- Statements of Recommended Practices (SoRPs);
- Statement of Alternate Treatment (SoATs) and
- Financial Reporting Guidelines issued by the CA Sri Lanka.

The Accounting Standards along with FAQs issued are available at the website of CA Sri Lanka www.casrilanka.com.

Further, these statements are consistent with the requirements of the Companies Act No. 7 of 2007 and the Finance Business Act No. 42 of 2011

2.2. BASIS OF MEASUREMENT

The Financial Statements of the Company have been prepared on a historical cost basis, except for the following items stated in the Statement of Financial Position which have been measured at fair value.

- Financial assets recognized through Profit or Loss (FVTPL)
- Financial assets held at fair value through other comprehensive income (FVOCI)
- Investment Properties
- Freehold Land & Buildings classified as Property, Plant & Equipment

2.3. FUNCTIONAL AND PRESENTATION CURRENCY

The Financial Statements of the Company have been prepared in Sri Lanka Rupees (LKR), except when otherwise indicated.

2.4. COMPARATIVE INFORMATION

The comparative information is re-classified wherever necessary to conform to the current year's presentation. Refer Note 54 for reclassifications made for the year ended 31 March 2026.

2.5. PRESENTATION OF FINANCIAL STATEMENTS

The assets and liabilities of the Company presented in the Statement of Financial Position are grouped by nature and listed in order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the financial statements. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current)

ACCOUNTING POLICIES

is presented in Note 50 (Current & Non-Current analysis of Assets & Liabilities).

2.6. MATERIALITY & AGGREGATION

Each material class of similar items are presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial.

3. SIGNIFICANT ACCOUNTING JUDGEMENT, ESTIMATES AND ASSUMPTIONS

The preparation of Financial Statements of the Company/Group in conformity with Sri Lanka Accounting Standards requires the Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Further, Management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgments, estimates and underlying assumptions are reviewed on an ongoing basis. Revision to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

The key significant accounting judgments, estimates and assumptions involving uncertainty are discussed below, whereas the respective carrying amounts of such assets and liabilities are as given in the respective notes.

3.1. GOING CONCERN

The Company has prepared the financial statement for the year ended 31st March 2026 on the basis that it will continue to operate as a going concern. In determining the basis of preparing the financial statements for the year ended 31st March 2026, based on available information, the management has assessed the prevailing macroeconomic conditions and its effects on Company and the appropriateness of the use of the going concern basis. It is view of the management that there are no material uncertainties that may cast significant doubt on the Company's ability to continue as a going concern.

3.2. IMPAIRMENT LOSSES ON LEASE RECEIVABLE, HIRE PURCHASE RECEIVABLE AND LOANS AND ADVANCES TO CUSTOMERS

The measurement of impairment losses under Sri Lanka Accounting Standards - SLFRS 9 (Financial Instruments) across all categories of financial assets requires judgement. These estimates are driven by a number of factors, changes in which can result in different levels of impairment allowances.

The Company reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorizing them into groups of assets with similar risk characteristics, to determine the expected credit loss on such loans and advances.

The expected credit loss (ECL) calculation under SLFRS 9 requires management to make judgments and estimates with regard to the following.

- The Company's criteria for assessing if there has been a significant increase in credit risk and so impairment for financial assets should be measured on a lifetime ECL basis
- Development of ECL models, including various formulas and the choice of inputs
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL model

It has been the Company's policy to regularly review its models in the context of actual loss experience and adjust when necessary. The above assumptions and judgements are discussed in detail under Note 5.4.5 to the Financial Statements.

3.3. IMPAIRMENT OF OTHER FINANCIAL ASSETS

The Company reviews its debt securities classified as FVOCI/amortised cost, at each reporting date to assess whether they are impaired. Objective evidence that a debt security held at FVOCI/amortised cost is impaired includes among other things significant financial difficulty of the issuer, a breach of contract such as a default or delinquency in interest or principal payments etc.

Equity instruments classified as Fair Value through Other Comprehensive Income (FVOCI) are not subject to impairment assessment.

3.4. IMPAIRMENT OF GOODWILL

The Company assesses whether there are any indicators of impairment of goodwill at each reporting date or more frequently, if events or changes in circumstances necessitate to do so. This requires the estimation of the Value in Use (VIU) of the asset. Estimating VIU requires the Company to make an estimate of the expected future cash flows from the asset and also to select a suitable discount rate in order to calculate the present value of the relevant future cash flows. This valuation requires the Company to make estimates about expected future cash flows and discount rates and hence, they are subject to uncertainty. Refer Note 22 for details.

3.5. TAXATION INCLUDING DEFERRED TAX ASSETS

The Company is subject to income taxes and other taxes including VAT on financial services.

3.6. FAIR VALUE OF PROPERTY PLANT AND EQUIPMENT

The freehold land and buildings of the Company are reflected at fair value at the date of revaluation less any accumulated depreciation and impairment losses. The Company engages independent valuation

specialists to determine fair value of freehold land and buildings, including methods of valuation are given in Note 20.4 to the financial statements.

3.7. USEFUL LIFETIME OF PROPERTY PLANT AND EQUIPMENT

The Company reviews the residual values, useful lives and methods of depreciation of property, plant and equipment at each reporting date. Judgement of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

3.8. CLASSIFICATION OF INVESTMENT PROPERTY

Management requires using its judgment to determine whether a property qualifies as an investment property. The Company has developed criteria so it can exercise its judgment consistently. A property that is held to earn rentals or for capital appreciation or both and which generates cash flows largely independently of the other assets held by the Company are accounted for as investment property. On the other hand, a property that is used for operations or in the process of providing services or for administrative purposes and which do not directly generate cash flows as a standalone asset are accounted for as property, plant and equipment. The Company assesses on an annual basis the accounting classification of its properties taking into consideration the current use of such properties (Refer Note 19).

3.9. FAIR VALUE OF INVESTMENT PROPERTY

The Company carries its Investment Property at fair value, with changes in fair values being recognised in the Statement of profit or loss.

The best evidence of fair value is usually the current price in an active market for similar lease and other contracts. In the absence of such information, the Company determines the amount within a range of reasonable fair value estimates. In making such estimates, the Company considers information from a variety of sources including:

- Current prices in an active market for properties of different nature, condition or location (or subject to different lease or other contracts), adjusted to reflect those differences;
- Recent prices of similar properties in less active markets, with adjustments to reflect any changes in economic conditions since the date of the transactions that occurred at those prices; and
- Discounted cash flow projections based on reliable estimates of future cash flows, derived from the terms of any existing lease and other contracts and (where possible) from external evidence such as current market rents for similar properties in the same location and condition, and using capitalization rates that reflect current market assessments of the returns and yields, an uncertainty in the amount and timing of the cash flows.

3.9.1. Subsequent Transfers to/from Investment Property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Company as an owner occupied property becomes an investment property, the Company, accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the Income statement. When the Company completes the construction or development of a self constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognized in the Income Statement.

3.10. PRINCIPAL ASSUMPTIONS FOR MANAGEMENT'S ESTIMATION OF FAIR VALUE

If information on current or recent prices of assumptions underlying the discounted cash flow approach of investment properties is not available, the fair values of investment property are determined using discounted cash flow valuation techniques. The company uses assumptions that are mainly based on market conditions existing at each reporting date.

The principal assumptions underlying management's estimation of fair value are those related to: the future rentals, maintenance requirements, and appropriate capitalization rates / yields and voids. These valuations are regularly compared to actual market yield data and actual transactions by the company and those reported by the market.

3.11. FAIR VALUE OF FINANCIAL INSTRUMENTS

Where the fair values of financial assets and financial liabilities recorded on the statement of financial position cannot be derived from active markets, they are determining using a variety of valuation techniques that include the use of mathematical models. The inputs of these models are derived from observable market data where possible, but if this is not available, judgements such as discount rates, default rate assumptions, etc. is required to establish fair values. The fair valuation of financial instruments is described in more in Note 48 to these financial statements.

ACCOUNTING POLICIES

The Company measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements.

3.12. DEFINED BENEFIT PLAN

The cost of the defined benefit plans and the present value of their obligations are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, future salary increases, mortality rates and possible future pension increases if any. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka government bonds with maturities corresponding to the expected duration of the defined benefit obligations. The mortality rate is based on publicly available mortality tables. Future salary increases and pension increases are based on expected future inflation rate and expected future salary increase rates of the Company.

3.13. RIGHT-OF-USE ASSETS AND LEASE LIABILITY

The Company uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets. The Company applies judgments in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create economic benefits for it to exercise either the renewal or termination. Further, the Company cannot readily determine the interest rate implicit in the lease. Therefore, it uses its incremental borrowing rate to measure operating lease liability. The incremental borrowing rate is the rate of interest that the Company would have to pay to borrow over a similar term and with similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in similar economic environment.

3.14. COMMITMENTS AND CONTINGENCIES

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Unless the probability of occurrence is certain, contingent liabilities are not recognized in the statement of financial position but are disclosed in the statement of financial position. (Note 51).

3.14.1. Uncertainty Over Income Tax Treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated within certain tax treatments. The interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

The Company determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

4. NEW AMENDMENTS TO ACCOUNTING STANDARDS ISSUED BUT NOT EFFECTIVE AS AT THE REPORTING DATE

The Institute of Chartered Accountants of Sri Lanka has issued following new Sri Lanka Accounting Standards (SLFRSs/LKASs) which will become applicable for financial periods beginning on 01st January 2026. Accordingly, the Company has not applied these standards in preparing these Financial Statements.

1) SLFRS 18 Presentation and Disclosures in Financial Statements

5. MATERIAL ACCOUNTING POLICIES

The material accounting policies set out below have been applied consistently to all periods presented in these financial statements of the Company, unless otherwise indicated. The accounting policies have been consistently applied by the Company where applicable.

5.1. BASIS OF CONSOLIDATION

The group financial statements comprise consolidation of the financial statements of the company and its subsidiary in terms of Sri Lanka Accounting standards (SLFRS 10) Consolidated financial statement.

The Company's investment in associate has been accounted under "Equity method of accounting" in terms of Sri Lanka Accounting Standard (LKAS 28) "Investments in Associates & Joint Ventures".

5.2. BUSINESS COMBINATION AND GOODWILL

Business combinations are accounted for using the Acquisition method as per the requirements of Sri Lanka Accounting Standard (SLFRS 3) - "Business Combinations". When the Company acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date.

The Company measures goodwill as the fair value of the consideration transferred including the recognized amount of any non-controlling interest in the acquire, less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognized immediately in profit or loss. Acquisition related costs are expensed as incurred and included in other expenses. Goodwill is initially recorded at cost and subsequently at cost less any accumulated impairment losses in accordance with the Sri Lanka Accounting Standard (SLFRS 3) - "Business Combinations".

Goodwill has to be reviewed for impairment annually or more frequently if events or circumstances indicate that the carrying value may be impaired.

The Company elects on a transaction by transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognized amount of the identifiable net assets, at the acquisition date.

5.3. FOREIGN CURRENCY TRANSACTIONS AND BALANCES

All foreign currency transactions are translated into the functional currency which is Sri Lankan Rupees (LKR) at the spot exchange rate at the date of the transactions were affected. In this regard, the Company's practice is to use the middle rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot rate of exchange at the reporting date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year adjusted for effective interest and payments during the year and the amortised cost in foreign currency translated at the exchange rate at the reporting date.

Non- monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the date of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.

5.4. FINANCIAL INSTRUMENTS – INITIAL RECOGNITION AND SUBSEQUENT MEASUREMENT

5.4.1. Date of recognition

Financial assets and liabilities, with the exception of loans and advances to customers and balances due to customers, are initially recognized on the trade date, i.e., the date that the Company becomes a party to the contractual provisions of the instrument. This includes regular way trades: purchases or sales of financial assets that require delivery or assets within the time frame generally established by regulation or convention in the market place. Loans and advances to customers are recognized when funds are transferred to the customers' accounts. The Company recognizes balances due to customers when funds are transferred to the Company.

5.4.2. Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments, as described in Notes 5.4.3.1(a) and Note 5.4.3.1(b). Financial instruments are initially measured at their fair value except in the case of financial assets and financial liabilities recorded at FVTPL, transaction costs are added to, or subtracted from, this amount. Trade receivables are measured at the transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price.

5.4.2.1. "Day 1" profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group/Company recognizes the difference

Between the transaction price and fair value ('Day 1' profit or loss) in the income statement over the tenor of the financial instrument using the effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognized in the Income Statement when the inputs become observable, or when the instrument is derecognized.

5.4.3. Measurement categories of Financial Assets and Liabilities

The Company classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms, measured at either:

- Amortized cost, as explained in Note 5.4.3.1
- Fair value through Profit or loss Note5.4.3.2
- FVOCI, as explained in Note 5.4.3.3

The subsequent measurement of financial assets depends on their classification.

Financial liabilities, other than loan commitments and financial guarantees, are measured at amortised cost.

5.4.3.1. Loans and advances, Lease rental receivables

The Company only measures loans and receivables, Lease rentals receivable and stock out on hire and debt & other financial instruments at amortised cost if both of the following conditions are met,

- The financial asset is held within a business model with the objective of collecting contractual cash flows
- The contractual terms of the financial asset give rise, on specified dates, to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

ACCOUNTING POLICIES

The details of these conditions are outlined below,

(a) Business model assessment

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objectives.

The Company's business model is not assessed on an instrument-by instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risk that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected.
- The expected frequency, value and timing of sales are also important aspects of the Group's assessment

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios in to account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

(b) The SPPI test

As a second step of its classification process, the Company assesses the contractual terms of financial instruments to identify whether they meet the SPPI test. Principal for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial assets (for example, if there are repayments of principal or amortization of the premium/ discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Group applies judgement and considers relevant factors such as the currency in which the financial assets is denominated and the period for which the interest rate is set. In contrast, contractual terms that introduce a more than de-Minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

5.4.3.2. Financial assets or financial liabilities at Fair Value through Profit or Loss (FVTPL)

The Company classified financial assets or financial liabilities as held for trading when they have been purchased or issued primarily for short term profit making through trading activities or form part of a portfolio of financial instruments that are managed together, for which there is evidence of a recent patterns of short term profit taking. Held for trading assets and liabilities are recorded and measured in the statement of financial position at fair value. Changes in fair value are recognized in net trading income. Interest income from financial assets held for trading is recorded under net interest income while dividend income is recorded in net trading income when the right to payment has been established.

Included in this classification are debt securities and equity investments that have been acquired principally for the purpose of selling or repurchasing in the near term

5.4.3.3. Equity instruments at FVOCI

Upon initial recognition, the Company occasionally elects to classify irrevocably some of its equity investments at FVOCI when they meet the definition of equity under LKAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument-by instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI equity instruments are not subject to an impairment assessment.

5.4.3.4. Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue of funds and costs that are an integral part of the EIR. The Company does not have compound financial instruments that contains both liability and equity components and require separation as at the date of the issue.

5.4.3.5. Financial guarantees and undrawn loan commitments

The Company issues financial guarantees and loan commitments. Financial guarantees are initially recognized in the financial statements at fair value, being the premium received. Subsequent to initial recognition, the Company's liability under each guarantee is measured at the higher of the amount initially recognized less cumulative amortization recognised in the income statement, and the ECL provision.

The premium received is recognised in the income statement under net fees and commission income on a straight-line basis over the life of the guarantee.

Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Company is required to provide a loan with pre-specified terms to the customer.

The nominal contractual value of financial guarantees and undrawn loan commitments where the loan agreed to be provided is on market terms, are not recorded in the statement of financial position. The nominal values of these instruments together with the corresponding ECLs are disclosed in Note 52

5.4.3.6. Reclassification of financial assets and liabilities

The Company does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Company may acquire, dispose of, or terminates a business line (change in business model). When the Company reclassifies its financial assets, it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains, losses (including impairment gains or losses) or interest. Financial liabilities are never reclassified when a financial asset is reclassified out of the amortised cost

Measurement category and into the fair value through profit or loss measurement category, its fair value is measure at the reclassification date. Any gain or loss arising from a difference between the previous amortized cost of the financial asset and fair value is recognised in profit or loss.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the amortised cost measurement category, its fair value at the reclassified date becomes its new gross carrying amount.

When a financial asset is reclassified out of the amortized cost measurement category and into the fair value through other comprehensive income measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income.

The effective interest rate and the measurement of expected credit losses are not adjusted as a result of reclassification.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the amortised cost measurement category, the financial asset is reclassified at its fair value at the reclassification date. However, the cumulative gain or loss previously recognised in other comprehensive income is removed from equity and adjusted against

The fair value of the financial asset at the reclassification date. As a result, the financial asset is measured at the reclassification date as if it had always been measured at amortised cost.

The effective interest rate and measurement of expected rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

When a financial asset is reclassified out of the fair value through profit or loss measurement category and into the fair value through other comprehensive income measurement category, the financial asset continues to be measured at fair value.

When a financial asset is reclassified out of the fair value through other comprehensive income measurement category and into the fair value through profit or loss measurement category. The financial asset continues to be measured at fair value. The cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment at the reclassification date.

5.4.4. De-recognition of financial assets and liabilities

5.4.4.1. De-recognition due to substantial modification of terms and conditions

The company de-recognizes a financial asset, such as a loan to a customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognized as a de-recognition gain or loss, to the extent that an impairment loss has not already been recorded. The newly recognized loans are classified as Stage 1 for ECL measurement purposes, unless the new loan is deemed to be credit impaired at the date of inception.

When assessing whether or not to de-recognize a loan to a customer, amongst others, the Group considers the following factors:

- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criteria

If the modification does not result in cash flows that are substantially different, the modification does not result in de-recognition. Based on the change in cash flows discounted at the original EIR, the group records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

5.4.4.2. De-recognition other than for substantial modification

(a) Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a Company of similar financial assets) is derecognized when the rights to receive cash flows from the financial asset have expired. The Group also derecognizes the financial asset if it has both transferred the financial asset and the transfer qualifies for de-recognition.

The Company has transferred the financial asset if and only if, either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset

Or

- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flow in full without material delay to a third party under a 'pass-through' arrangement

ACCOUNTING POLICIES

Pass-through arrangements are transactions whereby the Company retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Company has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest at market rates
- The Company cannot sell or pledge the original asset other than as security to the eventual recipients
- The Company has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Company is not entitled to reinvest such cash flows, except for

Investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients.

A transfer only qualifies for de-recognition if either,

- The Company has transferred substantially all the risks and rewards of the asset.

Or

- The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Company has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognized only to the extent of the Company's continuing involvement, in which case, the Company also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Company could be required to pay.

(b) Financial liabilities

A financial liability is de recognized when the obligation under the liability is discharged, canceled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

5.4.5. Impairment allowance for financial assets

5.4.5.1. Overview of the ECL principles

The Company has recorded the impairment for expected credit losses for all loans and debt & other financial instruments not held at FVTPL, together with loan commitments and financial guarantee contracts. Equity instruments are not subject to impairment under SLFRS 9.

The ECL impairment is based on the credit losses expected to arise over the life of the asset (the lifetime Expected Credit Loss or (LTECL)], unless there has been no significant increase in credit risk since origination, in which case, the impairment is based on the 12 months' Expected Credit Loss (12MECL). The Company's policies for determining if there has been a significant increase in credit risk are set out in Note 5.4.5.2(a)

The Company has applied expert credit judgement (Management Overlays), in the assessment of underlying credit deterioration and migration of balances to progressive stages. The Company considered both quantitative and qualitative information in the assessment of significant increase in credit risk. Utilization of a payment deferral program was not necessarily considered an immediate trigger, in keeping with CA Sri Lanka and regulatory guidance, for an account to migrate to a progressive stage. Early observations of payment behavior of expires for this year were considered in the assessment of the changes in the risk of default occurring over the expected life of a financial instrument when determining staging and is a key input in determining migration.

The measurement of expected credit losses for each stage and the assessment of significant increase in credit risk considers information about past events and current conditions as well as reasonable and supportable projections of future events and economic conditions. The estimation and application of forward-looking information requires significant judgment.

The PD, LGD and EAD inputs used to estimate Stage 1 and Stage 2 credit loss allowances are modelled based on the macroeconomic variables (or changes in macroeconomic variables) that are most closely correlated with credit losses in the relevant portfolio. Each macroeconomic scenario used in our expected credit loss calculation includes a projection of all relevant macroeconomic variables used in our models for a five year period, subsequently reverting to long-run averages. Macroeconomic variables used in our expected credit loss models include, but are not limited to, unemployment rates, gross domestic product growth rates, interest rates and inflations.

The 12MECL is the portion of LTECLs that represent the ECLs that result from default events on financial instruments that are possible within the 12 months after the reporting date.

Both LTECLs and 12MECLs are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments. The policy for grouping financial assets measured on a collective basis is explained in Note 5.4.5.6 The details of individual assessment of ECLs are given in Note 5.4.5.5

The Company has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. This is further explained in Note 5.4.5.1(a). Based on the above process, the Company categorize its loans into 'Stage 1', 'Stage 2', 'Stage 3' and 'originated credit impaired', as described below:

- **Stage 1**

  When loans are first recognized, the group recognizes an impairment based on 12MECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from stage 2.

- **Stage 2**

  When a loan has shown a significant increase in credit risk since origination, the Group records an impairment for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from stage 3.

- **Stage 3**

  These loans are considered as credit impaired (as outlined in Note 5.4.5) The Company records an impairment for the LTECLs.

- **Originated credit impaired assets**

  Originated credit impaired assets are financial assets that are credit impaired on initial recognition. They are recorded at fair value at original recognition and interest income is subsequently recognized

Based on a credit-adjusted EIR. ECLs are only recognized or released to the extent that there is a subsequent change in the expected credit losses.

For financial assets for which the Company has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) de-recognition of the financial asset.

5.4.5.2. Credit-Impaired Financial Assets

(a) Definition of default and cure

The Company considers a financial instrument as defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate.

Such events include:

- Internal rating of the borrower indicating default or near-default
- The borrower requesting emergency funding
- The borrower having past due liabilities to public creditors or employees
- The borrower is deceased
- A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral
- A material decrease in the borrower's turnover or the loss of a major customer
- A covenant breach not waived by the Company
- The debtor (or any legal entity within the debtor's group) filing for bankruptcy application/ protection
- Debtor's listed debt or equity suspended at the primary exchange because of rumors or facts about the financial difficulties

It is the Company's policy to consider a financial instrument as "cured" and therefore re-classified out of Stage 3 when none of the default criteria has been present. Once cured, the decision whether to classify an asset as Stage 2 or Stage 1 largely depends on the days past due, at the time of the cure. The Company's criterion for 'cure' for rescheduled / restructured loans is more stringent than ordinary loans and is explained in Note 5.4.5.13

(b) Significant increase in credit risk

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Company assesses whether there has been a significant increase in credit risk. Since initial recognition. The Company considers an exposure to have a significantly increased credit risk when it is past due for more than 30 days.

Using its expert credit judgement and, where possible, relevant historical experience, the Company may determine that an exposure has undergone a significant increase in credit risk based on particular qualitative indicators that it considers are indicative of such and whose effect may not otherwise be fully reflected in its quantitative analysis on a timely basis.

The Company also applies a secondary qualitative method for triggering a significant increase in credit risk, such as restructuring or rescheduling of an assets while the asset is less than 30 days past due. In certain cases, the Company may also consider that events explained in Note 5.4.5.1(a) are significant increase in credit risk as opposed to a default, for customers who are considered as individually significant.

ACCOUNTING POLICIES

The Company monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews.

The PD, EAD and LGD models are subject to Company's policy on impairment assessment. There were no material changes to the policies during the year ended 31st March 2025.

5.4.5.3. The calculation of ECL

The Company calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfall (the base case, best case and the worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received for selling the asset.

Key elements of the ECL calculations are outlined below:

- **Probability of Default (PD)**

  The PD is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognized and is still in the portfolio. The concept of PDs is further explained in Note 5.4.5.7 (a)

- **Exposure at default (EAD)**

  The EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments. The EAD is further explained in Note 5.4.5.7(b)

- **Loss Given Default (LGD)**

  The LGD is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD. The LGD is further explained in Note 5.4.5.7(c).

With the exception of revolving facilities, for which the treatment is separately set out in Note 5.4.5.8, the maximum period for which the credit losses are determined is the contractual life of a financial instrument unless the Company has the legal right to call it earlier.

As at 31st March 2026, the base case assumptions have been updated to reflect the improved macro-economic conditions and economic forecasts provided by the Central Bank of Sri Lanka, and World Bank have been used. The key consideration for probability weightings in the current period is the macroeconomic growth prospects.

5.4.5.4. Post Model Adjustment (Management Overlays)

Post model adjustments to the ECL allowance are used in circumstances where it is judged that the existing inputs, assumptions and model techniques do not capture all the risk factors relevant to Bank's lending portfolios. Emerging local or global macroeconomic, micro-economic or political events, and natural disasters that are not incorporated into the current parameters, risk ratings, or forward-looking information are examples of such circumstances. The use of post model adjustments may impact the amount of ECL recognized.

Management has applied a number of adjustments to the ECL calculated as per the modules as post model adjustment which are explained below.

The Company's post-model adjustments reflects the management's assessment of heightened credit risk across specific loan portfolios and exposures, resulting in increases in the loss allowance.

5.4.5.5. Calculation of Expected Credit Losses for Individually significant loans

The Company first assess ECLs individually for financial assets that are individually significant. In the event the Company determines that such assets are not impaired (Not in stage 3), it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are not included in a collective assessment of impairment. The criteria used to determine whether individually significant customer is in default is discussed in Note 5.4.5.3(a).

If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial assets at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. The impairment on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate. Interest on impaired assets continues to be recognized through the unwinding of the discount.

When ECLs are determined for individually significant financial assets, following factors are considered:

- Aggregate exposure to the customer including any undrawn exposures;
- The viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations
- The amount and timing of expected receipts and recoveries

- The extent of other creditors' commitments ranking ahead of, or pari-passu with the Company and the likelihood of other creditors continuing to support the Company;

5.4.5.6. Grouping of financial assets measured on a collective basis

The Company calculates ECLs either on a collective or an individual basis. Asset classes where the Company calculates ECL on an individual basis include all customers whose exposure is more than or equal to the internal threshold for classifying them as individually significant. However, if the customer is determined to be in stage I or stage II, such customers are moved back to collective ECL calculation.

For all other asset classes, the Company calculates ECL on a collective basis. The Company categorizes these exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans, as described below:

- Product type
- Type of collateral
- Whether the loan is restructured / rescheduled

5.4.5.7. (a) PD Estimation process

PD estimation for loans and advances to other customers under SLFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most Financial Institutions in the country at present.

Accordingly, exposures are categorized among 5 Company based on the DPD as follows,

- Zero days past due
- 1 – 30 days past due
- 31 - 60 days past due
- 61 – 90 days past due
- Above 90 days past due

The movement of the customers in to bad DPD categories are tracked at each account level over the periods and it is used to estimate the amount of loans that will eventually be written off.

5.4.5.7. (b) Exposure at default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a Stage 1 loan, the Company assesses the possible default events within 12 months. However, if a Stage 1 loan that is expected to default within the 12 months from the balance sheet date is also expected to cure and subsequently default again, then all linked default events are taken into account. For Stage 2 and stage 3 financial assets and credit impaired financial assets at origination, events over the lifetime of the instruments are considered. The Company determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The SLFRS 9 PDs are then assigned to each economic scenario based on the outcome of Company's models.

5.4.5.7. (c) Loss Given Default

LGD values are assessed at least annually for each material collateral type. The Company segregates its customer loan book based on following major types of collaterals when calculating the LGD.

- Secured against motor vehicles and other movable properties
- Secured against immovable property
- Secured against cash / deposits held within the company
- Secured against gold

These LGD rates take into account the expected EAD in comparison to the amount expected to be recovered or realized from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics (e.g., product type, collateral type) as well as borrower characteristics. The LGD rates, where possible, are calibrated through back testing against recent recoveries.

5.4.5.8. Other revolving facilities

The Company's product offering includes Factoring and draft facilities in which the company has the right to cancel and/or reduce the facilities with a very short notice. The Company does not limit its exposure to credit losses to the contractual notice period, but instead calculates ECL over a period of 12 months to reflect the Company's expectations of the customer behavior, its likelihood of default and the Company's future risk mitigation procedures, which could include reducing or cancelling the facilities.

5.4.5.9. Forward looking information

In its ECL models, the Company relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Unemployment rates
- Interest rates
- Exchange rate
- Inflation rate

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary completeness and accuracy, the Company obtains the above data from third party sources (Central Bank, World Bank and International Monetary Fund etc).

ACCOUNTING POLICIES

5.4.5.10. Collateral valuation

To mitigate its credit risks on financial assets, the Company seeks to use collateral, where possible. The collateral comes in various forms, such as motor vehicles, cash, guarantees, real estate, receivables, inventories and other non-financial assets.

To the extent possible, the Company uses active market data for valuing financial assets held as collateral. Other financial assets which do not have readily determinable market values are valued using models. Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuation specialists.

5.4.5.11. Collateral repossessed

The Company's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to the relevant asset category.

5.4.5.12. Write-offs

Financial assets are written off either partly or in their entirety only when the Company has stopped pursuing the recovery. If the amount to be written off is greater than the accumulated impairment, the difference is first treated as an addition to the impairment that is then applied against the gross carrying amount. Any subsequent recoveries are credited to the statement of profit or loss.

Financial assets that are written off could still be subject to enforcement activities in order to comply the Company's procedure for recovery of amounts due.

5.4.5.13. Rescheduled and restructured loans

The Company sometimes makes concessions or modifications to the original terms of loans in response to the borrower's financial difficulties, taking possession of the collateral. The Company considers a loan as rescheduled / restructured, when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the company would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Department. Reschedulement / restructure may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of terms. It is the Company's policy to monitor future payments of these loans are paid as agreed.

De-recognition and classification of rescheduled / restructured facilities aligned with Direction No. 01 of 2020, Classification and Measurement of Credit Facilities, issued by Central bank of Sri Lanka

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognised and ECL are measured as follows:

- If the expected restructuring will not result in de-recognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset.
- If the expected restructuring will result in de-recognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its de-recognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of de-recognition to the reporting date using the original effective interest rate of the existing financial asset.

5.4.5.14. Recognition of expected credit loss provision on government securities

The company does not recognise impairment provision in respect of rupee denominated government securities while recognition of impairment or foreign currency denominated government securities are generally determined based on applicable exposure of default, Probability of default and loss given default.

5.5. LEASE

5.5.1. Identification of a Lease

Previously, the Company determined, at contract inception, whether an arrangement is or contains a lease under LKAS 17/IFRIC 4. Under SLFRS 16, the Company assesses whether a contract is or contains a lease based on the definition of lease as explained in Note 21.

On transition, the Company elected to apply SLFRS 16, only to contracts that were previously identified as leases. Contracts that were not identified as leases under LKAS 17/IFRIC 4 were not reassessed to ascertain whether there is a lease. Therefore, the definition of a lease under SLFRS 16, was applied only to contracts entered in to or changed on or after 1st January 2019.

The Company applied SLFRS 16 using the modified retrospective approach and thereby the comparative figures were not restated and continues to be reported under LKAS 17.

5.5.2. As a Lessor

Lessor accounting under SLFRS 16 is substantially unchanged from LKAS 17. Lessor will continue to classify leases as either operating leases or finance leases using similar principles as in LKAS 17. Therefore, SLFRS 16 does not have an impact for leases where the Company is the lessor.

5.5.3. As a Lessee

As a lessee, the Company previously classified leases as operating or finance leases based on its assessment of whether the lease transferred significantly all of the risks and rewards incidental to ownership of the underlying assets to the Company. Under SLFRS 16, the Company recognises right of the use of assets and lease liabilities for most leases except for short term leases to which the Company applied recognition exemptions in SLFRS 16.

5.5.3.1. Leases classified as operating leases under LKAS 17

At transition, lease liabilities were measured at the present value of the remaining lease payments discounted at the incremental borrowing rates as at 1st April 2019. Rights of use of assets are measured at an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments.

In addition, the Company applied following practical expedients permitted by SLFRS 16, to Leases previously classified as operating leases under LKAS 17.

- Applied a Single discount rate to a portfolio of leases with similar characteristics
- Applied the exemption not to recognize right of use assets and liabilities for leases with less than 12 months of lease term.
- Exclude initial direct costs, from the measurement of the right of use asset for leases previously accounted for as operating leases at the date of initial application.
- Used hindsight when determining the lease term of the contact contains options to extend or terminate the lease.

5.6. IMPAIRMENT OF NON-FINANCIAL ASSETS

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's (Cash Generating Unit) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company estimate the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised.

The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of profit or loss.

5.7. PROVISIONS

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the Statement of profit or loss net of any reimbursement.

6. RECOGNITION OF INCOME AND EXPENSE

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The following recognition criteria must also be met before revenue is recognized.

(i) Interest Income and Interest Expense

For all financial instruments measured at amortized cost, interest bearing financial assets classified as available for sale and financial instruments designated at fair value through profit or loss, interest income or expense is recorded using the EIR. EIR is the rate exactly discounts estimated future cash payment or receipt through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial assets and financial liability.

The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

The carrying amount of the financial assets and liability is adjusted if the Company revises its estimates of payment and receipts. The adjusted carrying amount is calculated based on the original

EIR and the change in carrying amount is recorded as 'Interest and similar income' for the financial assets and 'Interest and similar expense' for financial liabilities.

ACCOUNTING POLICIES

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognized using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

(ii) Fee and commission income

The Company earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

Performance obligation and revenue recognition

Fee and commission income of contracts with customers is measured based on the consideration specified in a contract with customers. The Company recognizes revenue when it transfers the control over a service to a customer.

The information about the nature and timing of the satisfaction of performance obligation in contracts with customers including significant payment terms and the related revenue recognition policies as follows;

- **Fee income from providing transaction service**

  Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the purchase or sale of business is recognized on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognized at point in time after fulfilling the corresponding criteria.

- **Performance obligation and revenue recognition policies**

  The following table provides information about the nature and timing of satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies.

Type of service	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition policies under SLFRS 15
Loans & advance related services Lease related services	The Company provides various services to customers including documentation, account management and servicing fees	Revenue related to transactions is recognised at the point in time when the transaction takes place.
	Transaction based fees are charged to customer's account when the transaction takes place	

6.1. DIVIDEND INCOME

Dividend income is recognized when the right to receive the payment is established.

6.2. REAL ESTATE SALES

Revenue from the real estate sale is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer.

6.3. CURRENT TAXES

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the Statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Refer note No. 31 for the accounting policy for deferred taxation.

6.4. VAT ON FINANCIAL SERVICES

VAT on financial services is calculated in accordance with VAT Act No.14 of 2002 and subsequent amendments thereto.

6.5. SOCIAL SECURITY CONTRIBUTION LEVY (SSCL)

Social Security Contribution Levy (SSCL) shall be paid by any person carrying on the business of supplying financial services, on the liable turnover specified in the Second Schedule of the Social Security Contribution Levy Act No.25 of 2022 (SSCL Act), at the rate of 2.5%, with effect from 1st October 2022.SSCL is payable on 100% of the Value Addition attributable to financial services.

The Value Addition attributable to financial services shall be computed for the payment of SSCL on the business of supplying financial services by applying the attributable method referred in to Chapter IIIA of the Value Added Tax Act No. 14 of 2002.

NOTES TO THE FINANCIAL STATEMENT

7. CASH AND CASH EQUIVALENTS

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Cash in hand	**486,235,471**	869,164,074	**486,235,471**	869,164,074
Balances with banks	**2,539,411,364**	3,856,354,823	**2,544,575,723**	3,862,688,264
	3,025,646,835	4,725,518,897	**3,030,811,194**	4,731,852,338

7.1 BALANCES WITH BANKS

	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Credit Rating				
A+ (lka)	**306,410,287**	257,026,954	**306,410,287**	257,026,954
A (lka)	**499,680,704**	1,661,946,061	**499,680,704**	1,668,279,502
A- (lka)	**37,548,029**	793,549,071	**37,548,029**	793,549,071
AA- (lka)	**1,572,167,972**	461,299,274	**1,577,332,331**	461,299,274
BB+(lka)	**1,014,101**	-	**1,014,101**	-
BBB (lka)	**122,590,271**	-	**122,590,271**	-
BBB- (lka)	**-**	682,533,463	**-**	682,533,463
	2,539,411,364	3,856,354,823	**2,544,575,723**	3,862,688,264

ACCOUNTING POLICY

Cash and cash equivalents are defined as cash in hand, demand deposits and investments with short maturities i.e. three months or less from the date of acquisition.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand, deposits in banks net of outstanding bank overdrafts and reverse repurchase agreements. Investments with short maturities i.e. those having original maturities of three months or less from the date of acquisition are also treated as cash equivalents.

Bank overdrafts that are repayable on demand are also included as a component of cash and cash equivalents for the purpose of the cash flow statement.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

8. PLACEMENTS WITH BANKS

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Time deposits				
Within three months	**1,665,366,657**	3,350,350,552	**1,665,366,657**	3,350,350,552
More than three months	**1,021,457,112**	1,356,572,710	**1,021,457,112**	1,356,572,710
	2,686,823,769	4,706,923,262	**2,686,823,769**	4,706,923,262

9. FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Government of Sri Lanka Treasury bills	**4,567,165,615**	6,738,629,769	**4,567,464,679**	6,738,908,334
Quoted equity investments (Note 9.1)	**98,895,000**	1,834,964	**98,895,000**	1,834,964
Investments in unit trusts	-	-	**1,952,389**	-
	4,666,060,615	6,740,464,733	**4,668,312,068**	6,740,743,298

9.1 QUOTED EQUITY INVESTMENTS

	Company/Group					
	2026			2025		
	No. of Shares	Cost of Investment LKR	Market Value LKR	No. of Shares	Cost of Investment LKR	Market Value LKR
Ceylinco Holdings PLC	**30,000**	**108,002,572**	**98,895,000**	-	-	-
Asiri Surgical Hospital PLC	-	-	-	159,562	1,800,298	1,834,964
Total		**108,002,572**	**98,895,000**		1,800,298	1,834,964

10. LOANS AND RECEIVABLES

As At 31st March	Company		Group	
	31-Mar-2026	31-Mar-2025	31-Mar-2026	31-Mar-2025
	LKR	LKR	LKR	LKR
Loan against fixed deposits	**1,227,300,528**	1,280,195,898	**1,227,300,528**	1,280,195,898
Short Term loans	**86,682,160**	324,739,308	**41,549,010**	324,739,308
Microfinance loans	**3,073,640,389**	3,203,415,965	**3,073,640,389**	3,203,415,965
Abhivurdhi SME loans	**257,705,395**	243,426,157	**257,705,395**	243,426,157
Business loans	**441,188,351**	482,910,708	**441,188,351**	482,910,708
Gold Loans	**25,850,995,173**	14,954,614,575	**25,850,995,173**	14,954,614,575
Factoring receivables	**10,449,737**	36,082,350	**10,449,737**	36,082,350
Term draft loans	**1,152,719,436**	862,408,563	**1,152,719,436**	862,408,563
Auto Loans	**1,453,083,319**	1,651,264,345	**1,453,083,319**	1,651,264,345
Staff Loans	**137,417,732**	179,927,927	**137,417,732**	179,927,927
Education Loans	**73,676,328**	66,006,978	**73,676,328**	66,006,978
Other Loans	**372,112,610**	915,158,211	**372,112,610**	915,158,211
	34,136,971,158	24,200,150,985	**34,091,838,008**	24,200,150,985
Less : Allowance for impairment losses (Note 10.1)	**(740,885,574)**	(2,036,648,614)	**(740,885,574)**	(2,036,648,614)
Net loans and advances	**33,396,085,584**	22,163,502,371	**33,350,952,434**	22,163,502,371

NOTES TO THE FINANCIAL STATEMENT

10.1 ALLOWANCE FOR IMPAIRMENT LOSSES

As At 31st March	Company/Group	
	31-Mar-2026	31-Mar-2025
	LKR	LKR
Balance as at 01st April	**2,036,648,614**	1,813,037,257
(Reversal)/Charge for the year	**(636,086,370)**	232,706,352
Written off during the year	**(659,676,670)**	(9,094,995)
As at 31st March	**740,885,574**	2,036,648,614

Post Model Adjustment	31-Mar-2026 LKR	31-Mar-2025 LKR
Loss allowance before post model adjustment	**725,308,964**	1,318,177,657
Post model adjustment (Management Overlays)	**15,576,610**	718,470,957
Loss allowance after post model adjustment	**740,885,574**	2,036,648,614

The Company's allowance for impairment losses consists of collective impairment amounting to LKR 695,091,621/- (2025 - LKR 1,779,989,240 /-) and individual impairment amounting to LKR 45,793,953/- (2025 - LKR 256,659,374/-)..

10.1.1 DISCLOSURE ON STAGING OF FINANCIAL ASSET

Credit Exposure Movement (Company)	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Balance as at 01st April 2025	19,881,016,777	2,089,449,088	2,229,685,120	24,200,150,985
Granted During the year	29,177,615,541	2,846,619,723	252,830,628	32,277,065,892
Write off during the year	-	-	(659,676,670)	(659,676,670)
Recoveries	(18,578,723,193)	(1,865,546,641)	(1,236,299,215)	(21,680,569,049)
Stage 1	(386,104,546)	219,676,588	166,427,958	-
Stage 2	96,073,016	(161,137,158)	65,064,142	-
Stage 3	29,049,169	6,247,163	(35,296,332)	-
As at 31st March 2026	30,218,926,764	3,135,308,763	782,735,631	34,136,971,158

2025	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Balance as at 1st April 2024	20,534,592,604	2,069,105,643	3,006,601,851	25,610,300,098
Granted During the year	18,482,498,544	1,765,452,893	354,995,442	20,602,946,879
Write off during the year	(804,634)	(33,029,650)	(33,834,284)	(67,668,568)
Recoveries	(18,891,380,644)	(1,798,162,169)	(1,255,884,611)	(21,945,427,424)
Stage 1	(434,671,714)	251,361,836	183,309,878	-
Stage 2	109,750,674	(221,022,167)	111,271,493	-
Stage 3	81,031,947	55,742,702	(136,774,649)	-
As at 31st March 2025	19,881,016,777	2,089,449,088	2,229,685,120	24,200,150,985

Provision for Impairment Movement (Company)	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Balance as at 1st April 2025	630,664,721	164,931,789	1,241,052,104	2,036,648,614
Charge to the Income Statement	(480,790,368)	(59,768,670)	(95,527,332)	(636,086,370)
Stage 1	(47,896,921)	24,706,746	23,190,175	-
Stage 2	20,769,738	(49,026,997)	28,257,259	-
Stage 3	8,221,401	2,381,118	(10,602,519)	-
Write off during the year	-	-	(659,676,670)	(659,676,670)
As at 31st March 2026	130,968,571	83,223,986	526,693,017	740,885,574

Provision for Impairment Movement (Company)	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Balance as at 1st April 2024	292,972,090	161,947,828	1,358,117,339	1,813,037,257
Charge/(write back) to the Income Statement	326,474,405	26,185,375	(119,953,428)	232,706,352
Stage 1	(32,851,868)	22,701,631	10,150,237	-
Stage 2	23,496,598	(59,148,748)	35,652,150	-
Stage 3	20,573,496	13,245,703	(33,819,199)	-
Write off during the year	-	-	(9,094,995)	(9,094,995)
As at 31st March 2025	630,664,721	164,931,789	1,241,052,104	2,036,648,614

Credit Exposure Movement (Group)	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Balance as at 1st April 2025	19,881,016,777	2,089,449,088	2,229,685,120	24,200,150,985
Granted during the year	29,132,482,391	2,846,619,723	252,830,628	32,231,932,742
Write off during the year	-	-	(659,676,670)	(659,676,670)
Recoveries	(18,578,723,193)	(1,865,546,641)	(1,236,299,215)	(21,680,569,049)
Stage 1	(386,104,546)	219,676,588	166,427,958	-
Stage 2	96,073,016	(161,137,158)	65,064,142	-
Stage 3	29,049,169	6,247,163	(35,296,332)	-
As at 31st March 2026	30,173,793,614	3,135,308,763	782,735,631	34,091,838,008

2025	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Balance as at 1st April 2024	20,534,592,604	2,069,105,643	3,006,601,851	25,610,300,098
Granted during the year	18,482,498,544	1,765,452,893	354,995,442	20,602,946,879
Write off during the year	(804,634)	(33,029,650)	(33,834,284)	(67,668,568)
Recoveries	(18,891,380,644)	(1,798,162,169)	(1,255,884,611)	(21,945,427,424)
Stage 1	(434,671,714)	251,361,836	183,309,878	-
Stage 2	109,750,674	(221,022,167)	111,271,493	-
Stage 3	81,031,947	55,742,702	(136,774,649)	-
As at 31st March 2025	19,881,016,777	2,089,449,088	2,229,685,120	24,200,150,985

NOTES TO THE FINANCIAL STATEMENT

	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Balance as at 1st April 2025	630,664,721	164,931,789	1,241,052,104	2,036,648,614
Charge/(write back) to the Income Statement	(480,790,368)	(59,768,670)	(95,527,332)	(636,086,370)
Stage 1	(47,896,921)	24,706,746	23,190,175	-
Stage 2	20,769,738	(49,026,997)	28,257,259	-
Stage 3	8,221,401	2,381,118	(10,602,519)	-
Write off during the year	-	-	(659,676,670)	(659,676,670)
As at 31st March 2026	130,968,571	83,223,986	526,693,017	740,885,574

	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Balance as at 1st April 2024	292,972,090	161,947,828	1,358,117,339	1,813,037,257
Charge/(write back) to the Income Statement	326,474,405	26,185,375	(119,953,428)	232,706,352
Stage 1	(32,851,868)	22,701,631	10,150,237	-
Stage 2	23,496,598	(59,148,748)	35,652,150	-
Stage 3	20,573,496	13,245,703	(33,819,199)	-
Write off during the year	-	-	(9,094,995)	(9,094,995)
As at 31st March 2025	630,664,721	164,931,789	1,241,052,104	2,036,648,614

10.2 GROSS LOANS AND RECEIVABLES

As at 31st March 2026 - LKR (Company)	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Loans against fixed deposits	859,097,202	365,758,336	2,444,990	1,227,300,528
Short Term loans	59,183,309	8,844,363	18,654,489	86,682,161
Microfinance loans	2,876,712,317	62,377,637	134,550,435	3,073,640,389
Abhivurdhi SME loans	238,126,951	10,051,303	9,527,141	257,705,395
Business loans	346,175,449	15,144,397	79,868,505	441,188,351
Gold Loans / Gold loan advances	23,333,895,253	2,365,407,157	151,692,763	25,850,995,173
Factoring receivables	10,449,737	-	-	10,449,737
Term draft loans	1,041,009,874	75,988,993	35,720,568	1,152,719,435
Auto Loans	1,172,637,922	147,688,228	132,757,169	1,453,083,319
Staff Loans	79,935,890	2,794,087	54,687,755	137,417,732
Education Loans	48,125,239	21,070,497	4,480,592	73,676,328
Other Loans	153,577,621	60,183,765	158,351,224	372,112,610
	30,218,926,764	3,135,308,763	782,735,631	34,136,971,158
Less: Impairment allowance				
Loans against fixed deposits	-	-	52,205	52,205
Short Term loans	3,240,958	1,993,011	15,078,413	20,312,382
Microfinance loans	8,419,301	21,058,350	134,550,435	164,028,086
Abhivurdhi SME loans	20,928,943	834,229	6,703,405	28,466,577
Business loans	3,966,582	3,364,955	84,687,938	92,019,475
Gold Loan / Gold loan advances	18,473,234	20,973,787	40,893,168	80,340,189
Factoring receivables	109,332	-	-	109,332
Term draft loans	10,920,674	1,854,221	29,443,538	42,218,433
Auto Loans	20,303,466	8,132,443	55,722,255	84,158,164
Staff Loans	573,623	284,027	51,459,204	52,316,854
Education Loans	389,397	715,698	1,944,739	3,049,834
Other Loans	43,643,061	24,013,265	106,157,717	173,814,043
	130,968,571	83,223,986	526,693,017	740,885,574
Net Loans and Receivables	30,087,958,193	3,052,084,777	256,042,614	33,396,085,584

The gross carrying value of the loan portfolio increased due to expansion of lending activities adopted by the company particularly in gold loan and also due to lower interest rate environment.

NOTES TO THE FINANCIAL STATEMENT

As at 31st March 2026 - LKR (Group)	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Loans against fixed deposits	859,097,202	365,758,336	2,444,990	1,227,300,528
Short Term loans	14,050,159	8,844,363	18,654,489	41,549,011
Microfinance loans	2,876,712,317	62,377,637	134,550,435	3,073,640,389
Abhivurdhi SME loans	238,126,951	10,051,303	9,527,141	257,705,395
Business loans	346,175,449	15,144,397	79,868,505	441,188,351
Gold Loans / Gold loan advances	23,333,895,253	2,365,407,157	151,692,763	25,850,995,173
Factoring receivables	10,449,737	-	-	10,449,737
Term draft loans	1,041,009,874	75,988,993	35,720,568	1,152,719,435
Auto Loans	1,172,637,922	147,688,228	132,757,169	1,453,083,319
Staff Loans	79,935,890	2,794,087	54,687,755	137,417,732
Education Loans	48,125,239	21,070,497	4,480,592	73,676,328
Other Loans	153,577,621	60,183,765	158,351,224	372,112,610
	30,173,793,614	3,135,308,763	782,735,631	34,091,838,008
Less: Impairment allowance				
Loans against fixed deposits	-	-	52,205	52,205
Short Term loans	3,240,958	1,993,011	15,078,413	20,312,382
Microfinance loans	8,419,301	21,058,350	142,160,968	171,638,619
Abhivurdhi SME loans	20,928,943	834,229	6,703,405	28,466,577
Business loans	3,966,582	3,364,955	84,687,938	92,019,475
Gold Loan / Gold loan advances	18,473,234	20,973,787	40,893,168	80,340,189
Factoring receivables	109,332	-	-	109,332
Term draft loans	10,920,674	1,854,221	29,443,538	42,218,433
Auto Loans	20,303,466	8,132,443	55,722,255	84,158,164
Staff Loans	573,623	284,027	51,459,204	52,316,854
Education Loans	389,397	715,698	1,944,739	3,049,834
Other Loans	43,643,061	24,013,265	98,547,184	166,203,510
	130,968,571	83,223,986	526,693,017	740,885,574
Net Loans and Receivables	30,042,825,043	3,052,084,777	256,042,614	33,350,952,434

The gross carrying value of the loan portfolio increased due to the expansion of lending activities adopted by the company particularly in gold loan and also due to lower interest rate environment.

As at 31st March 2025 - (Company/Group)	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
Loans against fixed deposits	773,091,511	495,317,458	11,786,929	1,280,195,898
Short term loans	93,563,164	9,668,349	221,507,795	324,739,308
Microfinance loans	2,897,817,478	18,899,262	286,699,225	3,203,415,965
Abhivurdhi SME loans	218,396,980	2,284,932	22,744,245	243,426,157
Business loans	369,318,782	16,673,841	96,918,085	482,910,708
Gold Loans / Gold loan advances	13,905,388,007	900,177,743	149,048,825	14,954,614,575
Factoring receivables	11,632,845	-	24,449,505	36,082,350
Term draft loans	352,202,886	217,948,425	292,257,252	862,408,563
Auto Loans	865,590,845	249,741,718	535,931,782	1,651,264,345
Staff Loans	103,529,869	2,853,433	73,544,625	179,927,927
Education Loans	39,678,452	2,041,524	24,287,002	66,006,978
Other Loans	250,805,958	173,842,403	490,509,850	915,158,211
	19,881,016,777	2,089,449,088	2,229,685,120	24,200,150,985
Less: Impairment allowance				
Loans against fixed deposits	-	-	726,778	726,778
Short term loans	12,002,364	2,932,859	150,083,397	165,018,620
Microfinance loans	314,800,729	6,558,422	185,180,649	506,539,800
Abhivurdhi SME loans	49,327,295	848,568	14,782,281	64,958,144
Business loans	19,897,925	4,257,503	73,706,718	97,862,146
Gold Loan / Gold loan advances	59,795,732	12,247,949	19,538,357	91,582,038
Factoring receivables	181,204	-	50,349,429	50,530,633
Term draft loans	907,268	5,201,513	155,059,801	161,168,582
Auto Loans	47,075,856	27,208,225	189,322,038	263,606,119
Staff Loans	3,992,285	785,774	50,544,305	55,322,364
Education Loans	2,045,660	325,216	15,108,734	17,479,610
Other Loans	120,638,403	104,565,760	336,649,617	561,853,780
	630,664,721	164,931,789	1,241,052,104	2,036,648,614
Net Loans and Receivables	19,250,352,056	1,924,517,299	988,633,016	22,163,502,371

11 LEASE RENTALS RECEIVABLE AND STOCKS OUT ON HIRE

As at	Company/Group	
	31-Mar-2026	31-Mar-2025
Gross rentals receivable	LKR	LKR
- Lease rentals	**95,711,725,911**	60,793,953,949
- Amounts receivable from hirers	**2,407,300,035**	20,750,384,701
Less: Unearned income	**(28,376,359,320)**	(20,413,374,560)
Net rentals receivable	**69,742,666,626**	61,130,964,090
Less : Allowance for impairment losses (Note 11.1)	**(4,122,693,671)**	(13,409,924,858)
Total net rentals receivable (Note 11.2)	**65,619,972,955**	47,721,039,232

NOTES TO THE FINANCIAL STATEMENT

11.1 ALLOWANCE FOR IMPAIRMENT LOSSES

	Company/Group	
	31-Mar-2026	31-Mar-2025
	LKR	LKR
Balance as at 1st April	**13,409,924,858**	12,425,352,826
(Reversal)/Charge for the year	**(4,347,240,172)**	1,274,567,530
Amounts written off	**(4,939,991,015)**	(289,995,498)
As at 31st March	**4,122,693,671**	13,409,924,858

Post Model Adjustment	31-Mar-2026	31-Mar-2025
	LKR	LKR
Loss allowance before post model adjustment	**3,936,612,475**	8,698,632,916
Post model adjustment (Management Overlays)	**186,081,196**	4,711,291,942
Loss allowance after post model adjustment	**4,122,693,671**	13,409,924,858

The Company's allowance for impairment losses consists of collective impairment amounting to LKR 4,122,484,824/- (2025 -LKR 12,424,227,422/-) and individual impairment amounting LKR.208,847/- (2025 - LKR 4,523,596/-).

11.2 GROSS RENTALS RECEIVABLE

As at 31st March 2026 - (Company/ Group)	(Company/Group)				
	Stage 1	Stage 2	Stage 3	Unearned Income	Total
	LKR	LKR	LKR	LKR	LKR
Lease rentals	**80,766,046,064**	**10,379,435,097**	**4,566,244,750**	**(28,045,322,215)**	**67,666,403,696**
Amounts receivable from hirers	**976,813,725**	**485,429,786**	**945,056,524**	**(331,037,105)**	**2,076,262,930**
	81,742,859,789	**10,864,864,883**	**5,511,301,274**	**(28,376,359,320)**	**69,742,666,626**
Less: Impairment allowance					
Lease rentals	**1,472,134,491**	**757,026,685**	**1,505,701,702**	**-**	**3,734,862,878**
Amounts receivable from hirers	**30,042,793**	**53,554,991**	**304,233,009**	**-**	**387,830,793**
	1,502,177,284	**810,581,676**	**1,809,934,711**	**-**	**4,122,693,671**
Net Loans and Receivables	**80,240,682,505**	**10,054,283,207**	**3,701,366,563**	**(28,376,359,320)**	**65,619,972,955**

As at 31st March 2025	(Company/Group)				
	Stage 1	Stage 2	Stage 3	Unearned Income	Total
	LKR	LKR	LKR	LKR	LKR
Lease rentals	40,323,861,468	7,593,921,012	12,876,171,469	(16,595,794,863)	44,198,159,086
Amounts receivable from hirers	6,699,502,335	3,331,366,981	10,719,515,385	(3,817,579,697)	16,932,805,004
	47,023,363,803	10,925,287,993	23,595,686,854	(20,413,374,560)	61,130,964,090
Less: Impairment allowance					
Lease rentals	2,191,168,638	803,654,339	5,170,973,626	-	8,165,796,603
Amounts receivable from hirers	436,623,740	401,712,543	4,405,791,972	-	5,244,128,255
	2,627,792,378	1,205,366,882	9,576,765,598	-	13,409,924,858
Net Loans and Receivables	44,395,571,425	9,719,921,111	14,018,921,256	(20,413,374,560)	47,721,039,232

11.3 MATURITY OF LEASE RENTALS RECEIVABLES AND STOCK OUT ON HIRE

As at 31st March 2026	(Company/Group)			
	Within one year	1 - 5 years	Over 5 years	Total
	LKR	LKR	LKR	LKR
Gross rentals receivable				
- Lease rentals	50,648,493,128	44,948,985,035	114,247,748	95,711,725,911
- Amounts receivable from hirers	2,302,580,019	104,720,016	-	2,407,300,035
	52,951,073,147	45,053,705,051	114,247,748	98,119,025,946
Less: Unearned income	(17,268,862,138)	(11,076,031,080)	(31,466,102)	(28,376,359,320)
Net rentals receivable	35,682,211,009	33,977,673,971	82,781,646	69,742,666,626
Less : Allowance for impairment losses				(4,122,693,671)
Total net rentals receivable				65,619,972,955

As at 31st March 2025	(Company/Group)			
	Within one year	1 - 5 years	Over 5 years	Total
	LKR	LKR	LKR	LKR
Gross rentals receivable				
- Lease rentals	**34,719,700,642**	**26,071,768,300**	**2,485,007**	**60,793,953,949**
- Amounts receivable from hirers	**17,239,649,600**	**3,510,680,347**	**54,754**	**20,750,384,701**
	51,959,350,242	**29,582,448,647**	**2,539,761**	**81,544,338,650**
Less: Unearned income	**(13,524,990,604)**	**(6,888,045,360)**	**(338,596)**	**(20,413,374,560)**
Net rentals receivable	**38,434,359,638**	**22,694,403,287**	**2,201,165**	**61,130,964,090**
Less : Allowance for impairment Losses				**(13,409,924,858)**
Total net rentals receivable				**47,721,039,232**

11.4 DISCLOSURE ON STAGING OF FINANCIAL ASSETS

11.4.1 NET CREDIT EXPOSURE MOVEMENT

As at 31st March 2026	(Company/Group)			
	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
As at 1st April 2025	33,039,467,907	8,077,865,547	20,013,630,636	61,130,964,090
Granted during the year	46,240,163,796	4,531,372,042	785,404,296	51,556,940,134
Written Off during the year	-	-	(4,939,991,015)	(4,939,991,015)
Recoveries	(18,999,999,182)	(5,943,974,323)	(13,061,273,078)	(38,005,246,583)
Stage 1	(4,778,013,456)	3,975,760,616	802,252,840	-
Stage 2	1,662,276,552	(2,361,054,051)	698,777,499	-
Stage 3	109,433,193	75,247,414	(184,680,607)	-
As at 31st March 2026	57,273,328,810	8,355,217,245	4,114,120,571	69,742,666,626

NOTES TO THE FINANCIAL STATEMENT

31st March 2025	(Company/Group)			
	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
As at 1st April 2024	24,046,350,167	8,007,267,165	36,162,663,094	68,216,280,426
Granted during the year	24,031,744,038	3,836,820,368	556,776,331	28,425,340,737
Written Off during the year	20,351,382	21,451,830	739,238,987	781,042,199
Recoveries	(13,355,332,767)	(4,827,921,607)	(18,108,444,898)	(36,291,699,272)
Stage 1	(4,885,507,643)	3,765,127,860	1,120,379,783	-
Stage 2	1,621,355,639	(3,738,582,412)	2,117,226,773	-
Stage 3	1,560,507,091	1,013,702,343	(2,574,209,434)	-
As at 31st March 2025	33,039,467,907	8,077,865,547	20,013,630,636	61,130,964,090

11.4.2 PROVISION FOR IMPAIRMENT MOVEMENT

31st March 2026	(Company/Group)			
	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
As at 1st April 2025	2,627,792,378	1,205,366,882	9,576,765,598	13,409,924,858
(Write back)/ Charge to the Income Statement	(978,058,105)	(424,170,704)	(2,945,011,363)	(4,347,240,172)
Stage 1	(403,502,952)	341,180,767	62,322,185	-
Stage 2	228,543,358	(330,476,966)	101,933,608	-
Stage 3	27,402,605	18,681,697	(46,084,302)	-
Written off during the year	-	-	(4,939,991,015)	(4,939,991,015)
As at 31st March 2026	1,502,177,284	810,581,676	1,809,934,711	4,122,693,671

31st March 2025	(Company/Group)			
	Stage 1	Stage 2	Stage 3	Total
	LKR	LKR	LKR	LKR
As at 1st April 2024	2,116,174,393	1,129,239,967	9,179,938,466	12,425,352,826
Charge to the Income Statement	336,894,473	40,716,541	896,956,516	1,274,567,530
Stage 1	(452,324,312)	349,088,606	103,235,706	-
Stage 2	251,057,737	(543,448,438)	292,390,701	-
Stage 3	375,990,087	229,770,206	(605,760,293)	-
Written off during the year	-	-	(289,995,498)	(289,995,498)
As at 31st March 2025	2,627,792,378	1,205,366,882	9,576,765,598	13,409,924,858

The gross carrying value of the lease and hire purchase receivables decreased during the year due to the vehicle import restriction imposed by the government.

12. DEBT AND OTHER INSTRUMENTS

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Reverse repurchase agreements	**7,223,589,204**	8,827,414,658	**7,308,625,530**	9,170,257,362
Commercial Papers-LOLC Holdings PLC	**-**	210,921,656	**-**	210,921,656
Investment in Debentures	**27,024,315**	-	**27,024,315**	-
	7,250,613,519	9,038,336,314	**7,335,649,845**	9,381,179,018

The Company has invested in commercial papers issued by LOLC Holdings PLC. These commercial papers attract an interest of 10.25% p.a and are to be matured on 30th June 2025.

During the financial year, the Company invested in Senior Unlisted Guaranteed Redeemable debentures issued by Browns Engineering and Construction Pvt Ltd. These debentures bear interest at a rate of 11.5% per annum are to be matured on 16th August 2026.

The debentures are classified as Financial Assets at Amortized Cost based on the Company's business model and the contractual cash flow characteristics.

Interest income is recognized in profit or loss using the effective interest rate method.

13. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

As at 31st March	2026	2025
	LKR	LKR
Unquoted equity instruments (Note 13.1)	**210,753,456**	137,554,019

13.1 UNQUOTED EQUITY INVESTMENTS

The Group/Company holds these instruments for strategic purposes. Therefore theses instruments are classified as fair value through other comprehensive income

As at 31st March	2026			2025		
	No. of Shares	Investment	Fair Value	No. of Shares	Investment	Fair Value
	LKR	LKR	LKR	LKR	LKR	LKR
Credit Information Bureau	**200**	**700,504**	**5,010,256**	200	700,504	2,354,019
Finance House Consortium (Pvt) Ltd	**40,000**	**400,000**	**2,743,200**	40,000	400,000	200,000
Mega Pay (Pvt) Ltd (Note 13.2)	**17,625**	**180,000,000**	**203,000,000**	17,625	135,000,000	135,000,000
Total		**181,100,504**	**210,753,456**		136,100,504	137,554,019

13.2 The Company entered into an Investment and Subscription Agreement with Mega Pay (Pvt) Ltd on 10 October 2023 to acquire a 19.9% equity stake for a total consideration of LKR 180,000,000 over a period of 18 months. As at 31 March 2025, the Company had acquired a 14.1% stake in Mega Pay (Pvt) Ltd. During the financial year ended 31 March 2026, the Company acquired the remaining 5.8% stake for a consideration of LKR 45,000,000, thereby completing the agreed investment and holding a total equity interest of 19.9% in Mega Pay (Pvt) Ltd.

The investment is classified as a financial asset measured at fair value through other comprehensive income (FVTOCI). As at 31 March 2026, the investment was carried at a fair value of LKR 203,000,000, determined using the Discounted Cash Flow (DCF) valuation method. The valuation indicated a positive relationship between the underlying valuation inputs and the fair value of the investment.

NOTES TO THE FINANCIAL STATEMENT

13.3 Significant unobservable input related to the fair value measurement includes Cost of equity, Terminal growth rate ,net assets value per share based on the valuation performed as per latest financial statements of the respective companies as follows

Investment in unquoted equities	Valuation techniques	Sensitivity of the fair value measurement to inputs
Credit Information Bureau Finance House Consortium (Pvt) Ltd	Net asset value per share	A lower / (higher) cost of equity increases / (decreases) the fair value. A higher / (lower) terminal growth rate ,or forecasted cash flows increases / (decreases) the fair value
Mega Pay (Pvt) Ltd	Discounted Cash Flow (DCF) valuation method	A Lower/(higher) net assets per share (decrease)/Increase the fair value

No Strategic investments were disposed during 2025/26, and there was no transfer of any cumulative gain or loss within equity relating to these investments.

The fair Value of unquoted investments is classified as level 03 in their value hierarchy.

14. OTHER FINANCIAL ASSETS

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Other receivables	**22,582,438**	242,498,184	**68,337,434**	73,553,178
Compensation receivable from government over acquisition of investment properties (Note 14.1)	**119,939,000**	119,939,000	**119,939,000**	119,939,000
	142,521,438	362,437,184	**188,276,434**	193,492,178

14.1 COMPENSATION RECEIVABLE FROM GOVERNMENT

	Company/Group	
	2026	2025
	LKR	LKR
Government Compensation receivable	**214,654,240**	214,654,240
Less : Allowance for impairment losses (Note 14.2)	**(94,715,240)**	(94,715,240)
	119,939,000	119,939,000

The Government of Sri Lanka acquired a land with an extent of 955 perches from the Company during the year ended 31st March 2015. The amount receivable as compensation amounts to LKR 119,939,000/-. Further information on this is disclosed in Note 19.1 to these financial statements.

14.2 ALLOWANCE FOR IMPAIRMENT LOSSES

	Company/Group	
	2026	2025
	LKR	LKR
Balance as at 1st April	**94,715,240**	94,715,240
Charge during the year	**-**	-
As at 31st March	**94,715,240**	94,715,240

15. INVENTORIES

	Company/Group	
	2026	2025
	LKR	LKR
Real estate stocks	**50,554,443**	52,425,671
	50,554,443	52,425,671

16. OTHER ASSETS

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Pre-paid expenses	**90,022,388**	226,251,600	**91,117,390**	227,200,857
Sundry assets	**364,693,511**	254,116,595	**364,693,511**	254,116,587
	454,715,899	480,368,195	**455,810,901**	481,317,444

17. INVESTMENT IN SUBSIDIARY

RECOGNITION AND MEASUREMENT

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has right to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commenced until the date on which control ceases.

Investments in subsidiaries are recognized at cost of acquisition and thereafter it is carried at cost less any impairment losses in the separate financial statements of the Company. The net assets of each subsidiary are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the recoverable amount of the investment is estimated and the impairment loss is recognised to the extent of its net assets loss.

	Company		Market Value/Directors' Valuation*	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Commercial Credit Insurance Brokers (Pvt) Ltd	15,000,000	15,000,000	174,755,270	127,576,010
Total	15,000,000	15,000,000	174,755,270	127,576,010

Commercial Credit Insurance Brokers (Pvt) Limited is a Limited Liability Company incorporated & domiciled in Sri Lanka. The registered office is situated at No.165,Kynsey Road, Colombo 08. The principle activities of the Company are the business of Insurance Brokering. On 31st August 2022 Company acquired the Commercial Credit Insurance Brokers (Pvt) Limited and the company holds 100% of voting shares of Commercial Credit Insurance Brokers (Pvt)Ltd.

The cost of an acquisition is measured at fair value of the consideration, which is cash consideration amounting to LKR 15,000,000.

Fair value of unquoted investments is based on net asset value per share basis based on audited financial statements of Commercial Credit Insurance Brokers (Pvt) Ltd.

There are no significant restrictions on the ability of the subsidiaries to transfer funds to the other entity within the Group in the form of cash dividends or repayment of loans and advances. Subsidiary of the Group as at the reporting date have been incorporated in Sri Lanka.

NOTES TO THE FINANCIAL STATEMENT

18. INVESTMENT IN ASSOCIATES

	Company/Group	
	2026	2025
	LKR	LKR
TVS Lanka (Pvt) Ltd (Note 18.1)	**1,371,703,979**	848,060,748
	1,371,703,979	848,060,748

The company holds 19.5% of voting shares of TVS Lanka (Pvt)Ltd. The investment is accounted for using the equity method..

18.1 RECONCILIATION OF SUMMARISED FINANCIAL INFORMATION

Reconciliation of the summarised financial information to the carrying amount of the interest in the associate recognised in the Consolidated Financial Statements is as follows:

	2026	2025
	LKR	LKR
Cost of investment	**390,000,000**	390,000,000
Add: Share of profit applicable to the Company		
Investment in associate	**458,060,748**	135,936,491
Total comprehensive income	**805,003,856**	322,124,257
Dividend distribution	**(281,360,625)**	-
As at 31st March	**1,371,703,979**	848,060,748

18.2 THE SUMMARIZED FINANCIAL INFORMATION OF THE TVS LANKA (PVT) LIMITED IS AS FOLLOWS,

(a) Summarised Income Statement

For the year ended 31st March	TVS Lanka (Pvt) Limited	
	2026	2025
	LKR	LKR
Revenue	**49,888,565,365**	22,474,754,452
Expenses	**44,097,895,634**	19,599,375,599
Net Profit after tax for the year	**4,127,983,541**	2,021,611,937
Share of profit from continuing operations, net of tax	**804,956,790**	322,124,257
Share of results of equity accounted investee recognized in Income Statement and Statement of Profit or Loss and Other Comprehensive Income	**805,003,856**	322,124,257

(b) Summarised Statement of Financial Position

As at 31st March	TVS Lanka (Pvt) Limited	
	2026	2025
	LKR	LKR
Non Current Assets	955,116,304	907,978,231
Current Assets	19,090,376,389	10,925,255,354
Non-current liabilities	(625,744,892)	(671,354,796)
Current liabilities	(12,682,401,232)	(7,109,882,122)
Net assets	6,737,346,569	4,051,996,667
Share of net assets	1,313,782,581	790,139,350
Goodwill on date of acquisition	57,921,398	57,921,398
Carrying amount of investment in associate	1,371,703,979	848,060,748

There are no restrictions on the ability of the associate to transfer funds to the investor in the form of cash dividends, or repayment of loans or advances.

The Company has neither contingent liabilities nor capital and other commitments towards its associate company

19. INVESTMENT PROPERTIES

	Company/Group	
	2026	2025
	LKR	LKR
Balance as at 1st April	4,222,900,000	2,437,850,044
Additions during the year	9,034,341	345,533,214
Disposal During the year	(54,612,500)	(180,043,961)
Transferred from Property Plant & Equipment	-	888,278,545
Fair value for the year	432,178,159	731,282,158
Balance as at 31st March	4,609,500,000	4,222,900,000

	Company/Group	
	2026	2025
	LKR	LKR
Rental income derived from investment properties	**45,972,910**	37,856,965
Expenses incurred to earn rentals	**(3,930,510)**	(17,203,703)
Profit arising from investment properties carried at fair value	**42,042,400**	20,653,262

19.1 During the financial year 2014/2015, the government of Sri Lanka, under the provisions of section 38 of the land acquisition Act No.28 of 1964, has acquired the Lot numbers 1 to 77 in plan No. 87/2010 dated 14th July 2010 of the investment properties located at Rassandeniya, Matara.

By a letter dated 9th August 2019 the "Divisional Secretariat of Matara Four Gravets", has been informed that the initiatives are in progress to pay the compensation. Further on 25th May 2016, the government of Sri Lanka, under the provisions of section 7 of the land acquisition Act No.28 of 1964, has issued the gazette notice detailing lands that is intended to be acquired and has requested the persons interested to claim for compensations through acquiring officer.

Accordingly, an amount corresponding to such compensation receivable was transferred to other financial assets reflected in Note 14.

19.2 Fair value of the investment properties is ascertained by independent valuations carried out by Chartered valuation surveyors, who have recent experience in valuing properties of akin location and category. investment properties is appraised in accordance with SLFRS 13, International Valuation Standards published by the International Valuation Standards Committee (IVSC) and Sri Lankan Valuation Standrads by the independent valuers.

In determining the fair value, the current condition of the properties, future usability and associated redevelopment requirements have been considered. Also, the valuers have made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are rounded within the range of values.

NOTES TO THE FINANCIAL STATEMENT

19.3 Investment properties are stated at fair value, which have been determined based on valuations performed by following independent qualified valuers, as at 31st March 2026

1. Mr. H M N Herath
2. Mr.R M Gunarathna
3 .Mrs.W.A.C.Wikramarachchi
4. Mr.K.G.A.Shantha
5. Mr.T.M.B.Thennakoon
6. Mrs.G.Wanigathunga
7. Mr.M.M.S.Manathunga
8. Mr.S A S Fernando
9. Mr.G.W.G Abeygunawardene
10 .Mr. Chulananda Welapilli

19.4 The table below presents the sensitivity of the valuation to changes in the most significant assumptions underlying the valuation of investment properties as at 31st March 2026.

The sensitivity of the investment properties valuation is the effect of the assumed changes in land price per perch and cost of construction per square feet (while other variables are held constant) on the profit or loss for the year and carrying value of investment properties as at 31st March 2026.

Increase/(Decrease)	Value of the land (Per perch)	Cost of construction per square feet	Fair value gain/(loss) on investment properties
2026			LKR
	5%	5%	230,475,000
	-5%	-5%	(230,475,000)
2025			LKR
	5%	5%	211,145,000
	-5%	-5%	(211,145,000)

ACCOUNTING POLICY

Investment properties are measured initially at cost, including transaction costs. The carrying amounts includes the cost of replacing part of an existing investment properties at the time that cost is incurred if the recognition criteria are met; and exclude the costs of day to day servicing of an investment properties.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair values of investment properties are included in the Statement of profit or loss in the year in which they arise.

19.5 DESCRIPTION OF VALUATION TECHNIQUES USED AND KEY INPUTS TO VALUATION ON INVESTMENT PROPERTIES:

Property	Method of valuation	Effective date of valuation	Significant unobservable inputs (Level 3)	No. of buildings	Sensitivity of fair value to un-observable inputs	Fair Value 2026 (LKR)	Fair Value 2025 (LKR)
Lot No 283 in Plan No 520004 at Moragahahena Road,Homagama	Comparison Method of valuation	31-Mar-26	Land : 385.45 Perch @ Rs.1,400,000 P.Perch	-	"Positively correlated sensitivity"	**539,600,000**	481,800,000
Lot No.01 in Plan No.5258 at Athurugiriya Road, Homagama	Comparison Method of valuation	31-Mar-26	"Zone 01 100.00 Perch @ Rs.1,750,000 P.Perch Zone 02 80.00 Perch @ Rs.1,650,000 P.Perch Zone 03 83.39 Perch @ Rs.1,400,000 P.Perch"	-	"Positively correlated sensitivity"	**423,800,000**	387,300,000
Plan No.5253 at High level road, Gangodawila, Nugegoda	Comparison Method of valuation	31-Mar-26	"Estimated price per perch Rs 10,000,000/- (Land Extent - 29.68 perches)"	-	"Positively correlated sensitivity"	**296,800,000**	292,300,000
Lot No.1 in Plan No.802 at Nawagamuwa	Residual Method of Valuation	31-Mar-26	"Estimated price per perch 110.52 p @ Rs.275,000 P.P (Less cost of development, PV 10% for the year) (2025 -LKR 260,000/)-"	-	"Positively correlated sensitivity"	**15,900,000**	15,000,000
Lot No.C, in Plan No. 19338, Meegahawatta,Biyagama	Comparison Method of valuation	31-Mar-26	"Estimated price per perch 58.5 p @ Rs 630,000/- (2025 -Rs 600,000) "	-	"Positively correlated sensitivity"	**36,900,000**	35,100,000
Lot No. 2B in Plan No.477 at Bangalawatta Road, Kottawa	Comparison and DRC Methods	31-Mar-26	"Estimated price per perch 15.7 p @ Rs 1,250,000/-"	-	"Positively correlated sensitivity"	**19,700,000**	18,800,000
" Lot No. 1 in Plan No.0082 at Magammana, Dehiowita "	"Comparison and DRC Methods"	31-Mar-25	"Estimated price per perch 2025 -LKR 300,000/- (2024 LKR 250,000/) - (Land Extent - 45 perches)"	-	Positively correlated sensitivity	-	38,200,000
			"LGF : 2,108 Sq.ft @ Rs.2,250 P.Sq.ft GF : 3,073 Sq.ft @ Rs.4,250 P.Sq.ft 1st : 3,073 Sq.ft @ Rs.2,250 P.Sq.ft"	1			

NOTES TO THE FINANCIAL STATEMENT

Property	Method of valuation	Effective date of valuation	Significant unobservable inputs (Level 3)	No. of buildings	Sensitivity of fair value to un-observable inputs	Fair Value 2026 (LKR)	Fair Value 2025 (LKR)
Lot No X Plan no 4069,Mattakkuliya,Colombo 15	Comparison and DRC Methods	31-Mar-26	"Estimated price per perch 18.15 p @ Rs 3,500,000 (2025- Rs 3,350,000/-)" "GF : 2,478 Sq.ft @ Rs.2800 P.Sq.ft 1st : 2,478 Sq.ft @ Rs.2,550 P.Sq.ft"	1	"Positively correlated sensitivity"	**76,800,000**	75,000,000
Lot No.2 in Plan No.3047 Bunnehepola, Udubaddawa, Kurunegala	Comparison Method of valuation	31-Mar-26	"Estimated price per perch 40.00 p @ Rs.125,000/- (2025 -Rs 110,000/-)"	-	"Positively correlated sensitivity"	**5,000,000**	4,400,000
Lot No 01 Plan no 20,Hakamuna village,Pelmadulla,Rathnapura	Comparison Method of valuation	31-Mar-26	"192.08 Perch @ 45,000rs, Less (Development cost 25%, Developer profit 20%, YP 1 Year 10%)"	-	"Positively correlated sensitivity"	**4,700,000**	4,700,000
Lot No 01 Plan no 2151,Katumuna Land, Seethaeliya,Nuwaraeliya	Comparison Method of valuation	31-Mar-26	"Estimated price per perch 10.60 p @ Rs.550,000 Rs (2025-LKR 425,000/-)"	-	"Positively correlated sensitivity"	**5,800,000**	4,500,000
No 183/26, Siyambalagoda, Polgasowita	Comparison and DRC Methods	31-Mar-26	"Estimated price per perch 11.00 p @ Rs 750,000/-"	1	"Positively correlated sensitivity"	**20,500,000**	13,200,000
			"GF : 1,430 Sq.ft @ Rs.4,800 P.Sq.ft 1st : 1,200 Sq.ft @ Rs.4,500 P.Sq.ft"				
Lot No X2 Plan no 7739, Gonapolakumbura Kattiya, Palannaruwa,Horana	"Comparison Method of valuation	31-Mar-26	"Estimated price per perch Land : 10.8 p @ Rs 1,200,000 Rs"	1	"Positively correlated sensitivity"	**23,000,000**	18,800,000
			"Building 2850 sq ft @ 6,000 per sq ft Less (Dep 40%)"				
Homagama Land Lot Nos. 126/1 & 126/3 in Plan No. 3057	Comparison Method of valuation	31-Mar-25	"Estimated price per perch Lot 126/1 : 12.50 Perch @ Rs.575,000 P.Perch Lot 126/3 : 13.10 Perch @ Rs.550,000 P.Perch"	-	"Positively correlated sensitivity"	-	14,400,000

Property	Method of valuation	Effective date of valuation	Significant unobservable inputs (Level 3)	No. of buildings	Sensitivity of fair value to un-observable inputs	Fair Value 2026 (LKR)	Fair Value 2025 (LKR)
Lot 3A & 3B Plan No. 5338 Katukurudugahawatta	Comparison Method of valuation	31-Mar-26	Estimated price per perch 14.75 Perch @ Rs.1,150,000/- & 15.1 Perch @ Rs.750,000/- (2025 -Rs 1,025,000/-)	-	"Positively correlated sensitivity"	**28,300,000**	15,100,000
Lot E Plan No.147 Kirineliya, urugamuwa	Comparison Method of valuation	31-Mar-26	"Estimated price per perch 92.00 Perch @ 90,000 Rs (2025 -Rs 75,000/-)"	-	"Positively correlated sensitivity"	**8,300,000**	6,900,000
Lot No.01 Plan No.6894 Mawela South, Kaluthara	Comparison Method of valuation	31-Mar-26	"Estimated price per perch 24.80 Perch @ Rs.350,000/- (2025 - Rs 300,000/-)"	-	"Positively correlated sensitivity"	**8,700,000**	7,400,000
Lot No.01 Plan No.5405 Kahatagahalanda - Homagama	Comparison Method of valuation	31-Mar-26	"Estimated price per perch 346.86 p @ Rs 1,575,000/- (2025 -Rs 1,370,000/-)"	-	"Positively correlated sensitivity"	**546,400,000**	477,000,000
Lot No.01 Plan No.1002, NO 154,Badulla Road,Nuwara Eliya	Comparison and DRC Methods	31-Mar-26	"Estimated price per perch Land : 77.30 p @ Rs.5,600,000 Rs"	1	"Positively correlated sensitivity"	**527,000,000**	434,000,000
			"Building 1 : 2650 Sq.ft @ Rs.22,500 P.Sq.ft Building 2: 1020 Sq.ft @ Rs.8,500 P.Sq.ft Building 3: 470 Sq.ft @ Rs.12,500 P.Sq.ft Building 4: 1500 Sq.ft @ Rs.10,500 P.Sq.ft"		"Positively correlated sensitivity"		
" Lot No. 11 in Plan No.225, Gorakamulla Kumbura "	"Comparison Method of valuation"	31-Mar-25	"Estimated price per perch Land : 11.50 Perch @ Rs.150,000 P.Perch (2019-LKR 147,558/-)"	-	"Positively correlated sensitivity"	-	1,700,000
Lot No.02 Plan No. 3177 Hidellana,malangama,Attalawatta, Rathnapura Land	Comparison Method of valuation	31-Mar-26	"Estimated price per perch 22 p @ 135,000 rs PP (2025 -Rs 135,000/-)"		"Positively correlated sensitivity"	**3,000,000**	3,000,000
Avissawlaa road,Town Centre,Kaduwela Lot No 1 in Plan No 4331	Comparison Method of valuation	31-Mar-26	Land : 37.15 Perch @ Rs.7,000,000 P.Perch	-	"Positively correlated sensitivity"	**260,100,000**	241,500,000
Yatiyanthota Road, Avissawella Lot No. 1 in Plan No. 681	"Comparison Method of valuation "	31-Mar-26	Land : 24.24 Perch @ Rs.8,500,000 P.Perch	-	"Positively correlated sensitivity"	**206,100,000**	200,000,000

NOTES TO THE FINANCIAL STATEMENT

Property	Method of valuation	Effective date of valuation	Significant unobservable inputs (Level 3)	No. of buildings	Sensitivity of fair value to un-observable inputs	Fair Value 2026 (LKR)	Fair Value 2025 (LKR)
Kurunegala Land Depicted as Lot No. C1B1 in Plan No. 8533	Comparison Method of valuation	31-Mar-26	"Zone 01 : 200 Perch @ Rs.850,000 P.Perch Zone 02 : 200 Perch @ Rs.800,000 P.Perch"	-	"Positively correlated sensitivity"	**330,000,000**	280,000,000
Bauddaloka Mawatha, Kurunegala Lot a in Plan No. 3543	Comparison Method of valuation	31-Mar-26	15.30 Perch @ Rs.13,900,000 P.Perch	-	"Positively correlated sensitivity"	**212,600,000**	210,400,000
" Lot No. A3,B,C1,D1 & E, Plan no. 1105, Dalaviyagodawatta, Kalawila Village, Beruwala "	"Comparison Method of valuation"	31-Mar-25	Estimated price per perch Land : 61.50 Perch @ Rs.122,000 P.Perch (2021 -LKR 150,000)	-	"Positively correlated sensitivity"	-	7,500,000
TRIZEN Apartments Depicted as Unit No. 45 – B2, B4, B10, C2 & C1	Investment Method.	31-Mar-25	UNIT NO. 45-B4, 726 Sq.ft - 72,000,000 Rs UNIT NO. 45-B2, 716 Sq.ft - 67,500,000 Rs UNIT NO. 45-B10, 746 Sq.ft - 68,000,000 Rs UNIT NO. 45-C1, 989 Sq.ft - 77,000,000 Rs UNIT NO. 45-C2, 726 Sq.ft -.82,000,000 Rs	5	"Positively correlated sensitivity"	**366,500,000**	345,600,000
Habarakada Athurugiriya 63/B/26, Kingsbury, 4th lane, Habarakada	Comparison Method of valuation	31-Mar-25	6.85 Perch @ Rs. 850,000 P.Perch	-	"Positively correlated sensitivity"	**5,800,000**	4,200,000
No 223, Anagarika Dharmapala Mawatha, Matara, Lot No. 375 in Block No. 02	Comparison and DRC Methods	31-Mar-26	12.00 Perch @ Rs.8,500,000 P.Perch	-	"Positively correlated sensitivity"	**102,000,000**	96,000,000
Thurstan Road - Colombo 3(Lot 4A No.519)	Comparison and DRC Methods	31-Mar-26	Land : 22.50 Perch @ Rs.21,000,000 P.Perch "GF : 2915 Sq.ft @ Rs.12,500 P.Sq.ft FF : 2590 Sq.ft @ Rs.10,500 P.Sq.ft"	1	"Positively correlated sensitivity"	**536,200,000**	489,100,000
						4,609,500,000	4,222,900,000

20. PROPERTY, PLANT AND EQUIPMENT

20.1.1 As at 31st March 2026

Company	Gross carrying amount										
At Cost/valuation	Furniture & fittings	Office equipment	Motor vehicles	Computer equipments	Air conditioning system	Generators	Leasehold improvements	Freehold Land	Building and building integrals	Work in progress	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance As at 01.04.2025	409,217,152	328,373,350	102,075,000	1,577,771,643	328,895,512	65,137,052	628,097,473	3,100,353,813	2,363,309,419	360,533,763	9,263,764,177
Additions	47,561,060	104,643,188	68,750,000	228,254,196	26,113,266	550,000	81,126,564	-	207,012,615	10,426,235	774,437,124
Transfers	11,149,140	102,517,102	-	-	2,238,800	-	-	-	215,751,272	(331,656,314)	-
Disposals	-	-	(15,000,000)	-	-	-	-	-	-	-	(15,000,000)
Write off during the year	(89,479,581)	(33,199,821)	-	(699,086,231)	(28,453,329)	(5,163,930)	(160,214,508)	-	-	(39,303,684)	(1,054,901,084)
Balance As at 31.03.2026	378,447,771	502,333,819	155,825,000	1,106,939,608	328,794,249	60,523,122	549,009,529	3,100,353,813	2,786,073,306	-	8,968,300,217

Company	Accumulated Depreciation										
At Cost/valuation	Furniture & fittings	Office equipment	Motor vehicles	Computer equipments	Air conditioning system	Generators	Leasehold improvements	Freehold Land	Building and building integrals	Work in progress	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance As at 01.04.2025	325,301,786	175,373,762	76,277,634	1,232,001,364	140,534,874	32,622,920	521,733,670	-	68,843,631	-	2,572,689,641
Charge for the Year"	19,753,309	33,525,895	24,484,120	111,665,097	32,300,662	7,174,200	49,192,934	-	48,626,750	-	326,722,967
Transfers											-
Disposals	-	-	(8,757,700)	-	-	-	-	-	-	-	(8,757,700)
Write of during the year	(88,888,690)	(30,229,123)	-	(698,247,957)	(27,925,910)	(4,644,515)	(157,383,278)	-	-	-	(1,007,319,473)
Balance As at 31.03.2026	256,166,405	178,670,534	92,004,054	645,418,504	144,909,626	35,152,605	413,543,326	-	117,470,381	-	1,883,335,435
Net Book Value as at 31 03 2026	122,281,366	323,663,285	63,820,946	461,521,104	183,884,623	25,370,517	135,466,203	3,100,353,813	2,668,602,925	-	7,084,964,782

20.1.2. As at 31st March 2025

Company	Gross carrying amount										
At Cost/valuation	Furniture & fittings	Office equipment	Motor vehicles	Computer equipments	Air conditioning system	Generators	Leasehold improvements	Freehold Land	Building and building integrals	Work in progress	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance As at 01.04.2024	401,039,176	280,764,690	106,988,130	1,507,455,204	318,106,987	65,717,452	591,046,249	3,282,891,442	2,340,465,069	241,500,154	9,135,974,552
Additions	10,613,676	49,308,742	-	70,316,439	12,432,150	344,000	46,568,332	105,695,056	20,206,144	119,033,609	434,518,148
Transfers	-	-	-	-	-	-	-	(844,961,493)	(45,188,120)	-	(890,149,613)
Disposals	(2,435,700)	(1,700,082)	(4,913,130)	-	(1,643,625)	(924,400)	(9,517,108)	-	(854,900)	-	(21,988,945)
Revaluation	-	-	-	-	-	-	-	556,728,808	48,681,226	-	605,410,034
Balance As at 31.03.2025	409,217,152	328,373,350	102,075,000	1,577,771,643	328,895,512	65,137,052	628,097,473	3,100,353,813	2,363,309,419	360,533,763	9,263,764,176

Company	Accumulated Depreciation										
At Cost/valuation	Furniture & fittings	Office equipment	Motor vehicles	Computer equipments	Air conditioning system	Generators	Leasehold improvements	Freehold Land	Building and building integrals	Work in progress	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance As at 01.04.2024	308,251,513	149,796,178	52,587,964	1,142,201,387	110,834,244	25,756,428	482,983,839	-	67,155,418	-	2,339,566,971
Charge for the Year"	19,466,545	27,151,484	25,398,000	89,856,748	31,261,712	7,230,786	48,269,167	-	47,083,417	-	295,717,859
Transfers	-	-	-	-	-	-	-	-	(1,871,068)	-	(1,871,068)
Disposals	(2,416,272)	(1,573,900)	(1,708,330)	(56,771)	(1,561,082)	(364,294)	(9,519,336)		(17,649)	-	(17,217,634)
Revaluation	-	-	-	-	-	-	-	-	(43,506,487)	-	(43,506,487)
Balance As at 31.03.2025	325,301,786	175,373,762	76,277,634	1,232,001,364	140,534,874	32,622,920	521,733,670	-	68,843,631	-	2,572,689,641
Net Book Value as at 31 03 2025	83,915,366	152,999,588	25,797,366	345,770,279	188,360,638	32,514,132	106,363,803	3,100,353,813	2,294,465,788	360,533,763	6,691,074,535

Group	Gross carrying amount										
At Cost/valuation	Furniture & fittings	Office equipment	Motor vehicles	Computer equipments	Air conditioning system	Generators	Leasehold improvements	Freehold Land	Building and building integrals	Work in progress	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance As at 01.04.2025	409,217,152	328,373,350	102,075,000	1,577,771,643	328,895,512	65,137,052	628,097,473	3,100,353,813	2,363,309,419	360,533,763	9,263,764,177
Additions	47,561,060	104,643,188	68,750,000	228,254,196	26,113,266	550,000	81,126,564	-	207,012,615	10,426,235	774,437,124
Transfers	11,149,140	102,517,102	-	-	2,238,800	-	-	-	215,751,272	(331,656,314)	-
Disposals	-	-	(15,000,000)	-	-	-	-	-	-	-	(15,000,000)
Write Off During the Year	(89,479,581)	(33,199,821)		(699,086,231)	(28,453,329)	(5,163,930)	(160,214,508)	-	-	(39,303,684)	(1,054,901,084)
Balance As at 31.03.2026	378,447,771	502,333,819	155,825,000	1,106,939,608	328,794,249	60,523,122	549,009,529	3,100,353,813	2,786,073,306	-	8,968,300,217

Group	Accumulated Depreciation										
At Cost/valuation	Furniture & fittings	Office equipment	Motor vehicles	Computer equipments	Air conditioning system	Generators	Leasehold improvements	Freehold Land	Building and building integrals	Work in progress	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance As at 01.04.2025	325,301,786	175,373,762	76,277,634	1,232,001,364	140,534,874	32,622,920	521,733,670	-	68,843,631	-	2,572,689,641
Charge for the Year	19,753,309	33,525,895	24,484,120	111,665,097	32,300,662	7,174,200	49,192,934	-	48,626,750	-	326,722,967
Transfers											-
Disposals	-	-	(8,757,700)	-	-	-	-	-	-	-	(8,757,700)
Write of during the year	(88,888,690)	(30,229,123)	-	(698,247,957)	(27,925,910)	(4,644,515)	(157,383,278)	-	-	-	(1,007,319,473)
Balance As at 31.03.2026	256,166,405	178,670,534	92,004,054	645,418,504	144,909,626	35,152,605	413,543,326	-	117,470,381	-	1,883,335,435
Net Book Value as at 31 03 2026	122,281,366	323,663,285	63,820,946	461,521,104	183,884,623	25,370,517	135,466,203	3,100,353,813	2,668,602,925	-	7,084,964,782

Group	Gross carrying amount										
At Cost/valuation	Furniture & fittings	Office equipment	Motor vehicles	Computer equipments	Air conditioning system	Generators	Leasehold improvements	Freehold Land	Building and building integrals	Work in progress	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance As at 01.04.2024	401,039,176	280,764,690	106,988,130	1,507,455,204	318,106,987	65,717,452	591,046,249	3,282,891,442	2,340,465,069	241,500,154	9,135,974,552
Additions	10,613,676	49,308,742	-	70,316,439	12,432,150	344,000	46,568,332	105,695,056	20,206,144	119,033,609	434,518,148
Transfers	-	-	-	-	-	-	-	(844,961,493)	(45,188,120)	-	(890,149,613)
Disposals	(2,435,700)	(1,700,082)	(4,913,130)	-	(1,643,625)	(924,400)	(9,517,108)	-	(854,900)	-	(21,988,945)
Revaluation	-	-	-	-	-	-	-	556,728,808	48,681,226	-	605,410,034
Balance As at 31.03.2025	409,217,152	328,373,350	102,075,000	1,577,771,643	328,895,512	65,137,052	628,097,473	3,100,353,813	2,363,309,419	360,533,763	9,263,764,176

Group	Accumulated Depreciation										
At Cost/valuation	Furniture & fittings	Office equipment	Motor vehicles	Computer equipments	Air conditioning system	Generators	Leasehold improvements	Freehold Land	Building and building integrals	Work in progress	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance As at 01.04.2024	308,251,513	149,796,178	52,587,964	1,142,144,616	110,834,244	25,756,428	482,983,839	-	67,155,418	-	2,339,510,200
Charge for the Year	19,466,545	27,151,484	25,398,000	89,856,748	31,261,712	7,230,786	48,269,167	-	47,083,414	-	295,717,859
Transfers	-	-	-	-	-	-	-	-	(1,871,068)	-	(1,871,068)
Disposals	(2,416,272)	(1,573,900)	(1,708,330)	-	(1,561,082)	(364,294)	(9,519,336)		(17,649)	-	(17,160,863)
Revaluation	-	-	-	-	-	-	-	-	(43,506,487)	-	(43,506,487)
Balance As at 31.03.2025	325,301,787	175,373,762	76,277,634	1,232,001,364	140,534,874	32,622,919	521,733,670	-	68,843,628	-	2,572,689,638
Net Book Value as at 31 03 2025	83,915,365	152,999,588	25,797,366	345,770,279	188,360,638	32,514,133	106,363,803	3,100,353,813	2,294,465,791	360,533,763	6,691,074,538

20.2 During year ended 31/03/2026, the Company/Group acquired property, plant & equipment to the aggregate value of LKR 1,106,093,439/- (2025 - LKR 434,518,148/-). Cash payments amounting to LKR 1,106,093,439/- (2025- LKR 434,518,148/-) was paid during the year for purchases of Property, Plant & Equipment.

20.3 The Company uses the revaluation model for measurement of land and buildings. The company engaged Abeygunawardene Associates (Pvt) Ltd and G.Wanigathunga , independent chartered valuation surveyors, to determine the fair value of its land and buildings as at 31st March 2026. The fair value was determined by Comparison Method using current market value of land, residual method of valuation and the depreciated replacement cost of buildings and Lands. Valuations are based on market prices, adjusted for any difference in the nature, location or condition of the specific property.

20.4 PROPERTY, PLANT AND EQUIPMENT

Fair Value of Lands

Location	Extent	Valuer	Valuation Date	Valuation Details	No. of buildings	Significant unobservable input: price per perch/ acre/ range (Level 3)	Fair Value 2026 LKR	Fair Value 2025 LKR
Plan 548, Lot 1 ,Maithripala Senanayake Mawatta, New Town, Anuradhapura	P 12.02	Abeygunawardene Associates (Pvt) Ltd	31/3/2025	Comparison Method	-	Rs. 5,200,000/- per perch	**62,504,000**	62,504,000
No 106, Yatinuwara Veediya, Kandy	P 13.4		31/3/2025	Comparison Method	-	Rs.12,000,000/- per perch	**160,800,000**	160,800,000
Plan 3256, Lot C1A & C1B , Yaggapitiya, Kurunegala	P 337.2		31/3/2025	Comparison Method	-	Rs.850,000/- - Rs.975,000/- per perch	**311,300,000**	311,300,000
Plan 806, Lot 2, Assessment No. 136 ,Kurunegala Road, Puttalam	P 13.64		31/3/2025	Comparison Method	-	Rs. 1,200,000/- per perch	**16,368,000**	16,368,000
Lot no.01 in Plan No.1351 at Kandy Road, Nuwaraeliya	P 18.50		31/3/2025	Comparison Method	-	Rs. 7,250,000/- per perch	**134,125,000**	134,125,000
No.113/11, Green road, Negombo	P 26.50		31/3/2025	Comparison Method	-	Rs. 5,500,000/- per perch	**145,750,000**	145,750,000
Plan 3333A, No 165,Kynsey Road, Colombo 08	P 66		31/3/2025	Comparison Method	-	Rs. 18,000,000/- per perch	**1,188,000,000**	1,188,000,000
Lot No.01 to 07 in Plan No.2762, Dampe Road,Bolgoda	P 458.12 P		31/3/2025	Comparison Method	-	Rs. 600,000/- per perch	**274,872,000**	274,872,000
Lot No 01 Plan no 8002 at Nupe Anagarika Dharmapala Mawatha	P 12.00		31/3/2025	Comparison Method	1	Rs.8,750,000/- per perch	**96,000,000**	96,000,000
Lot no 01 2005/weli/town/comm/022 wewapahaladeniya, Welikanda	P 6		31/3/2025	Comparison Method	-		**4,900,000**	4,900,000
Plan No.8147 Main Street,Rathnapura Land	P 14.8		4/2/2022	Comparison Method	-	Rs. 21,000,000/- per perch	**114,599,000**	114,599,000
Lot no. A Plan 3872, No 228, Ethulkotte road,Battaramulla	P 23.1P		3/7/2022	Comparison Method	-	Rs. 10,000,000/- per perch	**171,362,757**	171,362,757
lot no 01 Plan 4478, no 115, colombo road, gampaha	P 31.63		6/8/2023	Comparison Method	1	Rs. 8,000,000/- per perch	**210,079,000**	210,079,000
Lot no. 47, No.127A, Wakwella road, Galle	P 17.435		28/2/2022	Comparison Method	-	Rs. 7,000,000/- per perch	**103,999,000**	103,999,000
No 147, Galle Road, Moratuwella	P19.75		31/8/2024	Comparison Method	1	Rs. 8,500,000/- per perch	**105,695,056**	105,695,056
							3,100,353,813	3,100,353,813

Fair Value of Buildings

Location	Extent	Valuer	Valuation Date	Valuation Details	No. of buildings	Significant unobservable input: price per perch/ acre/ range (Level 3)	Fair Value 2026 LKR	Fair Value 2025 LKR
Plan 806, Lot 2, Assessment No. 136 ,Kurunegala Road, Puttalam	1640 square feet	Abeygunawardene Associates (Pvt) Ltd	31/3/2025	Depreciated Replacement Cost	1	Rs. 5,250/- per square feet	**8,610,000**	8,610,000
Plan 548, Lot 1 ,Maithripala Senanayake Mawatta, New Town, Anuradhapura	3975 square feet		11/2/2025	Depreciated Replacement Cost	1	Rs. 9,500/- - Rs.9750/- per square feet	**39,550,213**	39,550,213
No 106, Yatinuwara Veediya, Kandy	14870 square feet		31/3/2025	Depreciated Replacement Cost	1	Rs. 7,250/- - Rs.10,500/- per square feet	**140,533,930**	139,856,500
113/11, Green road, Negombo	2700 square feet		31/3/2025	Depreciated Replacement Cost	1	Rs. 8,500/- - Rs.9500/- per square feet	**24,325,000**	24,325,000
Plan 3333A, No 165,Kynsey Road, Colombo 08	26,934 square feet		31/3/2025	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs. 5,500/- - Rs.13500/- per square feet	**319,561,000**	319,561,000
Lot No.01 in Plan No.1351 at Kandy Road, Nuwaraeliya	12,267 square feet		31/3/2025	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs. 4,750/- - Rs.8,200/- per square feet	**90,519,400**	90,519,400
Lot no. A Plan 3872, No 228, Ethulkotte road,Battaramulla	3,015 square feet		31/3/2023	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs. 4,500/- per square feet	**12,661,550**	12,661,550
Plan No.8147 Main Street,Rathnapura Land	7,084 square feet		4/2/2022	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs. 25,500/- per square feet	**17,503,294**	17,503,294
Lot no 01 2005/weli/town/comm/022 wewapahaladeniya, Welikanda	Under Construction			Depreciated Replacement Cost & Investment or Income based valuation	1	Under Construction	**14,595,538**	14,595,538
No.225 Anagarika Dharmapala Mawatha,Mathara	7,194 square feet		31/3/2023	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs. 17,000/- per square feet	**126,769,848**	126,769,848

Location	Extent	Valuer	Valuation Date	Valuation Details	No. of buildings	Significant unobservable input: price per perch/ acre/ range (Level 3)	Fair Value 2026 LKR	Fair Value 2025 LKR
Lot No.01 to 07 in Plan No.2762, Dampe Road,Bolgoda	110,325 square feet	Abeygunawardene Associates (Pvt) Ltd	31/3/2023	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs. 14,000/- per square feet	**1,766,004,404**	1,550,253,132
No 147, Galle Road, Moratuwella	6560 square feet		31/8/2024	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs.4500/- - 4750/- per square feet	**74,942,106**	19,103,944
lot no 01 Plan 4478, no 115, colombo road, Gampaha	8611 square feet		6/8/2023	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs. 6,569/- per square feet	**56,565,813**	-
Lot no. 47, No.127A, Wakwella road, Galle	4747 square feet		28/2/2022	Depreciated Replacement Cost & Investment or Income based valuation	1	Rs. 19,787/- per square feet	**93,931,210**	-
							2,786,073,306	2,363,309,419

NOTES TO THE FINANCIAL STATEMENT

20.5 Description of the above valuatioin techniques together with narrative description of the fair value measurement to changes in significant unobservable inputs are given below:

Valuation techniques	Significant unobservable Valuation techniques	Sensitivity of the fair value measurement to inputs
This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for differences in size, nature, location and condition of specific property. In this process, outlier transactions, indicative of particularly motivated buyers or sellers are too compensated for since the price may not adequately reflect the fair market value.	Price per perch for land Price per square foot for building Depreciation rate for building	Estimated fair value would increase/ (decrease) if; – Price per perch for land would increase/ (decrease) – Price per square foot for building would increase/(decrease) – Depreciation rate for building would (decrease)/ increase

20.6 If land and buildings were measured using the cost model, the carrying amounts would be as follows:

	2026		2025	
	Land	Building & building integrals	Land	Building & building integrals
	LKR	LKR	LKR	LKR
Cost	**1,604,505,155**	**2,698,392,081**	1,604,505,155	2,020,246,653
Less: Accumulated depreciation	**-**	**(173,527,304)**	-	(135,417,417)
Net carrying amount	**1,604,505,155**	**2,524,864,777**	1,604,505,155	1,884,829,236

20.7 Property, Plant and equipment included fully depreciated assets having a gross amount of LKR 1,079,074,738/- (2025 - LKR 1,811,876,105/-).

20.8 TITLE RESTRICTION ON PROPERTY, PLANT AND EQUIPMENT

There were no restrictions on the title of the property, plant and equipment of the Company as at the reporting date of 31/03/2026.

20.9 PROPERTY, PLANT AND EQUIPMENT PLEDGED AS SECURITY FOR LIABILITIES

Refer Note 52

20.10 TEMPORARILY IDLE PROPERTY, PLANT AND EQUIPMENT

There were no temporarily idle Property, Plant and Equipment as at the reporting date.

20.11 ACCOUNTING POLICY

Basis of recognition

Property, plant & equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be reliably measured.

Basis of measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at cost. Cost includes expenditure directly attributable to acquisition of the asset and subsequent costs excluding the costs of day- to-day servicing. The cost of self-constructed assets includes the cost of materials, direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located and capitalised borrowing costs.

Cost model

The Company applies the cost model to all property, plant and equipment except freehold land and freehold buildings and records them at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment charges

Revaluation model

Land and buildings are measured at fair value, less accumulated depreciation on buildings, and impairment losses recognised after the date of revaluation. Valuations are performed with sufficient frequency to ensure that the fair value of a revalued asset does not differ materially from its carrying amount's. Freehold land and buildings of the Company are revalued every three to five years or more frequently if the fair values are substantially different from carrying amounts to ensure that the carrying amounts do not differ from the fair values at the reporting date. Accumulated depreciation at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

Subsequent costs

Subsequent expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognised in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment are recognised in the income statement as incurred.

Capital work in progress

These are expenses of a capital nature directly incurred in the construction of buildings awaiting capitalisation. Capital work in progress will be transferred to the relevant assets once ready for the intended use.

Derecognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no further economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is recognised in the income statement in the year in which the asset is derecognised.

Depreciation

Provision for depreciation is calculated using the straight-line method on the cost or other amount substituted for cost of all property, plant and equipment other than freehold land in order to allocate depreciable amounts over the estimated useful lives of such assets. The estimated useful lives of assets are as follows:

NOTES TO THE FINANCIAL STATEMENT

Components included in buildings and building integrals	Useful Life
Buildings	50 years
Cladding	8 years
Furniture and Fittings	8 years
Leasehold Improvements	5 years
Office Equipment	8 years
Motor Vehicles	4 years
Computer Hardware	5 years
Air Conditioning System	8 years

Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is derecognised.

21 RIGHT OF USE ASSET

The company assesses at the inception of a contract, whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per the guidelines of SLFRS 16. This assessment considers whether, throughout the period of use, the lessee has both the right to obtain all of the economic benefits from the use of the identified asset and the right to direct how and for what purpose the identified asset is used.

21.1 MOVEMENT IN RIGHT-OF-USE ASSETS

	Company/Group	
	2026	2025
	LKR	LKR
Balance as at 1st April	**1,068,508,779**	1,030,174,333
Additions / renewal lease during the year	**314,417,745**	330,117,317
Expiration of lease agreements during the year	**(157,122,806)**	(291,782,871)
Balance as at 31st March	**1,225,803,718**	1,068,508,779
Accumulated amortization		
Balance as at 1st April	**478,295,343**	554,091,835
Amortization for the year	**238,003,323**	206,801,292
Expiration of lease agreements during the year	**(145,839,546)**	(282,597,784)
Balance as at 31st March	**570,459,120**	478,295,343
Net Book Value as at 31st March	**655,344,598**	590,213,436

21.2 MOVEMENT IN LEASE LIABILITIES

	Company/Group	
	2026	2025
	LKR	LKR
Balance as at 1st April	**515,553,576**	386,430,463
Additions/renewal of lease agreements during the year	**272,676,805**	267,530,562
Accretion of interest	**50,153,081**	60,142,627
Payments to lease creditors	**(248,450,827)**	(198,550,076)
As at 31st March	**589,932,635**	515,553,576

The lease liabilities and maturity analysis are presented under Note 28 to the financial statements. Above is the movement of the lease liability during the period.

Sensitivity of Lease Liability to Key Assumption

Sensitivity to incremental borrowing rate

Increase/(decrease) in incremental borrowing rate as at 31st March 2026 by 1% would have (decreased)/increased the lease liability by approximately LKR 69,286,493 and LKR 67,914,483 respectively.

Sensitivity to discount rate

Increase/(decrease) of discount rate by 1%, the company profit before tax for the year would have (decreased)/increased by approximately LKR 8,764,016 and LKR 8,590,472 respectively.

ACCOUNTING POLICY

Basis of recognition

The Company applies Sri Lanka Accounting Standard SLFRS 16 "Leases" in accounting for all lease hold rights except for short term leases, which are held for use in the provision for services.

Basis of measurement

The Company recognises right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. After initial recognition Right-of-Use assets are measured at cost less any accumulated amortization and impairment losses and adjusted for any re-measurement of lease liabilities. The cost of the right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received.

Right of use assets are amortised on the straight line basis over the lease term.

Lease liability

At the commencement date of the lease, the company recognises lease liabilities, measured at present value of lease payments to be made over the lease term.

Interest expense on the lease liability is recognised in the profit or loss.

The Company applied modified retrospective approach in accordance with SLFRS 16 when accounting for right - of use assets and operating lease liabilities.

22. INTANGIBLE ASSETS & GOODWILL

Computer software

Computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized over their estimated useful lives and carried at its cost less accumulated amortisation and accumulated impairment losses. Costs associated with maintaining computer software programs are recognised as expense incurred. Development costs that are directly attributable to the production of identifiable and unique software products controlled by the Group and that will probably generate economic benefits exceeding costs beyond one year are recognised as intangible assets and amortized over the useful lives.

Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, is recognised in Income Statement as incurred.

Amortisation

Amortisation is recognised in Income Statement on a straight-line basis over the estimated useful lives of intangible assets, from the date on which they are available for use. The estimated useful lives are as follows;

NOTES TO THE FINANCIAL STATEMENT

Software license	5 years	
Intangible Assets & Goodwill	Company/Group	
	2026	2025
	LKR	LKR
Goodwill	**741,712,566**	741,712,566
Computer software (Note 22.1)	**5,982,690**	19,997,151
	747,695,256	761,709,717

Goodwill

Goodwill of LKR 741,712,566 has been recognized by Commercial Credit and Finance PLC in respect of acquisition of Trade Finance and Investments PLC on financial year 2014/2015. LKAS 36 states that an annual impairment test needs to be carried to for intangible assets such as goodwill acquired in a business combination. An impairment loss should be recorded if the carrying amount of the cash generating unit exceeds the recoverable amount. The recoverable amount is the higher of the cash generating unit's fair value less costs to sell or its value in use.

Since Trade Finance and Investments PLC was amalgamated with Commercial Credit and Finance PLC during the 2020/2021 financial year and its operations are no longer distinct, impairment testing has been performed based on the value in use of Commercial Credit and Finance PLC. For this assessment, the book value of Commercial Credit and Finance PLC has been adjusted to include the goodwill. Accordingly, if the calculated value in use exceeds the adjusted book value, the goodwill is considered unimpaired; if not, it indicates a potential impairment.

A Residual Income method has been utilized for the value in use computation. The model forecasts residual income for a certain time period and then estimates a terminal value. A persistence factor is used to calculate the level of residual income after the initial forecast.

The following table demonstrates the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the value in use measurement, in respect of the year ended 31st March 2026.

Key Assumptions

	Total Equity value LKR (MN)
Current Valuation of Company	48,604
Net Interest Margin increases by 1%	53,953
Net Interest Margin decreases by 1%	43,254
Cost to Income increases by 1%	46,275
Cost to Income decreases by 1%	49,677
NPL Provision increases by 1%	47,225
NPL Provision decreases by 1%	49,983
Gross Loans & advances CAGR increases by 1%	49,583
Gross Loans & advances CAGR decreases by 1%	47,634
Discount rate [CoE] increases by 1%	48,375
Discount rate [CoE] decreases by 1%	48,840

Key variables used for in the impairment test

"Cost of Equity has been utilized for the purpose of impairment testing to account for volatility in the investment yields resulting from Sri Lanka. Cost of equity has been determined in consideration of inflation expectations as per IMF guidelines, a spread inline with previous yields and average inflation rate. A further equity risk premium of 6% has been assumed. Persistence factor has been assumed in consideration of market observations and that the industry is regulated and the barriers present for entry. The persistence factor implies residual income will decline to zero as RoE drops to cost of equity of the stage 2 period."

A further sensitivity analysis has been performed on testing parameters.

Based on the results it does not indicate of a goodwill impairment as at 31/03/2026. i.e the Recoverable value is higher than the Net Asset Value of the Company.

Goodwill of Rs.8,577,200 created on acquisition of Commercial Credit insurance Brokers (Pvt) Ltd has been charged to the Profit or loss in financial year ended 31st March 2023.

Computer software Cost	Company/Group		
	Balance As At 01.04.2025	Additions Incurred	Balance As At 31.03.2026
	LKR	LKR	LKR
Computer software	332,829,239	4,921,000	**337,750,239**
	332,829,239	4,921,000	**337,750,239**

Amortisation	Balance As At 01.04.2025	Charged	Balance As At 31.03.2026
	LKR	LKR	LKR
Computer software	312,832,088	18,935,461	**331,767,549**
	312,832,088	18,935,461	**331,767,549**
Net Book Value	19,997,151		**5,982,690**

NOTES TO THE FINANCIAL STATEMENT

23. DUE TO BANKS

	Company/Group	
	2026	2025
	LKR	LKR
Bank Overdrafts	**190,400,763**	**128,444,759**
Securitized Borrowings, Syndicated Loans and Other Bank Facilities (Note 23.1)	**29,312,238,600**	**14,987,493,489**
Total	**29,502,639,363**	**15,115,938,248**

23.1 SECURITISED BORROWINGS AND DIRECT BANK FACILITIES

Securitised Borrowings	As at 01.04.2025	Loans Obtained	Interest Recognized	Repayments	As at 31.03.2026	Period	Security
	LKR	LKR	LKR	LKR	LKR		
Hatton National Bank-Syndication 03	33,555,816	-	-	33,555,816	-	36 Months	HP & Lease Receivables
Hatton National Bank-Syndication 04	200,323,835	-	-	200,323,835	-	36 Months	HP & Lease Receivables
Hatton National Bank-Trust -22 - 02	11,507		-	11,507	-	24 Months	HP & Lease Receivables
Hatton National Bank-Syndication 05	600,171,288	-	2,037,863	300,171,288	**302,037,863**	48 Months	HP & Lease Receivables
Hatton National Bank-Trust -26 - 03	264,000,000	-	-	264,000,000	-	18 Months	HP & Lease Receivables
Peoples Bank-Trust -05	82,585,617	-	-	82,585,617	-	48 Months	HP & Lease Receivables
NDB Trust 01	22,522,191	-	-	22,522,191	-	18 Months	HP & Lease Receivables
NDB Trust 02	768,417,427	-	-	768,417,427	-	24 Months	HP & Lease Receivables
NDB Trust 04	1,943,063,992		176,062,354	1,063,880,288	**1,055,246,058**	60 Months	Gold Loan
NDB Trust 03	2,169,245,927	-	-	2,169,245,927	-	24 Months	HP & Lease Receivables
NDB TRUST 05-1		2,700,000,000	132,121,671	-	**2,832,121,671**	36 Months	HP & Lease Receivables
NDB TRUST 06		1,500,000,000	52,827,452	-	**1,552,827,452**	36 Months	HP & Lease Receivables
	6,083,897,600	4,200,000,000	363,049,340	4,904,713,896	**5,742,233,044**		

Direct Bank Borrowings	As at 01.04.2025	Loans Obtained	Interest Recognized	Repayments	As at 31.03.2026	Period	Security
	LKR	LKR	LKR	LKR	LKR		
Sampath Bank PLC	167,734,854	-	-	167,734,854	-	24 Months	HP & Lease Receivables
NTB Term Loan	502,438,630	-	1,063,231	302,438,614	**201,063,247**	36 Months	HP & Lease Receivables
National Development Bank PLC	-		-	-	-	3 Months	HP & Lease Receivables
Cargills Bank	6,279,836	500,000,000	-	506,279,836	-	48 Months	HP & Lease Receivables
HNB Term Loan	585,464,199	-	215,156	502,132,399	**83,546,956**	48 Months	HP & Lease Receivables
HNB Term Loan	252,751,927	1,500,000,000	10,524,658	252,751,927	**1,510,524,658**	48 Months	Gold Loan Receivables
Commercial Bank Of Ceylon PLC	613,720,469	-	1,000,521	151,220,469	**463,500,521**	60 Months	HP & Lease Receivables
NTB Term Loan	1,088,617,032	-	3,101,096	505,283,699	**586,434,429**	36 Months	HP & Lease Receivables
DFCC Bank	356,539,587	-	175,360	158,622,920	**198,092,026**	36 Months	HP & Lease Receivables
NDB Term Loan	753,315,586	-	499,129	330,815,586	**422,999,129**	36 Months	HP & Lease Receivables
Cargills Bank	984,176,306	-	694,055	200,842,977	**784,027,384**	60 Months	HP & Lease Receivables
HNB Term Loan	1,751,869,863	5,250,000,000	5,434,521	6,001,869,863	**1,005,434,521**	4 Months	Clean Loan
Sampath Bank	1,834,276,624	-	3,379,726	500,943,280	**1,336,713,070**	48 Months	Gold Loan
National Development bank	-	5,200,000,000	-	4,200,000,000	**1,000,000,000**	3 Months	HP & Lease Receivables
Sampath bank	-	1,500,000,000	1,021,233	750,000,000	**751,021,233**	6 Months	HP & Lease Receivables
Peoples Bank	-	5,000,000,000	2,913,041	167,000,000	**4,835,913,041**	3 Months	HP & Lease Receivables
Seylan Bank	-	3,000,000,000	10,823,630	312,500,000	**2,698,323,630**	48 Months	HP & Lease Receivables
DFCC Bank	-	1,800,000,000	-	1,800,000,000	-	12 Months	HP & Lease Receivables
NTB SHORT TERM LOAN	-	1,500,000,000	5,262,329	-	**1,505,262,329**	6 Months	HP & Lease Receivables
HNB Short Term Loan	-	1,300,000,000	322,529	298,100,000	**1,002,222,529**	48 Months	HP & Lease Receivables
Commercial Bank of Ceylon PLC	-	1,000,000,000	517,693	100,200,000	**900,317,693**	60 Months	HP & Lease Receivables
Seylan Bank	-	800,000,000	4,945,205	-	**804,945,205**	3 Months	HP & Lease Receivables
Bank of Ceylon - Term Loan	-	500,000,000	674,229	31,250,001	469,424,228	48 Months	HP & Lease Receivables
Bank of Ceylon - Money Market Loan	-	1,000,000,000	-	500,000,000	500,000,000	1 Month	Clean Loan
Seylan Bank	-	2,500,000,000	10,239,727	-	2,510,239,727	60 Months	HP & Lease Receivables
Accrued interest for Unsecured subordinate term loan (APIIT)	6,410,976			6,410,976			
	8,903,595,889	32,350,000,000	62,807,068	17,746,397,401	23,570,005,556		
	14,987,493,489	36,550,000,000	425,856,408	22,651,111,297	29,312,238,600		

NOTES TO THE FINANCIAL STATEMENT

23.2 CHANGES IN LIABILITIES ARISING FROM FINANCING ACTIVITIES (SECURITISED BORROWINGS, SYNDICATED LOANS AND OTHER BANK FACILITIES)

		Cash Flows		Non Cash Flows	
	Opening 1/4/2025	Loans Obtained	Capital Repaid and Interest Net Movement	prepaid expense amortisation	Closing 31/03/2025
	LKR	LKR	LKR	LKR	LKR
Company/Group					
Securitised Borrowings, Syndicated Loans and Other Bank Facilities	14,987,493,489	36,550,000,000	22,651,111,297	425,856,408	29,312,238,600

24. DUE TO CUSTOMERS

As at 31st March	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Term Deposits - Monthly	**21,060,886,684**	22,447,434,351	**21,060,886,684**	22,447,434,351
Term Deposits - Maturity	**32,433,594,512**	31,324,375,825	**32,283,173,084**	31,297,315,479
Savings Deposits	**1,858,635,622**	1,937,029,496	**1,858,635,622**	1,937,029,496
	55,353,116,818	55,708,839,672	**55,202,695,390**	55,681,779,326

25. DEBT INSTRUMENTS ISSUED

	Company/Group	
	2026	2025
	LKR	LKR
Debentures (Note 25.1)	-	1,295,844,686
	-	1,295,844,686

25.1 DEBENTURES

Type of debenture	Face value	Frequency of interest payment	Issued date	Maturity date	2026 Amortised Cost	2025 Amortised Cost
	LKR				LKR	LKR
Senior Rated, Guaranteed, Redeemable Debentures	1,287,590,000	Yearly	05-Mar-21	04-Mar-26	-	1,295,844,686
					-	1,295,844,686

25.2 CHANGES IN LIABILITIES ARRISING FROM FINANCING ACTIVITIES (DEBENTURES)

		Cash Flows			Non Cash Flows	
	As at 01/04/2025	Debentures Capital Repaid	Debenture Interest Accrued	Debenture Interest Paid	Prepaid expense amortisation	As at 31/03/2026
	LKR	LKR	LKR	LKR	LKR	LKR
Debts Instruments Issued	1,295,844,686	(1,287,590,000)	-	(8,254,686)	-	-

26. UNSECURED SUBORDINATE LOAN

	Company/Group	
	2026	2025
	LKR	LKR
Asia Pacific Institute of Information Technology Lanka (Pvt) Ltd	**1,506,410,960**	1,500,000,000
	1,506,410,960	1,500,000,000

On 19th March 2025, the Company obtained an unsecured subordinated loan with a fixed annual interest rate of 13%, repayable in full at the end of a five-year term. Interest is payable annually.

26.1 CHANGES IN LIABILITIES ARRISING FROM FINANCING ACTIVITIES (UNSECURED BUBORDINATE LOAN)

	As at 01/04/2025 LKR	Loan Capital Repaid LKR	Loan Interest Accrued LKR	Loan Interest Paid LKR	As at 31/03/2026 LKR
	LKR	LKR	LKR	LKR	LKR
Unsecured Subordinate Loan	1,500,000,000	-	201,410,960	(195,000,000)	1,506,410,960

27 OTHER FINANCIAL LIABILITIES

As at 31st March	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Trade Payables	**2,643,574,826**	1,814,308,535	**2,643,574,826**	1,814,308,535
Amounts due to subsidiary [Note 27.1]	**263,282**	-	**-**	-
	2,643,838,108	1,814,308,535	**2,643,574,826**	1,814,308,535

NOTES TO THE FINANCIAL STATEMENT

27.1. AMOUNTS DUE TO SUBSIDIARY

	2026	2025
	LKR	LKR
Commercial Credit Insurance Brokers (Pvt) Ltd	**263,282**	-
	263,282	-

28. OTHER LIABILITIES

As at	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
VAT Payables	**720,321,942**	850,824,369	**748,299,839**	854,841,194
Advances received against Real Estate stock	**1,022,000**	2,022,000	**1,022,000**	2,022,000
Dividend Payable	**6,264,818**	5,495,468	**6,264,818**	5,495,468
Other Liabilities	**1,069,731,813**	1,117,899,731	**1,070,451,813**	1,153,199,966
Lease Liabilities*	**589,932,635**	515,553,576	**589,932,635**	515,553,576
Deferred Revenue on Land sale income	-	216,204	-	216,204
	2,387,273,208	2,492,011,349	**2,415,971,105**	2,531,328,408

*The movement of the lease liability is shown in Note 21.2

28.1 UNDISCOUNTED CASH FLOW OF LEASE LIABILITY

2026 March	Company/Group			
	Within one year	1 - 3 years	3 - 5 years	Total
	LKR	LKR	LKR	LKR
Lease Liability	244,594,405	586,986,875	176,792,383	1,008,373,663
Total	244,594,405	586,986,875	176,792,383	1,008,373,663
2025 MARCH				
Lease Liability	95,263,558	375,365,169	267,513,304	738,142,031
Total	95,263,558	375,365,169	267,513,304	738,142,031

29. POST EMPLOYMENT BENEFIT OBLIGATIONS

	Company/Group	
	2026	2025
	LKR	LKR
As at the 1st April	**709,298,357**	495,936,946
Amount Charged for the year (Note 29.1)	**167,113,868**	225,302,330
Payments made during the year	**(64,642,900)**	(98,532,825)
Actuarial Loss for the year	**143,271,719**	86,591,906
As at 31st March	**955,041,044**	709,298,357

29.1 EXPENSES ON DEFINED BENEFIT PLAN

	Company/Group	
	2026	2025
	LKR	LKR
Current Service Cost for the year	**96,184,033**	72,389,097
Interest cost for the year	**70,929,835**	60,999,780
Past Service Cost	**-**	91,913,453
	167,113,868	225,302,330

29.2. ASSUMPTIONS

	Company/Group	
	2026	2025
Discount Rate	**9.75%**	10.00%
Salary increase	**10.00%**	10.00%
Staff Turnover		
19-20 years	**29.00%**	11.00%
21-25 years	**28.00%**	31.00%
26-30 years	**19.00%**	27.00%
31-35 years	**15.00%**	17.00%
36-40 years	**17.00%**	14.00%
41-45 years	**16.00%**	16.00%
46-50 years	**12.00%**	14.00%
51-55 years	**12.00%**	11.00%
56-60 years	**18.00%**	11.00%
Mortality	**A67/70 Ult tables**	A67/70 Ult tables
Retirement age	**60 years**	60 years
Weighted average future expected working life	**5.59**	5.22

Due to the lack of long term high quality bonds available in the Sri Lankan market, discount rate is determined by examining short and medium term government and corporate bonds. For the purpose of this valuation, the Company has considered discount rate of 9.75%. A rate of discount of 10% has been used at the previous valuation.

An actuarial valuation of the gratuity of the Company was carried out as at 31st March 2026 by Smiles Global (Pvt) Limited, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method".

NOTES TO THE FINANCIAL STATEMENT

29.3 The following table demonstrates the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year ended 31st March 2026.

Increase/ (Decrease) in Salary increment rate	Increase/ (Decrease) in Discount Rate	Increase/ (Decrease) in PV of DBO	
		2026	2025
		LKR	LKR
	(-1%)	**52,756,088**	39,703,581
	1%	**(47,152,017)**	(35,483,734)
(-1%)		**(51,516,292)**	(38,767,410)
1%		**56,603,097**	42,618,029

29.4 Distribution of Employee Benefit Obligation over Future Working Lifetime

	2026	2025
	LKR	LKR
Less than or equal 1 year	**129,887,133**	82,077,776
Over 1 year and less than or equal 5 years	**90,190,900**	79,657,635
Over 5 year and less than or equal 10 years	**734,963,011**	547,562,946
Over 10 years	**-**	-
	955,041,044	709,298,357

ACCOUNTING POLICY

The Company measures the present value of the defined retirement benefits of gratuity which is a defined benefit plan using the projected unit credit actuarial valuation method. The actuarial valuation involves making assumptions about discount rate, expected rates of return on assets, future salary increases and mortality rates. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

All the employees of the Company are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983. the liability for payment to an employee arises only after the completion of 5 years of continued service.

FUNDING ARRANGEMENTS

The Gratuity liability is not externally funded.

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with respective Statutes and Regulations. The Company contributes 12% and 3% of salaries and other entitled allowances of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

30 CURRENT TAX LIABILITIES

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Balance as at 1st April	**2,984,009,837**	1,817,944,670	**3,025,636,072**	1,865,232,005
Charge for the Year	**4,354,387,250**	3,571,567,653	**4,440,924,805**	3,646,834,250
Payments	**(3,835,751,967)**	(2,352,497,902)	**(3,922,378,202)**	(2,432,785,237)
WHT credits	**(104,373,966)**	(53,004,584)	**(104,585,672)**	(53,644,946)
Balance as at 31st March	**3,398,271,154**	2,984,009,837	**3,439,597,003**	3,025,636,072

31. DEFERRED TAXATION

31.1 SUMMARY OF NET DEFERRED TAX (LIABILITY)/ASSETS MOVEMENT

	Note	2026	2025
		LKR	LKR
Balance as at 1st April		**752,304,668**	764,620,903
Net charge during the year	31.2	**(879,085,816)**	(12,316,235)
Balance as at 31st March		**(126,781,148)**	752,304,668

31.2 (CHARGE)/REVERSAL FOR THE YEAR

	2026	2025
	LKR	LKR
Recognized in profit or loss	**(922,067,332)**	172,267,801
Recognized in other comprehensive income for retirement benefit obligation	**42,981,516**	25,977,572
Recognized in other comprehensive income on revaluation of property, plant and equipment	**-**	(210,561,608)
	(879,085,816)	(12,316,235)

Company/Group		2026		2025	
	Note	Deductible / (Taxable) Temporary Difference	Deferred Tax	Deductible / (Taxable) Temporary Difference	Deferred Tax
		LKR	LKR	LKR	LKR
Deferred Tax Liabilities					
Property Plant and Equipment		**(690,876,064)**	**(207,262,819)**	(507,568,653)	(152,270,596)
Revaluation gain on lands		**(811,726,967)**	**(243,518,090)**	(811,726,967)	(243,518,090)
Revaluation gain on buildings		**(189,220,930)**	**(56,766,279)**	(189,220,930)	(56,766,279)
Investment Property		**(1,899,458,110)**	**(569,837,433)**	(1,457,163,711)	(437,149,113)
Right of Use Asset		**(516,647,617)**	**(154,994,285)**	(450,901,689)	(135,270,507)
Profit from associates		**(1,062,255,711)**	**(159,338,357)**	(538,659,546)	(80,798,932)
Lease rental receivables		**(71,100)**	**(21,330)**	(7,591,105)	(2,277,331)
Deferred Tax Assets		**-**			-
Lease Liabilities	21.2	**589,932,635**	**176,979,791**	515,553,576	154,666,073
Retirement benefit obligation	29	**955,041,044**	**286,512,313**	709,298,357	212,789,507
Impairment losses for loans		**2,671,551,135**	**801,465,341**	4,976,333,121	1,492,899,936
			(126,781,148)		752,304,668

The Company has calculated the Deferred tax at the rate of 30% on its temporary differences as at 31st March 2026 (2025-30%). Deferred tax on Profit from associates has calculated at the rate of 15% as at 31st March 2026 and 2025.

NOTES TO THE FINANCIAL STATEMENT

ACCOUNTING POLICY

Deferred tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred tax assets are recognised for all deductible temporary differences, carry-forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and liabilities are off set if legally enforceable right exists to set off current tax assets against current income tax liabilities and Deferred tax relates to the same taxable entity and the same taxation authority.

32. STATED CAPITAL

	Company/Group		Company/Group	
	2026		2025	
	No. of Shares	LKR	No. of Shares	LKR
At the beginning of the year	**318,074,365**	**2,150,640,315**	318,074,365	2,150,640,315
At the end of the year	**318,074,365**	**2,150,640,315**	318,074,365	2,150,640,315

32.1. RIGHTS OF SHAREHOLDERS

The holders of ordinary shares have the right to receive dividends as declared from time to time and are entitled to one vote per share at meetings.

All shares rank equally with regard to the Company's residual assets.

33. RETAINED EARNINGS

As at	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
As at 1st April	**20,674,166,570**	11,180,709,017	**20,777,812,107**	11,356,692,628
Profit for the Year	**9,705,492,917**	6,219,424,307	**9,752,815,981**	6,147,086,233
Other Comprehensive Income net of tax	**(100,243,137)**	(60,614,334)	**(100,243,137)**	(60,614,334)
Dividend Paid (Note 45)	**(1,908,446,190)**	(1,272,297,460)	**(1,908,515,312)**	(1,272,297,460)
Transfers to Statutory Reserve Fund (Note 34)	**(485,274,646)**	(310,971,215)	**(487,640,799)**	(310,971,215)
Transfers From Regulatory Loss Reserve (Note 34)	-	4,917,916,255	-	4,917,916,255
As at 31st March	**27,885,695,514**	20,674,166,570	**28,034,228,840**	20,777,812,107

34. RESERVES

2026						
Company	Revaluation Reserve	General Reserve (Note 34.1)	Statutory Reserve (Note 34.1)	Regulatory Loss Reserve (Note 34.3)	FVOCI Reserve	Total Reserve
	LKR	LKR	LKR	LKR	LKR	LKR
As at 1st April 2025	849,818,418	58,751,125	4,666,205,870	-	(10,000,000)	5,564,775,413
Other Comprehesive Income for the year net of tax	-	-	-		28,199,437	28,199,437
Transfers to/(from) during the year	-	-	485,274,646	-	-	485,274,646
As at 31st March 2026						
	849,818,418	58,751,125	5,151,480,516	-	18,199,437	6,078,249,496

2025						
Company	Revaluation Reserve	General Reserve (Note 34.1)	Statutory Reserve (Note 34.2)	Regulatory Loss Reserve (Note 34.3)	FVOCI Reserve	Total Reserve
	LKR	LKR	LKR	LKR	LKR	LKR
As at 1st April 2024	358,508,001	58,751,125	4,355,234,655	4,917,916,255	(10,000,000)	9,680,410,036
Other Comprehesive Income for the year net of tax	491,310,417					491,310,417
Transfers to/(from) during the year	-	-	310,971,215	(4,917,916,255)	-	(4,606,945,040)
As at 31st March 2025	849,818,418	58,751,125	4,666,205,870	-	(10,000,000)	5,564,775,413

2026						
Group	Revaluation Reserve	General Reserve (Note 34.1)	Statutory Reserve (Note 34.2)	Regulatory Loss Reserve (Note 34.3)	FVOCI Reserve	Total Reserve
	LKR	LKR	LKR	LKR	LKR	LKR
As at 1st April 2025	849,818,418	58,751,125	4,675,136,341	-	(10,000,000)	5,573,705,884
Other Comprehesive Income for the year net of tax	-	-			28,199,437	28,199,437
Transfers to/(from) during the year	-	-	487,640,799	-	-	487,640,799
As at 31st March 2026	849,818,418	58,751,125	5,162,777,140	-	18,199,437	6,089,546,120

NOTES TO THE FINANCIAL STATEMENT

2025						
Group	Revaluation Reserve	General Reserve (Note 34.1)	Statutory Reserve (Note 34.2)	Regulatory Loss Reserve (Note 34.3)	FVOCI Reserve	Total Reserve
	LKR	LKR	LKR	LKR	LKR	LKR
As at 1st April 2024	358,508,001	58,751,125	4,364,165,126	4,917,916,254	(10,000,000)	9,689,340,506
Other Comprehesive Income for the year net of tax	491,310,417	-			-	491,310,417
Transfers to/(from) during the year	-	-	310,971,215	(4,917,916,254)	-	(4,606,945,039)
As at 31st March 2025	849,818,418	58,751,125	4,675,136,341	-	(10,000,000)	5,573,705,884

34.1 General reserve represents amounts set aside by the Board of Directors from time to time which is available for general application at the discretion of the Board. The purpose of setting up the General Reserve is to meet potential future unknown liabilities.

34.2 The Company's reserve fund is maintained in accordance with Direction No. 9 of 1991 as amended by Direction No. 1 of 2003 issued by the Central Bank of Sri Lanka under the Finance Business Act No. 42 of 2011.

34.3 In terms of Finance Business Act direction No 1 of 2020, the Company is required to maintain the regulatory loss allowance reserve for the additional loss allowance calculated on the difference between the loss allowance calculated in line with regulatory loss allowance requirement and expected credit loss recognised in the financial statements. This is a non- distributable reserve.

35. GROSS INCOME

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Interest income (Note 35.1)	**27,145,304,610**	27,322,132,540	**27,149,309,057**	27,337,855,811
Fee and Commission Income (Note 36)	**2,494,069,495**	2,495,872,940	**2,775,052,554**	2,729,367,741
Net Gain/(loss) from trading (Note 37)	**15,928,954**	(24,739,655)	**15,928,954**	(24,739,655)
Other operating income (Note 38)	**1,170,242,728**	1,178,704,213	**1,017,848,941**	929,703,313
Change in fair value of investment properties (Note 19)	**432,178,159**	731,282,158	**432,178,159**	731,282,158
	31,257,723,946	31,703,252,196	**31,390,317,665**	31,703,469,368

35.1. INTEREST INCOME

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Financial Assets at Amortised Cost				
Loans and Advances	**7,470,313,258**	8,265,443,959	**7,470,180,108**	8,265,443,959
Lease rentals receivable & Stock out on hire	**18,544,101,736**	17,660,388,948	**18,544,101,736**	17,660,388,948
Reverse repurchase agreements	**259,728,651**	278,788,535	**262,178,946**	287,610,797
Placement with Banks and other Financial Institutions	**398,672,904**	484,982,610	**400,341,360**	486,771,074
Interest recognised using EIR method	**26,672,816,549**	26,689,604,052	**26,676,802,150**	26,700,214,778
Financial Assets recognised through Profit or Loss -- Measured at Fair Value				
Government Securities	**472,488,061**	632,528,488	**472,506,907**	637,641,033
Total Interest Income	**27,145,304,610**	27,322,132,540	**27,149,309,057**	27,337,855,811

35.2. INTEREST EXPENSES

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Due to Banks	**2,221,030,879**	2,113,294,050	**2,221,145,241**	2,113,294,050
Due to Customers	**5,743,270,826**	7,171,382,622	**5,735,847,750**	7,164,344,901
Debt instruments issued	**107,663,482**	115,883,100	**107,663,482**	115,883,100
Interest Expense on Lease Liabilities	**50,153,082**	60,142,627	**50,072,439**	60,142,627
Total Interest Expenses	**8,122,118,269**	9,460,702,399	**8,114,728,912**	9,453,664,678

36. NET FEE AND COMMISSION INCOME

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Fee and Commission Income				
Credit Related Fees and Commissions	**38,557**	64,622	**281,021,616**	233,559,423
Service Charges	**2,494,030,938**	2,495,808,318	**2,494,030,938**	2,495,808,318
Total Fee and Commission Income	**2,494,069,495**	2,495,872,940	**2,775,052,554**	2,729,367,741
Fee and Commission Expense				
Borrowing Related Fees and Commissions	**71,909,657**	83,672,196	**71,909,657**	84,687,196
Total Fee and Commission Expense	**71,909,657**	83,672,196	**71,909,657**	84,687,196
Net Fee and Commission Income				
Timing at Revenue Recognition	**2,422,159,838**	2,412,200,744	**2,703,142,897**	2,644,680,545
Services transferred at a point in time	**2,494,069,495**	2,495,872,940	**2,775,052,554**	2,495,808,318
Services transferred over time	**-**	-	**-**	-

37. NET GAIN /(LOSS) FROM TRADING

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Financial assets recognised through profit or loss - measured at fair value	**15,928,954**	(24,739,655)	**15,928,954**	(24,739,655)
	15,928,954	(24,739,655)	**15,928,954**	(24,739,655)

38. OTHER OPERATING INCOME

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Income from Real estate	**1,107,297**	-	**9,059,686**	-
Collections from contracts written off	**855,229,694**	860,074,681	**855,229,694**	860,074,681
Rent income	**45,972,910**	37,856,965	**45,787,350**	37,856,965
Dividend Income	**160,743,303**	249,458,107	**582,687**	457,207
Other sundry income	**100,449,230**	35,130,499	**100,449,230**	35,130,499
Gain/(Loss) from disposal of investment properties	**6,740,294**	(3,816,039)	**6,740,294**	(3,816,039)
Total Other Operating Income	**1,170,242,728**	1,178,704,213	**1,017,848,941**	929,703,313

NOTES TO THE FINANCIAL STATEMENT

39. IMPAIRMENT (REVERSAL)/CHARGE OF FINANCIAL ASSETS

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Loans and Receivables (Note 10.1)	**(636,086,370)**	232,706,352	**(636,086,370)**	232,706,352
Lease rentals receivable & Stock out on hire (Note 11.1)	**(4,347,240,172)**	1,274,567,530	**(4,347,240,172)**	1,274,567,530
Other Financial Assets	**28,194,811**	144,613,737	**28,194,811**	144,613,737
	(4,955,131,731)	1,651,887,619	**(4,955,131,731)**	1,651,887,619

40. PERSONNEL EXPENSES

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Salaries and bonus	**3,659,310,271**	2,706,371,498	**3,661,440,271**	2,708,296,498
Contribution to Defined Contribution Plan				
Contribution to EPF	**307,118,073**	246,320,220	**307,352,073**	246,519,420
Contribution to ETF	**76,779,518**	61,565,356	**76,838,018**	61,615,156
Contribution to defined benefit plan (Note 29.1)	**167,113,868**	225,302,330	**167,113,868**	225,302,330
Travelling & Subsistence	**41,645,573**	112,684,987	**41,645,573**	112,684,987
Other allowances & staff related expenses	**169,649,521**	100,520,717	**169,649,521**	100,520,717
	4,421,616,824	3,452,765,108	**4,424,039,324**	3,454,939,108

41. OTHER OPERATING EXPENSES

		Company		Group	
		2026	2025	2026	2025
		LKR	LKR	LKR	LKR
Directors' Fees and Expense		**19,439,548**	16,850,000	**19,439,548**	16,850,000
Auditors' fees	Audit & audit related works	**7,865,000**	7,150,000	**8,090,000**	7,350,000
	Non-audit	**2,573,000**	4,470,000	**2,573,000**	4,470,000
Office Administration and Establishment Expenses		**4,615,793,204**	4,283,778,657	**4,619,342,841**	4,284,716,027
Advertising and Business Promotion Expenses		**393,047,458**	349,700,502	**393,047,458**	349,700,502
		5,038,718,210	4,661,949,159	**5,042,492,847**	4,663,086,529

42. TAX ON FINANCIAL SERVICES

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Value added tax	**3,334,689,003**	2,216,999,093	**3,334,689,003**	2,216,999,093
Social Security Contribution Levy	**463,151,251**	307,916,541	**463,151,251**	307,916,541
	3,797,840,254	2,524,915,634	**3,797,840,254**	2,524,915,634

43. INCOME TAX

43.1 THE MAJOR COMPONENTS OF INCOME TAX EXPENSE FOR THE YEARS ENDED 31ST MARCH ARE AS FOLLOWS:

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Current Income Tax				
Income Tax for the year (Note 43.2)	**4,330,275,754**	3,534,148,937	**4,416,813,309**	3,602,898,785
Dividend Tax	**24,111,496**	37,418,716	**24,111,496**	37,418,716
Tax on Investment Income	**-**	-	**-**	6,516,749
Deferred Tax				
Deferred Tax Charge/(Reversal) (Note 31)	**922,067,332**	(172,267,800)	**922,067,332**	(172,267,800)
	5,276,454,582	3,399,299,853	**5,362,992,137**	3,474,566,450
Statement of Other Comprehensive Income				
Deferred tax related to other comprehensive income (Note 31)	**(42,981,516)**	184,584,036	**(42,981,516)**	184,584,036
Income tax recognized in the Statement of Other Comprehensive Income	**(42,981,516)**	184,584,036	**(42,981,516)**	184,584,036

43.2. RECONCILIATION OF ACCOUNTING PROFIT AND TAXABLE INCOME

A reconciliation between the tax expense and the accounting profit based on the applicable tax rate of 30% for the years ended 31st March 2026 and 2025 is as follows:

	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Accounting profit before tax	**14,981,947,499**	9,618,724,160	**15,115,808,118**	9,621,652,683
Non deductible Expenses and Capital portion of lease rentals	**(706,064,343)**	4,981,150,930	**(706,064,343)**	4,981,148,659
Exempt Income	**(1,543,318,849)**	(1,314,130,996)	**(1,388,720,951)**	(1,087,891,089)
Allowable Expenses including depreciation allowances on leased hold assets	**1,685,880,372**	(1,523,970,993)	**1,685,880,372**	(1,523,970,993)
Total profit from businesses (leasing and non- leasing)	**14,418,444,679**	11,761,773,101	**14,706,903,196**	11,990,939,260
Profit on leasing business	**15,807,833**	18,723,356	**15,807,833**	18,723,356
Total Statutory Income	**14,434,252,512**	11,780,496,457	**14,722,711,029**	12,009,662,616
Taxable Income	**14,434,252,512**	11,780,496,457	**14,722,711,029**	12,009,662,616
Income Tax Expense	**4,330,275,754**	3,534,148,937	**4,416,813,309**	3,602,898,785
Effective tax rate	**35.06%**	36.74%	**35.32%**	35.66%

Current income tax assets and liabilities consists of amounts expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current income tax relating to items recognized directly in equity and not in the Statement of profit or loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

NOTES TO THE FINANCIAL STATEMENT

44. EARNINGS PER ORDINARY SHARE

44.1. BASIC EARNINGS PER ORDINARY SHARE

Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per LKAS 33- Earnings Per Share.

For the year ended 31st March	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Amounts Used as the Numerators:				
Profit attributable to Ordinary Shareholders for Basic Earnings Per Share (LKR)	**9,705,492,917**	6,219,424,307	**9,752,815,981**	6,147,086,233
Number of Ordinary Shares Used as Denominators for Basic Earnings per share				
Weighted Average Number of Ordinary Shares	**318,074,365**	318,074,365	**318,074,365**	318,074,365
Basic Earnings per ordinary share (LKR)	**30.51**	19.55	**30.66**	19.33

44.2. DILUTED EARNINGS PER ORDINARY SHARE

Diluted EPS is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares in to ordinary shares.

Number of Ordinary Shares Used as Denominators for Diluted Earnings per share

	Company		Group	
	2026	2025	2026	2025 Restated
	LKR	LKR	LKR	LKR
Amounts Used as the Numerators:				
Profit attributable to Ordinary Shareholders	**9,705,492,917**	6,219,424,307	**9,752,815,981**	6,147,086,233
Weighted Average Number of Ordinary Shares	**318,074,365**	318,074,365	**318,074,365**	318,074,365
Diluted Earnings per ordinary share (Rs.)	**30.51**	19.55	**30.66**	19.33

45. DIVIDEND PAID

45.1. DECLARED AND PAID DURING THE YEAR

	Company	
	2026	2025
	LKR	LKR
Declared and Paid During the Year		
Dividends Paid:		
Final Dividend for 2024/25 Rs.6/-(2023/2024 Rs.4/-) per share.	**1,908,446,190**	1,272,297,460
	1,908,446,190	1,272,297,460

ACCOUNTING POLICY

Dividend on ordinary shares are recognised as a liability and deducted from equity when they are approved by the company's shareholders. Interim dividends are deducted when they are declared.

46. OPERATING SEGMENTS

For management purposes, the Company is organised into seven operating segments based on services offered to customers as follows. The following table presents income and profit and certain asset and liability information regarding the Company's operating segments.

46.1

Company -2026	Finance Lease	Hire Purchase	Microfinance and SME Loans	Gold loan	Term Loan	Revolving Loans	Investments	Unallocated	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Interest income	17,620,577,551	1,174,321,906	1,762,107,169	4,478,458,558	35,556,417	222,331,783	1,130,889,616	721,061,610	27,145,304,610
Fee Based Income	1,572,273,949	104,784,065	157,231,804	399,610,268	3,172,679	19,838,536	100,908,627	64,339,910	2,422,159,838
Net gain from trading							15,928,954		15,928,954
Other operating income	759,628,711	50,625,391	75,965,001	193,067,775	1,532,848	9,584,794	48,753,011	31,085,197	1,170,242,728
Change in fair value of investment properties								432,178,159	432,178,159
Total Revenue	19,952,480,211	1,329,731,362	1,995,303,974	5,071,136,601	40,261,944	251,755,113	1,296,480,208	1,248,664,876	31,185,814,289
Segmental Result Before depreciation and amortisation	11,873,602,377	791,315,230	1,187,393,535	3,017,803,249	23,959,644	281,178,443	771,527,666	743,073,046	18,558,492,717
Depreciation and Amortisation									(583,661,754)
Operating Profit Before Tax on Financial Services									17,974,830,963
VAT on Financial Services									(3,334,689,003)
Social Security Contribution Levy									(463,151,251)
Share of profit of associates									804,956,790
Profit before Taxation									14,981,947,499
Income Tax Expenses									(5,276,454,582)
Net profit for the Year									9,705,492,917
Segment Assets	63,968,279,218	1,651,325,089	3,123,398,315	25,768,554,796	1,108,895,258	349,920,397	23,836,102,173	12,181,481,881	131,987,957,128
Segment Liabilities	46,465,259,032	1,199,489,012	2,268,773,110	18,717,754,927	805,478,997	254,175,071	17,314,060,583	8,848,381,071	95,873,371,803

46.2

Group - 2026	Finance Lease	Hire Purchase	Microfinance and SME Loans	Gold loan	Term Loan	Revolving Loans	Investments	Unallocated	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Interest income	17,621,105,689	1,174,337,814	1,762,133,095	4,478,660,199	35,565,397	222,335,230	1,134,894,062	720,277,571	27,149,309,057
Fee Based Income	1,453,069,614	101,985,104	149,781,740	355,306,603	1,371,841	18,862,335	99,366,710	523,398,950	2,703,142,897
Net gain from trading							15,928,954		15,928,954
Other operating income	660,629,106	44,026,848	66,063,755	167,908,492	1,333,375	8,335,523	42,548,071	27,003,771	1,017,848,941
Change in fair value of investment properties								432,178,159	432,178,159
Total Revenue	19,734,804,409	1,320,349,766	1,977,978,590	5,001,875,294	38,270,613	249,533,088	1,292,737,797	1,702,858,451	31,318,408,008
Segmental Result Before depreciation and amortisation	11,778,646,703	788,045,987	1,180,549,374	2,985,351,196	22,841,677	148,932,922	771,565,883	1,016,344,913	18,692,278,656
Depreciation and Amortisation									(583,587,074)
Operating Profit Before Tax On Financial Services									18,108,691,582
VAT on Financial Services									(3,334,689,003)
Social Security Contribution Levy									(463,151,251)
Share of profit of associates									804,956,790
Profit before Taxation									15,115,808,118
Income Tax Expenses									(5,362,992,137)
Net profit for the Year									9,752,815,981
Segment Asset	63,968,279,218	1,651,325,089	3,123,398,315	25,768,554,796	1,063,762,108	349,920,397	23,913,554,312	12,228,331,878	132,067,126,114
Segment Liabilities	46,398,335,864	1,197,761,407	2,265,505,432	18,690,796,044	771,582,293	253,808,987	17,345,302,050	8,869,618,762	95,792,710,839

For management purposes, the Group is organised into seven operating segments based on services offered to customers as follows. The following table presents income and profit and certain asset and liability information regarding the Group's operating segments.

Company -2025	Finance Lease	Hire Purchase	Microfinance and SME Loans	Gold loan	Term Loan	Revolving Loans	Investments	Unallocated	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Interest income	6,879,948,023	11,706,704,426	1,798,046,266	4,188,183,931	52,100,548	191,276,054	1,396,299,632	1,109,573,660	27,322,132,540
Fee Based Income	607,412,899	1,033,554,796	158,744,876	369,763,977	4,599,823	16,887,270	123,275,700	97,961,403	2,412,200,744
Net gain from trading							(24,739,655)		(24,739,655)
Other operating income	296,807,861	505,038,976	77,569,520	180,682,457	2,247,670	8,251,841	60,237,767	47,868,121	1,178,704,213
Change in fair value of investment properties								731,282,158	731,282,158
Total Revenue	7,784,168,783	13,245,298,198	2,034,360,662	4,738,630,365	58,948,041	216,415,165	1,555,073,444	1,986,685,342	31,619,580,000
Segmental Result Before depreciation and amortisation	3,050,754,177	5,191,067,914	797,302,122	1,857,153,510	23,102,786	241,554,276	609,460,938	778,617,316	12,549,013,039
Depreciation and Amortisation									(570,760,178)
Operating Profit Before Tax On Financial Services									11,821,515,537
VAT on Financial Services									(2,216,999,093)
Social Security Contribution Levy									(307,916,541)
Share of profit of associate									322,124,257
Profit before Taxation									9,618,724,160
Income Tax Expenses									(3,399,299,853)
Net profit for the Year									6,219,424,307
Segment Asset	36,070,921,490	11,646,481,530	2,698,085,051	14,858,360,968	853,212,460	385,301,692	30,849,620,828	12,647,848,962	110,009,832,982
Segment Liabilities	26,762,313,646	8,640,943,417	2,001,806,314	11,023,952,260	633,029,003	285,869,179	22,888,442,944	9,383,893,921	81,620,250,684

Group - 2025	Finance Lease	Hire Purchase	Microfinance and SME Loans	Gold loan	Term Loan	Revolving Loans	Investments	Unallocated	Total
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Interest income	6,879,948,023	11,706,704,426	1,798,046,266	4,188,183,931	52,100,548	191,276,054	1,419,060,624	1,102,535,939	27,337,855,811
Fee Based Income	665,570,292	1,132,513,598	173,944,073	405,167,422	5,040,238	18,504,160	137,280,775	106,659,987	2,644,680,545
Net gain from trading							(24,739,655)		(24,739,655)
Other operating income	233,972,646	398,120,539	61,147,794	142,431,378	1,771,831	6,504,899	48,259,285	37,494,942	929,703,314
Change in fair value of investment properties								731,282,158	731,282,158
Total Revenue	7,779,490,961	13,237,338,563	2,033,138,133	4,735,782,731	58,912,617	216,285,113	1,579,861,029	1,977,973,026	31,618,782,173
Segmental Result Before depreciation and amortisation	3,049,718,323	5,189,305,336	797,031,406	1,856,522,932	23,094,941	84,788,153	619,337,583	775,405,564	12,395,204,238
Depreciation and Amortisation									(570,760,178)
Operating Profit Before Tax On Financial Services									11,824,444,060
VAT on Financial Services									(2,216,999,093)
Social Security Contribution Levy									(307,916,541)
Share of profit of associates									322,124,257
Profit before Taxation									9,621,652,683
Income Tax Expenses									(3,474,566,450)
Net profit for the Year									6,147,086,233
Segment Assets	36,070,921,491	11,646,481,530	2,698,085,051	14,858,360,968	853,212,460	385,301,692	31,015,130,532	12,648,798,214	110,176,291,938
Segment Liabilities	26,739,520,910	8,633,584,160	2,000,101,430	11,014,563,459	632,489,869	285,625,712	22,991,642,495	9,376,605,596	81,674,133,632

ACCOUNTING POLICY

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Companies' other components, whose operating results are reviewed regularly by the Senior Management to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For management purposes, the Company has identified eight operating segments based on products and services, as follows:

- Finance Lease
- Hire purchase
- Microfinance & SME loans
- Gold loan
- Term loans
- Revolving loan
- Investments
- Unallocated

Income taxes are managed on a Company basis and are not allocated to operating segments. Interest income is reported net, as management primarily relies on net interest revenue as a performance measure, not the gross income and expense. Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

No revenue from transactions with a single external customer or counterparty amounted to 10% or more of the company's total revenue in 2026 or 2025.

47. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

47.1

As at 31st March 2026	At Fair Value		At Amortised Cost	
	Fair value through profit or Loss	Fair value through Other Comprehensive Income	Financial assets measured at amortised cost	Total
	LKR	LKR	LKR	LKR
Assets				
Cash and cash equivalents	-	-	3,025,646,835	3,025,646,835
Placements with banks	-	-	2,686,823,769	2,686,823,769
Financial assets recognised through profit or loss - measured at fair value	4,666,060,615	-	-	4,666,060,615
Financial assets at amortised cost				
Loans and Receivables	-	-	33,396,085,584	33,396,085,584
Lease rentals receivable & Stock out on hire	-	-	65,619,972,955	65,619,972,955
Debt & other instruments			7,250,613,519	7,250,613,519
Financial assets at fair value through other comprehensive income	-	210,753,456	-	210,753,456
Other financial assets	-	-	142,521,438	142,521,438
Total Financial Assets	4,666,060,615	210,753,456	112,121,664,100	116,998,478,171

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As at 31st March 2026	Financial Liabilities at Amortised Cost	Total
Liabilities	LKR	LKR
Due to Banks	29,502,639,363	29,502,639,363
Due to Customers	55,353,116,818	55,353,116,818
Unsecured subordinate term loan	1,506,410,960	1,506,410,960
Other Financial Liabilities	2,643,838,108	2,643,838,108
Total Financial Liabilities	89,006,005,249	89,006,005,249

47.2

As at 31st March 2025	At Fair Value		At Amortised Cost	
	Fair value through profit or Loss	Fair value through Other Comprehensive Income	Financial assets measured at amortised cost	Total
Assets	LKR	LKR	LKR	LKR
Cash and cash equivalents	-	-	4,725,518,897	4,725,518,897
Placements with banks	-	-	4,706,923,262	4,706,923,262
Financial assets recognised through profit or loss - measured at fair value	6,740,464,733	-	-	6,740,464,733
Financial assets at amortised cost				-
Loans and Receivables	-	-	22,163,502,371	22,163,502,371
Lease rentals receivable & Stock out on hire	-	-	47,721,039,232	47,721,039,232
Debt & other instruments			9,038,336,314	9,038,336,314
Financial assets at fair value through other comprehensive income	-	137,554,019	-	137,554,019
Other financial assets	-	-	362,437,184	362,437,184
Total Financial Assets	6,740,464,733	137,554,019	88,717,757,260	95,595,776,012

As at 31st March 2025	Financial Liabilities at Amortised Cost	Total
Liabilities	LKR	LKR
Due to Banks	15,115,938,248	15,115,938,248
Due to Customers	55,708,839,672	55,708,839,672
Debt Instruments Issued and Other borrowed funds	1,295,844,686	1,295,844,686
Unsecured subordinate term loan	1,500,000,000	1,500,000,000
Other Financial Liabilities	1,814,308,535	1,814,308,535
Total Financial Liabilities	75,434,931,141	75,434,931,141

48. FAIR VALUE OF FINANCIAL INSTRUMENTS

Financial Instruments recorded at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the instruments.

Financial assets recognised through profit or loss - measured at fair value

Financial assets recognised through profit or loss are valued using a valuation technique and consists of government debt securities and listed equity securities.

Financial assets at fair value through other comprehensive income

Financial assets at fair value through other comprehensive income, primarily consist of equity securities which are valued using valuation techniques or pricing models. These assets are valued using models that use both observable and unobservable data. Quoted equities are valued using quoted market prices in the active market as at the reporting date.

48.1. DETERMINATION OF FAIR VALUE AND FAIR VALUE HIERARCHY

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques.

Level 1 : quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

48.2. THE FOLLOWING TABLE SHOWS AN ANALYSIS OF FINANCIAL INSTRUMENTS RECORDED AT FAIR VALUE BY LEVEL OF THE FAIR VALUE HIERARCHY.

As at 31st March 2026	Company				Group			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
Financial Assets	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Financial assets - Recognised through profit or loss								
Government of Sri Lanka Treasury Bills	-	4,567,165,615	-	4,567,165,615	-	4,567,464,679	-	4,567,464,679
Quoted equities	98,895,000	-	-	98,895,000	98,895,000	-	-	98,895,000
Investments in Unit Trusts	-	-	-	-	-	1,952,389	-	1,952,389
Unquoted equities		-	210,753,456	210,753,456	-	-	210,753,456	210,753,456
Total Financial Assets	98,895,000	4,567,165,615	210,753,456	4,876,814,071	98,895,000	4,569,417,068	210,753,456	4,879,065,524
Non financial assets measured at fair value								
Freehold land	-	-	3,100,353,813	3,100,353,813		-	3,100,353,813	3,100,353,813
Building & Building integrals	-	-	2,786,073,306	2,786,073,306	-	-	2,786,073,306	2,786,073,306
investment properties	-	-	4,609,500,000	4,609,500,000	-	-	4,609,500,000	4,609,500,000
	-	-	10,495,927,119	10,495,927,119	-	-	10,495,927,119	10,495,927,119

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy.

As at 31st March 2025	Company				Group			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
Financial Assets	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Financial assets - Recognised through profit or loss								
Government of Sri Lanka Treasury Bills	-	6,738,629,769	-	6,738,629,769	-	6,738,908,334	-	6,738,908,334
Quoted equities	1,834,964	-	-	1,834,964	1,834,964	-	-	1,834,964
Investments in Unit Trusts	-	-	-	-				-
Financial assets -fire value through other comprehensive income				-				-
Unquoted equities	-	-	137,554,019	137,554,019	-	-	137,554,019	137,554,019
Total Financial Assets	1,834,964	6,738,629,769	137,554,019	6,878,018,752	1,834,964	6,738,908,334	137,554,019	6,878,297,317
Non financial assets measured at fair value								
Freehold land	-	-	3,100,353,813	3,100,353,813	-	-	3,100,353,813	3,100,353,813
Building & Building integrals	-	-	2,654,999,551	2,654,999,551	-	-	2,654,999,551	2,654,999,551
investment properties	-	-	4,222,900,000	4,222,900,000	-	-	4,222,900,000	4,222,900,000
	-	-	9,978,253,364	9,978,253,364	-	-	9,978,253,364	9,978,253,364

There were no financial liabilities recorded at fair value as at 31st March 2026 and 31st March 2025.

There were no transfers into and transfers out of the hierarchy levels during 2026 and 2025.

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48.3 . MOVEMENTS IN LEVEL 3 FINANCIAL INSTRUMENTS MEASURED AT FAIR VALUE

	2026	2025
Equity Securities	LKR	LKR
As at 1st April	**137,554,019**	56,554,019
Sold during the financial year	**-**	-
Additions during the year	**45,000,000**	81,000,000
Fair Value Recognised During the year	**28,199,437**	-
As at 31st March	**210,753,456**	137,554,019

48.4 . MOVEMENTS IN LEVEL 3 NON FINANCIAL ASSETS MEASURED AT FAIR VALUE

	Free hold Land	Building & building integrals	Investment properties
	LKR	LKR	LKR
Balance as at 1st April 2024	3,282,891,442	2,340,465,069	2,437,850,044
Disposals	-	(854,900)	(180,043,961)
Acquired during the year	105,695,056	20,206,144	345,533,214
Fair Value Recognised During the year	556,728,808	48,681,226	731,282,158
Transfers	(844,961,493)	(45,188,120)	888,278,545
Depreciation	-	(68,843,631)	-
Balance as at 31st March 2025	3,100,353,813	2,294,465,788	4,222,900,000
Disposals	-	-	(54,612,500)
Acquired during the year	-	207,012,615	9,034,341
Fair Value Recognised During the year	-	-	432,178,159
Transfers	-	215,751,272	-
Depreciation	-	(48,626,750)	-
Balance as at 31st March 2026	3,100,353,813	2,668,602,925	4,609,500,000

48.5 . ESTIMATED FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES CARRIED AT OTHER THAN FAIR VALUE

Set out below is the comparison, by class, of the carrying amounts of fair values of the Company's financial instruments that are not carried at fair value in the financial statements. This table does not include the fair values of non- financial assets and non- financial liabilities.

		2026		2025	
	Level	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Assets		LKR	LKR	LKR	LKR
Cash and Bank Balances		**3,025,646,835**	**3,025,646,835**	4,725,518,897	4,725,518,897
Placement with Banks		**2,686,823,769**	**2,686,823,769**	4,706,923,262	4,706,923,262
Loans and Receivables	Level 2	**33,396,085,584**	**31,032,354,664**	22,163,502,371	22,303,070,626
Lease rentals receivable & Stock out on hire	Level 2	**65,619,972,955**	**71,763,621,977**	47,721,039,232	52,778,286,860
Debt & other instruments	Level 2	**7,250,613,519**	**7,250,613,519**	9,038,336,314	9,038,336,314
Other financial assets		**142,521,438**	**142,521,438**	362,437,184	362,437,184
Total Financial Assets		**112,121,664,100**	**115,901,582,202**	88,717,757,260	93,914,573,143

		2026		2025	
	Level	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Liabilities					
Due to Banks	Level 3	**29,502,639,363**	**29,499,524,907**	15,115,938,248	13,388,600,643
Due to Customers	Level 3	**55,353,116,818**	**55,449,262,172**	55,708,839,672	55,864,148,189
Debt Instruments Issued	Level 3	-	-	1,295,844,686	1,295,844,686
Unsecured subordinate term loan		**1,506,410,960**	**1,688,522,518**	1,500,000,000	1,500,000,000
Other Financial Liabilities		**2,643,838,108**	**2,643,838,108**	1,907,970,958	1,814,308,535
Total Financial Liabilities		**89,006,005,249**	**89,281,147,705**	75,528,593,564	73,862,902,053

48.6 The following describes the methodologies and assumptions used to determine the fair values for those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets for which Fair value approximates carrying value

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. This assumption is also applied to fixed deposits, certificate of deposits and savings deposits without a specific maturity.Long term deposits accepted from customers for which periodical interest is paid and loans and advances granted to customers with a variable rate are also considered to be carried at fair value in the books."

Fixed Rate Financial Instruments

Carrying amounts are considered as fair values for short term credit facilities. Loans and Advances with fixed interest rates were fair valued using market rates at which fresh loans were granted during the fourth quarter of the reporting year. Conversely, fixed deposits with original tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the fourth quarter of the reporting year. Interest rates based on Treasury Bond rates with similar tenors have been used to arrive at the fair value of debentures issued.

49. RISK MANAGEMENT

49.1 . INTRODUCTION

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification,measurement and monitoring. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is primarily exposed to credit risk, interest rate risk, operational risk and liquidity risk the management of which is explained below.

In addition, the Company has identified climate-related risk as an emerging risk arising from financial instruments that has a growing impact on the company's activities

49.1.1 Risk Management structure

The Board of Directors is responsible for establishing the overall risk management framework within the Company.The Board Integrated Risk Management Committee (BIRMC), which is a sub-committee of the board has been established with delegated risk management responsibilities.The BIRMC plays a vital role in establishing best practices in relation to risk policies and practices within the Company.

The activities of the Company's risk management system take place at three broad levels of hierarchy, as follows:

Strategic Level

Overall financial risks are monitored at the BIRMC level, and the decisions made by the BIRM Care communicated to the Board of Directors. The Board ratifies the risk policies and directions issued to the management by the BIRMC. "

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Management Level:

Development and implementation of underlying procedures, processes and controls are carried out at the Management Level. Assuring the compliance with laid down policies, procedures and controls and reviewing the outcomes of operations, and measuring and analysing risk related information is also performed at this level.

Operational Level:

The individuals accountable for the risk exposures relating to his or her responsibilities are required to comply with approved policies, procedures and controls.

49.1.2 Risk measurement and reporting system

A risk management process has been developed and is continuously reviewed by the BIRMC together with the operational management. The Company has established two risk sub committees, namely Credit Committee and Information Technology sub-committee to review operational risks related to each area. In addition the Assets and Liabilities Committee (ALCO) reviews market and liquidity risks. The effectiveness of these committees is assessed by the BIRMC.

The risk sub committees comprise of selected members of the operational management, middle management and operational staff of each relevant department. These sub committees meet on a regular basis and are responsible for identifying and analysing risks. The identified risks are taken up for discussion at risk subcommittee meetings and the minutes of the subcommittee meetings are circulated among the members of the BIRMC. The decisions and directives of the BIRMC are communicated to the operational management through the sub committees for operationalization of such decisions and directives.

49.2 . CREDIT RISK

Credit risk is the potential loss incurred in the event that a borrower fails to fulfil agreed obligations. The Company's credit risk arises mainly from various accommodations granted and could be identified as the most significant risk faced by the Company.

Impairment Assessment

The methodology of the impairment assessment is explained in Note 5.4.5 under Accounting policies. The references below should be read in conjunction with those Accounting policies.

Mitigation:

Credit is required to be granted according to the approved policies and procedures of the Company. Special attention is given to credit risk management in terms of analysing customer credit worthiness through rigorous customer investigation before and after credit facilities are provided. Repayment of accommodations granted is closely monitored by those responsible for granting various facilities as well as those directly responsible for recovery activities. Indicators have been developed to measure risks associated with credit which are reviewed on a continuous basis for the entire organization as well as for each product and operational location.

Microfinance Loans & Abhiwurdhi SME Loans

As is the practice in the industry both in Sri Lanka and Internationally, Microfinance loans are granted without obtaining any security from the borrower. Abhiwurdhi Loans are granted mainly to Microfinance customers who have obtained Microfinance loans in the past and settled them satisfactorily. As these accommodations are not covered by collateral they could lead to substantial credit risks to the Company. Credit risks associated with Microfinance and Abhiwurdhi portfolios are controlled by the following measures:

- Limiting individual's first Microfinance loan to less than Rs. 40,000 and these are granted as Group-loans where loans granted to each member of the Group is guaranteed by the other members of the Group. Loans are granted after careful evaluation of the purpose for which they are taken and the repayment capacity,
- Microfinance Loans in higher amounts and Abhivurdhi SME Loans are granted based on past credit performance of applicants and with careful evaluation of the purpose for which they are taken and the repayment capacity,
- weekly and fortnightly collection system which closely monitors each loan granted,
- Careful monitoring of various ratios such as Portfolio-at-Risk (PAR)

Gold Loans

The Company also has a substantial portfolio of loans and advances granted under pawn brokering and related activities. These facilities are granted mainly based on gold articles obtained as security. In the event the price of gold in the local market reduce substantially, this would lead to a reduction in the value of the security obtained thereby exposing the Company to the risk that some customers may not redeem the articles retained by the Company. Where the articles are not so redeemed, the difference between the realizable value of the article held and the total of the capital , interest and other charges due would result in a loss to the Company. In order to manage this risk the Company has adopted the following practices:

- Frequent review of gold prices in the local and international markets and adjusting the amount of the loans granted for each sovereign of gold contained in the article,
- Close follow up of the payment of capital and interest due on loans and advances granted,
- Structuring of the loans and advances granted in a manner that recovery action is possible

49.2.1. Assessment of Expected Credit Losses

(a). Analysis of the total impairment for expected credit losses is as follows,

Company/Group As at 31st March 2026	Note	Stage 1	Stage 2	Stage 3	Total
		LKR	LKR	LKR	LKR
Loans and receivables	10.1	130,968,571	83,223,986	526,693,017	740,885,574
Lease Rentals Receivable & Stocks out on hire	11.1	1,502,177,284	810,581,676	1,809,934,711	4,122,693,671
Other Financial assets	14.1	94,715,240	-	-	94,715,240
Cash and Cash Equivalents	7.2/8.1	29,472,707			29,472,707
		1,757,333,802	893,805,662	2,336,627,728	4,987,767,192

As at 31st March 2025	Note	Stage 1	Stage 2	Stage 3	Total
		LKR	LKR	LKR	LKR
Loans and receivables	10.1	630,664,721	164,931,789	1,241,052,104	2,036,648,614
Lease Rentals Receivable & Stocks out on hire	11.1	2,627,792,378	1,205,366,882	9,576,765,598	13,409,924,858
Other Financial assets	14.1	94,715,240	-	-	94,715,240
		3,353,172,339	1,370,298,671	10,817,817,702	15,541,288,712

Please refer Note 10.1 and 11.1 for the movement of expected credit loss of the Loans & Receivables and Lease rentals receivables & Stock out on hire respectively.

(b). Sensitiviy of ECL to Future Economic Conditions

The prevailing economic and geopolitical environment continues to present elevated levels of uncertainty and volatility, notwithstanding positive macroeconomic growth prospects. These conditions have resulted in significant estimation uncertainty in the measurement of the allowance for expected credit losses. The evolving macroeconomic landscape, together with potential changes in business and consumer behaviour, may give rise to material adjustments to the allowance for expected credit losses in future financial periods.

Given the current economic uncertainties and the judgements applied to factors used in determining the expected default of borrowers in future periods. Expected credit losses reported by the company should be considered as a best estimate within a range of possible estimates.

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As at 31st March 2026	Sensitivity effect on Statements of Financial Position increase/(decrease) in impairment provision				Sensitivity effect on income Statement increase/(decrease) in impairment charge
	Stage 1	Stage 2	Stage 3	Total	
	LKR	LKR		LKR	LKR
Change in Probability of Default (PD)					
Increase by 5%	74,614,041	32,278,358	-	106,892,399	106,892,399
Decrease by 5%	(74,614,041)	(32,278,358)	-	(106,892,399)	(106,892,399)
Change in Loss Given Default (LGD)					
Increase by 5%	76,177,268	38,668,640	53,273,585	168,119,493	168,119,493
Decrease by 5%	(76,177,268)	(38,668,640)	(53,273,585)	(168,119,493)	(168,119,493)
Probability weighted forward looking macro economic indicators					
Base case 10% increase, worst case 5% decrease and best case 5% decrease	(79,430,868)	(41,312,417)	(6,083,623)	(126,826,908)	(126,826,908)
Base case 10% decrease, worst case 5% increase and best case 5% increase	62,998,152	31,080,413	5,718,808	99,797,373	99,797,373

In the calculation of the Economic Factor adjustment under the Expected Credit Loss (ECL) model, quantitative factors include GDP growth, inflation, interest rates, and unemployment rates. Qualitative factors consist of government policies, the status of the industry or business, management outlook, and regulatory impact.

49.2.2 Collateral held and other credit enhancement

As at 31st March	Percentage of exposure that is		
	subject to collateral requirements		Types of Collateral Held
	2026	2025	
Type of credit exposure	%	%	
Hire Purchase Receivables	100	100	Vehicles
Finance Lease Receivables	100	100	Vehicles
Loans and Advances- Auto Loans	100	100	Vehicles
Loans and Advances- Micro Finance	100	100	Guarantors
Loans and Advances- RBL	100	100	Guarantors
Loans and Advances- Gold Loans	100	100	Pawning Articles
Loans and Advances- Loans against Deposits	100	100	Lien Deposits
Loans and Advances- Personal Loans	100	100	Guarantors
Loans to Employees	100	100	Vehicles and Guarantors
Placement with Banks	-	-	None
Financial Assets at Amortised Cost-Debt and Other Financial Instruments	-	-	None

49.2.3 Analysis of maximum exposure to credit risk and collateral

The following table shows the maximum exposure to credit risk by class of financial asset.

Company	Note	As at 31st March 2026		As at 31st March 2025	
		Maximum Exposure to Credit Risk	Net Exposure	Maximum Exposure to Credit Risk	Net Exposure
		LKR	LKR	LKR	LKR
Assets-On Balance sheet exposure					
Cash and cash equivalents	7	**3,025,646,835**	**3,025,646,835**	4,725,518,897	4,725,518,897
Placements with Banks	8	**2,686,823,769**	**2,686,823,769**	4,706,923,262	4,706,923,262
Financial assets recognised through profit or loss - measured at fair value	9	**4,666,060,615**	**4,666,060,615**	6,740,464,733	6,740,464,733
Financial assets at amortised cost					
Loans and Receivables	10	**33,396,085,584**	**3,991,012,936**	22,163,502,371	4,618,623,712
Lease rentals receivable & Stock out on hire	11	**65,619,972,955**	**38,607,989**	47,721,039,232	653,397,712
Debt & other instruments		**7,250,613,519**	**7,250,613,519**	9,038,336,314	9,038,336,314
Financial assets recognised through profit or loss - measured at fair value	13	**210,753,456**	**210,753,456**	137,554,019	137,554,019
Other financial assets	14	**142,521,438**	**142,521,438**	401,344,629	401,344,629
Total Financial Assets		**116,998,478,171**	**22,012,040,557**	95,634,683,457	31,022,163,278

Group	Note	As at 31st March 2026		As at 31st March 2025	
		Maximum Exposure to Credit Risk	Net Exposure	Maximum Exposure to Credit Risk	Net Exposure
		LKR	LKR	LKR	LKR
Cash and cash equivalents	7	**3,030,811,194**	**3,030,811,194**	4,731,852,338	4,731,852,338
Placements with Banks	8	**2,686,823,769**	**2,686,823,769**	4,706,923,262	4,706,923,262
Financial assets recognised through profit or loss - measured at fair value	9	**4,668,312,068**	**4,668,312,068**	6,740,464,733	6,740,464,733
				-	-
Loans and Receivables	10	**33,350,952,434**	**3,991,012,936**	22,163,502,371	4,618,623,712
Lease rentals receivable & Stock out on hire	11	**65,619,972,955**	**38,607,989**	47,721,039,232	653,397,712
Debt & other instruments		**7,335,649,845**	**7,335,649,845**	9,381,179,018	9,381,179,018
Financial assets recognised through profit or loss - measured at fair value	13	**210,753,456**	**210,753,456**	137,554,019	137,554,019
Other financial assets	14	**188,276,434**	**188,276,434**	232,399,623	401,344,629
Total Financial Assets		**117,091,552,155**	**22,150,247,691**	95,814,914,596	31,371,339,423

NOTES TO THE FINANCIAL STATEMENT

Contingencies and Commitment related exposures As at 31st March	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Commitment for unutilised facilities	**4,550,263**	184,917,650	**4,550,263**	184,917,650
Guarantees issued	**298,400,000**	324,184,000	**298,400,000**	324184000
	302,950,263	509,101,650	**302,950,263**	509,101,650

49.2.4 Credit quality analysis

The table below sets out an analysis of the loan and receivables from customers, net investment in leases and hire purchase portfolio and debt and other financial instruments between those that are neither past due nor impaired , those that are past due but not individually impaired and those that are individually impaired.

Credit quality analysis As at 31st March	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Neither past due nor individually impaired loans and leases	**69,615,944,892**	38,918,883,419	**69,570,811,742**	38,918,883,419
Past due but not individually impaired loans		-		
Up to 30 days past due	**19,212,945,820**	10,506,965,634	**19,212,945,820**	10,506,965,634
31-60 days past due	**6,095,099,486**	6,510,818,456	**6,095,099,486**	6,510,818,456
61-90 days past due	**3,952,781,340**	4,573,506,608	**3,952,781,340**	4,573,506,608
Over 90 days	**4,845,507,359**	24,393,340,572	**4,845,507,359**	24,393,340,572
Individually impaired loans	**157,358,887**	427,600,386	**157,358,887**	427,600,386
Individually significant impairment	**(46,002,801)**	(257,065,194)	**(46,002,801)**	(257,065,194)
Individually not significant impairment	**(4,817,576,444)**	(15,189,508,279)	**(4,817,576,444)**	(15,189,508,279)
Total loans and advances and leases	**99,016,058,539**	69,884,541,602	**98,970,925,389**	69,884,541,602

Debt and other financial instruments	Company		Group	
	2026	2025	2026	2025
	LKR	LKR	LKR	LKR
Neither past due nor individually impaired				
Government Securities (Treasury Bills & Bonds)	**4,567,165,615**	8,827,414,658	**4,567,464,679**	9,170,257,362
Commercial Papers (A (lka)	**-**	210,921,656	**-**	210,921,656
Coporate Debt - Entity External Rating				
AA-(lka)	**4,230,000,000**	1,468,951,629	**4,315,036,325**	1,468,951,629
A+(lka)	**1,037,627,836**	109,691,060	**1,037,627,836**	109,691,060
A-(lka)			**-**	
A(lka)	**1,955,961,370**	1,871,707,863	**1,955,961,370**	1,871,707,863
BBB+(lka)			**-**	
BBB-(LRA)	**-**	300,000,000	**-**	300,000,000
BBB(Stable) and Below	**27,024,315**		**27,024,315**	27,060,346
Total	**11,817,779,134**	12,788,686,866	**11,903,114,523**	13,158,589,916
Individually impaired				
Financial assets at amortised cost - Debt and other financial instruments	**11,817,779,134**	12,788,686,866	**11,903,114,523**	13,158,589,916

Debt and other financial instruments

The Debt and other financial instruments of the Company amounting to LKR 111,817,779,134 and Group amounting to LKR 11,903,114,523 are classified as neither past due nor individually impaired and reported as under Stage - 1 as of 31st March 2026. (The Debt and other financial instruments of the Company amounting to LKR 12,788,686,866 and Group amounting to LKR 13,158,589,916 were classified as neither past due nor individually impaired and reported as under Stage - 1 as of 31st March 2025.)

49.2.5 Collateral held and other credit enhancement

The Company holds collateral and other credit enhancements against certain types of its credit exposures. The following table sets out the principal types of collateral held against different types of financial assets. The value of the collateral is capped at the amortised cost of the loan.

For the year ended 31 March	Company/Group			
	2026		2025	
	Gross Balance	Security Value	Gross Balance	Security Value
	LKR	LKR	LKR	LKR
Stage 1				
Cash collateral	**859,097,203**	**859,097,203**	773,091,510	2,004,847,382
Gold	**23,331,795,065**	**23,331,795,065**	13,905,388,007	22,079,049,349
Vehicle	**59,611,620,780**	**59,611,620,780**	34,480,032,160	76,281,877,344
Immovable Properties	**101,510,570**	**101,510,570**	122,684,065	476,614,725
Personal and Corporate Guarantees	**3,588,231,956**	**3,588,231,956**	3,639,288,942	-
Unsecured	-	-	-	-
	87,492,255,574	**87,492,255,574**	52,920,484,684	100,842,388,800

For the year ended 31 March	Company/Group			
	2026		2025	
	Gross Balance	Security Value	Gross Balance	Security Value
	LKR	LKR	LKR	LKR
Stage 2				
Cash collateral	**365,758,336**	**734,781,394**	495,317,458	898,963,425
Gold	**2,365,407,157**	**3,850,730,010**	900,177,743	1,254,338,779
Vehicle	**8,637,499,172**	**17,931,899,344**	8,698,295,959	18,413,177,274
Immovable Properties	**28,705,616**	**142,150,000**	16,481,945	227,707,000
Personal and Corporate Guarantees	**93,155,727**	-	57,041,530	-
Unsecured	-	-	-	-
	11,490,526,008	**22,659,560,748**	10,167,314,635	20,794,186,478

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For the year ended 31 March	Company/Group			
	2026		2025	
	Gross Balance	Security Value	Gross Balance	Security Value
	LKR	LKR	LKR	LKR
Stage 3				
Cash collateral	**2,444,990**	**5,000,000**	11,786,929	28,810,795
Gold	**151,692,763**	**343,312,860**	149,048,825	296,181,125
Vehicle	**4,312,106,768**	**10,528,774,186**	20,846,530,273	37,397,165,026
Immovable Properties	**92,747,199**	**459,955,000**	312,786,388	873,876,025
Personal and Corporate Guarantees	**297,586,027**	-	806,697,986	-
Unsecured	**40,278,455**	-	116,465,355	-
	4,896,856,202	**11,337,042,046**	22,243,315,756	38,596,032,971
	103,879,637,784	**121,488,858,368**	85,331,115,075	160,232,608,249

49.2.6 Assets obtained by taking possession of collateral

Details of financial and non-financial assets obtained by the Company during the year by taking possession of collateral held as security against loans and advances and held at the reporting date are shown below

	Company/Group	
	2026	2025
	LKR	LKR
Vehicles	**563,289,038**	801,572,577
Immovable Properties	-	-

The Company's policy is to pursue timely realisation of the collateral in an orderly manner. The Company does not use generally the non- cash collateral for its own operations.

49.2.7 Credit Impaired Loans

For credit impaired loans the value of collateral is based on the most recent appraisals

LTV Ratio	Company/Group	
	2026	2025
	LKR	LKR
Less than 50%	**3,679,514,884**	2,076,998,056
51%-70%	**432,955,753**	17,013,978,140
More than 70%	**486,799,539**	2,345,641,575
Personal and Corporate	**297,586,027**	806,697,986
Total	**4,896,856,203**	22,243,315,757

49.2.8. Concentration of Credit Risk

The Company maintains prudent risk diversification by setting concentration limits within its established risk appetite framework. These limits are regularly monitored and reviewed by the Risk Management Department, Credit Committee, and BIRMC to adapt to evolving market, regulatory, and economic conditions.This proactive approach enhances dynamic portfolio management and serves as an early warning mechanism for potential credit concentrations.An analysis of risk concentration of financial assets - Loans, lease rentals and hire purchases based on industry sector and geographical location is given below

Industry	Company/Group	
	2026	2025
	LKR	LKR
Consumption	**29,591,642,912**	28,222,019,637
Transportation	**11,475,596,989**	12,951,865,808
Other	**5,871,941,635**	9,446,263,141
Agriculture, Forestry and Fishing	**18,345,059,344**	12,672,947,180
Manufacturing	**16,825,272,459**	7,520,365,211
Wholesale and Retail Trade	**11,215,888,556**	6,539,751,707
Health Care, Social Services and Support Activities	**5,155,737,056**	2,977,815,885
Construction	**3,612,201,428**	1,853,764,094
Professional, Scientic &Technical Activites	**1,786,297,405**	3,146,322,412
Total	**103,879,637,784**	85,331,115,075

Province	Company/Group	
	2026	2025
	LKR	LKR
Central	**10,879,032,028**	9,356,040,134
Eastern	**10,195,229,781**	7,895,440,590
North Central	**9,639,658,851**	8,127,899,629
North Western	**12,750,824,685**	9,745,232,599
Northern	**8,576,668,997**	5,908,547,310
Sabaragamuwa	**8,185,616,231**	5,953,512,164
Southern	**10,696,227,238**	7,351,173,008
Uva	**6,317,911,533**	5,254,153,011
Western	**26,638,468,440**	25,739,116,629
Total	**103,879,637,784**	85,331,115,074

49.2.9 Rescheduled Loans

The loan portfolio of the Company consist of LKR 384,094,047 of rescheduled loans as at 31st March 2026 and LKR 914,188,057 as at 31st March 2025.

49.2.10 Write-Offs

The contractual amount outstanding financial assets that were written off during the year ended 31st March 2026 and that are still subject to enforcement activity is LKR 7,873,183,502 (2025 - LKR 38,633,546)

NOTES TO THE FINANCIAL STATEMENT

49.3 LIQUIDITY RISK & FUNDING MANAGEMENT

Liquidity risk is the risk of only being able to meet liquidity obligations at increased cost or, ultimately, being unable to meet obligations as they fall due. In the case of the Company this relates mainly to the ability to meet refund of deposits obtained from the public as they fall due and settlement of instalments on bank and other borrowings.

Mitigation:

Special attention is focused on the liquidity of the Company as it provides critical defense against this and several other risks such as reputational, compliance, and financial risks. An Asset Liability Management policy has been developed and integrated in to risk policy to provide necessary guidelines. The Company's projected liquidity requirements are assessed on a continuous basis to ensure that they can be met as and when such requirements arise. The Company also strives to ensure that the liquidity ratios required to be maintained by the applicable Central Bank regulations are complied with.

The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the company regularly monitors liquidity position and maintain an adequate buffer of liquid assets. company also maintains access to diverse funding sources to meet unforeseen liquidity requirements. All statutory and prudent liquidity ratios are monitored against tolerance limits and stress testing is carried out regularly to assess the effectiveness of liquidity management. The company is comfortable with its existing buffer of liquid assets. The actions taken will help to maintain existing liquidity position while mitigating any disruptive effect on liquidity that may arise due to the continuously evolving nature of the pandemic.

49.3.1 The Finance Companies (Liquid Assets) Direction No. 01 of 2009 requires Company to maintain minimum liquid assets as follows;

a) 10% of the outstanding value of time deposits received by the company and accrued interest payable at close of business on such day; and

b) 15% of the outstanding value of savings deposits accepted by the company and accrued interest payable at close of business on such day: and

c) 10% of total outstanding borrowings and any other payable that may be determined by the CBSL excluding the borrowings that are included in the capital funds of the company and borrowings which are secured by the mortgage of any assets of the company.

49.3.2 Analysis Of Financial Assets And Liabilities By Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows of the Company's financial assets and liabilities as at 31 March 2026.

Company	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Financial Assets						
Cash and cash equivalents	3,025,646,835	-	-	-	-	3,025,646,835
Placement with Banks		1,689,382,437	1,021,457,112	-	-	2,710,839,549
Financial assets recognised through profit or loss - measured at fair value	98,895,000	4,620,000,000	-	-	-	4,718,895,000
Financial assets at amortised cost						
Loans and Advances	3,448,200,327	22,283,811,339	8,172,028,804	2,076,375,871	25,911,496	36,006,327,837
Lease rentals receivable & Stock	6,094,644,036	13,285,710,199	34,456,117,197	45,053,705,052	114,247,748	99,004,424,232
out on hire						
Debt & other instruments		7,273,409,922	-			7,273,409,922
Financial assets at fair value through other comprehensive income	-	-	-	-	210,753,456	210,753,456
Other financial assets	-	142,521,438	-	-	-	142,521,438

Company	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
Total Financial Assets	12,667,386,198	49,294,835,335	43,649,603,113	47,130,080,923	350,912,700	153,092,818,269
Financial Liabilities						
Due to Banks						
Due to Customers	-	3,915,591,623	12,281,733,099	17,857,928,777	-	34,055,253,499
Debt Instruments Issued and Other borrowed funds	1,858,635,622	20,016,936,959	19,115,474,370	20,233,285,253	-	61,224,332,204
Unsecured subordinate term loan	-	-	-		-	-
Other Financial Liabilities			195,000,000	2,085,000,000		2,280,000,000
Total Financial Liabilities	1,858,635,622	23,932,528,582	31,592,207,469	40,176,214,030	-	97,559,585,703
Total Net Financial Assets/(Liabilities)	10,808,750,576	25,362,306,753	12,057,395,644	6,953,866,893	350,912,700	55,533,232,566

49.3.2 Analysis Of Financial Assets And Liabilities By Remaining Contractual Maturities

The table below summarises the maturity profile of the undiscounted cash flows of the Group financial assets and liabilities as at 31 March 2026

Group 2026 March	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Financial Assets						
Cash and cash equivalents	3,030,811,194	-	-	-	-	3,030,811,194
Placement with Banks		1,689,382,437	1,021,457,112	-	-	2,710,839,549
Financial assets recognised through profit or loss - measured at fair value	98,895,000	4,622,254,294	-	-	-	4,721,149,294
Loans and Advances	3,448,200,327	22,238,798,839	8,172,028,804	2,076,375,871	25,911,496	35,961,315,337
Lease rentals receivable & Stock	6,094,644,036	13,285,710,199	34,456,117,197	45,053,705,052	114,247,748	99,004,424,232
out on hire						-
Debt & other instruments		7,358,609,730				7,358,609,730
Financial assets at fair value through other comprehensive income	-	-	-	-	210,753,456	210,753,456
Other financial assets	-	188,276,434	-	-	-	188,276,434
Total Financial Assets	12,672,550,557	49,383,031,933	43,649,603,113	47,130,080,923	350,912,700	153,186,179,226

Group 2026 March	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Financial Liabilities						
Due to Banks	-	3,915,591,623	12,281,733,099	17,857,928,777	-	34,055,253,499
Due to Customers	1,858,635,622	19,964,811,959	18,985,474,370	20,233,285,253	-	61,042,207,204
Debt Instruments Issued and Other borrowed funds	-	-	-		-	-
Unsecured subordinate term loan	-	-	195,000,000	2,085,000,000	-	2,280,000,000
Other Financial Liabilities	-	2,643,574,826	-	-	-	2,643,574,826
Total Financial Liabilities	1,858,635,622	26,523,978,408	31,462,207,469	40,176,214,030	-	100,021,035,529
Total Net Financial Assets/ (Liabilities)	10,813,914,935	22,859,053,525	12,187,395,644	6,953,866,893	350,912,700	53,165,143,697

NOTES TO THE FINANCIAL STATEMENT

The table below summarises the maturity profile of the undiscounted cash flows of the Company's financial assets and liabilities as at 31 March 2025.

Company	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Financial Assets						
Cash and cash equivalents	4,725,518,897	-	-	-	-	4,725,518,897
Reverse repurchase agreements	-	-	-	-	-	-
Placement with Banks		3,350,350,552	1,356,572,710	-	-	4,706,923,262
Financial assets recognised through profit or loss - measured at fair value	1,834,964	4,893,951,778	1,844,677,991	-	-	6,740,464,733
Loans and Advances- Micro Finance						-
Loans and Advances	1,413,440,857	17,380,766,217	4,583,377,007	2,392,996,789	44,920,408	25,815,501,278
Lesae Rentals receiveble & Stock out on hire	12,211,316,821	11,418,654,768	28,329,378,652	29,582,448,647	2,539,761	81,544,338,649
Debt & other instruments	-	9,038,336,314	-	-	-	9,038,336,314
Financial assets at fair value through other comprehensive income	-	-	-	-	137,554,019	137,554,019
Other financial assets	-	401,344,629	-	-	-	401,344,629
Total Financial Assets	18,352,111,539	46,483,404,258	36,114,006,360	31,975,445,436	185,014,188	133,109,981,781

	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Financial Liabilities						
Due to Banks	128,444,759	4,323,232,979	5,270,750,914	5,393,509,597	-	15,115,938,249
Due to Customers	1,937,029,496	5,297,127,108	23,620,382,749	22,106,542,922	-	52,961,082,275
Debt Instruments Issued and Other borrowed funds	-	-	1,295,844,686		-	1,295,844,686
Unsecured subordinate term loan				1,500,000,000		1,500,000,000
Other Financial Liabilities	-	1,907,970,958	-	-	-	1,907,970,958
Total Financial Liabilities	2,065,474,255	11,528,331,045	30,186,978,349	29,000,052,519	-	72,780,836,168
Total Net Financial Assets/ (Liabilities)	16,286,637,284	34,955,073,213	5,927,028,011	2,975,392,917	185,014,188	60,329,145,613

Group 2025 March	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Financial Assets						
Cash and cash equivalents	4,731,852,337	-	-	-	-	4,731,852,337
Placement with Banks		3,350,350,552	1,356,572,710	-	-	4,706,923,262
Financial assets recognised through profit or loss - measured at fair value	2,113,529	4,893,951,778	1,844,677,991	-	-	6,740,743,298
Financial assets at amortised cost						-
Loans and Advances	1,413,440,857	17,380,766,217	4,583,377,007	2,392,996,789	44,920,407	25,815,501,277
Lesae Rentals receiveble & Stock out on hire	12,211,316,821	11,418,654,768	28,329,378,652	29,582,448,647	2,539,761	81,544,338,649
Debt & other instruments	-	9,381,179,018	-	-	-	9,381,179,018
Financial assets at fair value through other comprehensive income	-	-	-	-	137,554,019	137,554,019
Other financial assets	-	232,399,626	-	-	-	232,399,626
Total Financial Assets	18,358,723,544	46,657,301,959	36,114,006,360	31,975,445,436	185,014,187	133,290,491,486

	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Financial Liabilities						
Due to Banks	128,444,758	4,323,232,979	5,270,750,914	5,393,509,597	-	15,115,938,248
Due to Customers	1,937,029,496	5,270,066,762	23,620,382,749	22,106,542,922	-	52,934,021,929
Debt Instruments Issued and Other borrowed funds	-	-	1,295,844,686		-	1,295,844,686
Unsecured subordinate term loan				1,500,000,000	-	1,500,000,000
Other Financial Liabilities	-	1,907,970,958	-	-	-	1,907,970,958
Total Financial Liabilities	2,065,474,254	11,501,270,699	30,186,978,349	29,000,052,519	-	72,753,775,821
Total Net Financial Assets/ (Liabilities)	16,293,249,290	35,156,031,260	5,927,028,011	2,975,392,917	185,014,187	60,536,715,665

NOTES TO THE FINANCIAL STATEMENT

49.3.3 CONTRACTUAL MATURITIES OF FINANCIAL COMMITMENTS

The table below shows the contractual expiry by maturity of the customers' undrawn loan commitments. These are included in the time band containing the earliest date such can be drawn down by the Customers.

Company/Group As at 31 March 2026	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Commitments						
Commitment for unutilised facilities	4,550,263	-	-	-	-	4,550,263
Financial guarantee contracts	298,400,000			-	-	298,400,000
Total Commitments	302,950,263	-	-	-	-	302,950,263

Company/Group As at 31 March 2025	On Demand	Less than 03 Months	03-12 Months	01-05 Years	Over 05 Years	Total
	LKR	LKR	LKR	LKR	LKR	LKR
Commitments						
Commitment for unutilised facilities	184,917,650	-	-	-	-	184,917,650
Financial guarantee contracts	324,184,000			-	-	324,184,000
Total Commitments	509,101,650	-	-	-	-	509,101,650

49.3.4 FINANCIAL ASSETS AVAILABLE TO SUPPORT FUTURE FUNDING

The table below sets out the availability of the Company's financial assets to support future funding.

	Note	2026		2025	
		LKR	LKR	LKR	LKR
		Pledged as collateral	Available as collateral	Pledged as collateral	Available as collateral
Cash and cash equivalents	7	789,868,395	1,896,955,374	742,646,083	163,561,245
Placements with banks	8	635,639,513	2,051,184,256	722,187,589	3,028,162,963
Financial assets recognised through profit or loss – Measured at fair value	9	59,038,085	4,607,022,530	-	6,740,464,733
Financial assets at amortised cost – Loans and advances to other customers		39,272,361,634	59,743,696,905	20,473,916,101	58,572,435,945
Financial assets at amortised cost – Debt and other financial instruments	12/13	-	7,461,366,975	-	9,175,890,333

49.5 MARKET RISK

Market risk is the risk arising from fluctuations in market variables such as interest rates, foreign exchange rates, equity prices and gold prices. This is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in the market variables. As the Company's operations involve granting accommodations, accepting deposits and obtaining funding facilities, the movements in interest rates constitute the most important market risk for the Company.

Mitigation:

Movements in interest rates are closely monitored. Further the Company maintains an adequate Net Interest Margin (NIM) so that increases in interest expenses can be absorbed. The assets and liabilities maturity mismatch is also closely monitored so that the possible adverse effects arising due to interest rate movements could be minimized. Although the mismatch in assets and liabilities in terms of maturity is widely prevalent in the industry, in view of the composition of the portfolio of the Company, this mismatch has been mitigated to a significant extent.

49.5.1 Equity price risk

Equity price risk is the risk that the fair value of equities decreasing as a result of changes in the level of equity indices and individual stocks. The market value of the Company's equity portfolio as of 31 March 2026 is LKR 98,895,000/- (2025 - LKR 1,834,964/-).

The table below shows the impact on the profit or loss due to a reasonably possible change in the price of the Company's investment in trading securities with all other variables held constant:

	Impact on profit/loss Company	
	2026	2025
	LKR	LKR
+10%	**9,889,500**	183,496
-10%	**(9,889,500)**	(183,496)

49.5.2 Interest Rate Risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

49.5.3 Interest Rate Sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the company's profit or loss statements and equity, arising from interest bearing loans and borrowings.

Company/Group Financial Instrument	Increase/ (Decrease) in basis points	Sensitivity of Profit/(Loss)		Sensitivity of Equity	
		2026	2025	2026	2025
		LKR Mn	LKR Mn	LKR Mn	LKR Mn
Long Term Loans linked to AWPLR	+500/ (-500)	**(677.99)/677.99**	(563.88)/563.88	(677.99)/677.99	(563.88)/563.88

NOTES TO THE FINANCIAL STATEMENT

49.5.4 Interest Rate Risk Exposure On Financial Assets & Liabilities

The table below analyses the Company's interest rate risk exposure on financial assets & liabilities. The Company's assets & liabilities are included at carrying amounts and categorized by the earlier of contractual reprising or maturity dates.

Company As at 31 March 2026	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2026
Assets	LKR	LKR	LKR	LKR	LKR	LKR
Cash and Bank Balances	2,539,411,364	-	-	-	486,235,471	3,025,646,835
Placement with Banks	1,665,366,657	1,021,457,112	-	-	-	2,686,823,769
Financial assets recognised through profit or loss - measured at fair value	4,567,165,615	-			98,895,000	4,666,060,615
Loans and receivables	25,053,999,428	7,386,209,486	1,620,197,581	22,801,663	53,763,000	34,136,971,158
Lease rentals receivable & Stock out on hire	13,747,045,727	21,935,165,281	33,977,673,972	82,781,646	-	69,742,666,626
Debt & other Instruments	7,250,613,519	-	-	-	-	7,250,613,519
Financial assets at fair value through other comprehensive income	-	-	-	-	210,753,456	210,753,456
Other financial assets	-	-	-	-	142,521,438	142,521,438
Total Financial Assets	54,823,602,311	30,342,831,879	35,597,871,553	105,583,309	992,168,365	121,862,057,416
Financial Liabilities						
Due to banks	5,448,813,628	8,979,789,239	15,074,036,495	-	-	29,502,639,362
Due to Customers	16,070,250,139	24,238,440,536	15,044,426,143	-	-	55,353,116,818
Debt Instruments Issued and Other borrowed funds	-	-	-	-	-	-
Unsecured subordinate term loan	-	-	1,506,410,960	-	-	1,506,410,960
Other Financial Liabilities	-	-	-	-	2,643,838,108	2,643,838,108
Total Financial Liabilities	21,519,063,767	33,218,229,775	31,624,873,598	-	2,643,838,108	89,006,005,248
Interest Sensitivity Gap	33,304,538,543	(2,875,397,896)	3,972,997,955	6,086,205,000	(1,651,669,743)	32,856,052,168

Company	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2025
Assets	LKR	LKR	LKR	LKR	LKR	LKR
Cash and Bank Balances	3,856,354,823	-	-	-	869,164,074	4,725,518,897
Placement with Banks	3,350,350,552	1,356,572,710	-	-	-	4,706,923,262
Financial Investments measured at amortised cost	6,738,629,769	-			1,834,964	6,740,464,733
Loans and receivables	18,221,445,237	3,903,227,755	1,986,610,892	38,348,544	50,518,557	24,200,150,985
Lease rentals receivable & Stock out on hire	19,723,684,647	18,710,674,992	22,694,403,287	2,201,164	-	61,130,964,090
Debt & other Instruments	8,827,414,659	-	210,921,656	-	-	9,038,336,315
Financial Investments - Available for Sale	-	-	-	-	137,554,019	137,554,019
Other financial assets	-	-	-	-	362,437,184	362,437,184
Total Financial Assets	60,717,879,687	23,970,475,457	24,891,935,835	40,549,708	1,421,508,798	111,042,349,485
Financial Liabilities						
Due to banks	3,197,602,291	5,081,688,000	6,836,647,957	-	-	15,115,938,248
Due to Customers	25,547,776,510	14,726,944,330	15,434,118,832	-	-	55,708,839,672
Debt Instruments Issued and Other borrowed funds	-	1,295,844,686	-	-	-	1,295,844,686
Unsecured subordinate term loan	-	-	1,500,000,000	-	-	1,500,000,000
Other Financial Liabilities	-	-	-	-	1,814,308,535	1,814,308,535
Total Financial Liabilities	28,745,378,801	21,104,477,016	23,770,766,789	-	1,814,308,535	75,434,931,141
Interest Sensitivity Gap	31,972,500,886	2,865,998,441	1,121,169,046	40,549,708	(392,799,737)	35,607,418,344

NOTES TO THE FINANCIAL STATEMENT

Group Assets	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2026
	LKR	LKR	LKR	LKR	LKR	LKR
Assets						
Cash and Bank Balances	2,544,575,723	-	-	-	486,235,471	3,030,811,194
Placement with Banks	1,665,366,657	1,021,457,112	-	-	-	2,686,823,769
Financial assets recognised through profit or loss - measured at fair value	4,567,464,679	-	-	-	100,847,389	4,668,312,068
Loans and receivables	25,053,999,428	7,386,209,486	1,620,197,581	22,801,663	53,763,000	34,136,971,158
Lease rentals receivable & Stock out on hire	13,747,045,727	21,935,165,281	33,977,673,972	82,781,646	-	69,742,666,626
Debt & other Instruments	7,335,649,845	-	-	-	-	7,335,649,845
Financial assets at fair value through other comprehensive income	-	-	-	-	210,753,456	210,753,456
Other financial assets	-	-	-	-	188,276,434	188,276,434
Total Financial Assets	54,914,102,059	30,342,831,879	35,597,871,553	105,583,309	1,039,875,750	122,000,264,550
Financial Liabilities						
Due to banks	5,448,813,628	8,979,789,239	15,074,036,495	-	-	29,502,639,363
Due to Customers	15,919,828,711	24,238,440,536	15,044,426,143	-	-	55,202,695,390
Debt Instruments Issued and Other borrowed funds	-	-	-	-	-	-
Unsecured subordinate term loan	-	-	1,506,410,960	-	-	1,506,410,960
Other Financial Liabilities	-	-	-	-	2,643,574,826	2,643,574,826
Total Financial Liabilities	21,368,642,339	33,218,229,776	31,624,873,598	-	2,643,574,826	88,855,320,539
INTEREST SENSITIVITY GAP	33,545,459,720	(2,875,397,897)	3,972,997,954	105,583,309	(1,603,699,076)	33,144,944,011

Group As at 31 March 2025	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2025
	LKR	LKR	LKR	LKR	LKR	LKR
Assets						
Cash and Bank Balances	3,856,354,823	-	-	-	869,164,074	4,725,518,897
Reverse repurchase agreements	-	-	-	-	-	-
Placement with Banks	3,350,350,552	1,356,572,710	-	-	-	4,706,923,262
Financial Investments measured at amortised cost	6,738,629,769	-			1,834,964	6,740,464,733
Loans and receivables	18,221,445,238	3,903,227,755	1,986,610,892	38,348,544	50,518,557	24,200,150,986
Lease rentals receivable & Stock out on hire	19,723,684,646	18,710,674,992	22,694,403,287	2,201,164	-	61,130,964,089
Debt & other Instruments	8,827,414,659	-	210,921,656	-	-	9,038,336,315
Financial assets at fair value through other comprehensive income	-	-	-	-	137,554,019	137,554,019
Other financial assets	-	-	-	-	362,437,184	362,437,184
Total Financial Assets	60,717,879,687	23,970,475,457	24,891,935,835	40,549,708	1,421,508,798	111,042,349,485
Financial Liabilities						
Due to banks	3,197,602,291	5,081,688,000	6,836,647,957	-	-	15,115,938,248
Due to Customers	25,547,776,510	14,726,944,330	15,434,118,832	-	-	55,708,839,672
Debt Instruments Issued and Other borrowed funds	-	1,295,844,686	-	-	-	1,295,844,686
Unsecured subordinate term loan	-	-	1,500,000,000	-	-	1,500,000,000
Other Financial Liabilities	-	-	-	-	1,814,308,535	1,814,308,535
Total Financial Liabilities	28,745,378,801	21,104,477,016	23,770,766,789	-	1,814,308,535	75,434,931,141
INTEREST SENSITIVITY GAP	31,972,500,886	2,865,998,441	1,121,169,046	40,549,708	(392,799,737)	35,607,418,344

NOTES TO THE FINANCIAL STATEMENT

50. CURRENT AND NON CURRENT ANALYSIS OF ASSETS AND LIABILITIES

The table below shows an analysis of assets and liabilities analysed according to when they are expected to be recovered or settled.

Company	Note	2026			2025		
		With in 12 Months	After 12 Months	Total as at 31 March 2026	With in 12 Months	After 12 Months	Total as at 31 March 2025
		LKR	LKR	LKR	LKR	LKR	LKR
Assets							
Cash and cash equvalents		**3,025,646,835**	**-**	**3,025,646,835**	4,725,518,897	-	4,725,518,897
Placement with Banks		**2,686,823,769**	**-**	**2,686,823,769**	4,706,923,262	-	4,706,923,262
Financial assets recognised through profit or loss - measured at fair value		**4,567,165,615**	**98,895,000**	**4,666,060,615**	6,738,629,769	1,834,964	6,740,464,733
Loans and Receivables		**32,493,971,915**	**1,642,999,243**	**34,136,971,158**	20,308,960,502	1,854,541,870	22,163,502,37 2
Lease rentals receivable & Stock out on hire		**35,682,211,008**	**34,060,455,618**	**69,742,666,626**	30,003,249,768	17,717,789,463	47,721,039,231
Debt & other instruments		**7,223,589,204**	**-**	**7,223,589,204**	8,827,414,658	210,921,656	9,038,336,314
Financial assets at fair value through other comprehensive income		**-**	**210,753,456**	**210,753,456**	-	137,554,019	137,554,019
Other financial assets		**22,582,438**	**119,939,000**	**142,521,438**	8,362,038	392,982,591	362,437,184
Inventories		**-**	**50,554,443**	**50,554,443**	-	52,425,671	52,425,671
Other assets		**-**	**454,715,899**	**454,715,899**	-	480,368,195	480,368,195
Investments in Subsidiaries		**-**	**15,000,000**	**15,000,000**	-	15,000,000	15,000,000
Investments in associates		**-**	**1,371,703,979**	**1,371,703,979**	-	848,060,748	848,060,748
Investment properties		**-**	**4,609,500,000**	**4,609,500,000**	-	4,222,900,000	4,222,900,000
Property, plant and equipment		**-**	**7,084,964,781**	**7,084,964,781**	-	6,691,074,535	6,691,074,535
Intangible assets & goodwill		**-**	**747,695,256**	**747,695,256**	-	761,709,717	761,709,717
Right of use assets		**123,258,634**	**532,085,964**	**655,344,598**	123,258,634	466,954,802	590,213,436
Deferred tax assets		**-**	**-**	**-**	-	752,304,668	752,304,668
Total Assets		**85,825,249,418**	**50,999,262,639**	**136,824,512,057**	75,442,317,528	34,606,422,899	110,009,832,982

Company	Note	2026			2025		
		With in 12 Months	After 12 Months	Total as at 31 March 2026	With in 12 Months	After 12 Months	Total as at 31 March 2025
		LKR	LKR	LKR	LKR	LKR	LKR
Liabilities							
Due to Banks		**14,428,602,868**	**15,074,036,495**	**29,502,639,363**	8,279,290,291	6,836,647,957	15,115,938,248
Due to Customers		**40,308,690,675**	**15,044,426,143**	**55,353,116,818**	40,274,720,840	15,434,118,832	55,708,839,672
Debt instruments issued		**-**	**-**	**-**	-	1,295,844,686	1,295,844,686
Unsecured Subordinate Term Loan			**1,506,410,960**	**1,506,410,960**		1,500,000,000	1,500,000,000
Other Financial Liabilities		**2,643,838,108**	**-**	**2,656,236,308**	1,814,308,535	-	1,814,308,535
Other liabilities		**2,387,273,208**	**-**	**2,520,634,343**	2,492,011,348	-	2,492,011,349
Deferred tax liabilities				**194,676,795**	-		-
Post employment benefit obligations		**-**	**955,041,044**	**955,041,044**	-	709,298,357	709,298,357
Current tax liabilities		**3,398,271,154**	**-**	**3,398,271,154**	2,984,009,837	-	2,984,009,837
Total liabilities		**63,166,676,013**	**32,579,914,642**	**95,873,371,803**	55,844,340,851	25,775,909,832	81,620,250,684

51. COMMITMENTS AND CONTINGENT LIABILITIES

51.1 CONTINGENT LIABILITIES

There were no material contingent liabilities outstanding as at the reporting date other than disclosed below.

Legal Claims

The Company has controls and policies for managing legal claims. Once professional advice has been obtained and the amount of loss reasonably estimated, the Company makes adjustments to account for any adverse effects which the claims may have on its financial standing. There are seven unresolved legal cases against the Company amounting to LKR 18,224,130 as at 31st March 2026.

Although there can be no assurance, the Company believes, based on the information currently available, that the ultimate resolution of such legal procedures would not likely to have a material adverse effect of the results of operations, financial position of liquidity. Accordingly, no provision for any liabilities has been made in these Financial Statements.

NOTES TO THE FINANCIAL STATEMENT

Tax Assessments

The following tax assessments are outstanding and the company has duly appealed against.The Board of Directors are in the view of no additional provisions to be made in relation to these tax assessments as at 31st March 2026.

Period	Tax Type	Assessment Value LKR	Current Status
2018/2019	Income Tax	1,716,825,536	Tax Appeal commission
2019/2020	Income Tax	607,365,349	Tax Appeal commission
2021/2023	Income Tax	869,294,487	Inland Revenue Department
2011/2012	VAT on FS	49,360,633	Court of Appeal
2012/2013	VAT on FS	89,118,664	Court of Appeal
2013/2014	VAT on FS	63,017,704	Court of Appeal
2016/2017	VAT on FS	252,827,890	Court of Appeal
2017/2018	VAT on FS	154,789,378	Tax Appeal commission
2018/2019	VAT on FS	293,943,953	Tax Appeal commission
2019/2020	VAT on FS	1,810,098	Tax Appeal commission

51.2 COMMITMENTS

	Company	
	2026	2025
	LKR	LKR
Commitment for unutilised facilities	**4,550,263**	184,917,650
Guarantees issued	**298,400,000**	324,184,000
Total commitments and contingencies	**302,950,263**	509,101,650

52. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Company/Group Nature of Assets	Nature of Liability	Carrying Amount Pledged Company		
		2026	2025	
		LKR	LKR	
Treasury Bills	Loans	**59,038,085**	-	Financial assets measured at fair value through profit or loss
Lease Rentals Receivable & Stock out on Hire	Loans	**28,874,738,628**	11,351,208,051	Lease Rentals Receivable & Stock out on Hire
Gold Loans	Loans	**10,397,623,006**	9,122,708,050	Loans & Receivables
Land & Building	Loans	**808,029,000**	855,069,848	Property, Plant and Equipment
Balance held in foreign currency account	Loans	**789,868,395**	742,646,083	Cash & Bank Balances
Placement with banks	Loans	**635,639,513**	722,187,589	Placement with banks
		41,564,936,627	22,793,819,621	

Financial assets and finacial assets are pledged as collateral as part of sales and repurchases, securities borrowing, and securitization transactions under terms that are usual and customary for such activities.

53. RELATED PARTY TRANSACTIONS

The Company carried out transactions with parties who are defined as Related Parties as per the Sri Lanka Accounting Standard - LKAS 24 'Related Party Disclosures'.

Details of significant related party transactions which the company had during the year are as follows,

he Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with parties who are defined as related parties as per LKAS 24 - "Related Party Disclosures" under the supervision of Related Party Transactions Review Committee.

53.1 TRANSACTIONS WITH KEY MANAGERIAL PERSONNEL (KMPS)

Related party includes KMPs defined as those persons having authority and responsibility for planning directing and controlling the activities for the Company and "Key Management Personnel" has been defined to be the Board of Directors of the Company fall under such definition.

53.1.1 Key Management Personnel Compensation

	Company	
	2026	2025
	LKR	LKR
Short Term Employment Benefits	**138,194,019**	116,475,891
Post Employment Benefits	**12,839,400**	10,967,724
Directors Fees & Expenses	**18,910,000**	16,850,000
	169,943,419	144,293,615

53.1.2 Aggregate Remuneration paid to Directors

	Company	
	2026	2025
Form of Remuneration	LKR	LKR
Basic Salary	**85,596,000**	73,118,160
Board and sub-committee sitting fees	**18,910,000**	16,850,000
Fixed allowance	**12,600,000**	12,150,000
Bonuses	**34,887,000**	24,632,366
Reimbursed expenses	**165,778**	143,236
Other monetary benefits (if any)	**4,297,511**	6,575,365
Non-monetary benefits (Converted into monetary terms)	**647,731**	646,120
Total remuneration paid to directors	**157,104,020**	134,115,247

53.1.4 Transactions, Arrangements and Agreements Involving KMPs, and their Close Members of Family (CFMs)

CFMs of a KMPs are those family members who may be expected to influence, or be influenced by, that KMP in their dealing with the entity.

	Company	
	2026	2025
	LKR	LKR
Deposits held at the end of the year	**67,147,412**	67,503,532
Interest on Fixed Deposits	**5,187,868**	6,019,096
Dividend Paid	**2,578,848**	1,719,232

NOTES TO THE FINANCIAL STATEMENT

53.2 TRANSACTIONS WITH RELATED ENTITIES

53.2.1 Transactions with Ultimate Controlling Party

Amounts paid for being a member of the Key Management Personnel as included in 55.1 above.

53.2.2 Transactions with Ultimate Parent Entity

	Company	
	2026	2025
	LKR	LKR
BG Capital (Pvt) Ltd		
Investment in Fixed Deposit at Commercial Credit and Finance PLC	-	-

53.2.3 Transactions with Immediate Parent Entity

	Company	
	2026	2025
	LKR	LKR
BG Investments (Pvt) Ltd		
Dividends Paid (Gross)	**958,993,050**	629,328,700

53.2.4 Transactions with Significant Investor - Group Lease Holdings Pte Ltd

	Company	
	2026	2025
	LKR	LKR
Dividend Paid (Gross)	**572,343,000**	381,562,000

53.2.5 Transactions with Associates

	Company	
	2026	2025
	LKR	LKR
Purchase of vehicles	**424,030,600**	
Investment/(Withdrawal) in Fixed Deposit at Commercial Credit and Finance PLC	**-**	(1,000,000)
Interest on Fixed Deposits	**-**	11,000
Fee and Commission	**3,488,353**	-
Dividend Received (Gross)	**281,360,625**	-

53.2.6 Transactions with other group entities

	Company	
	2026	2025
	LKR	LKR
Unsecured Subordinate Loan		
Asia Pacific Institute of Information Technology Lanka (Pvt) Ltd		
Loan Amortized Cost as at 01st April 2025	**1,500,000,000**	1,500,000,000
Loan Interest Accrued	**201,410,960**	-
	1,701,410,960	1,500,000,000
Loan Interest Paid (1st Installment)	**195,000,000**	-
Loan Amortized Cost as at 31st March 2026	**1,506,410,960**	1,500,000,000

On 19th March 2025, the Company obtained an unsecured subordinated loan with a fixed annual interest rate of 13%, repayable in full at the end of a five-year term. Interest is payable annually.

	Company	
	2026	2025
Fixed Deposit	LKR	LKR
Asia Pacific Institute of Information Technology Lanka (Pvt) Ltd		
Investment in Fixed Deposit During the Year	**50,000,000**	-
Withdrawal of Fixed Deposit During the year (Including Fixed Deposit Interest Paid)	**(50,564,082)**	-
Investment in Fixed Deposit as at 31 March		

53.2.7 Transactions with Subsidiary - Commercial Credit Insurance Brokers (Pvt) Ltd

	Company	
	2026	2025
	LKR	LKR
Investment in Fixed Deposit During the Year	**145,000,000**	26,000,000
Withdrawal of Fixed Deposit During the year	**(28,965,696)**	(120,486,652)
Investment in Fixed Deposit as at 31 March	**150,421,429**	27,567,727
Short term loan granted during the year	**45,000,000**	-
Transfer of Fixed Asset	**-**	218,000
Fixed deposit Interest paid for the period ended 31 March 2026	**551,592**	853,953
Dividend Received (Gross)	**160,160,616**	-
Payable as at 31st March 2026(Note No 27)	**263,282**	-

53.2.8 Disclosure requirements under section 9.14.8 (1) and 9.14.8 (2) of the CSE Listing Rules

During the financial year there were no Non Recurrent Related party transactions, in aggregate that exceeds 10% of the equity or 5% of the total assets and, Recurrent related party transactions , in aggregate that exceeds 10% of the gross revenue / Income that required further disclosures.

NOTES TO THE FINANCIAL STATEMENT

54 COMPARATIVE INFORMATION

The classification and presentation of certain items in the Financial Statements have been amended during the current financial year to better reflect the substance of transactions and align with company's accounting policy. Accordingly, comparative figures for the prior year have been reclassified to conform to the current year's presentation. These reclassification has not resulted in any change to the net assets of the company/group reported priviously.

54.1 INCOME STATEMENT

During the current financial year, the Company/Group reclassified prior year figures of the Other Operating Expenses and Personnel Expenses in the Statement of profit or Loss as reported below;

Company			
For the year ended 31 March	Current Presentation		As previously Reported
	2026	2025	2025
	LKR	LKR	LKR
Other operating expenses	**5,038,718,210**	4,661,949,159	4,706,411,405
Personnel expenses	**4,421,616,824**	3,452,765,108	3,408,302,862

Group			
For the year ended 31 March	Current Presentation		As previously Reported
	2026	2025	2025
	LKR	LKR	LKR
Other operating expenses	**5,042,492,847**	4,663,086,529	4,707,548,775
Personnel expenses	**4,424,039,324**	3,454,939,108	3,410,476,862

54.2 STATEMENT OF FINANCIAL POSITION

During the current financial year, the Company /Group reclassified prior year figures of Other financial Assets, Other Financial liabilities and other Assets in the Statement of Financial Position as reported below.

Company			
As at 31 March	Current Presentation		As previously Reported
	2026	2025	2025
	LKR	LKR	LKR
Assets	**597,237,339**	842,805,379	590,277,202
Liabilities	**2,643,838,108**	1,814,308,535	1,907,970,958

Group			
As at 31 March	Current Presentation		As previously Reported
	2026	2025	2025
	LKR	LKR	LKR
Assets	**644,087,337**	674,809,620	421,332,186
Liabilities	**2,643,574,826**	1,814,308,535	1,907,970,958.

54.2 NOTES TO THE FINANCIAL STATEMENTS

Comparative information was reclassified in note 14,16 and 27 of these Financial Statements to conform with current year's classification in order to provide better presentation.

55. EVENTS AFTER THE REPORTING DATE

55.1 The Board of Directors of the Company resolved to declare a first interim dividend of Rs. 3 per share, amounting to Rs. 954.2 million, for the financial year 2025/26 Approvals from the Central Bank of Sri Lanka was obtained on 02 April 2026. In accordance with LKAS 10 – Events After the Reporting Period, this dividend has not been recognised as a liability in the financial statements as at 31 March 2026.

Other than the above, no circumstances have arisen which would require adjustments to or disclosure to these Financial Statements subsequent to the reporting date.

ACCOUNTING POLICY

All material events after the reporting date events have been considered where appropriate judgement or disclosures are made in respective notes to the Financial Statements.

56 CAPITAL MANAGEMENT

The Company is required to manage its capital taking into account the need to meet the regulatory requirements as well as the current and future business needs , stakeholder expectation and available options for raising capital . The Company is required to comply with the provisions of the Finance Companies (Capital Funds) Direction No.01 of 2003 , Finance Business Act Direction No. 03 of 2018 on Capital Adequacy Requirements and Finance Business Act Direction No. 2 of 2017 on Minimum Core Capital in respect of regulatory capital . The Core Capital Ratio and the Total Capital. Ratio of Company as of 31 March 2026 stood at 27.02% and 28.05% respectively. The regulatory minimum for Core Capital Ratio and Total Capital Ratio is 10% and 14% respectively.



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TEN-YEAR SUMMARY

Operating Results	2015/16 Group LKR.'000	2016/17 Group LKR.'000	2017/18 Group LKR.'000	2018/19 Group LKR.'000
Interest Income	16,418,292	19,927,371	21,724,832	22,125,266
Net Interest Income	10,212,068	11,930,703	11,951,694	12,465,523
Interest Expenses	6,206,224	7,996,668	9,773,137	9,659,743
Operating Expenses	5,114,541	5,756,181	5,901,096	6,959,003
Profit/(Loss) before Tax	3,027,203	4,234,076	3,869,285	3,562,858
Income Tax & VAT on Financial Services	1,196,160	1,948,894	2,338,224	2,103,227
Net Profit/(Loss)	2,322,228	3,116,513	2,542,058	2,635,586
Dividend Paid	318,074	477,112	318,078	238,556
ASSETS				
Cash & Bank Balance	1,155,204	1,947,457	1,746,911	2,340,080
Treasury Bills & Bonds	1,234,681	1,805,037	2,490,000	2,054,937
Placements with Banks & Other Finance Companies	1,300,959	1,518,067	2,014,315	3,513,125
Investment in Dealing Securities	306,710	201,357	132,066	60,257
Lease,Hire Purchase,Loans and Advances	60,967,186	71,680,227	74,030,750	70,082,305
Property, Plant and Equipment	1,421,201	1,574,347	1,812,095	3,131,139
Total Assets	72,494,365	85,721,370	90,119,003	89,142,633
LIABILITIES				
Deposits	50,381,350	54,637,126	55,858,727	53,936,319
Borrowings	5,709,210	11,271,748	11,250,383	14,374,366
Total Liabilities	64,480,168	75,025,477	77,215,198	76,316,667
SHARE HOLDERS' FUNDS				
Stated Capital	2,150,640	2,150,640	2,150,640	2,150,640
Reserves	5,843,647	8,541,073	10,747,757	10,669,185
Total Share Holders' Funds	8,014,197	10,695,894	12,903,805	12,825,967
RATIOS				
Growth of Income (%)	43.12	21.37	9.02	1.84
Growth of Net Profit (%)	5.87	34.20	18.43	3.68
Interest Cover (times)	0.52	0.62	0.69	0.69
Net Assets Growth (%)	34.25	33.46	20.64	(0.60)
Equity Assets Ratio (%)	11.05	12.48	14.32	14.39
Growth of Leases, Hire Purchases, Loans and Advances (%)	26.67	17.57	3.28	(5.33)
Return on Assets (%)	1.18	1.12	1.01	0.95
Return on Equity (%)	43.30	45.26	32.79	27.69
Total Assets to Share Holders' Funds (times)	9.05	8.01	6.98	6.95
Fixed Assets to Share Holders' Funds (times)	0.18	0.15	0.14	0.24
Net Asset per Share	25.20	33.63	40.57	40.32
Earning per Share	7.29	9.79	7.99	8.28
Dividend per Share	1.00	1.50	1.00	0.75

2019/20 Group LKR.'000	2020/21 Amalgamated LKR.'000	2021/22 Company LKR.'000	2022/23 Group LKR.'000	2023/2024 Group LKR.'000	2024/2025 Group LKR.'000	2025/2026 Group LKR.'000
20,835,015	16,086,956	18,365,076	27,004,225	29,329,101	27,337,856	**27,149,309**
10,912,143	9,035,088	11,948,942	13,056,137	14,897,925	17,884,191	**19,034,580**
9,922,873	7,051,868	6,416,135	13,948,087	14,431,177	9,453,665	**8,114,729**
6,466,977	5,463,040	5,858,222	6,661,277	7,367,310	8,688,786	**10,050,119**
2,185,069	3,192,394	6,391,345	3,308,305	7,213,641	11,824,444	**18,108,692**
1,159,955	1,670,018	3,271,998	2,201,985	3,554,262	5,691,566	**8,697,681**
2,006,616	2,334,756	4,520,313	2,163,504	3,640,741	6,147,086	**9,752,816**
318,074	-	795,186	636,149	318,074	1,272,297	**1,908,515**
1,208,462	2,239,713	2,632,255	2,455,287	2,163,462	4,731,852	**3,030,811**
2,034,739	3,821,889	5,064,096	8,437,449	6,883,380	6,740,743	**4,668,312**
3,826,996	4,487,754	1,811,884	2,666,945	4,378,706	14,088,102	**10,022,474**
39,202	39,740	23,419	2,554	56,554	137,554	**210,753**
71,066,766	68,567,137	73,993,334	75,593,098	79,588,214	69,884,542	**98,970,925**
3,126,825	3,457,055	4,826,749	6,357,091	6,796,680	6,691,075	**7,084,965**
89,862,177	91,129,873	93,630,228	100,927,853	105,937,427	110,176,292	**132,067,126**
48,948,642	47,989,537	48,077,988	59,243,651	62,121,240	55,681,779	**55,202,695**
18,946,897	22,302,676	18,733,076	16,259,699	12,606,978	15,115,938	**29,502,639**
75,366,000	75,733,517	74,436,899	81,004,963	82,740,754	81,674,134	**95,792,711**
2,150,640	2,150,640	2,150,640	2,150,640	2,150,640	2,150,640	**2,150,640**
12,338,347	13,245,715	17,042,689	4,553,630	9,689,341	5,573,706	**6,089,546**
14,496,177	15,396,356	19,193,329	19,922,890	23,196,673	28,502,158	**36,274,415**
(5.83)	26.20	19.94	41.83	7.84	(5.00)	**(0.99)**
(23.86)	16.35	93.61	(52.14)	68.28	68.84	**58.66**
0.70	1.57	2.22	0.31	0.50	1.25	**2.23**
13.02	6.21	24.66	3.80	16.43	22.87	**27.27**
16.13	16.89	20.50	19.74	21.90	25.85	**27.47**
1.40	(3.52)	7.91	14.76	8.38	(9.05)	**15.98**
0.98	2.58	4.89	2.22	3.52	5.69	**8.05**
15.99	15.62	26.14	11.06	16.89	23.78	**30.11**
6.20	5.92	4.88	5.07	4.57	3.87	**3.64**
0.22	0.22	0.25	0.32	0.29	0.23	**0.20**
45.57	48.40	60.34	62.64	72.93	89.61	**114.04**
6.30	7.34	14.21	6.80	11.45	19.33	**30.66**
1.00	-	2.50	2.00	1.00	4.00	**6.00**

INVESTOR INFORMATION

1.STOCK EXCHANGE LISTING

The Ordinary shares of the company listed on the Colombo stock Exchange since 1 June 2011 and the stock exchange ticker symbol for commercial credit and finance PLC is " COCR ".

2.SHARE HOLDER BASE

The Total Number of (Ordinary Voting) shareholders as at 31 March 2026 were 7,306 compared to 4,293 shareholders as at 31 March 2025.

3. DISTRIBUTION SHAREHOLDERS

	As at 31 March 2026			As at 31 March 2025		
Range of Shares	No of Shareholders	No of Shares	Percent of Shareholding	No of Shareholders	No of Shares	Percent of Shareholding
1- 1000	4,955	1,305,949	0.41%	2501	700,787	0.22%
1,001-10,000	1859	6,449,551	2.03%	1296	5057050	1.59%
10,001-100,000	422	12,405,636	3.90%	426	12772410	4.02%
100,001-1,000,000	55	11,934,623	3.75%	54	14,270,628	4.49%
1,000,001 & Over	15	285,978,606	89.91%	16	285,273,490	89.69%
Total	7,306	318,074,365	100.00%	4293	318,074,365	100.00%

4. COMPOSITION OF SHAREHOLDERS

	As at 31 March 2026			As at 31 March 2025		
Shareholders	No.of Shareholders	No.of Shares	% of Shareholdings	No.of Shareholders	No.of Shares	% of Shareholdings
Resident	7,277	220,251,401	69.25	4,269	221,603,978	69.67
Non- Resident	29	97,822,964	30.75	24	96,470,387	30.33
Total	7,306	318,074,365	100.00	4,293	318,074,365	100.00
Individual	7,042	33,441,828	10.51	4,066	34,346,422	10.80
Institution	264	284,632,537	89.49	227	283,727,943	89.20
Total	7,306	318,074,365	100.00	4,293	318,074,365	100.00

5.TOP TWENTY SHAREHOLDERS

Ordinary Voting Shares		As at 31st March 2026	
No.	Name of the Shareholder	No.of Shares	%
1	GROUP LEASE HOLDINGS PTE LTD (IN LIQUIDATION)	95,390,500	29.99
2	B G INVESTMENTS (PVT) LIMITED	83,832,175	26.36
3	LOLC FINANCE PLC/B.G.INVESTMENTS (PVT) LTD	45,000,000	14.15
4	PEOPLE S LEASING AND FINANCE PLC/B G INVESTMENTS (PVT) LIMITED	31,000,000	9.75
5	SEYLAN BANK PLC/S.R. FERNANDO	9,680,383	3.04
6	PEOPLE'S LEASING & FINANCE PLC /MS.S.N.EGODAGE	5,093,438	1.60
7	DR. ERASHA FERNANDO	4,200,000	1.32
8	BNYM RE ACADIAN FRONTIER MARKETS EQUITY FUND	2,182,238	0.69
9	MRS. HEWAGE HARSHANI JEEWANTHIKA HEWAGE	1,946,124	0.61
10	ASIA SECURITIES (PVT) LTD (TRADING ACCOUNT)	1,605,000	0.50
11	MR. THUSITHA KUMARA HEMACHANDRA	1,355,689	0.43
12	MISS. SACHINI NATHASHA EGODAGE	1,276,000	0.40
13	MR. GURUGE ISURU ANURADHA PERERA	1,185,100	0.37
14	J.B. COCOSHELL (PVT) LTD	1,181,959	0.37
15	MR. SAMPATH MIHINDU HEMACHANDRA	1,050,000	0.33
16	MR. DANESH THARAKA SEMAGE	488,649	0.15
17	MR. AJITH SURENDRA RATNAYAKE	460,000	0.14
18	MR. PUSHPAKUMARA SAMANTHA DANGAMPOLA	456,400	0.14
19	DFCC BANK PLC/P.S.R.CASIE CHITTY	429,808	0.14
20	N P CAPITAL LTD	425,000	0.13
	Sub Total	288,238,463	90.62%
	Other	29,835,902	9.38%
	Total	318,074,365	100%

INVESTOR INFORMATION

Ordinary Voting Shares		As at 31st March 2025	
No.	Name of the Shareholder	No.of Shares	%
1	GROUP LEASE HOLDINGS PTE LTD (IN LIQUIDATION)	95,390,500	29.99
2	B G INVESTMENTS (PVT) LIMITED	83,832,175	26.36
3	LOLC FINANCE PLC/B.G.INVESTMENTS (PVT) LTD	45,000,000	14.15
4	PEOPLE S LEASING AND FINANCE PLC/B G INVESTMENTS (PVT) LIMITED	31,000,000	9.75
5	PEOPLE'S LEASING & FINANCE PLC /MS.S.N.EGODAGE	5,093,438	1.60
6	DR. E. FERNANDO	4,500,000	1.41
7	CEYLINCO LIFE INSURANCE LIMITED ACCOUNT NO.1	4,014,843	1.26
8	SEYLAN BANK PLC/S.R. FERNANDO	3,895,911	1.22
9	J.B. COCOSHELL (PVT) LTD	2,079,440	0.65
10	ASIA SECURITIES (PVT) LTD (TRADING ACCOUNT)	2,059,395	0.65
11	MRS. H.H.J. HEWAGE	1,946,124	0.61
12	MR. T.K. HEMACHANDRA	1,555,689	0.49
13	MR. S.M. HEMACHANDRA	1,295,000	0.41
14	MISS. S.N. EGODAGE	1,276,000	0.40
15	DFCC BANK PLC A/C NO .02	1,174,975	0.37
16	MRS. H.N. HEMACHANDRA	1,160,000	0.36
17	PEOPLE S LEASING AND FINANCE PLC/NAGOYA CEYLON TRADING (PVT) LTD	959,774	0.30
18	SEYLAN BANK PLC/JN LANKA HOLDINGS COMPANY (PVT) LTD	833,405	0.26
19	MELLON BANK N.A-ACADIAN FRONTIER MARKETS EQUITY FUND	793,369	0.25
20	MRS. R.J. VIDANAPATHIRANA	540,589	0.17
	Sub Total	288,400,627	90.67%
	Other	29,673,738	9.33%
	Total	318,074,365	100%

6. DIRECTOR'S SHAREHOLDING

	As at 31 March 2026		As at March 2025	
Name	No.of Shares	% of Holdings	No.of Shares	% of Holdings
Girisa Bandula Egodage	Nil	Nil	Nil	Nil
Gillian Auril Mary Edwards	Nil	Nil	Nil	Nil
Prasanna Senani Rajiv Casie Chitty	429,808	0.14	429,808	0.14
Liyanage Lasantha Sadananda Wickremasinghe	Nil	Nil	Nil	Nil
Christine Shironi Jesudian	Nil	Nil	Nil	Nil
Geya Rasi Egodage	Nil	Nil	Nil	Nil
Roshan Sanjaya Egodage	Nil	Nil	Nil	Nil
Karnjote Singh	Nil	Nil	N/A	N/A
Janaki Padma Kuruppu	Nil	Nil	N/A	N/A

7. SHARE INFORMATION

	As at March 2026	As at March 2025
Net Asset per Share (LKR)	**113.56**	89.25
Share Price		
Highest (LKR)	**140.00**	56.70
Lowest (LKR)	**103.00**	50.80
Last Traded (LKR)	**110.00**	56.40
Earnings		
Basic Earning per share (LKR.)	**30.51**	19.55
Price Earning Ratio (Times)	**3.60**	2.88
Dividend per share (LKR.)	**6.00**	4.00
Dividend Payout Ratio	**0.20**	0.20
Market Capitalisation (Rs. Million)	**34,988**	17,939
Public Holding (%)	**29.51**	18.99
Float Adjusted Market Capitalisation (LKR)	**10,323,685,900**	3,406,690,956

8. DEBENTURE INFORMATION

	As at March 2026	As at March 2025
Debt/ Equity Ratio	**2.65**	2.75
Quick Asset Ratio	**1.5**	1.35
Interest Cover	**2.21**	1.25

Company issued LKR 1,287,590,000 rated,guranteed, senior redeemable Debentures for 5 years in March 2021.These debentures were listed on the Colombo Stock Exchange which redeemed on 16th March 2026.

	As at March 2026	As at March 2025
Yield as at Date of last Trade		Not Traded
The Market Prices during the year		
Highest Price (LKR)		Not Traded
Lowest Price (LKR)		Not Traded
Last Trated Price (LKR)		Not Traded
Credit Rating (Instrument)		AA
Comparable Government Security Coupon Rate		9.00

GLOSSARY

A

ACCOUNTING POLICIES

Principles, bases, conventions, rules and practices that are applied in recording transactions and in preparing and presenting Financial Statements.

ACCRUAL BASIS

Recognizing the effects of transaction and other events when they occur without waiting for receipt or payment of cash or its equivalent.

AMORTISATION

The systematic allocation of the depreciable amount of an intangible asset over its expected useful life.

AMORTISED COST

The amount at which the financial asset or financial liability is measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, and minus any reduction (directly or through the use of an allowance account) for impairment or uncollectability.

ASSOCIATE COMPANY

An entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture.

C

CCFP

Commercial Credit and Finance PLC

CASH EQUIVALENTS

Short-term highly liquid investments those are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

COLLECTIVELY ASSESSED IMPAIRMENT

Impairment assessment on a collective basis for homogeneous groups of loans that are not considered individually significant and to cover losses which have been incurred but have not yet been identified on loans subject to individual assessment.

COMMERCIAL PAPER

An unsecured, short-term debt instrument issued by a corporation, typically for the financing of accounts receivable, inventories and meeting short-term liabilities.

COMMITMENTS

Credit facilities approved but not yet disbursed to the customers as at the date of the Statement of Financial Position.

CONSOLIDATED FINANCIAL STATEMENTS

Financial statements of a holding Company and its subsidiaries based on their combined assets, liabilities and operating results.

CONTINGENCIES

A condition or situation, the ultimate outcome of which, gain or loss, will be confirmed only on the occurrence or nonoccurrence of one or more uncertain future events.

CORE CAPITAL

Representing permanent shareholders' equity (paid-up shares) and reserves created or increased by appropriations of retained earnings or other surplus, i.e, retained profits and other reserves.

CORPORATE GOVERNANCE

The process by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and direction of the entity, the supervision of executive actions and accountability to owners and others stakeholders.

COST/INCOME RATIO

Operating expenses as a percentage of net income.

CREDIT RISK

Credit risk is the potential that a borrower or counter party will fail to meet its obligations in accordance with agreed terms and conditions.

CREDIT RATINGS

An evaluation of a corporate's ability to repay its obligation or the likelihood of non-defaulting, carried out by an independent rating agency.

CURRENCY RISK

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

CUSTOMER DEPOSITS

Money deposited by account holders. Such funds are recorded as liabilities.

CASH GENERATING UNIT (CGU)

The smallest group of assets that independently generates cash flow and the cash flow is largely independent of the cash flows generated by other assets.

D

DEALING SECURITIES

These are marketable securities acquired and held with the intention of resale over a short period of time.

DEFERRED TAXATION

Sum set aside for tax in the Financial Statements that may become payable/ receivable in a financial year other than the current financial year.

DEPRECIATION

The systematic allocation of the depreciable amount of a tangible capital asset or fixed asset over its useful life.

DERECOGNITION

Is the removal of a previously recognised financial asset or financial liability form an entity's Statement of Financial Position.

DERIVATIVES

A financial instrument or other contract, the value of which changes in response to some underlying variable (e.g. an interest rate), that has an initial net investment smaller than would be required for other instruments that have a similar response to the variable, and that will be settled at a future date.

DIVIDEND COVER

Profit after tax divided by gross dividends. This ratio measures the number of times dividend is covered by current year's distributable profits.

DIVIDEND PER SHARE

Value of the total dividend paid out and proposed to ordinary shareholders divided by the number of ordinary shares in issues; this indicates the proportion of current year's dividend attributable to an ordinary share in issue.

DIVIDEND YIELD

Dividend earned per share as a percentage of its market value.

DISCOUNT RATE

A rate used to place a current value on future cash flows. It is needed to reflect the fact that money has a time value

DELINQUENCY

A debt or other financial obligation is considered to be in a state of delinquency when payments are overdue. Loans and advances are considered to be delinquent when consecutive payments are missed. Also known as "Arrears".

E

EARNINGS PER ORDINARY SHARE (EPS)

Profit attributable to ordinary shareholders divided by the weighted average number of ordinary shares in issue.

ECONOMIC VALUE ADDED

A measure of productivity that takes into consideration cost of total invested equity.

EFFECTIVE INTEREST METHOD

Is a method of calculating the amortised cost of a financial asset or a financial liability (or group of financial asset or financial liabilities) and of allocating the interest income or interest expense over the relevant period.

EFFECTIVE TAX RATE

Provision for taxation including deferred tax divided by the profit before taxation.

EXPOSURE

A claim, contingent claim or position which carries a risk of financial loss.

EQUITY METHOD

A method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post acquisition changes in the investor's share of net assets of the investee. The profit or loss of the investor includes the investor's share of the profit or loss of the investee.

EQUITY

This consists of issued and fully paid up ordinary shares and reserves.

EXPECTED CREDIT LOSSES (ECLS)

ECL approach is the loan loss impairment method under SLFRS 9 on "Financial Instruments". ECLs are the discounted product of the Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD). ECL measurements are unbiased and are determined by evaluating a range of possible outcomes.

F

FAIR VALUE

The amount for which an asset could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction.

FINANCE LEASE

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

FINANCIAL ASSET

Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

FINANCIAL INSTRUMENT

A financial instrument is any contract that gives rise to both a financial asset in one entity and a financial liability or equity instrument in another entity

FINANCIAL LIABILITY

A contractual obligation to deliver cash or another financial asset to another entity.

G

GEARING

Long-term borrowings divided by the total funds available for shareholders.

GROSS DIVIDEND

The portion of profits distributed to the shareholders including the tax with held.

GUARANTEES

A promise made by a third party (Guarantor), who is not a party to a contract between two others, that the guarantor will be liable if the guarantee fails to fulfill the contractual Obligations.

GROUP

A parent and all its subsidiaries.

GLOSSARY

H

HEDGING

A strategy under which transactions are effected with the aim of providing cover against the risk of unfavorable price movements (interest rate, foreign exchange rates, commodity prices, etc).

HELD-TO-MATURITY

Investments and debt securities that a Company has the ability and intent to hold until maturity.

HIRE PURCHASE

A system by which a buyer pays for an asset in regular installments while enjoying the use of such asset. During the repayment period, ownership (title) of the asset does not pass to the buyer.

I

IMPAIRMENT

The value of an asset when the recoverable amount is less than its carrying amount.

IMPAIRED LOANS

Loans where the Company does not expect to collect all the contractual cash flows or expects to collect them later than they are contractually due.

IMPAIRMENT ALLOWANCE FOR LOANS AND RECEIVABLES

Amount set aside against possible losses on loans, lease rentals and advances as a result of such facilities becoming partly or wholly uncollectible.

INDIVIDUALLY ASSESSED IMPAIRMENT

Exposure to loss is assessed on all individually significant accounts that do not qualify for collective assessment.

INTANGIBLE ASSETS

An intangible asset is an identifiable non-monetary asset without physical substance.

INTEREST COVER

Earnings before interest and taxes for the year divided by total interest expenses.

INTEREST IN SUSPENSE

Interest suspended on non-performing accommodations. (Leases, hire purchases, loans and other advances)

INTEREST MARGIN

Net interest income expressed as a percentage of average total assets.

INTEREST RATE RISK

The risk that an investment's value will change due to a change in the absolute level of interest rates, in the spread between two rates, in the shape of the yield curve or in any other interest rate relationship.

INTEREST SPREAD

The difference between the average yield a financial institution receives from loans and other interest-accruing activities and the average rate it pays on deposits and borrowings.

INVESTMENT PROPERTIES

Property (land or a building - or part of a building or both) held (by the owner or by lessee under a finance lease) to earn rentals or for capital appreciation or both, rather than for use or sale.

INVESTMENT SECURITIES

Securities acquired and held for yield and capital growth purposes which are usually held to maturity.

K

KEY MANAGEMENT PERSONNEL

People having authority and responsibility for planning, directing and controlling the activities of an entity, either directly or indirectly. (The Board of Directors and Corporate Management).

L

LIQUID ASSETS

Assets that are held in cash or can be converted to cash readily, such as deposits with other banks, Bills of Exchange, Treasury Bills and Bonds.

LIQUIDITY RISK

The risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities.

LOANS PAYABLE

Loan payable are financial liabilities, other than short-term trade payable on normal credit terms.

LOANS AND RECEIVABLES

Non-derivative financial assets with fixed or determinable payments that are not quoted in an active market other than those intended to sell immediately or in the near term and designated as fair value through profit or loss or available for sale on initial recognition.

LOSS GIVEN DEFAULT (LGD)

The percentage of an exposure that a lender expects to lose in the event of obligor default.

M

MARKET CAPITALISATION

Number of ordinary shares in issue multiplied by the market value of a share as at a particular date.

MARKET RISK

This refers to the possibility of loss arising from changes in the value of a financial instrument as a result of changes in market variables such as interest rates, exchange rates, credit spreads and other asset prices.

MATERIALITY

The relative significance of a transaction or an event, the omission or misstatement of which could influence the economic decisions of users of Financial Statements.

N

NET ASSET VALUE PER ORDINARY SHARE

Total net asset value of a Company divided by the total number of ordinary shares in issue.

NET INTEREST INCOME

Difference between revenue generated from interest bearing assets and interest incurred on interest bearing liabilities.

NET INTEREST MARGIN

Net interest income as a percentage of average interest earning assets.

NON-CONTROLLING INTEREST

Portion of the profit or loss and net assets of a subsidiary attributable to equity interests that are not owned, directly or indirectly through subsidiaries, by the parent.

NON-PERFORMING ADVANCES / NON-PERFORMING ACCOMMODATIONS

Loans and advances of which rentals are in arrears for six months or more.

NPA RATIO

Total Non-Performing Accommodations (net of interest in suspense and other adjustments) divided by total accommodations (net of interest in suspense and other adjustments).

O

OPERATIONAL RISK

The losses arising from fraud, negligence, oversight, human error, process errors, system failures, external events, etc.

P

PARENT

An entity that controls one or more subsidiaries.

PRICE EARNINGS RATIO

Market price of a share divided by the earnings per share.

PROVISION

The amount of an expense that an entity elects to recognise now, before it has precise information about the exact amount of the expense.

PROVISION COVER

Total provision for losses on loans, leases and advances expressed as a percentage of net non-performing loans before discounting for provision on non-performing loans, leases and advances.

R

RELATED PARTIES

Parties where one party has the ability to control the other party exercise a significant influence over the other party in making financial and operating decisions, directly or indirectly.

RELATED PARTY TRANSACTIONS

Is a transfer of resources, services or obligations between related parties, regardless of whether a price is charged or not.

REPURCHASE AGREEMENTS

Contracts to sell and subsequently repurchase securities at a specified price at a specified future date.

RETURN ON AVERAGE ASSETS (ROA)

Profit after tax divided by total average assets.

RETURN ON EQUITY

Profit after tax divided by total average equity.

REVERSE REPURCHASE AGREEMENTS

The purchased of securities under the agreement to sell them at a specified price at a specified future date.

RISK WEIGHTED ASSETS

On balance sheet assets and the credit equivalent of off balance sheet assets multiplied by relevant factors weighted by risk.

RIGHT-OF-USE ASSET (ROUA)

An asset that represents a lessee's right to use an underlying asset for the lease term.

RETURN ON AVERAGE EQUITY (ROE)

Net profit attributable to owners expressed as a percentage of average ordinary shareholders' equity.

S

SEGMENTAL ANALYSIS

Analysis of Financial Information by loan product.

SHAREHOLDERS' FUNDS

This consists of issued and fully paid up ordinary shares and reserves.

STATUTORY RESERVE FUND

A capital reserve created as per the provisions of Finance Companies (Capital Funds) Direction No. 01 of 2003.

GLOSSARY

SPECIFIC IMPAIRMENT PROVISIONS

Impairment is measured individually for loans that are individually significant to the Company

SUBSIDIARY COMPANY

An entity, including an unincorporated entity such as a partnership, which is controlled by another entity, known as Parent.

SUBSTANCE OVER FORM

The consideration that the accounting treatment and the presentation in Financial Statements of transactions and the events are governed by their financial reality and not merely by its legal form.

T

TOTAL RISK WEIGHTED CAPITAL

Supplementary capital that includes items such as revaluation reserves, undisclosed reserves, hybrid instruments and subordinated term debt.

TWELVE MONTH EXPECTED CREDIT LOSSES (12 MONTH ECL)

The portion of lifetime expected credit losses that represent the expected credit losses that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

U

USEFUL LIFE

The period over which an asset is expected to be available for use by an entity or the number of production or similar units expected to be obtained from the asset by an entity.

UNSYSTEMATIC RISK

Unsystematic risk is unique to a specific company or industry. Also known as "non-systematic risk", "specific risk", "diversifiable risk" or "residual risk", in the context of an investment portfolio, unsystematic risk can be reduced through diversification

Y

YIELD TO MATURITY (YTM)

Discount rate at which the present value of future cash flows would equal the security's current price.

YIELD CURVE

A yield curve is a line that plots yields (interest rates) of bonds having equal credit quality but differing maturity dates. The slope of the yield curve gives an idea of future interest rate changes and economic activity. There are three main types of yield curve shapes: normal (upward sloping curve), inverted (downward sloping curve) and flat.

NOTICE OF MEETING

NOTICE is hereby given that the Forty third (43rd) Annual General Meeting of Commercial Credit and Finance PLC (the "Company") will be held at Commercial Credit and Finance PLC, City Office, Third (3rd) Floor, Training Room, No. 165, Kinsey Road, Colombo 08 on 1st September 2026 at 09.00 a.m. and the business to be brought before the meeting will be as follows:

1. To receive and consider the audited financial statements for the year ended 31st March 2026 and the reports of the auditors and of the directors thereon.

2. To declare a final dividend of Rupees Seven (Rs. 7/-) per share for the year ended 31st March 2026, as recommended by the directors.

3. Re-election of directors

    i. To re-elect Dr.(Ms) J P Kuruppu, who retires by rotation in terms of Article 24(6) of the Articles of Association of the Company.

    ii. To re-elect Mr. R S Egodage, who retires by rotation in terms of Article 24 (6) of the Articles of Association of the Company.

    iii. To re-elect Ms. G R Egodage, who retires by rotation in terms of Article 24 (6) of the Articles of Association of the Company.

    iv. To re-elect Mr. K Singh, who was appointed during the course of the year and retires in terms of Article 24 (2) of the Articles of Association of the Company.

4. To re-appoint M/s KPMG, Chartered Accountants, as auditors until the conclusion of the next annual general meeting of the Company in terms of section 158 (1) of the Companies Act No. 07 of 2007, to audit the financial statements of the Company for the financial year ending 31st March 2027 and to authorize the directors to determine their remuneration therefor.

5. To authorize the directors to determine contributions to charities.

6. Any Other Business

By Order of the Board

COMMERCIAL CREDIT AND FINANCE PLC



Shashika Naguruge
Company Secretary

6th August 2026
Colombo

NOTES

FORM OF PROXY

I/We ..... of

..... being a shareholder/s of Commercial Credit and Finance PLC do hereby appoint

Mr/Mrs/Ms. .....

(N.I.C.No. .....) of ..... failing him/her;

Mr. G B EGODAGE whom failing,
Mr. R S EGODAGE whom failing,
Ms. G R EGODAGE whom failing,
Mr. P S R C CHITTY, whom failing,
Mr. L L S WICKRAMASINGHE, whom failing,
Ms. G A M EDWARDS, whom failing,
Dr. (Ms) J P KURUPPU whom failing,
Ms. C S JESUDIAN, whom failing,
Mr. K SINGH, whom failing,

as my/our proxy to represent me/us and vote for me/us on my/our behalf at the Forty third (43rd) Annual General Meeting of the Company to be held on 1st September 2026 and at any adjournment thereof, and at every poll which may be taken in consequence thereof. I/We the undersigned hereby authorise my/our proxy to vote on my/our behalf in accordance with the preference indicated below:-

		For	Against
1.	To receive and consider the audited financial statements for the year ended 31st March 2026 and the reports of the auditors and of the directors thereon.	○	○
2.	To declare a final dividend of Seven Rupees (Rs.7/-) per share for the year ended 31st March 2026, as recommended by the directors.	○	○
3.	Re-election of directors	○	○
	i. To re-elect Dr. (Ms.) J P Kuruppu, who retires by rotation in terms of Article 24(6) of the Articles of Association of the Company.	○	○
	ii. To re-elect Mr. R S Egodage, who retires by rotation in terms of Article 24 (6) of the Articles of Association of the Company.	○	○
	iii. To re-elect Ms. G R Egodage, who retires by rotation in terms of Article 24 (6) of the Articles of Association of the Company.	○	○
	iv. To re-elect Mr. K Singh, who was appointed during the course of the year and retires in terms of Article 24 (2) of the Articles of Association of the Company.	○	○
4.	To re-appoint M/s KPMG, Chartered Accountants, as auditors until the conclusion of the next annual general meeting of the Company in terms of section 158 (1) of the Companies Act No. 07 of 2007, to authorize the directors to determine their remuneration therefore.	○	○
5.	To authorize the directors to determine contributions to charities.	○	○

As witness by my/our hand on this ..... day of ..... Two Thousand and Twenty Six

....

Signature of Shareholder **Shareholder's NIC No./ Co.Reg.No.**

FORM OF PROXY

Notes:

- Please indicate with an "x" in the space provided how your Proxy is to vote. If there is in the view of the Proxyholder doubt (by reason of the way in which the instructions contained in the Proxy have been completed) as to the way in which the Proxyholder should vote, the Proxy holder shall vote as he thinks fit.
- A Proxy holder need not be a member of the Company
- Instructions as to completion appear on the reverse hereof
- If you wish your Proxy to speak at the Meeting you should insert the words “to speak and” in the place indicated with an asterisk and initial such insertion.

INSTRUCTIONS AS TO COMPLETION

1. To be valid this Form of Proxy must be deposited at the City Office of the Company at No.165, Kynsey Road, Colombo-08 not less than 48 hours before the time appointed for the holding of the Meeting.
2. The instrument appointing a Proxy shall in the case of an individual be signed by the appointor or by his Attorney and in the case of a Company/Corporation, the Proxy Form must be executed under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association or other constitutional documents.
3. If the Proxy Form is signed by an Attorney, the relevant Power of Attorney or a notarially certified copy thereof, should also accompany the completed Form of Proxy if it has not already been registered with the Company.
4. The full name and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the Form of Proxy.

INVESTOR FEEDBACK FORM

To request information or submit a comment/query to the Company, please complete the following and return this page to,

Chief Financial Officer

Commercial Credit and Finance PLC No. 165, Kynsey Road,
Colombo 08,
Sri Lanka.
E-mail: janaka@cclk.lk

Name : .....

Permanent Mailing Address : .....

Contact Numbers : .....

E-mail : .....

Name of the Company : .....

(If Applicable)

Designation : .....

(If Applicable)

Company Address : .....

(If Applicable)

Comments/Queries : .....

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CORPORATE INFORMATION

COMPANY NAME

Commercial Credit and Finance PLC

COMPANY SECRETARY

Shashika Naguruge

LEGAL FORM

Originally incorporated as a Private Limited Liability Company in accordance with the Companies Act No. 17 of 1982, subsequently converted to a Public Company on 16 December 1989, and re-registered under the Companies Act No. 07 of 2007 on 08 April 2008. Registered as a Finance Company under the Finance Companies Act No. 78 of 1988, and re-registered under the Finance Business Act No. 42 of 2011. Registered as a Finance Leasing establishment pursuant to the Finance Leasing Act No. 56 of 2000, as amended. The company's shares were listed on the Dirisavi Board of the Colombo Stock Exchange on 01 June 2011, with the designated Stock Exchange code for its shares being "COCR"

COMPANY AUDITORS

KPMG

(Chartered Accountants)

32A, Sir Mohamed Macan Markar Mawatha,

P. O. Box 186,

Colombo 03,

Sri Lanka.

BANKERS OF THE COMPANY

Bank of Ceylon

Cargills Bank Limited

Commercial Bank of Ceylon PLC

DFCC Bank

Hatton National Bank PLC

National Development Bank PLC

Nations Trust Bank PLC

Pan Asia Banking Corporation PLC

People's Bank

Sampath Bank PLC

Seylan Bank PLC

REGISTRATION NUMBER

PB 269 PQ

PLACE OF INCORPORATION

Kandy, Sri Lanka

CITY OFFICE

No.165, Kynsey Road, Colombo 08

TELEPHONE

+94 11 2 000 000/ +94 81 2 000 000

FAX

+94 11 2 327 882 / +94 81 2 234 977

EMAIL

ccl@cclk.lk

WEBSITE

www.cclk.lk

BOARD OF DIRECTORS OF THE COMPANY

Mr. G.B. Egodage
Non- Executive Director/ Chairman

Mr. L. L.S. Wickramasinghe
Independent Non-Executive Director/ Senior Director

Mr. R. S. Egodage
Executive Director /Chief Executive Officer

Ms. G. R. Egodage
Executive Director

Mr. P.S.R. C. Chitty
Executive Director

Ms. G. A.M.Edwards
Independent Non-Executive Director

Dr.(Ms.) J.P.Kuruppu
Independent Non-Executive Director

Ms. C.S.Jesudian
Independent Non-Executive Director

Mr. K Singh
Non-Executive Director

BOARD AUDIT COMMITTEE

Mr. L L S Wickramasinghe (Chairperson)

Mr. G B Egodage

Ms. G A M Edwards

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE

Mr. L L S Wickramasinghe (Chairperson)

Mr. G B Egodage

Ms. G. A M Edwards

Dr. (Ms) J P Kuruppu

BOARD RELATED PARTY TRANSACTION REVIEW COMMITTEE

Ms. G A M Edwards (Chairperson)

Mr. L L S Wickramasinghe

Mr. G B Egodage

BOARD NOMINATION AND GOVERNANCE COMMITTEE

Mr. L L S Wickramasinghe (Chairperson)

Mr.G.B.Egodage

Ms. G A M Edwards

BOARD HUMAN RESOURCE AND REMUNERATION COMMITTEE

Ms. G A M Edwards (Chairperson)

Mr.G.B.Egodage

Dr. (Ms) J P Kuruppu

BOARD SUSTAINABILITY COMMITTEE

Mr. P.S.R. C. Chitty (Chairperson)

Mr. G B Egodage

Mr. R. S. Egodage

Ms. G. R. Egodage

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